

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**APPENDIX TO COMPLAINANTS' EXCEPTIONS TO INITIAL DECISION GRANTING
RESPONDENTS' MOTION FOR JUDGMENT ON THE PLEADINGS**

APPENDIX 1	Complaint from the matter of Igor Ovchinnikov et al. v. Michael Hitrinov et al., FMC Docket No.: 15-11
APPENDIX 2	Complaint from the matter of Kairat Nurgazinov v. Michael Hitrinov et al., FMC Docket No.: 1953(I)
APPENDIX 3	Notices of Default and Orders to Show Cause
APPENDIX 4	Orders Denying Respondents' Motions for Stay
APPENDIX 5	Orders to File Shipping Documents
APPENDIX 6	Orders Granting in Part and Denying in Part Motions for Additional Time to Respond
APPENDIX 7	Initial Decision of March 9, 2017 Granting Respondents' Motion for Judgment on the Pleadings
APPENDIX 8	Order for Parties to Supplement the Record
APPENDIX 9	Order on Certain Pending Motions

APPENDIX 10	January 2017 Edition of Actual Investigations of Export Control and Antiboycott Violations
APPENDIX 11	July 2008 Edition of Actual Investigations of Export Control and Antiboycott Violations
APPENDIX 12	Bureau of Industry and Security Annual Report Fiscal Year 2003
APPENDIX 13	Mediterranean Shipping Co. Sea Waybills for the Subject Vehicles
APPENDIX 14	Appendix To Complainants' Reply To Respondents' Response To Order For Parties To Supplement The Record
APPENDIX 15	Complainants' Notice of Filing of May 2, 2016
APPENDIX 16	Complainants' Notice of Filing of May 4, 2016
APPENDIX 17	U.S. Customs and Border Protection Informational Pipeline Nos.: 16-004-NWK and 08-012-NWK
APPENDIX 18	U.S. DEPARTMENT OF COMMERCE Shipper's Export Declaration Form 7525-V
APPENDIX 19	Email from Empire United Lines Co. Inc. to account@globalautousa.com, with attached spreadsheet
APPENDIX 20	Email produced by EUL in the matter of Global Auto Inc. et al., v. Michael Hitrinov et al., bates numbered EUL_001946
APPENDIX 21	Respondents' Notice of Filing of May 5, 2016
APPENDIX 22	Memorandum and Order of the Hon. Sandra L. Townes from the matter of Global Auto Inc. et al., v. Michael Hitrinov et al.
APPENDIX 23	Respondents' Notice of Filing of May 9, 2016

APPENDIX “1”



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BEFORE THE
FEDERAL MARITIME COMMISSION

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OFFICE OF THE SECRETARY
FEDERAL MARITIME COMMISSION

Docket No.: 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

Complainants,

— vs. —

MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.

Respondents.

VERIFIED COMPLAINT

Complainants Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov ("Complainants") by their undersigned attorneys, Marcus A. Nussbaum, Esq. and Seth M. Katz, Esq., file this Complaint against the respondents herein, alleging violations of the Shipping act of 1984, 46 U.S.C. §40101, et. Seq. (the "Shipping Act") as follows:

I. Complainant

1. Complainant Igor Ovchinnikov is an individual residing at 22 Obskaya Street, Khanty-Mansiysk, in the Russian Federation.
2. Complainant Irina Rzaeva is an individual residing at 18 Sorvacheva Street, Syktyvkar, in the Russian Federation.
3. Complainant Denis Nekipelov is an individual residing at 45-1-183 Prospect Nastavnikov, St. Petersburg, in the Russian Federation.

II. Respondents

4. Respondent Michael Hitrinov a/k/a Michael Khitrinov ("Hitrinov") is an adult individual and is a resident of the State of New York who maintains a principal place of business at 2303 Coney Island Avenue, Brooklyn, NY 11223.

5. Hitrinov is a "person" pursuant to the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 1998 ("Shipping Act").

6. Hitrinov is also an owner of respondent and shipping company Empire United Lines Co., Inc.

7. Respondent Empire United Lines Co., Inc. ("EUL") is a closely held corporation organized and existing under the laws of the State of New York with a principal place of business at 2303 Coney Island Avenue, Brooklyn, NY 11223. EUL also maintains a place of business at 52 Butler Street, in Elizabeth, New Jersey.

8. Upon information and belief, EUL has bond coverage with Banker's Insurance Company, as required by the Shipping Act. EUL's NVOCC Bond No. is JGINVOC2828.

9. Respondent CarCont Ltd. ("CarCont") is a company with business address Merituulentie 424, 48310, Kotka, Finland, which released the Complainant's vehicle to persons other than Complainants at the direction and request of EUL and Hitrinov. Upon information and belief, CarCont is owned by Hitrinov.

10. Hitrinov is the Chairperson of the Board of CarCont, with signatory authority and direct control over respondent CarCont.

11. The operation and supervision of CarCont's day-to-day activities are conducted by respondent Hitrinov.

12. Respondent EUL is in the business of providing services as an ocean

transportation intermediary, and operates as a non-vessel operating common carrier ("NVOCC").

13. Hitrinov is the president and/or chief operating officer and/or chief executive officer of EUL.

14. Hitrinov is the sole principal of EUL.

15. The operation and supervision of EUL's day-to-day activities are conducted by respondent Hitrinov.

16. At all times hereinafter mentioned, EUL is and was licensed by the Federal Maritime Commission as a non-vessel operating common carrier ("NVOCC") under license number 012052.

17. There is an interlocking relationship between Hitrinov and the two corporate respondents EUL and Carcont as evidenced by:

- a. pervasive control over both corporations;
- b. negotiations by corporate officers of one corporation on behalf of another corporate entity (e.g., Hitrinov negotiating on behalf of EUL and CarCont);
- c. intermingling of activities with substantial disregard of the separate nature of the corporate entities;
- d. serious ambiguity about the manner and capacity in which the various parties and their respective representatives are acting;
- e. common ownership;
- f. common management;
- g. common financing;
- h. commingling of funds;
- i. commingling of loans;
- j. operations in each others' names;
- k. impermissible personal payments and asset transfers;

1. usage of the same internet domain names and email addresses registered to said domains.

18. The closeness of their relationships indicates that individual respondent Hitrinov is the alter ego of the corporate entities and piercing the corporate veil is necessary to avoid injustice and fundamental unfairness.

19. At all times relevant to the instant lawsuit, respondents EUL, CarCont, and Hitrinov were united in interest such that they are one and the same.

20. EUL and CarCont are "affiliates" as defined by 46 CFR §532.3.

21. At all times relevant to the instant lawsuit, EUL and Hitrinov: (a) ordered cargo to port; (b) prepared and/or processed export declarations; (c) booked, arranged for, and confirmed cargo space; (d) prepared and processing delivery orders and/or dock receipts; (e) processed ocean bills of lading; (f) arranged for warehouse storage; (g) cleared shipments in accordance with United States Government export regulations; (h) handled freight or other monies advanced by shippers, and/or remitted or advanced freight or other monies or credit in connection with the dispatching of shipments; (i) coordinated the movement of shipments from origin to vessel; and (j) give expert advice to exporters concerning problems germane to the cargoes' dispatch.

22. At all times relevant to the instant lawsuit, respondent Hitrinov knowingly and intentionally used the corporate form of respondents EUL and CarCont to perpetrate tortious and other wrongful conduct against the Complainants.

III. Jurisdiction

23. The Federal Maritime Commission ("FMC") has subject matter jurisdiction over the claims in this action as this matter relates to contracts for carriage of goods by sea from ports of the United States in foreign trade and thus comes under the Carriage of Goods by Sea Act

("COGSA"), 46 U.S.C.S. § 30701, and the Shipping act of 1984, 46 U.S.C. §40101, et. Seq.

24. Complainants are seeking reparations for injuries caused to them by EUL, Hitrinov, and CarCont as a result of respondents' violations of 46 U.S.C. §§ 40301, 40302, 40501, 40701, 41102, 41104, 41106, and the FMC's regulations at 46 C.F.R. Part 515, by:

- i. Failing to keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established;
- ii. To the extent that respondents have made tariffs open to public inspection in an automated tariff system, the contents of respondents' tariffs fail to (a) state separately each terminal or other charge, privilege, or facility under the control of the carrier or conference and any rules that in any way change, affect, or determine any part or the total of the rates or charges; and (b) include sample copies of any bill of lading, contract of affreightment, or other document evidencing the transportation agreement;
- iii. Failing to comply with the mandate under the Shipping Act that a new or initial rate or change in an existing rate that results in an increased cost to a shipper may not become effective earlier than 30 days after publication;
- iv. Failing to maintain a rate or charge in a tariff or service contract, or charge or assess a rate, that is below a just and reasonable level;
- v. Failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property;
- vi. Having provided service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published the respondent;
- vii. With respect to service pursuant to a tariff, having engaged in unfair and unjustly discriminatory practices in the matter of: (A) rates or charges; (B) cargo classifications; (C) loading and landing of freight; and (D) adjustment and settlement of claims;
- viii. With respect to service pursuant to a tariff, by imposing undue or unreasonable prejudice or disadvantage;
- ix. Unreasonably refusing to deal or negotiate;

- x. Knowingly and willfully accepting cargo from or transporting cargo for the account of an ocean transportation intermediary that does not have a tariff as required by the Shipping Act;
- xi. Imposing undue or unreasonable prejudice or disadvantage with respect to any person; and by unreasonably refuse to deal or negotiate; and
- xii. Detaining and converting Complainants' cargo on the grounds that the principal of Effect/G-Auto (described herein) owed monies to respondents for reasons not related to the shipment of Complainants' cargo. It is an unreasonable and unlawful practice to assert a lien against a shipment for which all freight charges have been paid.

25. EUL is a non-vessel operating common carrier within the meaning of the Shipping Act and is and was licensed by the Federal Maritime Commission as a non-vessel operating common carrier under license number 012052, and thus falls under the jurisdiction of the Commission.

IV. Statement of Facts and Matters Complained of

26. As set forth in detail below, respondents are engaged in the business of exporting used cars (from warehouse to warehouse) from the United States to the states that comprised the former Soviet Union. Respondent EUL shipped Complainants' vehicles from a warehouse operated by EUL in the United States to respondent CarCont's customs bonded warehouse in Kotka, Finland, via ocean going vessel.

27. Respondents EUL, Hitrinov, and CarCont are in the business of providing services as an ocean transportation intermediary, and operate as a non-vessel operating common carrier ("NVOCC"). Respondents arrange for the warehouse to warehouse transport of automobiles overseas for automobile dealerships and personal shippers, and shipped Complainants' automobiles from the United States to a warehouse owned and operated by Hitrinov and CarCont, located in the Port of Kotka, which is a major Finnish sea port that serves the foreign trade of Finland and the United States.

28. Complainants have been forced to bring the instant action as a result of respondents' unlawful conversion of the automobiles owned by Complainants.

29. Empire, as an NVOCC, contracts with its customers as principal, agreeing to transport their goods on a voyage that includes an ocean leg.

30. An NVOCC commonly issues house bills of lading to its customers in its own name, even though it does not operate the ship that will carry the goods on the ocean voyage.

31. The NVOCC buys space on the carrying ship like any other customer, receiving a bill of lading from the owner or charterer of that ship when the goods are loaded on board.

32. Pursuant to rules and regulations promulgated by the FMC including, without limitation, regulations implementing the Shipping Act of 1984, 46 U.S.C. § 40101, et seq, an NVOCC can only charge a shipper prices disclosed in a published tariff filed with the FMC.

33. At all times relevant hereto, a service contract (the "Service Contract") existed between EUL and Mediterranean Shipping Company ("MSC"), which is not a party to this action.

34. Pursuant to the Service Contract between EUL and MSC, EUL was able to obtain container space for Complainants' automobiles aboard a vessel outbound from the Port of Elizabeth, New Jersey, pursuant to the terms of the Service Contract between EUL and MSC.

35. At all times mentioned herein, the business of the companies known as G-Auto Sales, Inc. ("G-Auto") and Effect Auto Sales Inc. ("Effect") which are affiliated with one another, was primarily focused on the sale of used vehicles and the operation of an automobile dealership.

36. At all times mentioned herein, G-Auto/Effect contracted with respondents Hitrinov and EUL to secure shipping and warehouse services related to vehicles sold by G-

Auto/Effect and destined for Kotka, Finland, with the consignee on each shipping bill of lading designated as Defendant CarCont.

Respondents' Unlawful Conversion of the 2009 GMC Acadia Owned by Complainant Igor Ovchinnikov

37. On or about August 21, 2012 complainant Igor Ovchinnikov applied for a loan from a bank in Khanty-Mansiysk, in the Russian Federation (the "Loan"), to finance the acquisition of a 2009 GMC Acadia (VIN#GKLVNED6AJ138200) the ("GMC Acadia"), and for purposes of obtaining funds to pay for customs clearance and other fees related to the purchase and import of the GMC Acadia.

38. On August 22, 2012, after receiving the proceeds of the Loan from the bank, complainant Igor Ovchinnikov purchased the GMC Acadia from G-Auto for a purchase price of \$28,960.00.

39. Upon purchasing vehicle, complainant was provided with an invoice from G-Auto, and a copy of the certificate of title for the vehicle.

40. The funds for the purchase of the GMC Acadia were paid by Complainant Ovchinnikov to G-Auto in three (3) separate wire transactions and the entire amount for the purchase of the GMC Acadia was paid in full by Complainant Ovchinnikov to G-Auto as of October 18, 2012.

41. Prior to export, G-Auto/Effect provided EUL with an original certificate of title for the GMC Acadia so that EUL could perform the customs clearance of the GMC Acadia for export overseas.

42. On or about December 21, 2012, the GMC Acadia was loaded, on board an MSC vessel, and was delivered on or about January 14, 2013 to the customs bonded warehouse owned by Hitriniv/CarCont in Kotka Finland. The EUL booking number for this shipment was

038EUL1046438 and the container number is TCNU8761450.

43. On or about January 15, 2013, Complainant Ovchinnikov contacted CarCont regarding the release of the GMC Acadia and was advised by CarCont that the vehicle would not be released to him.

44. On or about January 15, 2013, Complainant was specifically advised that EUL would not authorize the release of the GMC Acadia because there was an unpaid loan due and owing to EUL by the principal of G-Auto/Effect.

45. The sum of \$1500 representing ocean freight and related charges was paid to EUL by G-Auto per a statement identified as Statement #448, provided by EUL to G-Auto for the ocean freight for two automobiles, to wit: the GMC Acadia, and a 2010 Acura RDX.

46. Upon information and belief, EUL refused to issue individual invoices for the ocean freight for individual automobiles.

47. Subsequent thereto, and after Complainant Ovchinnikov made multiple requests that CarCont release the GMC Acadia to him, Mr. Ovchinnikov was advised by an employee of CarCont that EUL would not authorize the release of the GMC Acadia because there was an unpaid loan due and owing by the principal of Effect/G-Auto to EUL.

48. After investigating the matter further, Complainant Ovchinnikov ascertained that on May 14, 2013, that the GMC Acadia was registered under the name of Vasiliev, Valery Vladirimivich, a Russian citizen residing in St. Petersburg, Russia.

49. EUL, Hitrinov, and CarCont simply converted this automobile and have sold it to a third party in order to satisfy a loan allegedly due and owing from the principal of Effect/G-Auto to EUL and Hitrinov.

Respondents' Unlawful Conversion of the 2011 Jeep Compass Owned by Complainant Irina Rzaeva

50. On or about September 21, 2012 complainant Irina Rzaeva applied for a loan from a bank in Syktyvkar, in the Russian Federation (the "Purchase Loan"), to finance the acquisition of a 2011 Jeep Compass (VIN#1J4NF5FB7BD282296) the ("Jeep Compass"), and for purposes of obtaining funds to pay for customs clearance and other fees related to the purchase and import of the Jeep Compass.

51. On October 5, 2012, after receiving the proceeds of the Purchase Loan from the bank, complainant Irina Rzaeva purchased the Jeep Compass from G-Auto for a purchase price of \$15,920.00.

52. Upon purchasing vehicle, complainant was provided with an invoice from G-Auto, and a copy of the certificate of title for the vehicle.

53. The funds for the purchase of the Jeep Compass were paid by Complainant Rzaeva to G-Auto via a wire transaction and the entire amount for the purchase of the Jeep Compass was paid in full by Complainant Rzaeva to G-Auto on October 8, 2012.

54. Prior to export, Effect/G-Auto provided EUL with an original certificate of title for the Jeep Compass so that EUL could perform the customs clearance of the Jeep Compass for export overseas.

55. On or about November 15, 2012, the Jeep Compass was loaded, on board an MSC vessel, and was delivered on or about December 11, 2012 to the customs bonded warehouse owned by Hitriniv/CarCont in Kotka Finland. The EUL booking number for this shipment was 038EUL1039353 and the container number is TGHU8737440.

56. On or about December 15, 2012 Complainant Rzaeva paid 333,151.29 Russian Rubles or \$16,181.00 U.S. Dollars to the Russian Customs authorities for the customs

clearance/duty for the import of the Jeep Compass.

57. On or about December 16, 2012, Complainant Rzaeva contacted CarCont regarding the release of the Jeep Compass and was advised by CarCont that the vehicle would not be released to her.

58. On or about December 30, 2012, Complainant Rzaeva was specifically advised that EUL would not authorize the release of the Jeep Compass because there was an unpaid loan due and owing to EUL by the principal of G-Auto/Effect.

59. The sum of \$2250 representing ocean freight and related charges was paid to EUL by G-Auto per a statement identified as Statement #439, provided by EUL to G-Auto for the ocean freight for three automobiles, to wit: the Jeep Compass, a 2009 Volkswagen Tiguan, and a 2009 Mercedes-Benz C300.

60. Upon information and belief, EUL refused to issue individual invoices for the ocean freight for individual automobiles.

61. Subsequent thereto, and after Complainant Rzaeva made multiple requests that CarCont release the Jeep Compass to her, Ms. Rzaeva was advised by an employee of CarCont that EUL would not authorize the release of the Jeep Compass because there was an unpaid loan due and owing by the principal of Effect/G-Auto to EUL.

62. In or about March 12, 2013, Complainant Rzaeva made a trip to Kotka, Finland to try to find her vehicle and to file a complaint with the prosecutor's office in Finland. Her efforts to find the vehicle were unsuccessful.

63. Subsequent thereto, in late March of 2013, respondent Hitrinov contacted Complainant Rzaeva directly and admitted to her that he converted her automobile because there was an unpaid loan due and owing by the principal of Effect/G-Auto to EUL.

64. EUL, Hitrinov, and CarCont, simply converted this automobile and have sold it to a third party in order to satisfy a loan allegedly due and owing from the principal of Effect/G-Auto to EUL and Hitrinov.

Respondents' Unlawful Conversion of the 2009 Mercedes-Benz C300 Owned by Complainant Denis Nekipelov

65. On or about October 24, 2012 complainant Denis Nekipelov purchased a 2009 Mercedes-Benz C300 (VIN#WDDGF81X49R073295) the ("Mercedes"), from G-Auto for a purchase price of \$19,920.00.

66. Upon purchasing vehicle, complainant was provided with an invoice from G-Auto, and a copy of the certificate of title for the vehicle.

67. The funds for the purchase of the Mercedes were paid by Complainant Nekipelov to G-Auto via a wire transaction and the entire amount for the purchase of the Mercedes was paid in full by Complainant Nekipelov to G-Auto on October 25, 2012.

68. Prior to export, Effect/G-Auto provided EUL with an original certificate of title for the Mercedes so that EUL could perform the customs clearance of the Mercedes for export overseas.

69. On or about November 15, 2012, the Mercedes was loaded, on board an MSC vessel, and was delivered on or about December 11, 2012 to the customs bonded warehouse owned by Hitrinov/CarCont in Kotka Finland. The EUL booking number for this shipment was 038EUL1039353 and the container number is TGHU8737440.

70. On or about December 16, 2012, Complainant Nekipelov contacted CarCont regarding the release of the Mercedes and was advised by CarCont that the vehicle would not be released to him.

71. The sum of \$2250 representing ocean freight and related charges was paid to EUL

by G-Auto per a statement, identified as Statement #439 provided by EUL to G-Auto for the ocean freight for three automobiles, to wit: the Jeep Compass, a 2009 Volkswagen Tiguan, and a 2009 Mercedes-Benz C300.

72. Upon information and belief, EUL refused to issue individual invoices for the ocean freight for individual automobiles.

73. Subsequent thereto, and after Complainant Nekipelov made multiple requests that CarCont release the Mercedes to him, Mr. Nekipelov was advised by an employee of CarCont that EUL would not authorize the release of the Mercedes because there was an unpaid loan due and owing by the principal of Effect/G-Auto to EUL.

74. EUL, Hitrinov, and CarCont simply converted this automobile and have sold it to a third party in order to satisfy a loan allegedly due and owing from the principal of Effect/G-Auto to EUL and Hitrinov.

Respondents' Additional Unlawful Acts Regarding the Shipment of Complainants' Cargo

75. EUL did not have a tariff on file for the warehouse to warehouse shipments handled by it on behalf of Complainants.

76. EUL did not have a tariff on file for the warehouse to warehouse shipment of 40 foot high cube containers containing two (2) to three (3) automobiles.

77. EUL refused to provide an Empire house bill of lading for the shipment of Complainants' vehicles, although such house bill of ladings were duly demanded.

78. Upon information and belief Complainants believe that EUL has billed amounts in excess of its lawful tariff during the time period alleged herein.

79. During the time period alleged herein, EUL and Hitrinov accepted money for the warehouse to warehouse shipment of the vehicles described herein, then subsequently refused to

release the vehicles.

80. At all times alleged herein, EUL and Hitrinov failed to provide Complainants and any other necessary parties with proper and lawful documents of ownership, titles, house bills of lading, nor did they ever provide shipping invoices nor the terms and conditions of transport even though EUL and Hitrinov were paid for the warehouse to warehouse shipment of the vehicles described herein. Respondents failed to deal in good faith, and respondents failed to provide proof of ownership with a correct original Empire house bill of lading and contract of transport in a timely manner to the Complainants.

V. Violations of the Shipping Act

A. EUL violated 46 U.S.C. § 40701(a) failing to maintain a rate or charge in a tariff or service contract, or charge or assess a rate, that is below a just and reasonable level.

B. EUL violated 46 U.S.C. §41102(c) by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property; and by failing to provide Complainants and any other necessary parties with: (1) proper and lawful documents of ownership; (2) shipping invoices and house bills of lading; and (3) the terms and conditions of transport; (4) failing to deal in good faith and further failing to provide proof of ownership.

C. EUL violated 46 U.S.C. §§ 41104(2), 41104(3), 41104(4), 41104(8), 41104(9) 41104(10), and 41104(10) by: (i) having provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published the respondent; (ii) by retaliating against Complainants by resorting to unfair and unjustly discriminatory methods; (iii) by, with respect to service pursuant to a tariff, having engaged in unfair and unjustly discriminatory practices in the matter of rates or charges, cargo

classifications, loading and landing of freight and adjustment and settlement of claims, (iv) with respect to service pursuant to a tariff, by imposing undue or unreasonable prejudice or disadvantage; (v) by unreasonably refusing to deal or negotiate; (vi) and by knowingly and willfully accepting cargo from or transporting cargo for the account of an ocean transportation intermediary that does not have a tariff as required by the Shipping Act.

D. EUL violated 46 U.S.C. §§ 41106(2) and 41106(3) by imposing undue or unreasonable prejudice or disadvantage with respect to any person; and by an unreasonable refusal to deal or negotiate.

E. EUL has violated 46 U.S.C. 41102(c) by detaining and converting Complainants' automobiles on the grounds that the principal of G-Auto/Effect owed monies to respondents for reasons not related to the instant shipments. It is an unreasonable and unlawful practice to assert a maritime lien against a shipment for which all freight charges have been paid.

VII. Injury to Complainants

A. As a result of respondents' aforementioned violations of the Shipping Act of 1984, the complainants have sustained and continue to sustain injuries and damages as follows:

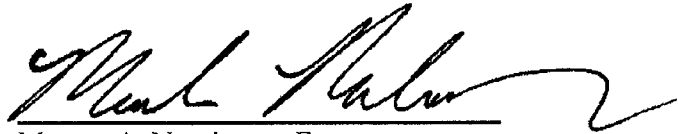
- **Complainant Igor Ovchinnikov:** Direct damages in excess of \$28,960.00 constituting the amounts paid for the purchase of the GMC Acadia plus additional damages for sums arising out of the loan which complainant Ovchinnikov obtained from the bank in Khanty-Mansiysk, Russia, for the purchase of the GMC Acadia, such as interest on the loan and bank fees;
- **Complainant Irina Rzaeva:** Direct damages in excess \$32,101.00 constituting the amounts paid for the purchase of the Jeep Compass and the customs clearance paid for the import of the Jeep Compass, plus additional damages for sums arising out of expenses incurred by complainant incidental to complainant's travel to Kotka, Finland, and for sums arising out of the loan which complainant Rzaeva obtained from the bank in Syktyvkar, Russia, for the purchase of the Jeep Compass, such as interest on the loan and bank fees;
- **Complainant Denis Nekipelov:** Direct damages in excess of \$19,920.00 constituting the amounts paid for the purchase of the Mercedes plus additional consequential damages;

The full extent of damages can only be determined after obtaining discovery in this matter, and after final calculation of interest due and owing to Complainants on this sum and calculation of the legal fees incurred by complainants due to respondents' violations of the Shipping Act.

VIII. Prayer for Relief

- A. Statement regarding ADR procedures: Alternative dispute resolution procedures were not used prior to filing the Complaint and Complainants have not consulted with the Commission Dispute Resolution Specialist about utilizing alternative dispute resolution.
- B. **WHEREFORE**, Complainants pray that: (1) respondents be required to answer the charges herein; (2) that after due hearing, an order be made commanding said respondent to pay to Complainants by way of reparations for the unlawful conduct hereinabove described, the sums described herein, with interest and attorney's fees, costs and expenses, or such other sum as the Commission may determine to be proper as an award of reparation; (3) that the Commission issue an Order holding that the respondents MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV individually, EMPIRE UNITED LINES CO., INC., and CARCONT, LTD. violated the Shipping Act of 1984; (4) that the Commission Order the respondents to provide the Empire United Lines Co. Inc. house bills of lading for the shipments described herein; and (5) that the Commission issue such other and further order or orders as the Commission determines to be just and proper.

- C. Complainants request a hearing on this matter, and further request that the hearing be held in Washington, D.C.

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', written over a horizontal line.

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Seth M. Katz, Esq.
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Brooklyn, NY 11224
Tel: 888-426-4370
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Attorneys for Complainants
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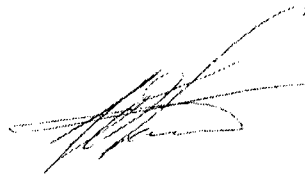
Dated: November 7, 2015

VERIFICATION

IGOR OVCHINNIKOV declares and states that he is a Complainant in this proceeding, and that the foregoing annexed VERIFIED COMPLAINT is true to the best of his information and belief, and that the grounds to his belief as to those matters therein not stated upon personal knowledge, is based upon information which has otherwise been provided to Complainant and which Complainant believes to be true.

I declare under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.

Executed on November 67, 2015.



IGOR OVCHINNIKOV

VERIFICATION

IRINA RZAEVA declares and states that she is a Complainant in this proceeding, and that the foregoing annexed VERIFIED COMPLAINT is true to the best of her information and belief, and that the grounds to her belief as to those matters therein not stated upon personal knowledge, is based upon information which has otherwise been provided to Complainant and which Complainant believes to be true.

I declare under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.

Executed on November 04, 2015.

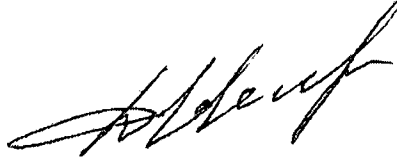
Rzoeva I V. [Signature]
IRINA RZAEVA

VERIFICATION

DENIS NEKIPELOV declares and states that he is a Complainant in this proceeding, and that the foregoing annexed VERIFIED COMPLAINT is true to the best of his information and belief, and that the grounds to his belief as to those matters therein not stated upon personal knowledge, is based upon information which has otherwise been provided to Complainant and which Complainant believes to be true.

I declare under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.

Executed on November 08, 2015.



DENIS NEKIPELOV

APPENDIX “2”

ORIGINAL

Small Claim Form for Informal Adjudication
and Information Checklist

FEDERAL MARITIME COMMISSION, WASHINGTON, DC.

Informal Docket No.: 1953(1)

KAIRAT NURGAZINOV,

(Claimant)

— vs. —

MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.

(Respondents)



I. Claimant

A. Claimant Kairat Nurgazinov is an individual residing in the Republic of Kazakhstan.

II. Respondents

A. Respondent Michael Hitrinov a/k/a Michael Khitrinov ("Hitrinov") is an adult individual and is a resident of the State of New York who maintains a principal place of business at 2303 Coney Island Avenue, Brooklyn, NY 11223.

B. Hitrinov is a "person" pursuant to the Shipping Act of 1984, as amended by the Ocean Shipping Reform Act of 1998 ("Shipping Act").

C. Hitrinov is also an owner of respondent and shipping company Empire United Lines Co., Inc.

D. Respondent Empire United Lines Co., Inc. ("EUL") is a closely held corporation organized and existing under the laws of the State of New York with a principal place of business at 2303 Coney Island Avenue, Brooklyn, NY 11223.

E. Upon information and belief, EUL has bond coverage with Banker's Insurance Company, as required by the Shipping Act. EUL's NVOCC Bond No. is JGINVOC2828.

F. Respondent CarCont Ltd. ("CarCont") is a company with business address Merituulentie 424, 48310, Kotka, Finland, which released the Complainant's vehicle to persons other than Complainants at the direction and request of EUL and Hitrinov. Upon information and belief, CarCont is owned by Hitrinov.

G. Hitrinov is the Chairperson of the Board of CarCont, with signatory authority and direct control over respondent CarCont.

H. The operation and supervision of CarCont's day-to-day activities are conducted by respondent Hitrinov.

I. Respondent EUL is in the business of providing services as an ocean transportation intermediary, and operates as a non-vessel operating common carrier ("NVOCC").

J. Hitrinov is the president and/or chief operating officer and/or chief executive officer of EUL.

K. Hitrinov is the sole principal of EUL.

L. The operation and supervision of EUL's day-to-day activities are conducted by respondent Hitrinov.

M. At all times hereinafter mentioned, EUL is and was licensed by the Federal Maritime Commission as a non-vessel operating common carrier ("NVOCC") under license number 012052.

N. There is an interlocking relationship between Hitrinov and the two corporate respondents EUL and Carcont as evidenced by:

a. pervasive control over both corporations;

- b. negotiations by corporate officers of one corporation on behalf of another corporate entity (e.g., Hitrinov negotiating on behalf of EUL and CarCont);
- c. intermingling of activities with substantial disregard of the separate nature of the corporate entities;
- d. serious ambiguity about the manner and capacity in which the various parties and their respective representatives are acting;
- e. common ownership;
- f. common management;
- g. common financing;
- h. commingling of funds;
- i. commingling of loans;
- j. operations in each others' names;
- k. impermissible personal payments and asset transfers;
- l. usage of the same internet domain names and email addresses registered to said domains.

O. The closeness of their relationships indicates that individual respondent Hitrinov is the alter ego of the corporate entities and piercing the corporate veil is necessary to avoid injustice and fundamental unfairness.

P. At all times relevant to the instant lawsuit, respondents EUL, CarCont, and Hitrinov were united in interest such that they are one and the same.

Q. EUL and CarCont are "affiliates" as defined by 46 CFR §532.3.

R. At all times relevant to the instant lawsuit, EUL and Hitrinov: (a) ordered cargo to port; (b) prepared and/or processed export declarations; (c) booked, arranged for, and confirmed cargo space; (d) prepared and processing delivery orders and/or dock receipts; (e) processed ocean bills of lading; (f) arranged for warehouse storage; (g) cleared shipments in accordance

with United States Government export regulations; (h) handled freight or other monies advanced by shippers, and/or remitted or advanced freight or other monies or credit in connection with the dispatching of shipments; (i) coordinated the movement of shipments from origin to vessel; and (j) give expert advice to exporters concerning problems germane to the cargoes' dispatch.

S. At all times relevant to the instant lawsuit, respondent Hitrinov knowingly and intentionally used the corporate form of respondents EUL and CarCont to perpetrate tortious and other wrongful conduct against the Complainant.

III. The matters that give rise to this claim are as follows:

A. The Federal Maritime Commission ("FMC") has subject matter jurisdiction over the claims in this action as this matter relates to contracts for carriage of goods by sea from ports of the United States in foreign trade and thus comes under the Carriage of Goods by Sea Act ("COGSA"), 46 U.S.C.S. § 30701, and the Shipping act of 1984, 46 U.S.C. §40101, et. Seq.

B. Complainant is seeking reparations for injuries caused to him by EUL, Hitrinov, and CarCont as a result of respondents' violations of 46 U.S.C. §§ 40301, 40302, 40501, 40701, 41102, 41104, 41106, and the FMC's regulations at 46 C.F.R. Part 515, by:

- i. Failing to keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established;
- ii. To the extent that respondents have made tariffs open to public inspection in an automated tariff system, the contents of respondents' tariffs fail to (a) state separately each terminal or other charge, privilege, or facility under the control of the carrier or conference and any rules that in any way change, affect, or determine any part or the total of the rates or charges; and (b) include sample copies of any bill of lading, contract of affreightment, or other document evidencing the transportation agreement;
- iii. Failing to comply with the mandate under the Shipping Act that a new or initial rate or change in an existing rate that results in an increased cost to a shipper may not become effective earlier than 30 days after publication;

- iv. Failing to maintain a rate or charge in a tariff or service contract, or charge or assess a rate, that is below a just and reasonable level;
- v. Failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property;
- vi. Having provided service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published the respondent;
- vii. With respect to service pursuant to a tariff, having engaged in unfair and unjustly discriminatory practices in the matter of: (A) rates or charges; (B) cargo classifications; (C) loading and landing of freight; and (D) adjustment and settlement of claims;
- viii. With respect to service pursuant to a tariff, by imposing undue or unreasonable prejudice or disadvantage;
- ix. Unreasonably refusing to deal or negotiate;
- x. Knowingly and willfully accepting cargo from or transporting cargo for the account of an ocean transportation intermediary that does not have a tariff as required by the Shipping Act;
- xi. Imposing undue or unreasonable prejudice or disadvantage with respect to any person; and by unreasonably refuse to deal or negotiate; and
- xii. Detaining and converting Complainants' cargo on the grounds that the principal of Effect/G-Auto (described herein) owed monies to respondents for reasons not related to the shipment of Complainants' cargo. It is an unreasonable and unlawful practice to assert a lien against a shipment for which all freight charges have been paid.

C. EUL is a non-vessel operating common carrier within the meaning of the Shipping Act and is and was licensed by the Federal Maritime Commission as a non-vessel operating common carrier under license number 012052, and thus falls under the jurisdiction of the Commission.

D. As set forth in detail below, respondents are engaged in the business of exporting used cars (from warehouse to warehouse) from the United States to the states that comprised the

former Soviet Union. Respondent EUL shipped Complainant's vehicle from a warehouse operated by EUL in the United States to respondent CarCont's customs bonded warehouse in Kotka, Finland, via ocean going vessel.

E. Respondents EUL, Hitrinov, and CarCont are in the business of providing services as an ocean transportation intermediary, and operate as a non-vessel operating common carrier ("NVOCC"). Respondents arrange for the warehouse to warehouse transport of automobiles overseas for automobile dealerships and personal shippers, and shipped Complainants' automobiles from the United States to a warehouse owned and operated by Hitrinov and CarCont, located in the Port of Kotka, which is a major Finnish sea port that serves the foreign trade of Finland and the United States.

F. Complainant has been forced to bring the instant action as a result of respondents' unlawful conversion of the automobiles owned by Complainant.

G. Empire, as an NVOCC, contracts with its customers as principal, agreeing to transport their goods on a voyage that includes an ocean leg.

H. An NVOCC commonly issues house bills of lading to its customers in its own name, even though it does not operate the ship that will carry the goods on the ocean voyage.

I. The NVOCC buys space on the carrying ship like any other customer, receiving a bill of lading from the owner or charterer of that ship when the goods are loaded on board.

J. Pursuant to rules and regulations promulgated by the FMC including, without limitation, regulations implementing the Shipping Act of 1984, 46 U.S.C. § 40101, et seq, an NVOCC can only charge a shipper prices disclosed in a published tariff filed with the FMC.

K. At all times relevant hereto, a service contract (the "Service Contract") existed between EUL and Mediterranean Shipping Company ("MSC"), which is not a party to this

action.

L. Pursuant to the Service Contract between EUL and MSC, EUL was able to obtain container space for Complainant's automobiles aboard a vessel outbound from the Port of Elizabeth, New Jersey, pursuant to the terms of the Service Contract between EUL and MSC.

M. At all times mentioned herein, the business of the companies known as G-Auto Sales, Inc. ("G-Auto") and Effect Auto Sales Inc. ("Effect") which are affiliated with one another, was primarily focused on the sale of used vehicles and the operation of an automobile dealership.

N. At all times mentioned herein, G-Auto/Effect contracted with respondents Hitrinov and EUL to secure shipping and warehouse services related to vehicles sold by G-Auto/Effect and destined for Kotka, Finland, with the consignee on each shipping bill of lading designated as Defendant CarCont.

O. At all times mentioned herein, respondents EUL and Hitrinov failed to present the titles for automobiles exported by them to U.S. Customs and Border ("CBP") for validation by CBP prior to the time of export.

P. Respondents' failure to validate the titles with CBP was done deliberately for purposes of preventing CBP and other regulatory agencies from knowing who were the true consignees for the automobiles exported by respondents.

Respondents' Unlawful Conversion of the Toyota Camry Owned by Complainant

Q. On or about November 29, 2012 complainant purchased a Toyota Camry (VIN#4T1BE46K19U306703) the ("Toyota Camry") from G-Auto for a purchase price of \$12,900.00.

R. Upon purchasing the vehicle, complainant was provided with an invoice from G-

Auto (#67936), dated November 29, 2012, for the vehicle.

S. The funds for the purchase of the Toyota Camry were paid by Complainant to G-Auto via wire transaction and the entire amount was paid in full by Complainant to G-Auto as of December 5, 2012.

T. Prior to export, G-Auto/Effect provided EUL with an original certificate of title for the Toyota Camry so that EUL could perform the customs clearance of the Toyota Camry for export overseas.

U. On or about January 12, 2013, the Toyota Camry was loaded, on board an MSC vessel (MSC Sarah), and was delivered on or about January 29, 2013 to the customs bonded warehouse owned by Hitriniv/CarCont in Kotka Finland. The EUL booking number for this shipment was 038EUL1045297 and the container number is TCKU9873233.

V. On or about February 5, 2013, Complainant contacted CarCont regarding the release of the Toyota Camry and was advised by CarCont that the vehicle would not be released to him.

W. On or about February 5, 2013, Complainant was specifically advised that EUL would not authorize the release of the Toyota Camry because there was an unpaid loan due and owing to EUL by the principal of G-Auto/Effect.

X. The sum of \$1500 representing ocean freight and related charges was paid to EUL by G-Auto per a statement identified as Statement #449, provided by EUL to G-Auto for the ocean freight for two automobiles, to wit: the Toyota Camry, and a 2009 Toyota Prius.

Y. Upon information and belief, EUL refused to issue individual invoices for the ocean freight for individual automobiles.

Z. Subsequent thereto, and after Complainant made multiple requests that CarCont

release the Toyota Camry to him, Complainant was advised by an employee of CarCont that EUL would not authorize the release of the Toyota Camry because there was an unpaid loan due and owing by the principal of Effect/G-Auto to EUL.

AA. EUL, Hitrinov, and CarCont simply converted this automobile and have sold it to a third party in order to satisfy a loan allegedly due and owing from the principal of Effect/G-Auto to EUL and Hitrinov.

Respondents' Additional Unlawful Acts Regarding the Shipment of Complainant's Cargo

BB. EUL did not have a tariff on file for the warehouse to warehouse shipments handled by it on behalf of Complainants.

CC. EUL did not have a tariff on file for the warehouse to warehouse shipment of 40 foot high cube containers containing the automobile.

DD. EUL refused to provide an Empire house bill of lading for the shipment of Complainant's vehicles, although such house bill of ladings were duly demanded.

EE. Upon information and belief Complainant believes that EUL has billed amounts in excess of its lawful tariff during the time period alleged herein.

FF. During the time period alleged herein, EUL and Hitrinov accepted money for the warehouse to warehouse shipment of the vehicles described herein, then subsequently refused to release the vehicles.

GG. At all times alleged herein, EUL and Hitrinov failed to provide Complainant and any other necessary parties with proper and lawful documents of ownership, titles, house bills of lading, nor did they ever provide shipping invoices nor the terms and conditions of transport even though EUL and Hitrinov were paid for the warehouse to warehouse shipment of the vehicles described herein. Respondents failed to deal in good faith, and respondents failed to

provide proof of ownership with a correct original Empire house bill of lading and contract of transport in a timely manner to the Complainants.

IV. This claim is not for overcharges.

V. The sections of the Shipping Act which Complainant claims were violated by respondents are as follows:

A. EUL violated 46 U.S.C. § 40701(a) failing to maintain a rate or charge in a tariff or service contract, or charge or assess a rate, that is below a just and reasonable level.

B. EUL violated 46 U.S.C. §41102(c) by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property; and by failing to provide Complainant and any other necessary parties with: (1) proper and lawful documents of ownership; (2) shipping invoices and house bills of lading; and (3) the terms and conditions of transport; (4) failing to deal in good faith and further failing to provide proof of ownership.

C. EUL violated 46 U.S.C. §§ 41104(2), 41104(3), 41104(4), 41104(8), 41104(9) 41104(10), and 41104(10) by: (i) having provide service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published the respondent; (ii) by retaliating against Complainant by resorting to unfair and unjustly discriminatory methods; (iii) by, with respect to service pursuant to a tariff, having engaged in unfair and unjustly discriminatory practices in the matter of rates or charges, cargo classifications, loading and landing of freight and adjustment and settlement of claims, (iv) with respect to service pursuant to a tariff, by imposing undue or unreasonable prejudice or disadvantage; (v) by unreasonably refusing to deal or negotiate; (vi) and by knowingly and willfully accepting cargo from or transporting cargo for the account of an ocean transportation

intermediary that does not have a tariff as required by the Shipping Act.

D. EUL violated 46 U.S.C. §§ 41106(2) and 41106(3) by imposing undue or unreasonable prejudice or disadvantage with respect to any person; and by an unreasonable refusal to deal or negotiate.

E. EUL has violated 46 U.S.C. 41102(c) by detaining and converting Complainant's automobile on the grounds that the principal of G-Auto/Effect owed monies to respondents for reasons not related to the instant shipments. It is an unreasonable and unlawful practice to assert a maritime lien against a shipment for which all freight charges have been paid.

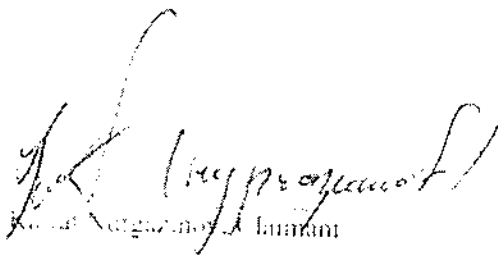
VI. Injury to Complainant

A. As a result of respondents' aforementioned violations of the Shipping Act of 1984, the complainant has sustained and continues to sustain injuries and direct damages in excess of \$12,900.00 constituting the amounts paid for the purchase of the Toyota Camry plus additional consequential damages. The full extent of damages can only be determined after obtaining discovery in this matter, and after final calculation of interest due and owing to Complainant on this sum and calculation of the legal fees incurred by complainant due to respondents' violations of the Shipping Act.

VII. The undersigned authorizes the Settlement Officer to determine the above-stated claim pursuant to the informal procedure outlined in subpart S (46 CFR 502.301-502.305) of the Commission's informal procedure for adjudication of small claims subject to discretionary Commission review.

Attach memorandum or brief in support of claim. Also attach bill of lading, copies of correspondence or other documents in support of claim.

Dated: December 30, 2015


Karat Nurgazinov, Plaintiff

Bogenbai Uly Street, #46
City of Semey
Republic of Kazakhstan



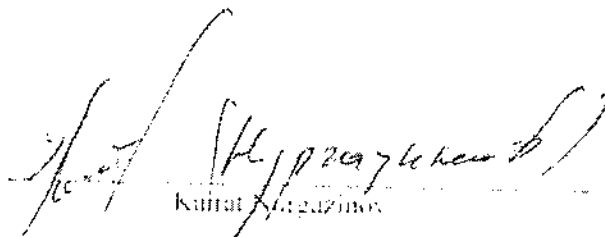
Marcus A. Nassbaum, Esq.
Seth M. Katz, Esq.
P.O. Box 245899
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorneys for Complainant
marcus.nassbaum@gmail.com

VERIFICATION

Karat Nurgazinov declares and states that he is a Complainant in this proceeding, and that the foregoing annexed COMPLAINT is true to the best of his information and belief, and that the grounds to his belief as to those matters therein not stated upon personal knowledge, is based upon information which has otherwise been provided to Complainant, and which Complainant believes to be true.

I declare under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.

Executed on December 31, 2015


Karat Nurgazinov



G-Auto Sales, Inc.

www.GlobalAutoUSA.com

www.GAUTOUSA.com

G Auto Sales, Inc.

150-1 Carriage Lane, Delran, NJ 08075

+ 7 (495) 721-8449

+ 7 (812) 336-4264

kotkacars@gmail.com

cars@globalautousa.com

Дата: 11/29/2012

Инвойс №: 67936

Банковские реквизиты:

Название банка: Citizens Bank

Адрес банка: 1 Citizens Drive
Riverside, RI 02915

№ счёта: 6236012168

ABA: 036076150

SWIFT CODE: CTZIUS33

Покупатель:

ФИО: Нургазинов Кайрат

Адрес: РК

kairat_nura@mail.ru

тел.+77771463483

Убедительная просьба ко всем клиентам. После перевода денег отправляйте подтверждение (Ваше имя, сумма, номер лота или последние 6 цифр VIN) на e-mail адрес бухгалтерии: account@globalautousa.com

Перед тем как забирать свой автомобиль, обязательно закажите **открепление** - сверьтесь с бухгалтерией и сообщите ФИО человека, который будет забирать авто. **Без открепления будет взиматься штраф в размере 15 евро.**

Кол-во	Лот №	Год	Марка/модель	VIN	Цена за ед.	Сумма
1	15212	2010	Toyota Camry	4T1BE46K19U306703	12900	12900
				deposit	10500	10500
Скидка (если предоставлена)						
Издержки, взимаемые нашим банком за перевод денег						20
Произведена оплата						
ИТОГО:						2420



Майкл Головеря,

Президент компании G Auto Sales, Inc.

1. Предлагается со стороны покупателя бронирование на определенный период.
2. В случае внесения предоплаты, покупатель обязуется не продавать, не дарить, не передавать, не заложить, не использовать автомобиль для коммерческих целей.
3. В случае расторжения договора, покупатель обязан возместить все понесенные компанией (или) владельцем автомобиля расходы.
4. За резервирование автомобиля не взимается никаких платежей.
5. Компания G Auto Sales, Inc. гарантирует, что автомобиль будет доставлен в срок.
6. Компания G Auto Sales, Inc. гарантирует, что автомобиль будет доставлен в хорошем состоянии.
7. Компания G Auto Sales, Inc. гарантирует, что автомобиль будет доставлен в хорошем состоянии.
8. Компания G Auto Sales, Inc. гарантирует, что автомобиль будет доставлен в хорошем состоянии.

Благодарим за сотрудничество!

Если у Вас возникли вопросы по оплате, пишите на email: account@globalautousa.com

MASTER BILL OF LADING

SHIPPER/EXPORTER EMPIRE UNITED LINES 2303 CONEY ISLAND AVE BROOKLYN, NY 11223 TEL: 718-998-6900		DOCUMENT NO BOOKING#038EUL1045297	
CONSIGNEE CARCONT Ltd Merituulentie 424. 48310 Kotka, Finland Tel: +358 5 260 47 22/ Fax: +358 5 260 47 55		EXPORT REFERENCE OUR REF# 104452	
NOTIFY PARTY		FORWARDING AGENT I REFERENCES	
DOMESTIC ROUTING/EXPORT INSTRUCTIONS NO SED REQUIRED: AES-ITN : X20130103021862 X20130103022095		ONWARD INLAND ROUTING CSC PREPAID	
OCEAN/VESSEL MSC Sarah NU301R FOR TRANSSHIPMENT BREMERHAVEN	PORT OF LOADING NEW YORK PORT OF DISCHARGE KOTKA		

CARRIER'S RECEIPT		PARTICULARS FURNISHED BY SHIPPER		
MARKS AND NUMBERS	NO OF CONT. OR OTHER PKGS.	DESCRIPTION OF GOODS	GROSS WEIGHT	MEASUREMENT
CONTAINER# TCKU9873233 SEAL #7876363	1 X 40'HC	S.T.C.3 CARS 2009 BMW X6 VIN# 5UXFG43569L223352 2009 TOYOTA PRIUS VIN# JTDKB20U897858466 2009 TOYOTA CAMRY VIN# 4T1BE46K19U306703 2 ENGINES ON PALLETS GAS HAS BEEN DRAINED,BATTERIES DISCONNECTED FREIGHT PREPAID. CSC PREPAID SPD COLLECT EXPRESS RELEASE	1647 KG 1523 KG 1646 KG 200 KG	

DELIVERED BY: LIGHTER TRUCK ARRIVED--- DATETIME..... UNLOADED-- DATETIME..... CHECKED BY IN SHIP: PLACED ON DOCK LOCATION	RECEIVED THE ABOVE DESCRIBED GOODS OR PACKAGES SUBJECT TO ALL THE TERMS OF THE UNDESIGNED'S REGULAR FORM OF DOCK RECEIPT AND BILL OF LADING WHICH SHELL CONSTITUTE THE CONTRACT UNDER WHICH THE GOODS ARE RECEIVED, COPIES OF WHICH ARE AVAILABLE FROM THE CARRIER ON REQUEST AND MAY BE INSPECTED AT ANY OF ITS OFFICES FOR THE MASTER BY..... RECEIVING CLERK DATE.....
---	---

EMPIRE UNITED LINES

2303 Coney Island Avenue, Brooklyn, NY 11223
Tel: (718) 998-6900; Fax (718) 998-7014

Empire United Co., Inc.
Bank of America
1415 Ave Z.
Brooklyn, NY 11235

Account# 9380009007
International Routing code: 021000332
Domestic Routing code: 026009593
FT code for Bank of America BOFAUS3N

Statement # 449



ST# 1-1-1									
104452	2009 TOYOTA PRIUS	JTDKB20U897858466	12-Oct	27-Dec	TCKU9873233	038EUL1045297			
104452	2009 TOYOTA CAMRY	4T1BE46K19U306703	14-Nov	27-Dec	TCKU9873233	038EUL1045297			

PAID

AMOUNT TO PAY	\$1,500.00
AMOUNT PAID	
AMOUNT DUE	

APPENDIX “3”

S	E	R	V	E	D
March 30, 2016					
FEDERAL	MARITIME	COMMISSION			

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

INFORMAL DOCKET NO. 1953(I)

KAIRAT NURGAZINOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

NOTICE OF DEFAULT AND ORDER TO SHOW CAUSE

On January 11, 2016, Claimant Kairat Nurgazinov commenced this proceeding by filing a Complaint with the Secretary. Respondent Empire United Lines (Empire) is licensed by the Commission as a non-vessel-operating common carrier (NVOCC). Respondent Michael Hitrinov a/k/a Michael Khitrinov is Empire's sole principal and officer. *Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc.*, FMC No. 14-16 (Sept. 15, 2015) (Initial Decision on Respondents' Motion for Partial Summary Decision), exceptions filed, Jan. 15, 2016. The Complaint alleges that Hitrinov owns CarCont, Ltd. (CarCont), a company located in Kotka, Finland, and is "the Chairperson of the Board of CarCont, with signatory authority and direct control over respondent CarCont." (Complaint II.F-H.)

The Complaint alleges that Hitrinov, Empire, and CarCont violated 46 U.S.C. §§ 40301, 40302, 40501, 40701, 41102, 41104, 41106, of the Shipping Act of 1984, and the Commission's regulations at 46 C.F.R. Part 515. Nurgazinov seeks a reparations award from Respondents in the amount of \$12,900 plus interest and attorney's fees. Nurgazinov requested adjudication of the Complaint under the Commission's informal procedures provided at Subpart S of the Commission's Rules of Practice and Procedure. 46 C.F.R. §§ 502.301 - 502.305.

On January 14, 2016, the Secretary assigned the proceeding to the Chief Administrative Law Judge (Chief Judge) to appoint a Small Claims Officer to adjudicate the proceedings. On January 21,

2016, the Chief Judge issued a Notice of Assignment to Small Claims Officer (Assignment) in which he appointed himself as Small Claims Officer. On the same day the Chief Judge issued an Order to File English Translation, pursuant to 46 C.F.R. § 502.305(b), ordering claimant to file an English translation of a document that was submitted in a foreign language.

HITRINOV AND EMPIRE

On January 14, 2016, the Secretary sent the Complaint and Notice of Small Claims Complaint and Assignment Notice to Hitrinov and Empire by United Parcel Service (UPS) at the address identified in the Complaint as Empire's principal place of business: 2303 Coney Island Avenue, Brooklyn, NY 11223. I take official notice of Commission records indicating that 2303 Coney Island Avenue, Brooklyn, NY 11223, is Empire's address on file with the Commission's Bureau of Certification and Licensing. See <http://www2.fmc.gov/oti/NVOCC.aspx> (last visited March 25, 2016). I also take official notice of the Answer filed by Hitrinov and Empire in FMC Docket No. 14-16 stating that their address is 2303 Coney Island Avenue, Brooklyn, NY 11222. *Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc.*, FMC No. 14-16 (Jan. 21, 2015) (Answer). The USPS web site states that 11223 is the correct zip code for this address. See <https://tools.usps.com/go/ZipLookupResultsAction!input.action?resultMode=1&companyName=&address1=2303+Coney+Island+Avenue&address2=&city=Brooklyn&state=NY&urbanCode=&postalCode=&zip=>.

In the Notice of Small Claims Complaint and Assignment Notice, Respondents were instructed to file by February 8, 2016, a response to the Complaint, together with a statement indicating whether Respondents consented to the adjudication of the Complaint under the subpart S procedures. In the Assignment, respondents were instructed to file objections, if any, to adjudication of this proceeding under subpart S with respondents' Answer. UPS records for both packages show that on January 15, 2016, UPS attempted to deliver the packages. First, the receiver "requested a delayed delivery," then stated that the "receiver does not want the product and refused the delivery." The UPS packages were returned to the Commission.

On January 21, 2016, the Office of Administrative Judges sent the Notice of Assignment to Small Claims Officer and the Order to File English Translation to Hitrinov and Empire at 2303 Coney Island Avenue, Brooklyn, NY 11223, by both UPS and by USPS. UPS records indicate that both packages were returned because the "receiver is no longer in business." The USPS mailings were not returned.

Respondents have not answered or otherwise responded to the Complaint.

It appears likely that when UPS attempted to deliver the packages mailed by the Secretary, Hitrinov and Empire, respondents in another Commission proceeding, refused delivery because the packages came from the Commission. The USPS mailings from the Office of Administrative Law

Judges to what Commission records indicate is Respondents business address have not been returned.

There is a presumption that, in the absence of evidence to the contrary, a notice provided by a government agency is deemed to have been placed in the mail on the date shown on the notice and received within a reasonable time thereafter. *See Me. Med. Ctr. v. United States*, 675 F.3d 110, 114 (1st Cir. 2012); *Sherlock v. Montefiore Med. Ctr.*, 84 F.3d 522, 526 (2d Cir. 1996).

Loubriel v. Fondo del Seguro del Estado, 694 F.3d 139, 143 (1st Cir. 2012). Therefore, it appears that Hitrinov and Empire have notice of this proceeding and have had an opportunity to be heard. Hitrinov and Empire are currently in default. There may be some valid reason why they have failed to respond to the Complaint or the motion for default. Therefore, they will be granted additional time to respond to the Complaint and to show cause why judgment should not be entered against them. If Hitrinov and Empire fail to respond to this Order by April 14, 2016, an initial decision on default may be entered against them in the amount of \$12,900 plus interest and attorney's fees.

In their answer filed in Docket No. 14-16, Hitrinov and Empire stated that their email address is michael@eulines.com. *Baltic v. Hitrinov and Empire, Inc.*, FMC No. 14-16 (Jan. 21, 2015) (Answer and Counterclaim of Respondents Michael Hitrinov and Empire United Lines Co., Inc.) (filed). In addition to sending this order to Hitrinov and Empire at the Brooklyn address, the Office of Administrative Law Judges will send a PDF copy of the Complaint and this Notice of Default and Order to Show Cause to Hitrinov and Empire at their email address.

CARCONT

On January 14, 2016, the Secretary sent the Complaint and Notice of Small Claims Complaint and Assignment Notice by FedEx to CarCont at the address identified in the Complaint as CarCont's principal place of business: Merituulentie 424, 48310, Kotka, Finland. FedEx was unable to deliver to CarCont and subsequently returned the Complaint and Notice to the Commission.

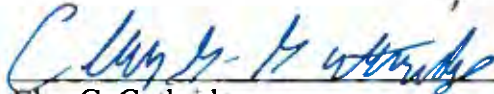
It is not clear from the record that CarCont has notice of this proceeding. Complainants may choose to serve the Complaint on CarCont pursuant to Commission Rule 502.113(c) as they did with Hitrinov and Empire. If Complainants do so, "an affidavit setting forth the method, time and place of service must be filed with the Secretary within five days following service." 46 C.F.R. § 502.113(c) (2015). Otherwise, Commission Rules provide that "[t]he presiding officer may dismiss a complaint that has not been served within thirty (30) days after the complaint was filed." 46 C.F.R. § 502.113(d). Complainants should advise the Commission of their intention regarding CarCont.

ORDER

For the reasons stated above, it is hereby

ORDERED that on or before April 14, 2016, respondents Hitrinov and Empire serve and file their answer or answers to the Verified Complaint. It is

FURTHER ORDERED that on or before April 14, 2016, respondents Hitrinov and Empire show cause why an initial decision on default should not be entered against them.



Clay G. Guthridge
Administrative Law Judge

S	E	R	V	E	D
March 30, 2016					
FEDERAL	MARITIME	COMMISSION			

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV

v.

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

NOTICE OF DEFAULT AND ORDER TO SHOW CAUSE

On November 12, 2015, complainants Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov commenced this proceeding by filing a Verified Complaint with the Secretary. Respondent Empire United Lines (Empire) is licensed by the Commission as a non-vessel-operating common carrier (NVOCC). Respondent Michael Hitrinov a/k/a Michael Khitrinov is Empire's sole principal and officer. *Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc.*, FMC No. 14-16 (Sept. 15, 2015) (Initial Decision on Respondents' Motion for Partial Summary Decision), exceptions filed, Jan. 15, 2016. The Complaint alleges that Hitrinov owns CarCont, Ltd. (CarCont), a company located in Kotka, Finland, and is "the Chairperson of the Board of CarCont, with signatory authority and direct control over respondent CarCont." (Complaint ¶¶ 11.9-11.)

The Complaint alleges that Respondents violated 46 U.S.C. §§ 40301, 40302, 40501, 40701, 41102, 41104, and 41106 of the Shipping Act and Federal Maritime Commission (FMC or Commission) regulations at 46 C.F.R. Part 515, and that Ovchinikov has suffered direct damages in excess of \$28,960.00, that Rzaeva has suffered direct damages in the excess of \$32,101.00, and that Nekipelov has suffered direct damages in excess of \$19,920.00. Complainants further allege that the full extent of their damages can only be determined after discovery has been conducted and interest due to them and the cost of their legal fees calculated. (Complaint at 15-16.)

HITRINOV AND EMPIRE

On November 18, 2015, the Secretary Issued a Notice of Filing of Complaint and sent the Notice and the Complaint by United Parcel Service (UPS) to Hitrinov and Empire at the address identified in the Complaint as Empire's principal place of business: 2303 Coney Island Avenue, Brooklyn, NY 11223. I take official notice of Commission records indicating that 2303 Coney Island Avenue, Brooklyn, NY 11223, is Empire's address on file with the Commission's Bureau of Certification and Licensing. See <http://www2.fmc.gov/oti/NVOCC.aspx> (last visited March 25, 2016). I also take official notice of the Answer filed by Hitrinov and Empire in FMC Docket No. 14-16 stating that their address is 2303 Coney Island Avenue, Brooklyn, NY 11222. *Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc.*, FMC No. 14-16 (Jan. 21, 2015) (Answer). The USPS web site states that 11223 is the correct zip code for this address. See <https://tools.usps.com/go/ZipLookupResultsAction!input.action?resultMode=1&companyName=&address1=2303+Coney+Island+Avenue&address2=&city=Brooklyn&state=NY&urbanCode=&postalCode=&zip=>.

UPS returned both envelopes sent by the Commission for the following reason: "The receiver did not want the product and refused delivery." The Commission also published the Notice of Filing of Complaint and Assignment in the Federal Register. *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and CarCont, Ltd., Notice of Filing of Complaint and Assignment*, 80 Fed. Reg. 73186 (Nov. 24, 2015). Complainants engaged special process servers to serve the Complaint on Hitrinov and Empire. (Complainants' Motion for a Default Judgment Against Defendants Exh. D (Hitrinov served December 4, 2015); Exh. F (Empire served December 29, 2015).) See 46 C.F.R. § 502.113(b) (permitting complainant to effect proper service). Therefore, it appears that Hitrinov and Empire have notice of this proceeding and an opportunity to be heard on Complainants' allegations. Hitrinov and Empire have not answered or otherwise responded to the Complaint.

On February 14, 2016, Complainants filed a motion for decision on default against Hitrinov and Empire. Complainants served the motion by mailing it first class to Hitrinov and Empire at 2303 Coney Island Avenue, Brooklyn, NY 11223, and to CarCont in Kotka, Finland. (Complainants' Motion for a Default Judgment against Respondents, Certificate of Service.) Respondents have not responded to the motion for decision on default.

Respondents Hitrinov and Empire are currently in default. There may be some valid reason why they have failed to respond to the Complaint or the motion for default. Therefore, they will be granted additional time to respond to the Complaint and to show cause why judgment should not be entered against them. If Hitrinov and Empire fail to respond to this Order by April 14, 2016, an initial decision on default may be entered against them in the amount of \$80,981.00 plus interest, attorney fees, and other damages as appropriate.

In their answer filed in Docket No. 14-16, Hitrinov and Empire stated that their email address is michael@eulines.com. *Baltic v. Hitrinov and Empire, Inc.*, FMC No. 14-16 (Jan. 21, 2015) (Answer and Counterclaim of Respondents Michael Hitrinov and Empire United Lines Co., Inc.) (filed). In addition to other methods of providing notice, the Office of Administrative Law Judges will send a PDF copy of this Notice of Default and Order to Show Cause to Hitrinov and Empire at their email address.

CARCONT

On November 18, 2015, the Secretary sent the Complaint and Notice by FedEx to CarCont at the address identified in the Complaint as CarCont's principal place of business: Merituulentie 424, 48310, Kotka, Finland. FedEx was unable to deliver to CarCont and subsequently returned the Complaint and Notice to the Commission.

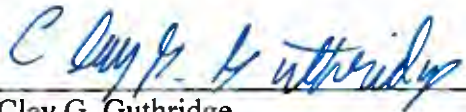
Complainants do not ask for default against CarCont. Furthermore, it does not seem that the record would support a finding that CarCont has notice of this proceeding. Complainants may choose to serve the Complaint on CarCont pursuant to Commission Rule 502.113(c) as they did with Hitrinov and Empire. If Complainants do so, "an affidavit setting forth the method, time and place of service must be filed with the Secretary within five days following service." 46 C.F.R. § 502.113(c) (2015). Otherwise, Commission Rules provide that "[t]he presiding officer may dismiss a complaint that has not been served within thirty (30) days after the complaint was filed." 46 C.F.R. § 502.113(d). Complainants should advise the Commission of their intention regarding CarCont.

O R D E R

For the reasons stated above, it is hereby

ORDERED that on or before April 14, 2016, respondents Hitrinov and Empire serve and file their answer or answers to the Verified Complaint. It is

FURTHER ORDERED that on or before April 14, 2016, respondents Hitrinov and Empire show cause why an initial decision on default should not be entered against them.



Clay G. Guthridge
Administrative Law Judge

APPENDIX “4”

S	E	R	V	E	D
April 27, 2016					
FEDERAL MARITIME COMMISSION					

FEDERAL MARITIME COMMISSION

INFORMAL DOCKET NO. 1953(I)

KAIRAT NURGAZINOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

ORDER DENYING RESPONDENTS' MOTION FOR STAY

This is one of two proceedings brought by a Complainant or Complainants against respondents Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd., Respondents violated the Shipping Act when transporting vehicles to customers in former USSR republics. *See Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd.*, FMC No. 15-11(Nov. 12, 2015) (Complaint filed). Complainants and Respondents have the same counsel in both proceedings. Respondents filed a comprehensive motion for stay in FMC No. 15-11 and, "rather than file duplicate motion and burden the Commission with paper, Respondents follow the precedent set by Complainant herein and incorporate by reference all of the arguments and details of their filing in Docket No. 15-11." (Respondents' Motion for Stay – FMC No. 1953(I).) Complainants oppose the motion for stay.

Complainant Kairat Nurgazinov is not a Plaintiff in the district court case that Respondents contend warrant entry of a stay in this proceeding and the transportation of the vehicle that he alleges he purchased is not at issue in the district court case. Therefore, for the reasons stated in the order entered today in Docket No. 15-11, *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd.*, FMC No. 15-11(ALJ Apr. 27, 2016) (Order Denying Respondents' Motion for Stay) (copy attached), it is hereby **ORDERED** that Respondents' Motion for Stay be **DENIED**. Deadlines for filing the answer and response to order to show cause are extended to May 4, 2016, and Complainant's reply to May 18, 2016.


Clay G. Guthridge
Administrative Law Judge

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

ORDER DENYING RESPONDENTS' MOTION FOR STAY

Respondents United Lines Co., Inc. (Empire) and Michael Hitrinov a/k/a Michael Khitrinov have filed a motion seeking a stay of this proceeding pending the resolution of what they contend is a related case pending in the United States Court for the District of New Jersey. Complainants have filed an opposition to the motion. For the reasons stated below, the motion is denied.

BACKGROUND

On November 12, 2015, complainants Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov commenced this proceeding by filing a Verified Complaint with the Secretary. Respondent Empire United Lines Co., Inc. (Empire) is licensed by the Commission as a non-vessel-operating common carrier (NVOCC). Respondent Michael Hitrinov a/k/a Michael Khitrinov is Empire's sole principal and officer. *Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc.*, FMC No. 14-16 (ALJ Sept. 15, 2015) (Initial Decision on Respondents' Motion for Partial Summary Decision), exceptions filed, Jan. 15, 2016. The FMC Complaint alleges that Hitrinov owns Carcont, Ltd. (Carcont), a company located in Kotka, Finland, and is "the Chairperson of the Board of Carcont, with signatory authority and direct control over respondent Carcont." (Complaint ¶¶ II.9-11.)

The FMC Complaint alleges that Respondents violated 46 U.S.C. §§ 40301, 40302, 40501, 40701, 41102, 41104, and 41106 of the Shipping Act and Federal Maritime Commission (FMC or Commission) regulations at 46 C.F.R. Part 515. The allegations concern the transportation by water

from the United States to Finland of one vehicle for each Complainant. Each Complainant alleges that he or she purchased a used car from a company owned by with Sergey Kapustin. Kapustin allegedly operates three companies that specialize in selling used cars from the United States to consumers in the former USSR republics: G-Auto Sales, Inc., Effect Auto Sales Inc., and Global Cars, Inc. (the Kapustin Group). Kapustin and his companies are not parties in this proceeding. Respondent Hitrinov allegedly provided financial backing to the Kapustin Group. The Kapustin Group allegedly used Empire as an NVOCC to transport the vehicles from ports or points in the United States to Kotka, Finland.

In the FMC Complaint at paragraphs 37 through 49, Ovchinnikov alleges that he purchased a 2009 GMC Acadia VIN GKLVD6AJ138200 from G-Auto Sales and received an invoice and copy of the certificate of title. Ovchinnikov paid the full asking price for the Acadia. G-Auto gave the original title to respondent Empire for clearance through customs and paid the ocean freight and related charges to G-Auto. The Acadia was shipped from the United States on December 21, 2012, and arrived in the customs bonded warehouse owned by Carcont in Kotka, Finland, on or about January 14, 2013. Carcont told Ovchinnikov that it would not release the Acadia to Ovchinnikov because “there was an unpaid loan due and owing to [Empire] by the principal of G-Auto/Effect.” (FMC Complaint ¶ 44.) Ovchinnikov later learned that the Acadia was registered with a Russian citizen in St. Petersburg, Russia, and alleges that Respondents “simply converted [the Acadia] and have sold it to a third party in order to satisfy a loan allegedly due and owing from the principal of Effect/G-Auto to [Empire] and Hitrinov.” (FMC Complaint ¶ 49.)

In the FMC Complaint at paragraphs 50 through 64, Rzaeva alleges that she purchased a 2011 Jeep Compass VIN 1J4NF5FB7BD282296 from G-Auto Sales and received an invoice and a copy of the certificate of title. Rzaeva paid the full asking price for the Jeep. G-Auto Sales gave the original title to respondent Empire for clearance through customs and paid ocean freight and related charges to Empire. The Jeep was shipped from the United States on November 15, 2012, and arrived in the customs bonded warehouse owned by Carcont in Kotka, Finland, on or about December 11, 2012. On or about December 15, 2012, Rzaeva paid the amount required to Russian Customs authorities for customs clearance/duty for the Jeep. Carcont told Rzaeva that it would not release the Jeep to Rzaeva because “there was an unpaid loan due and owing to [Empire] by the principal of G-Auto/Effect.” (FMC Complaint ¶ 58.) In March 2013, respondent Hitrinov contacted Rzaeva and “admitted to her that he converted her automobile because there was an unpaid loan due and owing by the principal of Effect/G-Auto.” (FMC Complaint ¶ 63.) Rzaeva alleges that Respondents “simply converted [the Jeep] and have sold it to a third party in order to satisfy a loan allegedly due and owing from the principal of Effect/G-Auto to [Empire] and Hitrinov.” (FMC Complaint ¶ 64.)

In the FMC Complaint at paragraphs 65 through 74, Nekipelov alleges that he purchased a 2009 Mercedes-Benz C300 VIN WDDGF81X49R073295 from G-Auto Sales and received an invoice and a copy of the certificate of title. Nekipelov paid the full asking price for the Jeep. G-Auto Sales gave the original title to respondent Empire for clearance of customs and paid ocean freight and related charges to Empire. The Mercedes-Benz was shipped from the United States on November 15, 2012, and arrived in the customs bonded warehouse owned by Carcont in Kotka,

Finland, on or about December 11, 2012. On or about December 16, 2012, Carcont told Nekipelov that it would not release the Mercedes-Benz to Nekipelov because “there was an unpaid loan due and owing to [Empire] by the principal of G-Auto/Effect.” (FMC Complaint ¶ 73.) Nekipelov alleges that Respondents “simply converted [the Mercedes-Benz] and have sold it to a third party in order to satisfy a loan allegedly due and owing from the principal of Effect/G-Auto to [Empire] and Hitrinov.” (FMC Complaint ¶ 74.)

The Commission proceeding is not the only case that relates to the Kapustin Group’s businesses. In their motion, Empire and Hitrinov describe two cases in United States district courts. The first case is an action that the Kapustin Group commenced against Hitrinov, Empire, Mediterranean Shipping Company (USA), Inc., and five John Does. *Global Auto, Inc. v. Hitrinov*, CV 13-2479 (E.D.N.Y. Apr. 24, 2013) (complaint filed) (Doc. 1). The *Global Auto v. Hitrinov* complaint alleges that Hitrinov and Empire operated as an NVOCC on the Kapustin Group’s shipments of automobiles to Kotka, Finland. It further alleges that when the Kapustin Group told Empire that they had reached an agreement to ship their vehicles with other NVOCCs and vessel-operating common carriers (VOCCs) at more favorable rates, Empire and Hitrinov unlawfully seized the Kapustin Group’s automobiles and refused to release them to their intended recipients. The New York Complaint asserts claims for relief pursuant to the Shipping Act of 1984, state claims, and federal claims, including violation of the Racketeer Influenced and Corrupt Practices Act (RICO). The Kapustin Group filed an Amended Complaint adding Carcont, the third respondent in this Commission proceeding, as a defendant. Empire filed an answer to the Amended Complaint and included counterclaims against the Kapustin Group. The court denied a motion to intervene filed by several customers of the Kapustin Group.

The second case (the case that Empire and Hitrinov argue justifies a stay of this proceeding) was filed in New Jersey by the Kapustin Group’s customers whose motion to intervene had been denied by the New York court. *Akishev v. Kapustin*, No. 13-CV-2479 (SLT) (RER) (D.N.J. Nov. 25, 2013) (complaint filed) (Doc. 1). The customers named the Kapustin Group and Empire, Hitrinov, and Carcont, respondents in this proceeding, as defendants in the New Jersey case. On April 4, 2014, the customers filed an Amended Complaint. The Amended Complaint alleges that the customers are residents of former USSR republics who wanted to purchase “gently used cars from the United States.” *Akishev v. Kapustin*, No. 13-CV-2479 (SLT) (RER), Amended Complaint ¶ 1 (D.N.J. Apr. 4, 2014) (Amended Complaint) (Doc. 27). The New Jersey Amended Complaint alleges that Defendants engaged in a massive scheme to defraud customers of the Kapustin Group who attempted to purchase used cars. It alleges specific factual allegations regarding each customer’s attempt to purchase used cars, many of which are alleged to have been salvaged vehicles falsely represented as operable, and the damages allegedly suffered by each. Complainants Ovchinnikov, Rzaeva, and Nekipelov in this proceeding are not identified as Plaintiffs in the New Jersey proceeding and the Amended Complaint does not set forth any allegations regarding the transportation of the Acadia, Jeep, or Mercedes-Benz that are the subject of the FMC Complaint. The New Jersey Amended Complaint asserts claims for relief against the Kapustin Group, Empire, Hitrinov, and Carcont under the Racketeer Influenced and Corrupt Organizations Act (RICO), 18 U.S.C. § 1962(c), predicated on alleged violation of 18 U.S.C. § 1343 (wire fraud), 18 U.S.C.

§ 1341 (mail fraud), 18 U.S.C. ¶ 1952 (travel), 18 U.S.C. § 1956 (money laundering), 18 U.S.C. § 1957 (transactions in criminally derived property), and 18 U.S.C. § 1512 (witness tampering); RICO – 18 U.S.C. § 1962(b) predicated on acquisition of an “interest in or control of” an enterprise; RICO – 18 U.S.C. § 1962(c) predicated on employment or association with an enterprise engaged in racketeering; RICO – 18 U.S.C. § 1962(d) predicated on conspiracy to commit RICO violations; N.J.S.A. 56:8-1, *et seq.* (New Jersey Consumer Fraud Act); N.J.A.C. 13:45 A-26A.1 *et seq.* (New Jersey Motor Vehicle Advertising Regulations); 49 U.S.C. § 32701, *et seq.* (Motor Vehicle Information and Cost Savings Act (the “Odometer Act”)); breach of contract; common law fraud; civil conspiracy to commit tort; conversion; unjust enrichment and disgorgement of profits; and imposition of a constructive trust. The New Jersey Amended Complaint does not assert a claim of violation of the Shipping Act and does not purport to be an action on behalf of a class of similarly situated Kapustin Group customers. The Kapustin Group filed cross-claims against co-defendants Empire and Hitrinov that are almost identical to the claims the Kapustin Group had brought against Empire and Hitrinov as Plaintiffs in the New York case.

On September 27, 2015, the court dismissed *Global Auto v. Hitrinov*, the New York case, for failure to prosecute because the Kapustin Group’s attorneys had withdrawn as counsel and the corporations could not proceed without an attorney. The court denied a motion filed by Empire and Hitrinov to enjoin the Kapustin Group from proceeding with the cross-claims in the New Jersey case. *Global Auto v. Hitrinov*, CV 13-2479 (E.D.N.Y. Sept. 27, 2015) (Memorandum and Order) (Doc. 109). On October 2, 2015, the clerk entered a certificate of default against the Kapustin Group on the counterclaims. *Global Auto v. Hitrinov*, CV 13-2479 (E.D.N.Y. Oct. 2, 2015) (Certificate of Default) (Doc. 110). Empire filed a motion for reconsideration of the denial without prejudice of its motion to enjoin the Kapustin Group from prosecuting the cross-claims in the New Jersey case. The court denied the motion. *Global Auto v. Hitrinov*, CV 13-2479 (E.D.N.Y. Nov. 19, 2015) (Memorandum and Order) (Doc. 114).

In this proceeding, respondents Empire and Hitrinov move to stay this Commission proceeding “pending resolution of the first-filed federal [New Jersey] court claims [*Akishev v. Kapustin*] regarding the same transaction concerning the precise assets at issue here.” (Respondents’ Motion for Stay at 1 (footnote omitted).) Empire and Hitrinov state:

Complainants purchased cars from Global Auto, Inc., Effect Auto Sales, G-Auto Sales, Inc., or other related companies owned and/or controlled by a Mr. Kapustin (collectively “Kapustin Global Auto Group” or “Group”), which promised to deliver them in Russia. [Complaint Paragraphs 35, 36, 38, 40, 51, 53, 65, 67.] A member of the Group then contracted with Empire to transport such cars in containers from the United States to a facility in Kotka, Finland operated by Carcont Ltd. There, the containers were opened and the cars and other cargo de-vanned. The vehicles were then picked up by a member of the Kapustin Global Auto Group (Global Cargo Oy), after the Group made and Empire approved a request for release. This arrangement existed for years, and involved many cars beyond the few at issue here.

Empire never dealt with individual customers of the Kapustin Global Auto Group; and had no knowledge as to their identity. This was true as a general matter, and is true here. Neither Complainants nor the Group ever requested Empire to release the vehicles in question and, as noted, Empire did not know who the individual customers were until well after the cars were sold.

(*Id.* at 2-3 (footnotes omitted).)

Empire and Hitrinov argue:

There are currently two federal litigations in play regarding the exact same cars – the complaint in the New Jersey District Court and the instant Complaint. Stay of this later-filed proceeding is warranted, indeed mandated, by two separate considerations: (1) respect for judicial economy and avoidance of duplicative litigation; and (2) the potential for double liability to Empire. The first ground is jurisprudential, the latter includes a constitutional dimension.

(*Id.* at 7.)

Inter alia, Empire and Hitrinov rely on a recent decision of a Commission Administrative Law Judge granting a joint motion to stay a Commission proceeding pending resolution of a related case in the federal courts. *General Motors LLC v. Nippon Yusen Kabushiki Kaisha; Wallenius Wilhelmsen Logistics AS; and Eukor Car Carriers Inc.*, FMC No. 15-08 (ALJ Jan. 5, 2016) (*GM v. NYK – FMC*). GM ships automobiles by water between the United States and foreign ports. Respondents in the Commission proceeding operate vehicle carrier services transporting vehicles by water between the United States and foreign ports. The FMC Complaint alleges that “Respondents have entered into a secret, unfiled, and not yet effective and/or unlawful agreement and/or agreements to allocate customers, raise and fix prices, and rig bids in violation of the Shipping Act.” *GM v. NYK – FMC*, Complaint ¶ III.

On June 15, 2015, GM had commenced an action against the same vehicle carrier services plus two other companies related to respondents NYK and Wallenius Wilhelmsen in a United States district court. *General Motors LLC v. Nippon Yusen Kabushiki Kaisha; NYK Line (North America) Inc.; Wallenius Wilhelmsen Logistics AS; Wallenius Wilhelmsen Logistics Americas LLC; Eukor Car Carriers Inc.*, No. 1:15-cv-03451-KAM-JO (E.D.N.Y. June 15, 2015) (Complaint filed) (Doc. 1) (*GM v. NYK – EDNY*). The Complaint in *GM v. NYK – EDNY* alleges that the vehicle carrier services violated federal antitrust laws and several state laws by conspiring “to rig bids, allocate markets, restrain capacity, and to otherwise fix, raise, stabilize, and maintain prices for Vehicle Carrier Services for shipments to and from the United States and elsewhere in the world.” *GM v. NYK – EDNY*, Complaint ¶ I.1.

Other plaintiffs had previously filed cases in United States district courts against these defendants and other vehicle carrier services. The Judicial Panel on Multidistrict Litigation

consolidated these actions that “share factual questions relating to allegations that dependants conspired to fix, raise, maintain, and stabilize the price of vehicle carrier services charged to original equipment manufacturers in violation of Section 1 of the Sherman Antitrust Act, and corresponding state antitrust and state consumer protection statutes.” *In re Vehicle Carrier Services Antitrust Litigation*, 978 F. Supp. 2d 1382, 1383 (J.P.M.L. 2013). The Panel transferred the actions to the District of New Jersey “and, with the consent of that court, assigned [the cases] to the Honorable Esther Salas for coordinated or consolidated pretrial proceedings in that district.” *Id.* *GM v. NYK – EDNY* was transferred to New Jersey pursuant to this order. *GM v. NYK – EDNY*, 1:15-cv-03451-KAM-JO (E.D.N.Y. June 29, 2015) (J.P.M.L. Conditional Transfer Order) (Doc. 10). As of June 29, 2015, twenty-two additional actions had been transferred to New Jersey. *Id.* The New Jersey court docketed the New York Complaint as *GM v. NYK*, 2:15-cv-04739-ES-JAD (D.N.J. June 30, 2015) (transfer order received), and incorporated it into *In re Vehicle Carrier Services Antitrust Litigation*.

As stated by the court in *Vehicle Carrier Services Antitrust Litigation*, Defendants in the antitrust litigation are ocean common carriers engaged in the transportation of large numbers of cars, trucks, and other vehicles, including agricultural and construction equipment, between foreign countries and the United States using Roll On/Roll Off (RO/RO) or specialized car carrier vessels. Plaintiffs seek equitable and injunctive relief under section 16 of the Clayton Act, 15 U.S.C. § 26, for violation of section 1 of the Sherman Act, 15 U.S.C. § 1, and treble damages and costs of suit under various state antitrust, consumer protection, and unjust enrichment laws, alleging that defendants “entered into various collusive, secret agreements to fix and increase the prices for vehicle carrier services to and from the United States.” *In re Vehicle Carrier Services Antitrust Litigation*, Master Docket No. 13-3306 (ES) (MDL No. 2471), Opinion at 3 (D.N.J. Aug. 28, 2015), notice of appeal filed, No. 15-3353 (3d Cir. Sept. 25, 2015). Defendants moved to dismiss the complaints of some of the Plaintiffs. The court held that the Shipping Act barred Plaintiff’s federal claims.

[B]ecause “[a] person may not recover damages under section 4 of the Clayton Act . . . or obtain injunctive relief under section 16 of that Act . . . for conduct prohibited by [the Shipping Act],” . . . DPP’s claim under section 4 of the Clayton Act and IPP’s claims under section 16 of the Clayton Act will be dismissed with prejudice.

Id. at 16-17. The court also held that the state law claims were preempted by the Shipping Act. *Id.* at 29. The court dismissed the complaints. According to the parties to *GM v. NYK – FMC*, “[t]he direct purchaser plaintiffs and the indirect purchaser plaintiffs have filed notices of appeal to the U.S. Court of Appeals for the Third Circuit; those appeals have been consolidated and stayed pending the disposition of a motion for reconsideration filed by the indirect purchaser plaintiffs.” (*GM v. NYK – FMC*, FMC No. 15-08 Joint Supplemental Memorandum Regarding Joint Motion to Stay Proceeding at 3 (filed Nov. 12, 2015).) *GM v. NYK – EDNY* was not one of the cases subject to the court’s August 28, 2015, dismissal. (*Id.* n.1; *id.* at 4.) To protect against statute of limitations deadlines, GM filed *GM v. NYK – FMC* challenging the same conduct challenged in *GM v. NYK – EDNY* after the *Vehicle Carrier Services Antitrust Litigation* court entered the August 28, 2015,

order. (*Id.* at 3.) Before the Commission, the parties argued that the FMC proceeding should be stayed pending the federal court determination of whether the substantially identical claims made in GM's district court complaint and GM's FMC Complaint should be heard in the federal court as alleged violations of antitrust and state laws or must be litigated before the Commission as alleged violations of the Shipping Act. (*Id.* at 8.) The Commission Administrative Law Judge stayed *GM v. NYK – FMC* pending federal court answer to this question.

Empire and Hitrinov argue that the factors articulated in *GM v. NYK – FMC* clearly favor a stay in this proceeding.

The federal court claim [*Akishev v. Kapustin*] was the first to be filed, and is considerably more advanced than this proceeding. And New Jersey is plainly more convenient to the complainants than Washington D.C., as Complainants' counsel is located in the adjacent state of New York (Complainants themselves are necessarily indifferent as they reside in Russia). A stay would not only avoid piecemeal litigation, but also, as discussed next, eliminate the threat of double "jeopardy." Finally, . . . there is evidence from Mr. Kapustin that this action was brought for vexatious purposes. Thus, a prudential stay is warranted here.

Id. at 8.

DISCUSSION

In appropriate circumstances, the Commission may grant a request to stay a proceeding.

[Title 46 C.F.R. § 502.201(i)], on its face, grants a presiding officer complete discretion in deciding motions pertaining to discovery. Thus, the question of whether to grant a motion for stay of discovery is discretionary, and requires only a balancing of various competing interests. In this regard, the movant must first "make out a clear case of hardship or inequity in being required to go forward, if there is even a fair possibility that the stay for which he prays will work damage to some one else."

Exclusive Tug Arrangements in Port Canaveral, Florida, 2002 FMC LEXIS 29, *5 (FMC 2002).

The Supreme Court stated that "the power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants. How this can best be done calls for the exercise of judgment, which must weigh competing interests and maintain an even balance."

Id. at n.4, quoting *Landis v. North American Co.*, 299 U.S. 248, 255 (1936). In response to the moving party's argument in *Exclusive Tug* that the two cases were inextricably linked, the Commission noted that "some, but not all, of the parties in both proceedings are the same, and both

proceedings address the assist tug towing franchise system in Port Canaveral. . . . We believe, to the contrary, that the two cases involve distinct issues and are not as intertwined as CPA would have us believe.” *Id.* at *5-6. The Commission denied the motion to stay. *Id.* at *10.

Akishev v. Kapustin, the New Jersey case that Empire and Hitrinov argue justifies staying this proceeding, alleges that Empire and Hitrinov participated in a scheme engineered by the Kapustin Group to defraud persons in former USSR republics who purchased used cars to be shipped from the United States. Complainants Ovchinnikov, Rzaeva, and Nekipelov are not plaintiffs in the New Jersey case and the New Jersey case is not brought as a class action. The New Jersey Complaint does not allege anything about the Acadia, Jeep, or Mercedes-Benz that Ovchinnikov, Rzaeva, and Nekipelov allege they purchased, and the transportation of those vehicles is not at issue. Therefore, Ovchinnikov, Rzaeva, and Nekipelov will not be awarded any relief in the New Jersey case. The New Jersey Complaint does not allege violations of the Shipping Act, and no New Jersey Plaintiff alleges claims related to the Shipping Act in the section of the Complaint stating factual allegations specific to each Plaintiff. Therefore, claims of violation of the Shipping Act will not be addressed in the New Jersey case. For several of the New Jersey Plaintiffs, there is no allegation that the Plaintiff paid to transport the vehicle at issue by water between the United States and a foreign port. *See Akishev v. Kapustin*, No. 13-CV-2479 (SLT) (RER) (D.N.J. Nov. 25, 2013) (complaint filed) (Doc. 1) (Akishev (Complaint ¶¶ 82-90); Zhandos Aliakparov (Complaint ¶¶ 91-111); Igor Glazunov and Irina Glazunova (Complaint ¶¶ 155-181); Arkady Kolbin (Complaint ¶¶ 199-223; ¶¶ 203-304 (shipment from Kotka, Finland to Perm, Russia)); Vladimir Lukyanov (Complaint ¶¶ 259-268); Alexander Pukir (Complaint ¶¶ 296-314).

Even if the New Jersey Complaint alleged violations of the Shipping Act, as recognized by the New Jersey district court in another New Jersey case, the Commission has jurisdiction over violations of the Shipping Act, not the district court. *In re Vehicle Carrier Services Antitrust Litigation*, Master Docket No. 13-3306 (ES) (MDL No. 2471) (D.N.J. Aug. 28, 2015), notice of appeal filed, No. 15-3353 (3d Cir. Sept. 25, 2015). Even if the district court were to make findings on the transportation of the district court Plaintiffs’ vehicles between the United States and Finland, each shipment was a separate transaction, and these findings would not be relevant to the question of whether Shipping Act violations occurred on the shipments of the Acadia, Jeep, or Mercedes-Benz at issue in the FMC Complaint. At the conclusion of the New Jersey case, Complainants would be in exactly the same position they are in now without resolution of any issue relevant to whether Empire and Hitrinov violated the Shipping Act when transporting the Acadia, Jeep, and Mercedes-Benz.

Conversely, the Plaintiffs in the New Jersey case are not Complainants in the Commission proceeding, the Commission proceeding is not brought on their behalf, and the transportation of the vehicles that the New Jersey Plaintiffs allege they purchased is not at issue before the Commission. Therefore, the New Jersey Plaintiffs will not be awarded any relief in the Commission proceeding. The Commission does not have jurisdiction to address the federal and state claims raised in the New Jersey case.

Empire and Hitrinov's contention that "there is evidence from Mr. Kapustin that this action was brought for vexatious purposes" is puzzling. If Empire and Hitrinov are referring to this Commission action, Mr. Kapustin did not bring the action. The only action brought by Kapustin is the New York case. He also apparently brought the same claims as cross-claims in the New Jersey case. Even if Kapustin brought the New York case and the New Jersey cross-claims "for vexatious purposes," it does not affect the Commission proceeding brought against Empire and Hitrinov by Ovchinnikov, Rzaeva, and Nekipelov – there is no claim that they brought the Commission proceeding for vexatious purposes.

The circumstances in FMC Docket No. 15-08 in which the Administrative Law Judge entered a stay are not comparable to this proceeding. First, the Complainant and the vehicle carrier Respondents in *GM v. NYK – FMC* are Plaintiff and Defendants *GM v. NYK – EDNY*. The FMC Complainants in this proceeding are not Plaintiffs in *Akishev v. Kapustin*. Second, exactly the same conduct is addressed in the *GM v. NYK – FMC* and *GM v. NYK – EDNY*: The alleged "collusive, secret agreements to fix and increase the prices for vehicle carrier services to and from the United States." *In re Vehicle Carrier Services Antitrust Litigation*, Master Docket No. 13-cv-3306 (ES) (MDL No. 2471), Opinion at 3 (D.N.J. Aug. 28, 2015) (Doc. 275), notice of appeal filed, No. 15-3353 (3d Cir. Sept. 25, 2015). Compare *GM v. NYK – FMC*, FMC No. 15-08, Complaint ¶ IV.A (Sept. 2, 2015) (Respondents "conspired and secretly agreed to rig bids, allocate customers, restrain capacity, and to otherwise fix, raise, stabilize, and maintain prices for Vehicle Carrier Services for shipments to and from the United States and elsewhere in the world.") with *GM v. NYK – EDNY*, No. 1:15-cv-03451-KAM-JO, Complaint at ¶ I.1 (E.D.N.Y. June 15, 2015) (Doc. 1) (Defendants "conspired to rig bids, allocate markets, restrain capacity, and to otherwise fix, raise, stabilize, and maintain prices for Vehicle Carrier Services for shipments to and from the United States and elsewhere in the world."). The FMC Complaint in this proceeding and *Akishev v. Kapustin* on which Empire and Hitrinov rely challenge different conduct. Compare *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd.*, FMC No. 15-11, Complaint ¶¶ V.A-E (Nov. 12, 2015) (Complaint filed) (*Ovchinnikov v. Empire*) (while operating as an NVOCC transporting Complainants' vehicles, Respondents failed to have a tariff on file, failed to establish, observe, and enforce just and reasonable regulations and practices related to receiving, handling, storing, or delivering property; failed to provide required documents, billed amounts in excess of lawful tariffs, and other violations of the Shipping Act) with *Akishev v. Kapustin*, No. 13-CV-2479 (SLT) (RER), Complaint ¶¶ 3-9 (D.N.J. Nov. 25, 2013) (complaint filed) (Doc. 1) (Kapustin Group and FMC Respondents engaged in bait and switch tactics, misrepresentation of odometer readings, false advertising, withholding of vehicle condition and other information, and other acts of fraud while engaged in the sale of used vehicles).

Ovchinnikov v. Empire and *Akishev v. Kapustin* involve distinct issues. Empire and Hitrinov have not met their burden of demonstrating a clear case of hardship or inequity in being required to go forward. Complainants would be harmed by a stay. Therefore, Empire and Hitrinov's motion for stay is denied.

O R D E R

Upon consideration of the Motion for Stay filed by respondents Empire United Lines Co., Inc., and Michael Hitrinov a/k/a Michael Khitrinov and the record herein, and for the reasons stated above, it is hereby

ORDERED that the Motion for Stay be **DENIED**. It is

FURTHER ORDERED, *sua sponte*, that the time for Respondents to file their answer or answers and respond to the order to show cause be extended to May 4, 2016, and for Complainants to respond extended to May 18, 2016.



Clay G. Guthridge
Administrative Law Judge

APPENDIX “5”

S	E	R	V	E	D
April 27, 2016					
FEDERAL MARITIME COMMISSION					

FEDERAL MARITIME COMMISSION

DOCKET NO. 1953(I)

KAIRAT NURGAZINOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

ORDER TO FILE SHIPPING DOCUMENTS

Complainant alleges that Respondents transported a Toyota Camry VIN 4T1BE46K19U306703 purchased by Complainant and shipped from the United States on or about January 12, 2013. In their Motion for Stay filed April 14, 2016, respondents Empire United Lines Co., Inc. (Empire) and Michael Hitrinov a/k/a Michael Khitrinov (Hitrinov) state:

Empire never dealt with individual customers of the Kapustin Global Auto Group; and had no knowledge as to their identity. This was true as a general matter, and is true here. Neither Complainants nor the Group ever requested Empire to release the vehicles in question and, as noted, Empire did not know who the individual customers were until well after the cars were sold.

(Respondents' Motion for Stay (FMC No. 15-11) at 2-3 (footnotes omitted).)

Commission rules require parties to provide initial disclosures within seven days of the service of a respondent's answer. 46 C.F.R. § 502.201(b). The parties would be required to provide the shipping documents related to the transportation by water of the vehicles in their initial disclosures. "Except as otherwise provided by law the presiding officer, for good cause, may reduce . . . any time limit prescribed in the rules of this Part." *Amendments to Rules of Practice and Procedure Governing Time and Service in Adjudicatory Proceedings*, 80 Fed. Reg. 57305, 57306 (Sept. 23, 2015) (effective November 30, 2015), to be codified at 46 C.F.R. § 502.105. The rules also state that discovery requests and responses must not be filed with the Commission "until they

are used in the proceeding or the Commission or presiding officer orders filing.” 46 C.F.R. § 502.2(k).

Based on my review of the record to this point, I find that there is good cause to reduce the time to produce as initial disclosures the shipping documents related to the transportation by water of the vehicle identified in the Complaint and to file them with the Commission at this time because the information in the documents may expedite this proceeding. Therefore, it is hereby

ORDERED that on or before May 2, 2016, Complainant and respondents Empire United Lines Co., Inc., and Michael Hitrinov a/k/a Michael Khitrinov each independently serve and file with the Commission all records relating to the ocean transportation of Toyota Camry VIN 4T1BE46K19U306703 purchased by Complainant and shipped from the United States on or about January 12, 2013, including, but not limited to, quotes of freight rates for transportation, shipping agreements, booking confirmations, bills of lading, dock receipts, invoices, payments for transportation, certificates of title, export and import declarations, notices of arrival, and any other documents relating to the shipment of the vehicles. Complainant is also directed to file documents relating to the purchase of the vehicles.

The parties should attach the documents they are serving and filing to a notice of filing referencing this Order.


Clay G. Guthridge
Administrative Law Judge

S	E	R	V	E	D
April 27, 2016					
FEDERAL	MARITIME	COMMISSION			

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

ORDER TO FILE SHIPPING DOCUMENTS

Complainants allege that Respondents transported three vehicles for Complainants: a 2009 GMC Acadia VIN GKLVDNED6AJ138200 purchased by complainant Igor Ovchinnikov and shipped from the United States to Kotka, Finland, on or about December 21, 2012; a 2011 Jeep Compass VIN 1J4NF5FB7BD282296 purchased by complainant Irina Rzaeva and shipped from the United States to Kotka, Finland, on or about November 15, 2012; and a 2009 Mercedes-Benz C300 VIN WDDGF81X49R073295 purchased by complainant Denis Nekipelov and shipped from the United States to Kotka, Finland, on or about November 15, 2012. In their Motion for Stay filed April 14, 2016, respondents Empire United Lines Co., Inc. (Empire) and Michael Hitrinov a/k/a Michael Khitrinov (Hitrinov) state:

Empire never dealt with individual customers of the Kapustin Global Auto Group; and had no knowledge as to their identity. This was true as a general matter, and is true here. Neither Complainants nor the Group ever requested Empire to release the vehicles in question and, as noted, Empire did not know who the individual customers were until well after the cars were sold.

(Respondents' Motion for Stay at 2-3 (footnotes omitted).)

Commission rules require parties to provide initial disclosures within seven days of the service of a respondent's answer. 46 C.F.R. § 502.201(b). The parties would be required to provide the shipping documents related to the transportation by water of the vehicles in their initial

disclosures. "Except as otherwise provided by law the presiding officer, for good cause, may reduce . . . any time limit prescribed in the rules of this Part." *Amendments to Rules of Practice and Procedure Governing Time and Service in Adjudicatory Proceedings*, 80 Fed. Reg. 57305, 57306 (Sept. 23, 2015) (effective November 30, 2015), to be codified at 46 C.F.R. § 502.105. The rules also state that discovery requests and responses must not be filed with the Commission "until they are used in the proceeding or the Commission or presiding officer orders filing." 46 C.F.R. § 502.2(k).

Based on my review of the record to this point, I find that there is good cause to reduce the time to produce as initial disclosures the shipping documents related to the transportation by water of the vehicles identified in the Complaint and to file them with the Commission at this time because the information in the documents may expedite this proceeding. Therefore, it is hereby

ORDERED that on or before May 4, 2016, Complainants and respondents Empire United Lines Co., Inc., and Michael Hitrinov a/k/a Michael Khitrinov each independently serve and file with the Commission all records relating to the ocean transportation of the 2009 GMC Acadia VIN GKLVDNED6AJ138200 shipped from the United States on or about December 21, 2012, the 2011 Jeep Compass VIN 1J4NF5FB7BD282296 shipped from the United States on or about November 15, 2012, and the 2009 Mercedes-Benz C300 VIN WDDGF81X49R073295 shipped from the United States on or about November 15, 2012, including, but not limited to, quotes of freight rates for transportation, shipping agreements, booking confirmations, bills of lading, dock receipts, invoices, payments for transportation, certificates of title, export and import declarations, notices of arrival, and any other documents relating to the shipment of the vehicles. Complainants are also directed to file documents relating to the purchase of the vehicles.

The parties should attach the documents they are serving and filing to a notice of filing referencing this Order.


Clay G. Guthridge
Administrative Law Judge

APPENDIX “6”

S	E	R	V	E	D
April 13, 2016					
FEDERAL	MARITIME	COMMISSION			

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**ORDER GRANTING IN PART AND DENYING IN PART
MOTION FOR ADDITIONAL TIME IN WHICH TO RESPOND**

On March 30, 2016, the undersigned Administrative Law Judge issued a Notice of Default and Order to Show Cause requiring respondents Empire United Lines (Empire) and Michael Hitrinov a/k/a Michael Khitrinov (Hitrinov), on or before April 14, 2016, to file their answer or answers to the Verified Complaint and to show cause why an initial decision on default should not be entered against them on. *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and CarCont, Ltd.*, FMC No. 15-11 (ALJ Mar. 30, 2016) (Notice of Default and Order to Show Cause).

On April 7, 2016, Empire and Hitrinov filed a motion seeking additional time in which to respond. They ask for a date “21 days after Respondents’ forthcoming motion to stay these proceedings pending determination of first-filed federal court litigation seeking damages for the same actions regarding the very same cars.” (Respondents’ Motion for Additional Time in Which to Respond at 1.) Respondents contend that previously filed litigation in the United States District Court for the District of New Jersey concerns the same cars that are the subject of this proceeding. “Litigating claims in two jurisdictions regarding the same cars is contrary to judicial or administrative economy and creates a real threat of inconsistent results and unconstitutional double injury.” (*Id.* at 2.) Respondents state that they plan to “file a motion to stay these proceedings pending resolution of the federal court claims, similar to the stay that was granted in Docket No. 15-08.” (*Id.*) Respondents do not further identify “Docket No. 15-08,” but the undersigned assumes they are referring to the stay issued in another Commission proceeding: *General Motors LLC v. Nippon Yusen Kabushiki Kaisha; Wallenius Wilhelmsen Logistics AS; and Eukor Car Carriers*

Inc., FMC No. 15-08 (ALJ Jan. 5, 2016) (Order Granting Joint Motion to Stay Proceedings). Respondents also state that recently hired counsel need time to prepare the motion to stay. (Respondents' Motion for Additional Time in Which to Respond at 2.) On April 13, 2016, Complainants filed an opposition to the motion for extension of time.

Empire and Hitrinov state that they have only recently retained counsel and that counsel need additional time to respond to the Notice of Default and Order to Show Cause. Therefore, it is appropriate to grant additional time, but not to the extent that Respondents request. Complainants filed the Complaint commencing this proceeding November 12, 2015. Information in the record indicates that Empire and Hitrinov have had notice of this proceeding since December 2015. *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and CarCont, Ltd.*, FMC No. 15-11, Order at 2 (ALJ Mar. 30, 2016) (Notice of Default and Order to Show Cause). The Commission set an initial decision due date of November 17, 2016. *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and CarCont, Ltd.*, FMC No. 15-11 (ALJ Nov. 18, 2015) (Notice of Filing of Complaint and Assignment). Therefore, it is appropriate to expedite this proceeding to the extent possible. The time to respond to the Notice of Default and Order to Show Cause is extended to May 2, 2016. Empire and Hitrinov's answer or answers will be due that date. Empire and Hitrinov are ordered to include any defenses that Rule 12(b) permits to be raised by motion in their answer or answers. They may also file a motion or motions addressing the 12(b) defenses with the answer or answers, but must file answers that date. Empire and Hitrinov's response to the order to show cause and the motion for stay that Empire and Hitrinov state they plan to file must also be filed on May 2, 2016.

ORDER

Upon consideration of the foregoing and the record herein, it is hereby

ORDERED that Respondents motion for extension of time be **GRANTED IN PART** and **DENIED IN PART**. The time for respondents Empire and Hitrinov to file their answer or answers is extended to May 2, 2016. No further extensions will be granted. The answer or answers may be accompanied by motion or motions on grounds set forth in Federal Rule of Civil Procedure 12(b), but any defenses for which a Rule 12 motion may be filed must be set forth in the answer or answers. The time for respondents Empire and Hitrinov to respond to the order to show cause is extended to May 2, 2016. The motion to stay this proceeding that Empire and Hitrinov state that they intend to file must be filed on or before May 2, 2016. It is

FURTHER ORDERED that Complainants may file a reply to the response to the order to show cause and to any motion filed by Empire and Hitrinov on or before May 16, 2016.


Clay G. Guthridge
Administrative Law Judge

S	E	R	V	E	D
April 13, 2016					
FEDERAL	MARITIME	COMMISSION			

FEDERAL MARITIME COMMISSION

INFORMAL DOCKET NO. 1953(I)

KAIRAT NURGAZINOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**ORDER GRANTING IN PART AND DENYING IN PART
MOTION FOR ADDITIONAL TIME IN WHICH TO RESPOND**

On March 30, 2016, the undersigned Administrative Law Judge issued a Notice of Default and Order to Show Cause requiring respondents Empire United Lines (Empire) and Michael Hitrinov a/k/a Michael Khitrinov (Hitrinov), on or before April 14, 2016, to file their answer or answers to the Verified Complaint and to show cause why an initial decision on default should not be entered against them. *Kairat Nurgazinov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd.*, FMC No. 1953(I) (ALJ Mar. 30, 2016) (Notice of Default and Order to Show Cause).

On April 7, 2016, Empire and Hitrinov filed a motion seeking additional time in which to respond. They ask for a date “21 days after Respondents’ forthcoming motion to stay these proceedings pending determination of first-filed federal court litigation seeking damages for the same actions regarding the very same cars.” (Respondents’ Motion for Additional Time in Which to Respond at 1.) Respondents contend that previously filed litigation in the United States District Court for the District of New Jersey concerns the same cars that are the subject of this proceeding. “Litigating claims in two jurisdictions regarding the same cars is contrary to judicial or administrative economy and creates a real threat of inconsistent results and unconstitutional double injury.” (*Id.* at 2.) Respondents state that they plan to “file a motion to stay these proceedings pending resolution of the federal court claims, similar to the stay that was granted in Docket No. 15-08.” (*Id.*) Respondents do not further identify “Docket No. 15-08,” but the undersigned assumes they are referring to the stay issued in another Commission proceeding: *General Motors*

LLC v. Nippon Yusen Kabushiki Kaisha; Wallenius Wilhelmsen Logistics AS; and Eukor Car Carriers Inc., FMC No. 15-08 (ALJ Jan. 5, 2016) (Order Granting Joint Motion to Stay Proceedings). Respondents also state that recently hired counsel need time to prepare the motion to stay. (Respondents' Motion for Additional Time in Which to Respond at 2.) On April 13, 2016, Complainants filed an opposition to the motion for extension of time.

Empire and Hitrinov state that they have only recently retained counsel and that counsel need additional time to prepare a motion to stay. Therefore, it is appropriate to grant additional time, but not to the extent that Respondents request. Complainants filed the Complaint commencing this proceeding January 14, 2016. Information in the record indicates that Empire, an ocean transportation intermediary licensed by the Commission, and Hitrinov refused delivery of the Complaint when it was sent by the Secretary of the Commission. Information about this proceeding sent by this Office by regular mail on January 21, 2016, was not returned, raising a presumption of delivery. See *Kairat Nurgazinov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and Carcont, Ltd.*, FMC No. 1953(I), Order at 3 (ALJ Mar. 30, 2016) (Notice of Default and Order to Show Cause). Therefore, it is appropriate to expedite this proceeding to the extent possible. The time to respond to the Notice of Default and Order to Show Cause is extended to May 2, 2016. Empire and Hitrinov's answer or answers will be due that date. Empire and Hitrinov are ordered to include any defenses that Rule 12(b) permits to be raised by motion in their answer or answers. They may also file a motion or motions addressing the 12(b) defenses with the answer or answers, but must file answers that date. Empire and Hitrinov's response to the order to show cause and the motion for stay that Empire and Hitrinov state they plan to file must also be filed on May 2, 2016.

ORDER

Upon consideration of the foregoing and the record herein, it is hereby

ORDERED that Respondents motion for extension of time be **GRANTED IN PART** and **DENIED IN PART**. The time for respondents Empire and Hitrinov to file their answer or answers is extended to May 2, 2016. No further extensions will be granted. The answer or answers may be accompanied by motion or motions on grounds set forth in Federal Rule of Civil Procedure 12(b), but any defenses for which a Rule 12 motion may be filed must be set forth in the answer or answers. The time for respondents Empire and Hitrinov to respond to the order to show cause is extended to May 2, 2016. The motion to stay this proceeding that Empire and Hitrinov state that they intend to file must be filed on or before May 2, 2016. It is

FURTHER ORDERED that Complainants may file a reply to the response to the order to show cause and to any motion filed by Empire and Hitrinov on or before May 16, 2016.


Clay G. Guthridge
Administrative Law Judge

APPENDIX “7”

S	E	R	V	E	D
March 9, 2017					
FEDERAL	MARITIME	COMMISSION			

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO. 1953(I)

KAIRAT NURGAZINOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

**INITIAL DECISION GRANTING
RESPONDENTS' MOTION FOR JUDGMENT ON THE PLEADINGS¹**

¹ The initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227. Because of litigation tactics employed by the parties, the records of these proceedings are voluminous (especially for cases raising these claims), several copies of many documents are in the record, and the documents to which this decision refers are spread throughout the record. If a party files exceptions or if the Commission chooses to review the decision, the Commission may find it helpful to require the parties to prepare appendices or a joint appendix better organizing the documents that they believe the Commission will need for review. *See* Fed. R. App. P. 30 and 32(b).

TABLE OF CONTENTS

I.	INTRODUCTION AND OVERVIEW	3
II.	FACTUAL BACKGROUND	7
A.	Complainants	7
B.	Respondents Hitrinov and Empire	7
C.	Respondent CarCont and Dismissal of the Claim Against CarCont	7
D.	Sergey Kapustin and his Affiliates and Their Relationship with Empire	8
E.	Deterioration and End of the Kapustin-Empire Relationship	11
F.	The Eastern District of New York Case	13
G.	The District of New Jersey Case	14
H.	The FMC Proceeding, Parties and Filings by the Parties	19
I.	Supplements to the Record Ordered by the Undersigned	22
III.	CONTROLLING AUTHORITY	23
A.	Statutory Background	23
B.	Evidence and Burden of Persuasion	25
C.	Empire's Motion for Judgment on the Pleadings	26
D.	Subject Matter Jurisdiction and Standing	28
	DISCUSSION	29
IV.	FINDINGS OF FACT	29
V.	ARGUMENTS IN EMPIRE'S MOTION	48
A.	Subject Matter Jurisdiction over the Allegations in the Complaints Has Not Previously Been Determined	48
B.	Empire's Motion for Dismissal on the Ground That It Did Not Operate as an NVOCC Is Denied	50
C.	Empire's Motion for Dismissal on the Ground That the Commission Does Not Have Subject Matter Jurisdiction Is Granted	49
D.	Claims That Respondents Violated Sections 40301, 40302, 40501, 40701(a), 41104(2), 41101(3), 41104(4), 41104(8), 41104(9), 41104(10), 41104(11), 41106(2), and 41106(3) Are Dismissed with Prejudice	67
VI.	ATTORNEY FEES	72
	ORDER	73

I. INTRODUCTION AND OVERVIEW.

The complaints in these consolidated proceedings allege violations of the Shipping Act of 1984 by three Respondents. The four Complainants live in countries that were once part of the Union of Soviet Socialist Republics (USSR). Each Complainant alleges that he or she purchased a car from a company owned by a person named Sergey Kapustin. In association with his wife Irina Kapustina and other family members, Kapustin owned and operated several businesses that specialized in selling used cars from the United States to persons in the former republics of the USSR. As explained more fully below, Kapustin has been found by a federal district court to have treated his companies as his alter egos. Therefore, references to Kapustin in this decision are intended to refer also to his companies.

Respondent Empire United Lines Co., Inc. (Empire or EUL) is licensed by the Commission as a non-vessel-operating common carrier (NVOCC). Respondent Michael Hitrinov a/k/a Michael Khitrinov (Hitrinov) is Empire's sole principal and officer. *See Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc.*, FMC No. 14-16 (ALJ Sept. 15, 2015) (Initial Decision on Respondents' Motion for Partial Summary Decision), exceptions filed, Jan. 15, 2016. Because Hitrinov is Empire's sole principal, at times this decision may refer to them collectively as Empire. The complaints allege that Hitrinov owns CarCont, Ltd. (CarCont), a company located in Kotka, Finland, and is "the Chairperson of the Board of CarCont, with signatory authority and direct control over respondent CarCont." *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and CarCont, Ltd.*, FMC No. 15-11, Complaint ¶ 10 (filed Nov. 12, 2015) (*Ovchinnikov v. Empire*, FMC No. 15-11).

Empire made the arrangements for the transportation by water of hundreds of Kapustin cars (including the cars that Complainants claim they bought) from the United States to Kotka, Finland, for eventual delivery to Kapustin customers. Complainants allege that Empire operated as an NVOCC on the shipments and violated the Shipping Act when Empire failed to deliver cars that Complainants claim to have purchased from a Kapustin company. Empire contends that because of its ownership interest in the cars, it was not operating as an NVOCC, but shipped the cars as an owner. Even if it operated as an NVOCC, Empire contends that the contracts of carriage did not require delivery of the cars to Complainants. To understand fully the parties' claims and defenses in this proceeding, it is necessary to understand the relationship between Kapustin and Empire. Therefore, while it is discussed more extensively in the factual background, it is summarized here.

These two Federal Maritime Commission (Commission) proceedings are not the only lawsuits that concern Kapustin's car business, the relationship between Kapustin and Empire, and delivery of cars shipped by Kapustin to Finland. In 2013, three Kapustin companies commenced a civil action in the Eastern District of New York against FMC respondents Hitrinov and Empire, Mediterranean Shipping Company (MSC) (the vessel-operating common carrier (VOCC) that transported the cars), and five John Does. *Global Auto, Inc. v. Hitrinov*, No. 13-cv-2479 (E.D.N.Y.

Apr. 24, 2013) (complaint filed) (Doc. 1).² The New York case is no longer being actively litigated. Also in 2013, several disgruntled Kapustin customers (not including these FMC Complainants) commenced a civil action in the District of New Jersey against Kapustin and his companies, Respondents in the Commission proceedings, and other defendants. *Akishev v. Kapustin*, No. 13-cv-07152 (NLH) (AMD) (D.N.J. Nov. 25, 2013) (complaint filed) (Doc. 1). This case is still being actively litigated and now includes some of the claims between Kapustin and Empire originally made in the New York case. These cases are described more fully below.

The parties have made many of the documents filed in the two district courts part of the record in these proceedings. These documents include correspondence generated by Kapustin and Empire during the more than two years that their relationship lasted. These documents are admitted into evidence. I take official notice of the records of both courts, including documents not filed by the parties, but to which this decision refers. 46 C.F.R. § 502.226. Findings in this decision are based primarily on the documentary evidence filed in the two district court cases and subsequently filed by the parties in these proceedings. The parties have also submitted several district court orders in these cases as part of the FMC record.

Evidence in the Commission record and in the district court proceedings demonstrates that Empire loaned Kapustin a total of \$450,120.00 to finance Kapustin's purchase of cars in the United States for sale to customers in the former USSR, including the cars that Complainants claim to have purchased from Kapustin. Kapustin and Empire called these "investment vehicles." Because of this financial arrangement between Empire and Kapustin, the relationship between Kapustin and his Kapustin companies and Empire was not a typical shipper-carrier relationship. Empire contends that it did not operate as a common carrier on the shipments because of its ownership interest in the cars and contends that its ownership interest gave it the right to hold a particular car and its title in which it had an interest as collateral until Kapustin paid the loan or Kapustin substituted another car for the first. In a relationship lasting more than two years, the practice evolved to be one where Empire maintained a spreadsheet identifying Kapustin cars shipped to Finland and the value of those cars in which Empire claimed an ownership interest to secure its loan. Kapustin would deliver an investment vehicle and its title to Empire in the United States and Empire would record it on the spreadsheet that it supplied to Kapustin. The investment vehicle would be shipped to Finland, with freight paid by Kapustin, delivered to CarCont, and held at the CarCont warehouse in Finland. CarCont was identified as the consignee on the sea waybills³ issued by MSC, the VOCC that

² Doc. followed by a number refers to the document number as listed in the district court docket accessible on PACER.

³ Commission regulations do not define the term "sea waybill." The Maritime Administration offers this definition: "Sea Waybill – Document indicating the goods were loaded onboard when a document of title ([Bill of Lading]) is not needed. Typically used when a company is shipping goods to itself." Maritime Administration Glossary of Shipping Terms, <http://www.thesis.xlibx.info/th-other/4312304-8-maritime-administration-glossary-shipping-term-s-may-2008-maritime.php> (last visited Feb. 16, 2017).

transported Kapustin cars to Finland, and other documents related to the shipments. When Kapustin wanted an investment vehicle released to its affiliate in Finland for eventual delivery to a customer, another investment vehicle and title would be delivered to Empire at its United States facility for shipment to Finland to maintain the value of the investment vehicles in Empire's control at a sufficient level to secure the loan. The investment vehicle in Finland and its title would then be released to Global Cargo Oy,⁴ the Kapustin company in Finland, for delivery to a purchaser. An investment vehicle in Finland would not be released to the Kapustin company in Finland until Empire had in its possession another investment vehicle (and its title) sufficient to cover the loan.

The relationship between Empire and Kapustin broke down toward the end of 2012 and the beginning of 2013 at the time when Complainants contend they purchased their cars. Empire contends that Kapustin stopped sending investment vehicles and titles to Empire in the United States to replace investment vehicles in which Empire claims it had a security interest being held in Finland, and that Kapustin did not repay the loan Empire had made. Therefore, Empire states, it did not release investment vehicles that had arrived in Finland, including the investment vehicles that Complainants claim to have purchased, and subsequently sold the investment vehicles to repay the loan it had made to Kapustin.

Respondents did not answer or otherwise respond to the complaints in the time permitted by Commission rules. Complainants filed a motion for initial decision on default against Empire and Hitrinov, but not CarCont, in *Ovchinnikov v. Empire*, FMC No. 15-11. Show cause orders were issued in both proceedings requiring Respondents to answer or otherwise respond to the complaints and to show cause why initial decisions on default should not be entered. Empire responded with motions to stay the proceedings pending a judgment in the New Jersey case. The motions were denied. Because of the delay, Respondents were instructed not to file motions to dismiss, but to file answers and include in the answers any claimed Federal Rule of Civil Procedure Rule 12(b) defenses. *Ovchinnikov v. Empire*, FMC No. 15-11 (ALJ Apr. 13, 2016) (Order Granting in Part and Denying in Part Motion for Additional Time in Which to Respond) ("Empire and Hitrinov are ordered to include any defenses that Rule 12(b) permits to be raised by motion in their answer or answers. They may also file a motion or motions addressing the 12(b) defenses with the answer or answers, but must file answers that date."); *Kairat Nurgazinov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and CarCont, Ltd.*, FMC No. 1953(I) (ALJ April 13, 2016) (Notice of Assignment to Small Claims Officer) (*Nurgazinov v. Empire*, FMC No. 1953(I)) (same instruction). Respondents filed a motion to consolidate the two proceedings that was granted. *Ovchinnikov v. Empire*, FMC No. 15-11 (ALJ May 24, 2016) (Order of Consolidation). Empire filed answers including Rule 12(b) defenses to both complaints, then filed a motion for judgment on the pleadings pursuant to Federal Rules of Civil Procedure 12(c) arguing that the Commission lacks subject matter jurisdiction and that the complaints fail to state claims for relief.

Empire asserts a factual attack on the Commission's subject matter jurisdiction over the complaints. When a factual attack is made on the Commission's subject matter jurisdiction, the

⁴ "Oy" or "OY" is the Finnish equivalent of "incorporated."

Commission is not obliged to accept the allegations in a complaint as true and may examine the evidence to the contrary and reach its own conclusion on the matter. *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011); 5B Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* § 1350 and n.51 (3d ed. 2010). The complainant bears the burden of proving that the Commission has jurisdiction. *The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, FMC No. 06-02, 2007 FMC LEXIS 33, *10 (FMC Aug. 2, 2007).

The evidence in the record establishes that after the cars that Complainants claim they purchased arrived in Finland, Empire and/or CarCont sold the cars and kept the money. Complainants are asking the Commission to order Empire to pay them reparations because Respondents did not deliver the cars to them, but sold the cars to satisfy the debt Empire claims Kapustin owed it.

There are a number of factual disputes between the parties that the Commission does not have subject matter jurisdiction to decide. For example, Empire contends that Complainants did not complete their purchases of the cars. Empire also contends that even if Complainants fulfilled their contracts with Kapustin, Kapustin's sale of the cars violated the terms of the Empire-Kapustin agreement pursuant to which Empire loaned money to Kapustin. These are not Shipping Act claims within the jurisdiction of the Commission, but are similar to claims being litigated by other Kapustin customers in the New Jersey district court.

The Commission only has jurisdiction to enforce the Shipping Act of 1984. For the Commission to issue a reparation award to a complainant, a complainant must establish that a respondent did something or failed to do something in violation of the Shipping Act, and that the complainant suffered an actual injury from the violation. The core of Complainants' argument is that they were (or should have been) identified as consignees on the shipments and that the cars should have been delivered to them. To prevail in these proceedings, Complainants are required to establish that Empire operated as a common carrier on the shipments of the cars and that the contracts of carriage for the ocean transportation required Empire to deliver the cars to Complainants. Put another way, Complainants must prove: (1) that Kapustin, the shipper of the cars, identified Complainants as consignees for the shipments of the cars they claim; and (2) that Empire, operating as an NVOCC, entered into contracts of carriage with Kapustin to deliver the cars to Complainants.

Complainants have failed to establish by a preponderance of the evidence that Kapustin entered into contracts of carriage with Empire that required Empire to deliver the cars to Complainants. Because they were not consignees on the shipments, Complainants do not have standing to challenge Empire's refusal to deliver the cars to them or Empire's ultimate sale of the cars before the Commission. Complainants have failed to establish that the Commission has subject matter jurisdiction over their complaints. Therefore, the complaints are dismissed with prejudice.

This decision is organized into six sections. Part II describes the parties and relevant non-parties to these proceedings and provides a narrative background of the relationship between

Kapustin and his export business and Empire, the deterioration of that relationship, and the resulting lawsuits. Part III sets forth the controlling authority. Part IV sets forth the findings of fact. Part V summarizes Empire's motion for initial decision on the pleadings and Complainants' opposition. Part VI identifies respondents Empire and Hitrinov as prevailing parties that may be entitled to attorney fees.

II. FACTUAL BACKGROUND.

A. Complainants.

On November 12, 2015, complainants Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov filed the Verified Complaint in FMC No. 15-11. The Complaint alleges that Respondents violated 46 U.S.C. §§ 40301, 40302, 40501, 40701, 41102, 41104, and 41106 of the Shipping Act and Commission regulations at 46 C.F.R. Part 515, and that Complainants each suffered direct damages: Ovchinnikov in excess of \$28,960.00, Rzaeva in excess of \$32,101.00, and Nekipelov in excess of \$19,920.00. Complainants further allege that the full extent of their damages can only be determined after discovery has been conducted and interest due to them and the cost of their legal fees calculated. (Complaint at 15-16.)

On January 11, 2016, complainant Kairat Nurgazinov filed the Claim in FMC No. 1953(I) alleging the same violations of the Act by the same Respondents. Nurgazinov seeks a reparations award from Respondents in the amount of \$12,900 plus interest and attorney's fees. Nurgazinov requested adjudication of the Claim under the Commission's informal procedures provided at Subpart S of the Commission's Rules of Practice and Procedure. FMC No. 1953(I) was assigned to the undersigned who already had been assigned the substantially identical complaint in FMC No. 15-11. *Nurgazinov v. Empire*, FMC No. 1953(I) (ALJ Jan. 21, 2016) (Notice of Assignment to Small Claims Officer).

Each Complainant alleges that he or she purchased a car from Kapustin company G-Auto Sales Inc. and paid G-Auto Sales for the car and transportation to Finland, but that Empire did not deliver the cars to them in violation of the Shipping Act.

B. Respondents Hitrinov and Empire.

Respondent Empire is licensed by the Commission as an NVOCC. Respondent Hitrinov is Empire's sole principal and officer.

C. Respondent CarCont.

1. Description.

The complaints allege that Hitrinov owns respondent CarCont, a company that owns a warehouse located in Kotka, Finland, and that he is "the Chairperson of the Board of CarCont, with

signatory authority and direct control over respondent CarCont.” *Ovchinnikov v. Empire*, FMC No. 15-11, Complaint ¶ 10 (filed Nov. 12, 2015). While Hitrinov denies this claim in the FMC Answer, (Answer ¶ 10), I note that in the Answer to the Amended Complaint in the New York case, Hitrinov admitted to being chairperson of the board of CarCont, but denied having signatory authority and direct control over CarCont. *Global Auto v. Hitrinov*, No. 13-cv-2479, Answer ¶ 12 (E.D.N.Y. Feb. 28, 2014) (Answer and Counterclaims) (Doc. 51). In the final analysis, Hitrinov’s control or lack of control over CarCont is irrelevant. Whether or not Hitrinov owned and controlled CarCont, if the contracts of carriage required Empire to deliver the cars to Complainants, Complainants have standing and the Commission has jurisdiction. If the contracts of carriage did not require Empire to deliver the cars to Complainants, the Commission does not have jurisdiction.

2. The claims against CarCont are dismissed pursuant to 46 C.F.R. § 502.113(d) for failure to serve.

In an earlier order, it was noted that CarCont had not received notice of the FMC proceedings.

On November 18, 2015, the Secretary sent the Complaint and Notice by FedEx to CarCont at the address identified in the Complaint as CarCont’s principal place of business: Merituulentie 424, 48310, Kotka, Finland. FedEx was unable to deliver to CarCont and subsequently returned the Complaint and Notice to the Commission.

Complainants do not ask for default against CarCont. Furthermore, it does not seem that the record would support a finding that CarCont has notice of this proceeding. Complainants may choose to serve the Complaint on CarCont pursuant to Commission Rule 502.113(c) as they did with Hitrinov and Empire. If Complainants do so, “an affidavit setting forth the method, time and place of service must be filed with the Secretary within five days following service.” 46 C.F.R. § 502.113(c) (2015). Otherwise, Commission Rules provide that “[t]he presiding officer may dismiss a complaint that has not been served within thirty (30) days after the complaint was filed.” 46 C.F.R. § 502.113(d). Complainants should advise the Commission of their intention regarding CarCont.

Ovchinnikov v. Empire, FMC No. 15-11 (ALJ Mar. 30, 2016) (Notice of Default and Order to Show Cause). Counsel for Complainants was reminded of this matter in the telephone conference on October 5, 2016. See 15-11.20161005.Telephone conference, audio recording starting at time 23:20. Despite twice having been instructed to advise the Commission of their intentions regarding CarCont, Complainants have not responded to this inquiry and have not stated their intentions. Therefore, the claims against CarCont are dismissed pursuant to 46 C.F.R. § 502.113(d).

D. Sergey Kapustin and his Affiliates and Their Relationship with Empire.

Sergey Kapustin and his wife Irina Kapustina⁵ owned and operated at least four companies (G-Auto Sales, Inc., Effect Auto Sales Inc., Global Auto, Inc., and SK Imports, Inc. a/k/a Global Cars, Inc.) that specialized in selling used cars from the United States to customers in the Commonwealth of Independent States (CIS), former USSR republics. They also owned and operated Global Cargo Oy, a company in Finland that handled Kapustin cars in Finland and delivered the cars to Kapustin customers.

Empire was in business with Kapustin and his companies and loaned money to Kapustin that was used to purchase cars. Empire claims that because of the loans, it had an ownership interest in the cars. In a declaration filed in Kapustin's New York case against Hitrinov, Empire, CarCont, and MSC and made part of the record in this proceeding by Complainants, Hitrinov described the relationship with Kapustin this way (Hitrinov's paragraph numbering).

3. In early September 2010, I was contacted by Sergey Kapustin whom I had known from previous business dealings as the owner and individual in control, together with his wife Irina Kapustina, of Global Auto Sales, Effect Auto Sales and G Auto Sales, the plaintiffs in this action. The purpose of Mr. Kapustin's call was to inquire whether EUL wanted to invest in the ownership of some cars that Mr. Kapustin wanted to acquire in the U.S. for re-sale overseas. Mr. Kapustin explained that he needed investors so he could finance the acquisition of a car inventory to offer for sale to customers in Russia and other CIS countries. In short, EUL would put up investment capital which Mr. Kapustin would then use to buy vehicles in the U.S. for resale to overseas customers. In return, Mr. Kapustin proposed that EUL share in profits on the resales of these vehicles.
4. In 2010, Kapustin and I initially discussed a profit-sharing arrangement in which EUL would share in profits from the overseas sale of the vehicles acquired by Global with EUL's funds. However, Mr. Kapustin himself proposed as an alternative that EUL instead be paid a fixed return on its investment of 1.5% per month as its share of the anticipated profits from the re-sale of the vehicles acquired through EUL's investment ("the Investment Vehicles").
5. I was still concerned, however, that EUL needed a way to secure its investment in the Investment Vehicles in the event Kapustin/plaintiffs failed or refused to repay EUL. To address these concerns, Mr. Kapustin and I agreed that EUL would be entitled to a right of possession in any Investment Vehicle (i.e. any vehicle acquired by Kapustin/plaintiffs through the EUL

⁵ It is not clear whether Kapustin and Kapustina are still married.

investment) until such time as it was released to a third-party buyer with the consent of EUL. In theory, Kapustin/plaintiffs would sell a vehicle, repay EUL its equity interest in the vehicle and then direct EUL to release the vehicle to final buyer. Since the Investment Vehicles were shipped out of EUL's designated facility in Elizabeth, NJ and into the Carcont OY storage facility in Kotka, Finland, I felt reasonably comfortable that EUL could retain possession and control of the Investment Vehicles in the event Kapustin/plaintiffs breached the agreement or failed or refused to repay EUL.

6. It was further agreed that EUL would be given the documents of title for each vehicle. This assured that no Investment Vehicle could be released without EUL's consent (which would have entailed repayment of EUL's 60% equity stake in the particular vehicle or replenishment, with EUL's consent of the total inventory value). I note that Mr. Kapustin's declaration at paragraph 5 confirms that the title documents for the Investment Vehicles were delivered by plaintiffs to EUL with each vehicle.

(Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A, Doc. 14/1-3 (May 23, 2013, Declaration of Hitrinov).)⁶

In a memorandum and order denying a motion to intervene in the New York case filed by eleven Kapustin customers not including the FMC Complainants, the court described the Kapustin-Empire relationship based in the information before it.

EUL helped to finance [Kapustin's] purchase of cars, loaning one or more of [Kapustin's companies] or [Kapustin's companies] principals thousands of dollars. The parties to this action agree on how much was loaned (\$450,120.00); exactly when the loans were extended (five dates beginning on Sept. 20, 2010, and ending with two loans on Dec. 13, 2011); and the interest rate (18% annually or 1 1/2% per month). However, the parties disagree as to whom the loans were made. [Kapustin] maintain[s] that Global alone borrowed the money, while Hitrinov claims that the

⁶ Appendix A of Complainants' Response consists of a declaration executed by Hitrinov and its seventeen exhibits filed on May 23, 2013, in *Global Auto v. Hitrinov*, No. 13-cv-2479 (E.D.N.Y.), as Document 14. The pages of the declaration and the exhibits are identified at the top with the E.D.N.Y. document number. The Declaration is Document 14 and the exhibits are identified as 14-1 (exhibit 1), 14-2 (exhibit 2), etc. The pages of the declaration and each exhibit are also numbered. In this Decision, "Doc. 14/1-3" refers to pages 1-3 of Document 14, the Hitrinov declaration. In this decision, citations to the Declaration are to paragraph numbers; e.g., "Doc. 14 ¶ 3." Citations to the exhibits are by exhibit number; e.g., "Doc. 14-6" refers to exhibit 6 of the Declaration. The pages of each exhibit are also numbered by the court. "Doc. 14-6/3" refers to page 3 of exhibit 6 of Document 14, the Hitrinov declaration.

loan was made to one Sergey Kapustin, and that Kapustin and his wife, Irina, control all three of the [Kapustin company plaintiffs].

Global Auto v. Hitrinov, No. 13-cv-2479, Memorandum at 2 (E.D.N.Y. Nov. 7, 2013) (Memorandum and Order) (Doc. 38) (*see* Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix B.)⁷ **The evidence in the Commission record supports the court's decision.** FF 9-10.

E. Deterioration and End of the Kapustin-Empire Relationship.

According to the declaration Hitrinov filed in the New York case and made part of the record by Complainants, Empire's relationship with Kapustin deteriorated by the end of 2012.

31. By late 2012 (November – December), I became increasingly concerned about Kapustin's/plaintiffs' ability and even willingness to abide by our agreement. There were a number of reasons for my concerns. First, I began receiving inquiries from Kapustin/plaintiffs about adding Investment Vehicles to the balance spreadsheets even though it was unclear whether Kapustin/plaintiffs actually owned these vehicles. Second, the parties were increasingly disagreeing on vehicle valuations, with Kapustin/plaintiffs arguing for higher valuations to increase the "balance" available for release of cars. Third, Kapustin/plaintiffs were increasingly in arrears on payment of the \$750/vehicle shipping charges. However, my main concern was that Kapustin was trying to sell the Investment Vehicles behind EUL's back; i.e. without repaying any portion of the principal due EUL and without notice to the buyers of EUL's equity interest in those vehicles.
32. On December 27, 2012, I notified Kapustin (at the account@globalautousa.com address)⁽⁸⁾ that the relationship was becoming untenable because of Kapustin's/plaintiffs' actions and demanded that Kapustin/plaintiffs repay all amounts due EUL, including unpaid principal, "in 30 da[ys] from today. We will not extend that date." I repeated that 30-day demand later that day. Attached to this declaration as Exhibit "9" are my December 27, 2012 notices to Kapustin/plaintiffs.

⁷ Complainants' counsel in these proceedings was one of the original attorneys representing the Kapustin companies in the New York case. On February 15, 2015, he filed a motion for leave to withdraw. The motion was granted on March 5, 2015. Kapustin filed a motion to intervene in this proceeding to challenge the propriety of his former counsel's representation of Complainants. The motion is denied in a separate order.

⁸ The email address account@globalautousa.com is an email address for Global Auto, the Kapustin company that the record indicates handled the transportation arrangements with Empire.

33. On January 16, 2013, I was informed by the warehouse facility in Kotka, Finland (Carcont OY) that Kapustin was encouraging third parties in Finland to claim the Investment Vehicles without regard to EUL's remaining security interest in those same vehicles. I also obtained a copy of an email that Kapustin/plaintiffs had distributed to third parties in Finland and elsewhere, directing them to contact Carcont and suggesting that they take legal action to recover their vehicle from the facility. I became extremely concerned over these actions because they were in complete disregard of our agreement (i.e. no releases without payment of proportionate principal or replenishment of inventory value) and appeared to be an effort to coerce EUL to release vehicles under color of local Finnish law. Attached to this declaration as Exhibit "10" is a translation of the email sent out by Kapustin/plaintiffs directing buyers to contact Carcont to collect their vehicles.
34. I then confronted Kapustin by telephone on or about January 20, 2013. During that telephone conversation, Kapustin confirmed that he no longer intended to abide by the parties existing agreement concerning the Investment Vehicles. He also disavowed any further obligation to repay the outstanding principal due EUL or to make any further profit-sharing payments to EUL. Mr. Kapustin made no attempt during this conversation to make a distinction between the individual plaintiffs [in the New York case] and it was clear to me that he himself made no distinction between the companies and that he spoke on behalf of all three of them.
35. Of equal concern to me was Mr. Kapustin's claim during this telephone call that "he" had actually sold all the Investment Vehicles (again, he did not make any distinction among the individual plaintiffs). If this was true, Kapustin/plaintiffs had presumably been paid in full by buyers of the vehicles and now were seeking to wrest these vehicles from EUL's possession and control without repaying any principal to EUL from the proceeds of sale. In other words, Kapustin/plaintiffs had collected EUL's 60% interest in those vehicles but had no intention of paying that over to EUL as the parties' agreement required.
36. Consequently, on January 28, 2013, I sent an email to Kapustin/plaintiffs (at account@globalautousa.com) and to Kapustin's wife and business partner, Irina Kapustina, expressing my concern that Kapustin/plaintiffs were taking actions "detrimental to our jointly owned assets without my knowledge and consent." I also requested that Kapustin/plaintiffs cease any further actions "which may cause irreparable damages" to the parties and proposed an amicable resolution. Attached to this declaration as Exhibit "11" is a copy of my January 28, 2013 email to Kapustin/plaintiffs.

37. EUL did not receive any payment of principal from Kapustin/plaintiffs after my December 27th demand for payment in full within 30 days.

(Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A, Doc. 14/9-12 (May 23, 2013, Declaration of Hitrinov). *See also* Respondents' [FMC] Motion for Judgment on the Pleadings, Affirmation of Michael Hitrinov ¶¶ 21-26.)

F. The Eastern District of New York Case.

On April 24, 2013, three Kapustin companies – G-Auto Sales, Inc., Effect Auto Sales, Inc., and Global Auto, Inc. – commenced their civil action against FMC respondents Hitrinov and Empire, MSC, and five John Does in the Eastern District of New York. *Global Auto, Inc. v. Hitrinov*, No. 13-cv-2479 (E.D.N.Y. Apr. 24, 2013) (complaint filed) (Doc. 1). This is the case in which the Hitrinov declaration quoted above was filed. The New York complaint alleged that Hitrinov and Empire operated as an NVOCC on Kapustin company shipments of automobiles to Finland. It further alleged that when the Kapustin companies told Empire that it had reached an agreement to ship their vehicles to Finland with other NVOCCs and VOCCs at more favorable rates, Empire and Hitrinov unlawfully seized Kapustin company cars and refused to release them to their intended recipients. The New York Complaint asserted claims for relief pursuant to the Shipping Act, state law claims, and federal law claims, including violation of the Racketeer Influenced and Corrupt Practices Act (RICO). The Kapustin companies filed an Amended Complaint adding CarCont, the third respondent in these Commission proceedings, as a defendant. Empire and Hitrinov filed an answer to the Amended Complaint. Empire included counterclaims against the Kapustin companies based on the Empire loan to Kapustin and Empire's claimed ownership interest in the cars.

On September 27, 2015, the court dismissed the Kapustin companies' New York claims against all defendants for failure to prosecute because the Kapustin companies' attorneys (including FMC Complainants' counsel) had withdrawn as counsel and the corporations could not proceed without an attorney. The court denied a motion filed by Empire and Hitrinov to enjoin the Kapustin companies from asserting the claims that they had made in the New York case as cross-claims in a case filed in New Jersey by the disgruntled customers whose motion to intervene had been denied; therefore, the court dismissed Kapustin companies' claims against Empire without prejudice.

To the extent that [Kapustin companies'] claims against the EUL Defendants are meritorious, [Kapustin companies'] creditors may wish to pursue those claims in the event they obtain judgment against [Kapustin and his companies]. For that reason, counsel for some of the NJ Plaintiffs have urged the Court to dismiss [Kapustin companies'] claims against the EUL Defendants without prejudice. Since dismissal with prejudice might impede the NJ Plaintiffs' ability to recover on a judgment against Plaintiffs, the Court will dismiss [Kapustin companies'] claims in this action without prejudice.

Global Auto v. Hitrinov, No. 13-cv-2479, Order at 12 (E.D.N.Y. Sept. 30, 2015) (Memorandum and Order) (Doc. 109).

On October 2, 2015, the clerk entered a certificate of default against the Kapustin companies on Empire's counterclaims. *Global Auto v. Hitrinov*, No. 13-cv-2479 (E.D.N.Y. Oct. 2, 2015) (Certificate of Default) (Doc. 110). Empire filed a motion for reconsideration of the dismissal without prejudice. The court denied the motion. *Global Auto v. Hitrinov*, No. 13-cv-2479 (E.D.N.Y. Nov. 19, 2015) (Memorandum and Order) (Doc. 114).

G. The District of New Jersey Case.

On November 25, 2013, the disgruntled Kapustin customers whose motion to intervene in the New York case had been denied commenced a civil action in the District of New Jersey against Kapustin and his companies, Respondents in the Commission proceedings, and other defendants. *Akishev v. Kapustin*, No. 13-cv-07152 (NLH) (AMD) (D.N.J. Nov. 25, 2013) (complaint filed) (Doc. 1). The customers named the following persons as defendants: Sergey Kapustin and Irina Kapustin; Kapustin companies G-Auto Sales, Inc., Global Auto, Inc., Effect Auto Sales, Inc., SK Imports, Inc. a/k/a Global Cars, Inc., and Global Cargo Oy; FMC respondents Hitrinov and Empire; FMC respondent CarCont; and three other named individuals. On April 4, 2014, the Kapustin customers filed an Amended Complaint.

The Amended Complaint alleges that the Kapustin customers are residents of former USSR republics who wanted to purchase "gently used cars from the United States." *Akishev v. Kapustin*, No. 13-cv-07152 (NLH) (AMD), Amended Complaint ¶ 1 (D.N.J. Apr. 4, 2014) (Doc. 27). The Amended Complaint alleges that Defendants engaged in a massive scheme to defraud customers of Kapustin companies who attempted to purchase used cars. The Complaint alleges specific factual allegations regarding each customer/plaintiff's attempt to purchase a car. The Complaint alleges that many of the cars were salvaged vehicles falsely represented as operable. Each customer/plaintiff alleges that he or she suffered damages from the scheme. Ovchinnikov, Rzaeva, Nekipelov, and Nurgazinov, the Complainants in these proceedings, are not Plaintiffs in the New Jersey case and the amended New Jersey Complaint does not set forth any specific allegations regarding the transportation of the four cars that are the subject of the FMC Complaints.⁹

The New Jersey Amended Complaint asserts claims for relief under RICO, 18 U.S.C. § 1962(c), predicated on alleged violation of 18 U.S.C. § 1343 (wire fraud), 18 U.S.C. § 1341 (mail fraud), 18 U.S.C. ¶ 1952 (travel), 18 U.S.C. § 1956 (money laundering), 18 U.S.C. § 1957 (transactions in criminally derived property), and 18 U.S.C. § 1512 (witness tampering); RICO – 18 U.S.C. § 1962(b) predicated on acquisition of an "interest in or control of" an enterprise; RICO – 18 U.S.C. § 1962(c) predicated on employment or association with an enterprise engaged in racketeering; RICO – 18 U.S.C. § 1962(d) predicated on conspiracy to commit RICO violations; N.J.S.A. 56:8-1, *et seq.* (New Jersey Consumer Fraud Act); N.J.A.C. 13:45 A-26A.1 *et seq.* (New

⁹ Because FMC Complainants' counsel represented the Kapustin companies in the New York case, it appears that FMC Complainants could not intervene in the New Jersey case, at least with their FMC counsel representing them.

Jersey Motor Vehicle Advertising Regulations); 49 U.S.C. § 32701, *et seq.* (Motor Vehicle Information and Cost Savings Act (the “Odometer Act”)); breach of contract; common law fraud; civil conspiracy to commit tort; conversion; unjust enrichment and disgorgement of profits; and imposition of a constructive trust. The New Jersey Amended Complaint does not assert a claim of violation of the Shipping Act and does not purport to be an action on behalf of a class of similarly situated customers of Kapustin companies. With their answer in the New Jersey case, Kapustin defendants filed cross-claims against co-defendants Empire and Hitrinov that are substantially identical to the claims the Kapustin companies had brought against Empire and Hitrinov as Plaintiffs in the New York case. These are the claims that the New York court dismissed without prejudice in the order described above. *Global Auto v. Hitrinov*, No. 13-cv-2479 (E.D.N.Y. Sept. 30, 2015) (Memorandum and Order) (Doc. 109).

The New Jersey court has entered final default judgment in the amount of \$2,228,069.29, including damages, costs, and attorney fees, against Kapustin in favor of the disgruntled customers. *Akishev v. Kapustin*, No. 13-cv-07152 (NLH) (AMD), slip op. at 14-15 (D.N.J. Sept. 21, 2015) (Order Granting Plaintiffs’ Motion for Final Default Judgment) (Doc. 272) (in the FMC record at Respondents’ Motion for Judgment on the Pleadings, Exhibit 25). After three years of litigation, the New Jersey court described the sales operation of Kapustin and his companies as follows.

Global Auto Enterprise¹⁰ is a group of individuals (four family members and at least one employee) and affiliated entities owned by the same family members who ran a fraudulent internet auto sales scheme. The fraud is commonly known to law enforcement as a “bait and switch” tactic. Global Auto Enterprise targets online and often unsophisticated foreigners from the former Soviet Union by advertising vehicles slightly below the market value on its glamorous websites GlobalAutoUSA.com and EffectAuto.com. In order to lure the victims, Global Defendants provided false odometer readings or did not disclose the mileage at all or withheld the information that the vehicle had been declared “total loss” after an accident or flooded by hurricane Sandy with a “Salvage” title issued. Rather than disclosing the true condition of the car, they assured the victims that the cars were in “excellent” condition. Most vehicles advertised on the websites did not actually belong to any Defendants. Instead, they used images of cars and information about them gathered from other online car sales sites to advertise these vehicles as “bait.” Once Plaintiffs wired the purchase price, the “switch” part of the fraud began.

Defendants wrote apologetic emails that they were encountering delays in delivery and refused to issue any refunds. These kinds of “lulling” communications are typical of this type of fraud. Months later, the buyers were offered a different car for just a few thousand more. Buyers – by then desperate to get anything at all out

¹⁰ Global Auto Enterprise was a term the New Jersey court used to describe Kapustin and his companies. The court did not include Empire, Hitrinov, and CarCont in Global Auto Enterprise.

of the deal – wired additional money. [Seven] Plaintiffs . . . were pushed to make several international wire transfers.

After the switch, even [four] Plaintiffs . . . who were seemingly getting a different car for the same price also got hit with unloading fees, port fees, transportation fees, storage fees, customs fees, and other fees, in excess of several thousand dollars, that were not previously disclosed to them. That was also a scheme to push the victims to cancel the purchase and simply retain the proceeds. Global Auto Enterprise refused to release the cars unless those charges are paid.

On April 4, 2014, Plaintiffs filed an Amended Complaint. On June 3, 2014, Plaintiffs filed their Motion for an Order to Freeze the Assets of Defendants and Expedited Discovery Related to Assets pursuant to Federal Rule of Civil Procedure 65 (“Asset Freeze Motion”) representing the funds Plaintiffs wired to the bank accounts of corporate Global Defendants. On September 5, 2014, the Court held an evidentiary hearing on the Asset Freeze Motion.

On September 23, 2014, to avoid the immediate freeze of the corporate Global Defendants’ bank accounts, Plaintiffs and Global Defendants agreed to and the Court entered the Consent Order, Docket No. 80, to deposit into the registry of the Court \$400,000.00 in monthly installments within 90 days of the Consent Order and to provide expedited discovery related to the disposition of Plaintiffs’ funds and Defendants’ assets.

This turned out to be another lulling technique with this time the Court as the victim as Kapustin would later admit he had no ability to satisfy the terms of the Consent Order at the time it was approved by the Court and entered at his request. On October 7, 2014, in order to evade his obligations under the Consent Order, Defendant Sergey Kapustin filed his Chapter 13 Bankruptcy Petition (Case No. 14-30488).

On October 24, 27, 28, 29 and November 3, 2014, the Court held evidentiary hearings during which it was established that while Global Defendants websites www.globalautousa.com, www.effectauto.com, and www.effectauto.ru (“Websites”) advertised over 4,000 vehicles as “in stock”, Defendant Kapustin testified only about 14 vehicles were actually owned by the corporate Global Defendants, and some vehicles were sold twice through the Websites to foreign customers using electronic mail communications and international bank wire payments.

Based on the evidence presented the Court made its preliminary finding that plaintiffs had shown by a preponderance of the evidence that the Global Defendants had committed at least two predicate acts of mail and wire fraud in the furtherance of a RICO enterprise through a pattern of racketeering activity conducted operating

through the Internet; on October 27 and October 29, 2014, this Court ordered that the Defendants' corporate bank accounts to be frozen and the Websites to be shut down immediately. (Docket Nos. 106; 110).

On November 4, 2014, corporate Global Defendants filed their Chapter 7 bankruptcy petitions (Global Auto Sales (Case No. 14-32520), Effect Auto Sales, Inc. (Case No. 14-32521), G Auto Sales, Inc. (Case No. 14-32522) and SK Imports, Inc. (Case No. 14-32523). The bankruptcies were subsequently dismissed for bad faith pursuant to Sections 105(a), 305(a), 349 and 707(a) of the Bankruptcy Code.

On February 17, 2015, Plaintiffs moved for sanctions against Global Defendants and their counsel ("Sanctions' Motion") including entering a default judgment as a sanction for their continuing litigation misconduct including numerous fraudulent representations to the Court, dissipation of assets in order to avoid compliance with the Consent Order, concealment of assets in foreign jurisdictions, filing bankruptcy petitions in bad faith for the purpose of invoking the automatic stay and frustrating this Court's jurisdiction, continuing delay resulting in significant prejudice to Plaintiffs.

On April 27, 2015, the Court held an evidentiary hearing and granted the Plaintiffs' Sanctions Motion. On May 27, 2015, Plaintiffs submitted their Application to Assess Damages for Default Judgment. On June 29, 2015, the Court held a hearing on plaintiffs' motion for default judgment, [a putative interveners's] request to intervene, and other issues related to defendants' assets. On July 2, 2015, the Court issued a "freeze order" to prevent Kapustin and the Global defendants from dissipating or otherwise touching their assets in order to halt defendants' fraudulent actions.

On September 4, 2015, the Court held an evidentiary hearing and made the finding that Global Defendants were responsible for executing and masterminding the "bait and switch" fraud scheme targeting online and often unsophisticated foreigners from the former Soviet Union and other countries by advertising vehicles for sale below the market value. Defendant Kapustin, as owner of corporate Global Defendants, exercised complete dominion and control over the corporations and used the corporations as his alter egos for his own purposes, making all the decisions including the decisions to defraud Plaintiffs.

The Court further made its finding that Defendant Sergey Kapustin and the corporate Global Defendants are a group of RICO persons, Global Companies Enterprise, associated in fact for the common purpose of engaging in fraudulent conduct constituting a RICO enterprise defined in 18 U.S.C. § 1961(4) functioning together as a continuing unit, each of them necessary to accomplish each step or aspect of the fraudulent scheme. Defendant Sergey Kapustin and corporate Global

Defendants acted in concert for the shared goal of defrauding overseas car buyers and receiving profits from the fraudulent scheme. This enterprise affected interstate and foreign commerce because it exported vehicles to foreign countries and both sent and received funds through banks in the United States and abroad.

Defendant Sergey Kapustin, who is a person within the meaning of RICO, managed and participated in conduct of the Global Companies Enterprise through a pattern of racketeering activity in violation of 18 U.S.C. § 1962(c), including multiple acts of wire fraud, mail fraud, and financial fraud. The Court found that Global Defendants engaged in the pattern of racketeering activity, which included related violations of 18 U.S.C. § 1343 (wire fraud); 18 U.S.C. § 1341 (mail fraud); 18 U.S.C. § 1956 (money laundering); 18 U.S.C. § 1957 (engaging in monetary transactions in property derived from unlawful activity); 18 U.S.C. § 1952 (Travel Act), and 18 U.S.C. § 1912 (witness intimidation), as included in 18 U.S.C. 1961(1).

The pattern of the racketeering activity began no later than some time in 2008 resulting in an investigation by Attorney General for the State of New Jersey Division of Consumer Affairs of deceptive conduct of Global Auto Enterprise, resulting on November 19, 2010, in the consent judgment for injunctive relief, civil penalties, legal fees and restitution to victims. The scheme continued in 2012 when Global Defendants committed predicate acts of racketeering towards Plaintiffs [Ys.], and continued through February 2014, when Defendants committed acts of wire fraud (18 U.S.C. § 1343) towards Plaintiff [P.]. Global Defendants continued the pattern by filing fraudulent bankruptcies. Global Defendants' acts were arranged and ordered so as to exhibit both a relation between the predicate acts and the threat of continuing unlawful activity.

Defendants' acts of mail fraud, wire fraud, and financial fraud were open-ended and occurring on an ongoing and daily basis targeting overseas car buyers from GlobalAutoUSA.com and other websites registered by Global Defendants with the intent to defraud foreign buyers. Plaintiffs were directly and proximately harmed by Global Defendants' predicate acts of racketeering, including wire fraud, mail fraud, and Travel Act violations, which resulted in ascertainable financial losses to the Plaintiffs.

Akishev v. Kapustin, No. 13-cv-07152 (NLH) (AMD), slip op. at 2-9 (D.N.J. Dec. 8, 2016) (Opinion) (Doc. 395) (footnotes omitted), attached to Complainants' Status Report filed with the Commission January 15, 2017.

Currently, Empire has custody in its New Jersey warehouse of fifteen Kapustin cars that had not yet been transported overseas when the Kapustin-Empire relationship ended. The titles of those cars are in the registry of the New Jersey court. The disgruntled Kapustin customers who brought the New Jersey case and other Kapustin judgment creditors assert claims on those cars to satisfy their

judgments or potential judgments. Empire has asserted its ownership right in these cars based on its loan to Kapustin. The court has not yet resolved the issue of whether Empire's loans to Kapustin gave it an ownership interest in the cars. "[T]hrough the assignment of the Global entities' claims against the [Empire] defendants, the 21 plaintiffs [in the New Jersey case] who were victims of Kapustin's and the Global entities' fraud are now prosecuting the claims of the Global entities against the [Empire] defendants." *Akishev v. Kapustin*, No. 13-cv-07152 (NLH) (AMD), slip op. at 23 (D.N.J. Dec. 8, 2016) (Opinion) (Doc. 395), attached to Complainants' Status Report filed with the Commission January 15, 2017.

H. The FMC Proceeding.

1. The FMC Complainants' claims regarding purchase of cars.

Each Complainant alleges that he or she purchased a car from Kapustin company G-Auto Sales Inc. and paid G-Auto Sales Inc. for the car and transportation to Finland.

a. Ovchinnikov.

In the Complaint in FMC No. 15-11 at paragraphs 37 through 49, Ovchinnikov alleges that he purchased a 2009 GMC Acadia, VIN GKLVNED6AJ138200 [*sic*],¹¹ from Kapustin company G-Auto Sales and received an invoice and copy of the certificate of title.¹² Ovchinnikov alleges he paid the full asking price and ocean freight and related charges to G-Auto. He alleges G-Auto gave the original title to Empire for clearance through customs and passed on the ocean freight and related charges to Empire. The Acadia was shipped from the United States on December 21, 2012, and arrived in the customs bonded warehouse owned by CarCont in Finland on or about January 14, 2013. CarCont told Ovchinnikov that it would not release the Acadia to Ovchinnikov because "there was an unpaid loan due and owing to [Empire] by the principal of G-Auto/Effect." (Complaint ¶ 44.) Ovchinnikov alleges that he later learned that the Acadia was registered with a Russian citizen in St. Petersburg, Russia, and alleges that Respondents "simply converted [the Acadia] and have sold it to a third party in order to satisfy a loan allegedly due and owing from the principal of Effect/G-Auto to [Empire] and Hitrinov." (*Id.* ¶ 49.)

¹¹ The title describes the car with VIN 1GKLVNED6AJ138200 as a 2010 GMC Sport Utility. The G-Auto Sales contract-invoice describes the car with that VIN as a 2009 GMC Acadia. The shipping documents describe the car as a 2010 GMC Acadia. *See* FF 81-93. Because the parties describe the car as an "Acadia," I will use that term.

¹² The title submitted into the record had been issued to Ari Fleet LT. On an unstated date, Ari Fleet LT signed over the title of the Acadia to Palisades Dealer Funding LLC LT. On October 11, 2012, Palisades Dealer Funding LLC LT signed over the title of the Acadia to Effect Auto Sales, Inc. Ovchinnikov's name is not on the title of the Acadia. FF 81-86.

b. Rzaeva.

In the Complaint in FMC No. 15-11 at paragraphs 50 through 64, Rzaeva alleges that she purchased a 2011 Jeep Compass, VIN 1J4NF5FB7BD282296, from G-Auto Sales and received an invoice and a copy of the certificate of title.¹³ Rzaeva alleges she paid the full asking price and ocean freight and related charges to G-Auto. She alleges G-Auto gave the original title to Empire for clearance through customs and passed on the ocean freight and related charges to Empire. The Jeep was shipped from the United States on November 15, 2012, and arrived in the customs bonded warehouse owned by CarCont in Finland on or about December 11, 2012. On or about December 15, 2012, Rzaeva paid the amount required to Russian Customs authorities for customs clearance/duty for the Jeep. CarCont told Rzaeva that it would not release the Jeep to Rzaeva because “there was an unpaid loan due and owing to [Empire] by the principal of G-Auto/Effect.” (*Ovchinnikov v. Empire*, FMC No. 15-11, Complaint ¶ 58.) In March 2013, respondent Hitrinov allegedly contacted Rzaeva and “admitted to her that he converted her automobile because there was an unpaid loan due and owing by the principal of Effect/G-Auto.” (*Id.* ¶ 63.) Rzaeva alleges that Respondents “simply converted [the Jeep] and have sold it to a third party in order to satisfy a loan allegedly due and owing from the principal of Effect/G-Auto to [Empire] and Hitrinov.” (*Id.* ¶ 64.)

c. Nekipelov.

In the Complaint in FMC No. 15-11 at paragraphs 65 through 74, Nekipelov alleges that he purchased a 2009 Mercedes-Benz C300, VIN WDDGF81X49R073295, from G-Auto Sales and received an invoice and a copy of the certificate of title.¹⁴ Nekipelov alleges he paid the full asking price and the ocean freight and related charges and G-Auto. He alleges G-Auto gave the original title to Empire for clearance through customs and passed on the ocean freight and related charges to Empire. The Mercedes-Benz was shipped from the United States on November 15, 2012, and arrived in the customs bonded warehouse owned by CarCont in Finland on or about December 11, 2012. On or about December 16, 2012, CarCont allegedly told Nekipelov that it would not release the Mercedes-Benz to Nekipelov because “there was an unpaid loan due and owing to [Empire] by the principal of G-Auto/Effect.” (*Ovchinnikov v. Empire*, FMC No. 15-11, Complaint ¶ 73.) Nekipelov alleges that Respondents “simply converted [the Mercedes-Benz] and have sold it to a third party in order to satisfy a loan allegedly due and owing from the principal of Effect/G-Auto to [Empire] and Hitrinov.” (*Id.* ¶ 74.)

¹³ The title and related documents submitted into the record indicate that Charles T. Pierce was the original owner. Pierce sold the Jeep to Saw Mill Auto Sales which sold the Jeep to Effect Auto Sales. Rzaeva’s name is not on the title. FF 94-98.

¹⁴ The certificate of title submitted into the record shows the owner as Daimler Trust. Nekipelov’s name is not on the title. FF 107-109.

d. Nurgazinov.

In the Claim filed in FMC No. 1953(I) at III.Q-AA, Nurgazinov alleges that he purchased a Toyota Camry, VIN 4T1BE46K19U306703, from G-Auto and received an invoice. Nurgazinov alleges he paid the full asking price and the ocean freight and related charges and G-Auto/Effect. He alleges G-Auto gave the original title to Empire for clearance through customs and passed on the ocean freight and related charges to Empire.¹⁵ The Camry was shipped from the United States on January 12, 2013, and delivered to CarCont in Finland on January 29, 2013. Nurgazinov alleges that he contacted CarCont on February 5, 2013, and was told that CarCont would not release the Camry to him because there was an unpaid loan due and owing to Empire by Kapustin. Nurgazinov alleges that Respondents “simply converted [the Camry] and have sold it to a third party in order to satisfy a loan allegedly due and owing from the principal of Effect/G-Auto to [Empire] and Hitrinov.” (*Nurgazinov v. Empire*, FMC No. 1953(I), Claim ¶ III.AA.)

2. Motions for default and orders for Respondents to show cause why initial decisions on default should not be entered.

Respondents did not answer or other wise respond to the complaints in either FMC No. 15-11 or FMC No. 1953(I). On February 14, 2016, Complainants filed a motion for decision on default against Hitrinov and Empire (but not CarCont) in FMC No. 15-11. The undersigned issued notices of default and orders to show cause in both proceedings. *Ovchinnikov v. Empire*, FMC No. 15-11 (ALJ Mar. 30, 2016) (Notice of Default and Order to Show Cause); *Nurgazinov v. Empire*, FMC No. 1953(I) (ALJ Mar. 30, 2016) (Notice of Default and Order to Show Cause). While the show cause order was pending, on April 14, 2016, Empire filed motions to stay both Commission proceedings pending resolution of the New Jersey case brought against Kapustin and the FMC Respondents by disgruntled Kapustin customers. The motions for stay were denied on April 27, 2016. *Ovchinnikov v. Empire*, FMC No. 15-11 (ALJ Apr. 27, 2016) (Order Denying Respondents’ Motion for Stay); *Nurgazinov v. Empire*, FMC No. 1953(I) (ALJ Apr. 27, 2016) (Order Denying Respondents’ Motion for Stay).

On May 4, 2016, Empire filed answers to the complaints and responses to the orders to show cause in both proceedings. On May 18, 2016, Complainants filed replies to Empire’s responses to the orders to show cause. On May 24, 2016, the orders to show cause were discharged and the motions for initial decision on default were denied in both proceedings. *Ovchinnikov v. Empire*, FMC No. 15-11 (ALJ May 24, 2016) (Order Discharging Order to Show Cause and Denying Motion for Initial Decision on Default); *Nurgazinov v. Empire*, FMC No. 1953(I) (ALJ May 24, 2016) (Order Discharging Order to Show Cause and Denying Motion for Initial Decision on Default). Also on May 24, 2016, FMC No. 1953(I) was consolidated with FMC No. 15-11 and No 15-11 designated

¹⁵ The title submitted into the record was issued to Toyota Motor Credit Corp. On November 5, 2012, Toyota Motor Credit Corp. signed over the title of the Camry to Effect Auto Sales. Nurgazinov’s name is not on the title. FF 120-122.

as the lead case. *Ovchinnikov v. Empire*, FMC No. 15-11 (ALJ May 24, 2016) (Order of Consolidation).

3. Empire's Motion for Judgment on the Pleadings

On June 10, 2016, Empire filed its motion for judgment on the pleadings contending that the Commission does not have subject matter jurisdiction over Complainants' claims. Empire first contends that because it was involved in the joint venture with Kapustin and his companies, Empire shipped the cars as part-owner of the cargo and was not operating as an NVOCC on the shipments. (Motion for Judgment on the Pleadings at 8-9.) Second, Empire contends that even if it were operating as an NVOCC on the shipments, Complainants do not have standing to bring the case and the Commission does not have jurisdiction because Complainants were not "shippers." "Complainants were not shippers or consignees of the vehicles. Nor were they in any way transportation customers of EUL. Rather, they were simply alleged purchasers of goods from Global Auto Enterprise." (*Id.* at 12 (footnotes omitted).) Empire also contends that the complaints fail to state claims upon which relief may be granted. (*Id.* at 14-21.)

On June 24, 2016, Complainants filed their response to the motion for judgment on the pleadings. Complainants contend that G-Auto Sales Inc., one of the Global Auto Enterprise entities, sold the cars to Complainants. Complainants argue that Empire operated as an NVOCC on the shipments. **Complainants rely on Commission decisions in *Worldwide Relocations, Inc. – Possible Violations*, 32 S.R.R. 495, 503-507 (FMC 2012); *EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc. – Possible Violations*, 32 S.R.R. 1906, 1912-1914 (FMC 2013); and *Anderson International Transport and Owen Anderson – Possible Violations*, 32 S.R.R. 1678, 1684-1686 (FMC 2013). Complainants argue that they were the owners of the cars and were (or should have been) identified as consignees of the shipments and the cars should have been delivered to them.**

I. Supplements to the Record Ordered by the Undersigned.

In Respondents' motions for stay filed April 14, 2016, Respondents had denied that the shipments were intended to be delivered to Complainants and denied ever having dealt with any customers of Kapustin. Therefore, the undersigned ordered Complainants and Respondents each to file "all records relating to the ocean transportation" of the four cars at issue. *Ovchinnikov v. Empire*, FMC No. 15-11 (ALJ Apr. 27, 2016) (Order to File Shipping Documents); *Nurgazinov v. Empire*, FMC No. 1953(I) (ALJ Apr. 27, 2016) (Order to File Shipping Documents). The parties filed their responses on May 4 and 5, 2016.

It was still not clear from the records relating to the ocean transportation and the documents filed for and against the motion for judgment on the pleadings whether the Commission has jurisdiction over Complainants' claims. To facilitate the Commission's determination of jurisdiction, an order was entered requiring that:

[E]ach party individually submit the following information for the transportation of each of the four automobiles pursuant to any bill of lading issued regarding the transportation. Each assertion should cite to supporting evidence in the record or attached to the submission.

1. Identify each common carrier that assumed responsibility for transportation of the automobile from the United States to a port or point in a foreign country.
2. For each carrier, identify the shipper or shippers.
3. For each carrier, identify the consignee or consignees.
4. For each carrier, identify the port or point of origin.
5. For each carrier, identify the date the shipment began.
6. For each carrier, identify the port or point of delivery.
7. For each carrier, identify the date of delivery.
8. Identify the entity that directly paid each common carrier for the transportation by water.
9. Did the vessel-operating common carrier transport the cargo pursuant to a service contract with respondent Empire United Lines Co., Inc.?

Ovchinnikov v. Empire, FMC No. 15-11 (ALJ June 29, 2016) (Order for Parties to Supplement the Record). The parties were permitted to respond to each others' responses. *Id.* The parties have filed their responses to the Order and to each other's submission. Their responses are discussed below.

III. CONTROLLING AUTHORITY.

A. Statutory Background.

Complainants filed their FMC complaints pursuant to section 41301(a) of the Act. "A person may file with the . . . Commission a sworn complaint alleging a violation of this part, except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation." 46 U.S.C. § 41301(a).

The FMC complaints allege that Empire is a non-vessel-operating common carrier within the meaning of the Act. (FMC Complaint ¶¶ 4-6.)

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(6). “The term ‘non-vessel-operating common carrier’ means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(16).

The Act regulates the conduct of common carriers. The FMC complaints allege that Respondents violated several sections of the Act. (FMC No. 15-11 Complaint ¶ 24 and Complaint Part V; FMC Informal Complaint 1953(I) ¶ III.B and Part V.)¹⁶

- Sections 40301 and 40302, 46 U.S.C. §§ 40301 and 40302, that apply to certain agreements between or among ocean common carriers, certain agreements between or among marine terminal operators, and certain agreements between or among one or more marine terminal operators and one or more ocean common carriers, and the Act’s requirement that those agreements be filed with the Commission.
- Section 40501, 46 U.S.C. § 40501, that sets forth general rate and tariff requirements.
- Section 40701, 46 U.S.C. § 40701, that regulates the rates charged by controlled carriers as defined by section 40102(8) of the Act.
- Section 41102, 46 U.S.C. § 41102(c), that provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.”
- Section 41104, 46 U.S.C. § 41104, that provides:

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not –

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*

(2) provide service in the liner trade that is – (A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a

¹⁶ Violations of sections 40301, 40302, and 40501 are alleged only in paragraphs 24 and III.B, not in Part V of the complaints where Complainants allege violations of the Shipping Act.

service contract entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title.

(3) retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason;

(4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of – (A) rates or charges;

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(8) for service pursuant to a tariff, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage;

(9) for service pursuant to a service contract, give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port;

(10) unreasonably refuse to deal or negotiate.

- Section 41106, 46 U.S.C. § 41106, that provides: “A marine terminal operator may not – . . . (2) give any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any person; or (3) unreasonably refuse to deal or negotiate.”

The FMC complaints allege that Complainants were injured by Respondents’ alleged violations and seek a reparation award for their injuries. The Act defined actual injury.

(a) *Definition.* – In this section, the term “actual injury” includes the loss of interest at commercial rates compounded from the date of injury.

(b) *Basic amount.* – If the complaint was filed within the [three-year] period specified in section 41301(a) of this title, the . . . Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part.

46 U.S.C. § 41305. “In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.” 46 U.S.C. § 41305(e).

B. Evidence and Burden of Persuasion.

Under the Administrative Procedure Act (APA), an administrative law judge may not issue an order “except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence.” 5 U.S.C. § 556(d). *See also Steadman v. SEC*, 450 U.S. 91, 102 (1981). All documents provided by the parties in these proceedings in support of their arguments on the motion to dismiss or summary decision are admitted as evidence. This initial decision is based on the FMC complaints, the answers to the complaints, the parties’ memoranda, the exhibits filed with the memoranda, and the supplemental evidence and memoranda filed by the parties.

This initial decision on the pleadings addresses only material issues of fact and law. It is not necessary to resolve disagreements on matters not material to the outcome of this proceeding. Administrative adjudicators are “not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are ‘material.’” *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-194 (1959); *In re Amrep Corp.*, 102 F.T.C. 1362, 1670 (1983).

A complainant alleging a violation of the Shipping Act “has the initial burden of proof to establish the[] violation[]. The applicable standard of proof is one of substantial evidence, an amount of information that would persuade a reasonable person that the necessary premise is more likely to be true than to be not true.” *AHL Shipping Co. v. Kinder Morgan Liquids Terminals, LLC*, FMC No. 04-05, 2005 WL 1596715, at *3 (ALJ June 13, 2005). *See* 5 U.S.C. § 556(d) (“Except as otherwise provided by statute, the proponent of a rule or order has the burden of proof.”); 46 C.F.R. § 502.155. “[A]s of 1946 the ordinary meaning of burden of proof [in section 556(d)] was burden of persuasion, and we understand the APA’s unadorned reference to ‘burden of proof’ to refer to the burden of persuasion.” *Director, Office of Workers’ Compensation Programs v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party with the burden of persuasion must prove its case by a preponderance of the evidence. *Steadman v. SEC*, 450 U.S. at 102. “[W]hen the evidence is evenly balanced, the [party with the burden of persuasion] must lose.” *Greenwich Collieries*, 512 U.S. at 281. It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993), adopted in relevant part, 26 S.R.R. 1424 (FMC 1994).

C. Empire’s Motion for Judgment on the Pleadings.

Empire filed a motion for judgment on the pleadings arguing that Complainants do not have standing to file the complaints; the Commission does not have subject matter jurisdiction over Complainants’ claims; and that the complaints do not state claims upon which relief may be granted. Commission administrative law judges “make and serve initial or recommended decisions,” 46 C.F.R. § 502.223, not judgments. *See also* 46 C.F.R. § 502.69(g) (defining motion for summary decision (not judgment) as a dispositive motion). A party may seek Commission review of a

“dismissal of the proceeding in whole or in part.” 46 C.F.R. § 502.227(b)(1). In this administrative forum, I find that it is appropriate to treat Empire’s motion as a motion for initial decision on the pleadings and use this terminology rather than “judgment” as is used in Rule 12(c).

Beyond referencing that they exist, 46 C.F.R. § 502.69(g), the Commission’s Rules of Practice and Procedure, 46 C.F.R. Part 502, do not explicitly provide for motions to dismiss. As stated by the Commission:

Rule 12 of the Commission’s Rules of Practice and Procedure (the Rules) states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. As the Commission’s Rules do not address motions to dismiss for lack of subject matter jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply in this case. See, e.g., *The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, [FMC No. 06-02, 2007 FMC LEXIS 33, *9-10 (FMC Aug. 2, 2007)].

Rule 12(b)(1) permits a party to raise by motion lack of subject matter jurisdiction, and Rule 12(b)(6) permits a party to raise by motion failure to state a claim. With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. . . . A factual attack challenges “the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered.” . . . In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. As it does when considering a Rule 12(b)(6) motion to dismiss for failure to state a claim, the court construes the complaint in the light most favorable to the plaintiff and accepts all well-pled facts alleged . . . in the complaint as true.

Sinaltrainal v. Coca-Cola Company, 578 F.3d 1252, 1260 (11th Cir. 2009).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 677] (2009). The complaint must be sufficient to “give the defendant fair notice of what the . . . claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting

Conley v. Gibson, 355 U.S. 41, 47 (1957)); *see also* 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* § 1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., 32 S.R.R. 126, 136 (FMC 2011).

[W]hen a question of the District Court’s jurisdiction is raised, either by a party or by the court on its own motion, Judicial Code § 37, 28 U. S. C. § 80, Fed. R. Civ. P. 12(b), the court may inquire, by affidavits or otherwise, into the facts as they exist. *Wetmore v. Rymer*, 169 U.S. 115, 120-121; *McNutt v. General Motors Corp.*, 298 U.S. 178, 184 *et seq.*; *KVOS, Inc. v. Associated Press*, 299 U.S. 269, 278. As stated in *Gibbs v. Buck*, [307 U.S. 66] 71-72, “As there is no statutory direction for procedure upon an issue of jurisdiction, the mode of its determination is left to the trial court.”

Land v. Dollar, 330 U.S. 731, 735 n.4 (1947). *See also* 5B Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* § 1350 and n.51 (3d ed. 2010) (“once a factual attack is made on the federal court’s jurisdiction, the district court is not obliged to accept the plaintiff’s allegations as true and may examine the evidence to the contrary and reach his or her own conclusion on the matter”).

When a defendant makes a Rule 12(b)(1) motion challenging the factual basis of subject matter jurisdiction, courts have required the plaintiff to bear the burden of proving that jurisdiction exists. *See Richmond, Fredericksburg & Potomac R. Co. v. U.S.*, 945 F.2d 765, 768 (4th Cir. 1991). When subject matter jurisdiction is at issue, courts are permitted to consider evidence outside the pleadings without converting the motion to dismiss into a motion for summary judgment. *See id.*; *Coalition for Underground Expansion v. Mineta*, 333 F.3d 193, 198 (D.C. Cir. 2003).

The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District, FMC No. 06-02, 2007 FMC LEXIS 33, *10 (FMC Aug. 2, 2007).

D. Subject Matter Jurisdiction and Standing.

Subject matter jurisdiction may be raised at any time and Rule 12 provides that “[f]ailure to state a claim upon which relief can be granted . . . may be raised . . . (B) by a motion under Rule 12(c).” Fed. R. Civ. P. 12(h)(2). “The Commission ‘is not a court, and cannot rely . . . on the powers of a court of equity. On the contrary, the law is settled that an administrative agency can exercise only those powers conferred on it by Congress.’” *Trans-Pacific Freight Conference of Japan v. FMB*, 302 F.2d 875, 880 (D.C. Cir. 1962); *International Ass’n of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 734, 743 (FMC 1990). The Commission has jurisdiction over matters relating to “transportation by water of . . . cargo between the United States and a foreign country,”

46 U.S.C. § 40102(6), by a common carrier as defined by the Shipping Act. That jurisdiction essentially begins when a common carrier assumes responsibility for transportation of the cargo and ends when the cargo is delivered to the consignee at the place of destination contemplated by the contract of carriage. *See, e.g., Norfolk Southern R. Co. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 23-27 (2004) (finding that federal maritime law applies to the inland portions of international shipments transported under a through bill of lading). *See also, Kawasaki Kisen Kaisha, Ltd. v. Regal-Beloit Corp.*, 561 U.S. 89, 108 (2010) (finding that ocean transportation occurring under a through bill of lading cannot be separated into ocean and domestic inland transportation); *accord, Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, 2011 FMC LEXIS 12, 56 (FMC 2011) (“[L]egislative history demonstrates that Congress intended that the Commission have jurisdiction over through transportation including the inland segment of such transportation.”)

While any person may file a complaint alleging a violation of the Shipping Act, 46 U.S.C. § 41301(a), a person must have standing to recover reparation for injury. *The Government of the Territory of Guam v. Sea-Land Service, Inc.*, 29 S.R.R. at 902, *quoting Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ, admin. final 1979). Standing is an element of jurisdiction. “In every case, the jurisdictional requirements of Article III must be present before a court may proceed to the merits. Where both standing and subject matter jurisdiction are at issue, however, a court may inquire into either and, finding it lacking, dismiss the matter without reaching the other.” *Moms Against Mercury v. FDA*, 483 F.3d 824, 826 (D.C. Cir. 2007). *See also Hill v. Vanderbilt Capital Advisors, LLC*, 702 F.3d 1220, 1224 (10th Cir. 2012) (standing is a limitation on the authority of a federal court to exercise jurisdiction”). The Commission must determine whether it has jurisdiction over claims made in a complaint.

DISCUSSION

IV. FINDINGS OF FACT.

1. Respondent Empire United Lines Co., Inc. (Empire) is licensed by the Commission as a non-vessel-operating common carrier (NVOCC). Respondent Michael Hitrinov a/k/a Michael Khitrinov (Hitrinov) is Empire’s sole principal and officer. *See Baltic Auto Shipping, Inc. v. Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc.*, FMC No. 14-16 (ALJ Sept. 15, 2015) (Initial Decision on Respondents’ Motion for Partial Summary Decision), exceptions filed, Jan. 15, 2016.
2. Mediterranean Shipping Company (USA), Inc. (MSC) is a vessel-operating common carrier (VOCC). http://www2.fmc.gov/agreements/carrier_npage.aspx (last visited Mar. 1, 2017).
3. Empire entered into service contract number 12-535WW with MSC in which Empire certified that its shipper status was that of an NVOCC. (Comp. Opp. to Motion for J/P (filed June 24, 2016) Exhibit F.)

4. Sergey Kapustin and Irina Kapustina are or were husband and wife and control Global Auto, Inc. (Global Auto), G-Auto Sales (G-Auto), Effect Auto Sales, Inc. (Effect Auto), SK Imports, Inc. a/k/a Global Cars, Inc., and Global Cargo Oy. *Akishev v. Kapustin*, No. 13-cv-07152 (NLH) (AMD), slip op. at 1 (D.N.J. Sept. 21, 2015) (Order Granting Plaintiffs' Motion for Final Default Judgment) (Doc. 272) (Respondents' Motion for Judgment on the Pleadings (filed June 10, 2016), Exhibit 25); *Akishev v. Kapustin*, No. 13-cv-07152 (NLH) (AMD), Amended Complaint ¶¶ 28-32 (D.N.J. Apr. 4, 2014) (Doc. 27).
5. Sergey Kapustin, Irina Kapustina, Global Auto, Inc., G-Auto Sales, Effect Auto Sales, Inc., SK Imports, Inc. a/k/a Global Cars, Inc., and Global Cargo Oy are referred to collectively as Kapustin or the Kapustin companies. See *Akishev v. Kapustin*, No. 13-cv-07152 (NLH) (AMD), slip op. at 7 (D.N.J. Dec. 8, 2016) (Opinion) (Doc. 395) ("Defendant Kapustin, as owner of corporate Global Defendants, exercised complete dominion and control over the corporations and used the corporations as his alter egos for his own purposes, making all the decisions including the decisions to defraud Plaintiffs."), attached to Complainants' Status Report filed with the Commission January 17, 2017.
6. Irina Kapustina identifies herself as the president of Effect Auto Sales, Inc. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix C (Declaration of Irina Kapustina ¶ 1).)
7. Sergey Kapustin, Irina Kapustina, Global Auto, Inc., G-Auto Sales, Effect Auto Sales, Inc., SK Imports, Inc. a/k/a Global Cars, Inc., and Global Cargo Oy are engaged in internet sales of automobiles to Europeans. *Akishev v. Kapustin*, No. 13-cv-07152 (NLH) (AMD), slip op. at 2-9 (D.N.J. Dec. 8, 2016) (Opinion) (Doc. 395) (footnotes omitted), attached to Complainants' Status Report filed with the Commission January 15, 2017.
8. CarCont, Ltd., is a company that operates a warehouse in Kotka, Finland. *Ovchinnikov v. Empire*, FMC No. 15-11, Complaint ¶ 9 (filed Nov. 12, 2015).
9. In a case in federal district court between Kapustin and Empire regarding their relationship, the court found:

Between March 2010 and December 2012, [Kapustin] utilized the services of EUL [Empire] (and by virtue of the Service Agreement, the services of MSC) in shipping cars to Europe. Some of those cars were owned by [Kapustin Global Enterprise], but others "had already been paid for, in whole or in part[,], by [Kapustin's] clients. [E.D.N.Y.] Complaint, ¶ 34. The cars were delivered to EUL's facilities in Elizabeth, New Jersey, loaded into shipping containers, and shipped via MSC vessels to Finland. There, the cars were unloaded and stored in a warehouse owned by Carcont, Ltd. – an entity which, [Kapustin] allege[s] on information and belief, is wholly owned by Hitrinov. *Id.*, ¶ 44.

In addition to providing these shipping services, EUL helped to finance [Kapustin's] purchase of cars, loaning one or more of [Kapustin Global Enterprise or its principals] thousands of dollars. The parties to this action agree on how much was loaned (\$450,120.00); exactly when the loans were extended (five dates beginning on Sept. 20, 2010, and ending with two loans on Dec. 13, 2011); and the interest rate (18% annually or 1 1/2% per month). However, the parties disagree as to whom the loans were made. [Kapustin] maintain[s] that Global alone borrowed the money, while Hitrinov claims that the loan was made to one Sergey Kapustin, and Kapustin and his wife, Irina, control all three of the [Kapustin companies].

Global Auto v. Hitrinov, No. 13-cv-2479, Memorandum at 2 (E.D.N.Y. Nov. 7, 2013) (Memorandum and Order) (Doc. 38) (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix B); Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-5 (records of the loans).) These findings are supported by the Commission record.

10. Kapustin and Empire entered into an agreement pursuant to which Empire would purchase a 60% interest in Kapustin cars. Pursuant to the agreement, the cars would not be sold to customers and Empire would hold the title to cars in which they had an interest. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14 ¶¶ 14-16; Doc. 14-3; Doc. 14-4).)
11. A Global Auto employee named "Svetlana" was the primary Kapustin representative with whom Empire corresponded about the cars transported from the United States to Kotka, Finland, for Kapustin. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14 ¶ 14).)
12. Svetlana corresponded through the email address "account@globalautousa.com." (E.g., emails in Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-3; Doc. 14-4).)
13. Kapustin and Empire agreed that Empire would retain possession of cars and their titles with a total value equal to a 60% interest of the investment vehicles. Before a car would be released in Finland, Kapustin would transfer possession of another car and title to Empire in New Jersey if release of the car in Finland would take Empire's security below 60%. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14 ¶¶ 17-20; Doc. 14-6; Doc. 14-7; Doc 14-8).)
14. Empire maintained, updated, and provided to Kapustin a spreadsheet stating for each investment vehicle transported to Finland the "involve" number; year, make and model of vehicle; VIN; date of receipt in warehouse; date of receipt of title; container in which vehicle

was shipped; “arrived;”¹⁷ dollar amount financed; dollar amount released; and amount still financed. (E.g., Complainants’ Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/88-96); Respondents’ Motion for Judgment on the Pleadings, Exhibit 2 (Email dated January 17, 2013, from Alex Krapivin at Empire to account@globalautousa.com and attachment).)¹⁸

15. The spreadsheet also recorded cars that were transported for Kapustin, but in which Empire did not have a financial interest. These cars were marked on the spreadsheet as “do not put on balance” and no entry was made for dollar amount financed or dollar amount released. (Complainants’ Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/88-96); Respondents’ Motion for Judgment on the Pleadings, Exhibit 2 (Email dated January 17, 2013, from Alex Krapivin at Empire to account@globalautousa.com and attached spreadsheet, spreadsheet at lines 100779 and 100775, listing cars identified in Finding of Fact 72 with notation “do not put on balance”).)
16. The first financial transaction between Kapustin and Empire occurred in September 2010 when Empire agreed to purchase a 60% interest in the cars for \$45,000. (Complainants’ Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14 ¶¶ 14-16; Doc. 14-3/1-3).)
17. On September 14, 2010, Svetlana of Global Auto sent an email to Empire stating: “Please find information about the 2 cars below and an [attachment] with Hummer’s photos. 2008 Lexus LX 570 pearl white, navigation, technology pkg, laser cruise. 2005 Hummer Limo H-2 black 200 inches long. Please contact Sergey if you have any questions.” (Complainants’ Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-3/1).)
18. On September 17, 2010, Hitrinov sent an email to irina@globalautousa.com stating: “Those cars we ready to buy 60% of ownership. We will not release the cars and hold the Titles. Tjose [*sic*] cars MUST be currently NOT sold to any customers. Please confirm.” (Complainants’ Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-4/2).)
19. On September 20, 2010, Hitrinov sent an email to account@globalautousa.com stating: “Those cars we ready to buy 60% of ownership. We will not release the cars and hold the Titles. Those cars MUST be currently NOT sold to any customers.” (Complainants’

¹⁷ The number in this column corresponds to the Empire booking number on the Dock Receipt/Bill of Lading for the shipment of a container.

¹⁸ The spreadsheets in the filings in district court were poorly copied and are difficult to read. Similar, if not identical, spreadsheets are included in Respondents’ Motion for Judgment on the Pleadings, Exhibit 2.

Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-4/2).)

20. On September 20, 2010, Svetlana of Global Auto sent an email to Empire stating: "Per your agreement with our company we are waiting for a payment of \$45000.00. After we will be able to submit you an original certificate of title for Lexus, you will release our containers. Thank you." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-3/2).)
21. On September 28, 2010, Svetlana of Global Auto sent an email to Empire stating: "Please be advised that title for Lexus will be delivered to Roma in NJ today (09/28/2010). So, please remove hold from containers that we were talking about earlier. Please confirm the release. Thank you and have a great day." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-3/3).)
22. On January 12, 2011, Svetlana of Global Auto sent an email to Empire stating: "In addition, we dropped 3 more cars. . . . Please give me an updated balance along with how you estimate the price of our stock." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/2).)
23. On June 19, 2011, Svetlana of Global Auto sent an email to Empire stating:

During next week we expect several containers to arrive in Kotka. Since we do not have enough cars to secure the finance account, we would like to ask your company to unload consolidated containers and those that will arrive soon to Carcont's lot and release them the way you release vehicles from consolidated containers. To avoid any delays with releases we will pay outstanding shipping invoices. In addition, to bring our finance account to a positive balance we will bring cars to load during the week. Please let us know if you have any concerns or call Sergey to discuss and questions.

(Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/3).)

24. On June 20, 2011, Empire representative Alex Krapivin sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/4-8).)
25. On June 21, 2011, Svetlana of Global Auto sent an email to Empire stating: "According to Alex Krapivin, after we brought you following vehicles [BMW, Ford, Harley Davidson], our company needs additional \$9500.00 to be able to get release for [Lexus and Lexus]. We wanted to find out, if it is OK to pay that amount in Kotka. Please let us know."

(Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-7/2).)

26. On July 1, 2011, Svetlana of Global Auto sent an email to Empire stating: "Would you please release the following vehicle [2008 Dodge]. The balance confirmed with Alex." Alex Krapivin and Yuliya Mikhalkovich of Empire confirmed that Dodge could be released. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-7/4-5).)
27. On July 1, 2011, Empire representative Alex Krapivin sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/9-12).)
28. On July 5, 2011, Svetlana of Global Auto sent an email to Empire stating: "Would you please give me an updated balance. We have another 3 cars ready to be loaded. Masha should confirm that." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/13).)
29. On July 14, 2011, Svetlana of Global Auto sent an email to Empire stating: "Would you please sent me our balance sheet?" (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/14).)
30. On August 4, 2011, Empire representative Yuliya Mikhalkovich sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/15-19).)
31. On August 11, 2011, Svetlana of Global Auto sent an email to Empire stating:

Per Sergey's [Kapustin] request we wanted to inform you that currently we have \$31372 available for release of vehicle from Carcont. The total amount that we need for current [release] is \$54333. The problem is that all those vehicles go to Kazakhstan and towing arrive in Kotka. We are planning to bring 2 additional vehicles for shipment they will be on your facility today: 2008 Mercedes-Benz 320 purchased for \$37725.00 . . . 2007 BMW X5 purchased for . . . \$24555.00. That will add up to our account additional \$37368 and bring account total amount of \$68740. We have a delay with titles, they will be sent to us in the beginning of next week. We are asking you if you can release vehicles 3 cars for \$54333 due to [emergency] situation with towing to Kazakhstan. I am sending you purchase and payment proof.

(Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-7/6).)

32. On August 15, 2011, Svetlana of Global Auto sent an email to Empire stating: "Would you please send me a table with our status?" (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/20).)
33. On August 15, 2011, Empire representative Yuliya Mikhalkovich sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/20-24).)
34. On August 16, 2011, Svetlana of Global Auto sent an email to Empire stating: "Mazda Miata was delivered along with a title, would you please add it up in our finance table and send it to me?" (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/25).)
35. On August 16, 2011, Empire representative Yuliya Mikhalkovich sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/25-29).)
36. On August 17, 2011, Empire representative Yuliya Mikhalkovich sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/30-34).)
37. On August 23, 2011, Empire representative Yuliya Mikhalkovich sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/35-39).)
38. On August 26, 2011, Empire representative Yuliya Mikhalkovich sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/40-45).)
39. On September 14, 2011, Empire representative Alex Krapivin sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/49-53).)
40. On September 15, 2011, Svetlana of Global Auto sent an email to Empire stating: "Would you please send me updated table for our finance balance?" (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/46).)
41. On September 15, 2011, Svetlana of Global Auto sent an email to Empire stating: "Would you please update our finance account according to Maria's status and send me the table with the new balance." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/47).)

42. On October 17, 2011, Svetlana of Global Auto sent an email to Empire stating: "Alex, would you please send me our updated table?" (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/54).)
43. On October 25, 2011, Svetlana of Global Auto sent an email to Empire stating: "We brought to you some new vehicles, would you please update our table and send it back to me." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/56).)
44. On October 25, 2011, Empire representative Alex Krapivin sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/56-60).)
45. On November 10, 2011, Svetlana of Global Auto sent an email to Empire stating: "Bill of sale for 2012 Mercedes attached. Would you please update and send new table?" (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/61-62).)
46. On November 15, 2011, Svetlana of Global Auto sent an email to Empire stating: "Alex, would you please send me an updated table?" (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/63).)
47. On November 16, 2011, Empire representative Alex Krapivin sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/63-68).)
48. On December 12, 2011, Svetlana of Global Auto sent an email to Empire stating: "Would you please send our updated table?" (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/69).)
49. On December 19, 2011, Svetlana of Global Auto sent an email to Empire stating: "Would you please send me our updated table?" (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/70).)
50. On December 23, 2011, Empire representative Alex Krapivin sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/71-75).)
51. On January 11, 2012, Irina Kapustina, president of Effect Auto Sales, wrote a letter to Empire stating: "Please be advised that Effect Auto Sales will use Carcont Ltd. as an agent for unloading of all our cars including cars with Empire investment. Global Cargo already made agreement for us with Carcont. We do not need any Empire bill of lading. Please consign all the containers and cars to Carcont." (Respondents' Reply to Complainants')

Response to the Presiding Office's Order to Supplement the Record (filed Aug. 9, 2016) Appendix C.6.)

52. On March 23, 2012, Svetlana of Global Auto sent an email to Empire stating: "Mashenka, just to confirm: [Volkswagen CC, Ford Escape, and Jeep Compass] Should be unloaded directly to Global Cargo lot and are not subject for investment." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-8/3).)
53. On March 23, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please note that the following container is not subject for investment and should be unloaded directly to global Cargo lot [2011 Mitsubishi Lancer, 2011 Mitsubishi Outlander, 2010 Dodge Caliber, 2005 Harley Davidson]." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-8/4).)
54. On March 28, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please note that the following container is not subject for investment and should be unloaded directly to global Cargo [1985 American Motors, 2008 Toyota Yaris, 2011 Mitsubishi Outlander]." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-8/6).)
55. On April 3, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please note that the following vehicles are not subject for investment and should loaded as "GLOBAL" cars. [2009 Toyota Venza, 2009 Subaru Forester, 2012 Mitsubishi Eclipse, 2009 [Nissan] Versa, Toyota Yaris]." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-8/7).)
56. On April 5, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please note that the following container is not subject for investment and should be unloaded directly to Global Cargo lot [2011 Mitsubishi Lancer, 2011 Mitsubishi Galant, 2009 Nissan Versa]." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-8/8).)
57. On April 11, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please note that the following vehicles should be loaded as "CARCONT" and are subject to finance: [2009 ME-BE ML 320, 2009 Toyota Camry, 2009 Toyota Camry, 2009 BMW X5, 2009 Volkswagen Touareg]." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-8/10).)
58. On April 16, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please note that the following vehicles are not subject for investment and should be unload directly to Global Cargo: [12 vehicles listed]." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-8/11).)

59. On April 23, 2012, Svetlana of Global Auto sent an email to Empire stating:

Please note that the following vehicles are not subject for investment and should be unloaded directly to Global Cargo lot:

1977 Mercury VIN 7Z63S586003
2008 Scion XB VIN JTLKE50E581053645
2011 Chevrolet HHR VIN 3GNBABFW0BS619505
2003 Cadillac Escalade VIN 1GYEK63N63R279314
2007 Kawasaki ZX1000D VIN JKAZXCD147A030026
2007 Yamaha XVS1100 VIN JYAVP11Y97A010599
2006 Harley Davidson VIN 1HD1HDZ156K805374
2009 Honda VT750CA VIN JH2RC50759K001310
2005 Honda VT1100C VIN 1HFSC18005A901693
2007 Honda VT600CD VIN JH2PC214X7M820681.

(Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-8/12).)

60. On April 27, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please note that that 2010 Honda Insight . . . is not a subject for investment and should be loaded as 'GLOBAL' car." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-8/13).)
61. On September 21, 2012, Svetlana of Global Auto sent an email to Empire stating: "The table is missing 2011 Saab 9-4x. Please update the balance and send it back to me." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/76).)
62. On September 21, 2012, Empire representative Yuliya Mikhalkovich sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/76-86).)
63. On October 1, 2012, Empire representative Yuliya Mikhalkovich sent a spreadsheet to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/87-96).)
64. On October 15, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please send me our updated table. I need to have the update to request upcoming releases." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/97).)

65. On October 17, 2012, Empire representative Alex Krapivin sent a CAR LIST OF GLOBAL to account@globalautousa.com. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/98).)
66. On October 17, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please update our table, we delivered 2 more titles to you Please send me the updated table." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-6/98).)
67. On October 26, 2012, Igor Azikov of Effect Auto Sales sent an email to Empire stating: "Please send us release for 2010 VW CC VIN: WVWML7AN9AE507141. We dropped off 2008 Mercedes-Benz C300 VIN: WDDGF81X49R073295¹⁹ as a collateral and ready to pay \$100 fee." (Respondents' Reply to Complainants' Response to the Presiding Office's Order to Supplement the Record (filed Aug. 9, 2016) Appendix C.9.) [Nekilepov]
68. On January 25, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please be advised that we will deliver several units (approximately 10-20) of 2011 Mitsubishi Outlander for shipping to Kotka. Please put in your records that those vehicles are not subject for investment. They will be delivered to Kotka and released to Global Cargo." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-7/7).)
69. On October 16, 2012, Svetlana of Global Auto sent an email to Empire asking to release a 2008 Mini Cooper. Empire responded: "Did you deliver 6 cars? We only know about 5. When will the 6 cars be delivered?" Svetlana responded "Per Sergey in yesterday's phone conversation you [agreed] to release the vehicle if we deliver only 5 cars. That is why I requested the release. Please confirm." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-7/8).)
70. On October 25, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please be advised that we delivered a title for 2001²⁰ Jeep Compass VIN#282296 [Rzaeva]. Please release the following vehicle. 2010 Lexus RX 350, 2T2BK1BA3AC027856." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-7/9).)

¹⁹ Nekilepov claims he purchased 2009 Mercedes-Benz C300 VIN WDDGF81X49R073295. I conclude that the email identification of a 2008 Mercedes Benz is a typographical error.

²⁰ Rzaeva claims to have purchased 2011 Jeep Compass VIN 1J4NF5FB7BD282296, but the email refers to a 2001 Compass. The six digits listed in the email as the VIN are the same as the last six digits of the VIN for the 2011 Jeep Compass. I conclude that the email identification of a "2001 Jeep Compass" is a typographical error and the email referred to the "2011 Jeep Compass" that Rzaeva contends she purchased.

71. On November 6, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please release the following vehicle. Please note that we brought 2 titles today of 2009 Tiguan . . . and 2009 C Class VIN#073295 [listing 2010 Volkswagen, 2010 Subaru, 2010 Volkswagen to be released]. Empire responded: "Unfortunately balance for investment is not allow us to make those releases. Please put the balance to the required level." Svetlana responded: "Since the balance for investment does not allow to make releases for 3 vehicles, please release the following: [2010 Subaru, 2010 Volkswagen]" (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-7/10-11).)
72. On November 7, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please see a list of vehicles that are going to be delivered to your warehouse today: [Toyota Venza, Toyota Highlander, Honda Insight, Volkswagen Tiguan, Mazda CX-7]. Per your agreement with Sergey please release the following vehicle [Volkswagen CC]." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-7/12).)
73. On December 10, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please be advised that the 2009 Toyota Camry . . . (flooded before) coming back to your warehouse today to be shipped to Kotka. Please put it back to our balance and load into container." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-7/13).)
74. On December 12, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please see a wire transfer confirmation below for \$10702.00. \$10602 should be applied as a principal payment and \$100 as storage fee. Please remove 2009 MERCEDES-BENZ E3504M [sic] WDBUF87X89B357864 from the balance and release it from your warehouse along with the title." Alex Krapivin responded: "Please see updated statement. After the wire below your balance is still negative: -\$2,783." Svetlana replied: "Please be advised that we are going to deliver 2010 Acura RDX . . . today to your warehouse for shipping. Title will be delivered tomorrow. This car will bring our balance to a positive position. Please apply today's wire \$10602 specifically to release MERCEDES-BENZ E3504M [sic] WDBUF87X89B357864." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-7/14-15).)
75. On December 13, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please be advised that 2010 Acura RDX . . . is delivered to your warehouse along with the title. Please remove 2009 MERCEDES-BENZ E3504M [sic] . . . from the balance and release it from your warehouse along with the title. Please update our balance and send us a new table." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-7/18).)

76. On December 6, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please release the following vehicle. It is not on the balance. [2011 Harley Davidson]." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-8/14).)
77. On December 6, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please release the following vehicle. It is not on the balance. Global Cargo OY. Igor Zadoroznyy [2011 Harley Davidson]." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-8/15).)
78. On December 13, 2012, Svetlana of Global Auto sent an email to Empire stating: "Please release title for 2009 Toyota Venza . . . requested by our insurance company. The vehicle is not on the balance." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-8/16).)
79. Cars in which Empire had a financial interest that were transported for Kapustin (investment vehicles) were delivered to CarCont in Kotka, Finland, and not released to Global Cargo Oy until Empire had acquired possession of other cars and their titles to secure their investment.
80. Cars in which Empire did not have financial interest that were transported for Kapustin were released to Global Cargo Oy.

2010 GMC Acadia VIN 1GKLVNED6AJ138200 – Ovchinnikov

81. On November 12, 2009, the Commonwealth of Virginia issued a car title for 2010 GMC Sport Utility VIN 1GKLVNED6AJ138200 to Ari Fleet LT. (Complainants' Notice of Filing (filed May 4, 2016), Appendix 2.)
82. On an unstated date, Ari Fleet LT signed over the title of the 2010 GMC Acadia to Palisades Dealer Funding LLC LT. (Complainants' Notice of Filing (filed May 4, 2016), Appendix 2.)
83. On August 22, 2012, G-Auto Sales, Inc., issued contract-invoice No. 67779 for 2009 GMC Acadia VIN GKLVDNED6AJ138200 [*sic – see n.11*] to complainant Ovchinnikov with a stated sale price of \$28,900 minus a deposit of \$27,500 plus \$20 for bank commission, leaving a balance of \$1420. (Complainants' Notice of Filing (filed May 4, 2016), Appendix 2.)
84. The G-Auto Sales, Inc., contract-invoice states: "Advance payment of the buyer is not the final purchase of the automobile, but guarantees [its] reservation for the definite term stipulated separately." (Complainants' Notice of Filing (filed May 4, 2016), Appendix 2.)

85. On October 11, 2012, Palisades Dealer Funding LLC LT signed over the title of the 2010 GMC Acadia to Effect Auto Sales, Inc. (Complainants' Notice of Filing (filed May 4, 2016), Appendix 2.)
86. The title for the 2010 GMC Acadia does not identify Ovchinnikov as the owner. (Complainants' Notice of Filing (filed May 4, 2016), Appendix 2.)
87. Empire listed 2010 GMC SLT-2 VIN 1GKLVNED6AJ138200 on its spreadsheet as an "investment vehicle" with a warehouse date of 19 Oct, a title date of 27 Nov, and a balance of \$27,489.00. (Respondents' Motion for Judgment on the Pleadings, Exhibit 2 (Email dated January 17, 2013, from Alex Krapivin at Empire to account@globalautousa.com with attached spreadsheet, spreadsheet at line 104211).)
88. On a date unknown, a dock receipt/bill of lading was issued for container TCNU8761450 containing 2010 GMC Acadia VIN 1GKLVNED6AJ138200, 2010 Acura RDX VIN 5J8TB2H29AA000682, and 2010 Toyota Yaris VIN JTDBT4K31A5282314. (Complainants' Notice of Filing (filed May 4, 2016), Appendix 2.)
89. The dock receipt/bill of lading for container TCNU8761450 identified Empire as the shipper, CarCont as the consignee, Kaethe C. Rickmers as the vessel, New York as the port of loading, and Kotka as the port of discharge. (Complainants' Notice of Filing (filed May 4, 2016), Appendix 2.)
90. The dock receipt/bill of lading for container TCNU8761450 gives the booking number as 038EUL1046438. (Complainants' Notice of Filing (filed May 4, 2016), Appendix 2.)
91. MSC issued Sea Waybill No. MSCUAR381789 for booking reference 038EUL1046438 identifying Empire as the shipper; 12-535WW as the service contract; New York as the port of loading; December 12, 2012, as the shipped on board date; Kotka, Finland, as the port of discharge; CarCont as the consignee; and container TCNU8761450 as the cargo containing 2010 GMC Acadia VIN 1GKLVNED6AJ138200, 2010 Acura RDX VIN 5J8TB2H29AA000682, and 2010 Toyota Yaris VIN JTDBT4K31A5282314. (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix E.)
92. The tracking information for MSC Sea Waybill No. MSCUAR381789 indicates that container TCNU8761450 was released empty to shipper in New York on December 4, 2012, loaded on board December 21, 2012, discharged in Kotka, Finland, on January 11, 2013, out gate full on January 14, 2013, and empty in container yard on January 15, 2013. (Complainants' Notice of Filing (filed May 4, 2016), Appendix 2.)
93. The AES Direct Shipment Record for booking reference 038EUL1046438 and container TCNU8761450 identifies Global Auto Inc. as the shipper and CarCont as the ultimate

consignee. (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix D.)

2011 Jeep Compass VIN 1J4NF5FB7BD282296 – Rzaeva

94. On July 27, 2012, the state of New York issued a car title for 2011 Jeep Compass VIN 1J4NF5FB7BD282296 to Charles T. Pierce. (Comp. Notice of Filing (May 4, 2016) Appendix 1.)
95. On October 5, 2012, G-Auto Sales, Inc., issued contract-invoice No. 98324 for 2011 Jeep Compass VIN 1J4NF5FB7BD282296 to complainant Rzaeva with a stated sale price state of \$15,900 plus \$20 for bank commission. (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix B.)
96. The G-Auto Sales, Inc., contract-invoice states: "Advance payment of the buyer is not the final purchase of the automobile, but guarantees [its] reservation for a definite term stipulated separately." (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix B.)
97. On October 10, 2012, Pierce signed over the title for the 2011 Jeep Compass to Saw Mill Auto Sales. (Comp. Notice of Filing (May 4, 2016) Appendix 1.)
98. The title for the 2011 Jeep Compass does not identify Rzaeva as the owner. (Comp. Notice of Filing (May 4, 2016) Appendix 1.)
99. On October 24, 2012, Saw Mill Auto Sales issued a Retail Certificate of Sale of the 2011 Jeep Compass to Effect Auto Sales, Inc. (Comp. Notice of Filing (May 4, 2016) Appendix 1.)
100. Empire listed 2011 Jeep Compass VIN 1J4NF5FB7BD282296 on its spreadsheet as an "investment vehicle" with a warehouse date of 18 Oct, a title date of 25 Oct, and a balance of \$15,019.00. (Respondents' Motion for Judgment on the Pleadings, Exhibit 2 (Email dated January 17, 2013, from Alex Krapivin at Empire to account@globalautousa.com with attached spreadsheet, spreadsheet at line 103783).)
101. On a date unknown, a dock receipt/bill of lading was issued for container TGHU8737440 containing 2011 Jeep Compass VIN 1J4NF5FB7BD282296 [Rzaeva], 2009 Mercedes-Benz C300 VIN WDDGF81X49R073295 [Nekilepov], and 2009 Volkswagen Tiguan VIN WVGBV75N29W525297. (Comp. Notice of Filing (May 4, 2016) Appendix 1.)
102. The dock receipt/bill of lading for container TGHU8737440 identified Empire as the shipper, CarCont as the consignee, Kaethe C. Rickmers as the vessel, New York as the port of

loading, and Kotka as the port of discharge. (Comp. Notice of Filing (May 4, 2016) Appendix 1.)

103. The dock receipt/bill of lading container TGHU8737440 gives the booking number as 038EUL1039353. (Comp. Notice of Filing (May 4, 2016) Appendix 1.)
104. MSC issued Sea Waybill No. MSCUAR315118 for booking reference 038EUL1039353 identifying Empire as the shipper; 12-535WW as the service contract; New York as the port of loading; November 16, 2012, as the shipped on board date; Kotka, Finland, as the port of discharge; CarCont as the consignee; and container TGHU8737440 as the cargo containing 2011 Jeep Compass VIN 1J4NF5FB7BD282296 [Rzaeva], 2009 Mercedes-Benz C300 VIN WDDGF81X49R073295 [Nekilepov], and 2009 Volkswagen Tiguan VIN WVGBV75N29W525297. (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix E.)
105. The tracking information for MSC Sea Waybill No. MSCUAR315118 indicates that container TGHU8737440 was released empty to shipper in New York on November 6, 2012, loaded on board November 15, 2012, discharged in Kotka, Finland, on December 7, 2012, out gate full on December 11, 2012, and empty in container yard on December 17, 2012. (Complainants' Notice of Filing (filed May 4, 2016), Appendix 1.)
106. The AES Direct Shipment Record for booking reference 038EUL1039353 and container TGHU8737440 identifies Global Auto Inc. as the shipper and CarCont as the ultimate consignee. (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix D.)

2009 Mercedes-Benz C300 VIN WDDGF81X49R073295 – Nekipelov

107. On May 14, 2009, the state of New York issued a car title for 2009 Mercedes-Benz C300 VIN WDDGF81X49R073295 to Daimler Trust. (Comp. Notice of Filing (May 4, 2016) Appendix 3.)
108. On June 26, 2012, Daimler Trust transferred the title for 2009 Mercedes-Benz C300 to Effect Auto Sales. (Resp. Reply to Complainants' Response to Ord. Supp. Record (filed August 9, 2016) Appendix C-3.)
109. The title for the 2009 Mercedes-Benz C300 does not identify Nekipelov as the owner. (Comp. Notice of Filing (May 4, 2016) Appendix 3.)
110. On October 24, 2012, G-Auto Sales, Inc., issued contract-invoice No. W4722 for 2009 Mercedes-Benz C300 VIN WDDGF81X49R073295 to complainant Nekipelov with a stated

sale price state of \$19,900 plus \$20 for bank commission. (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix B.)²¹

111. The G-Auto Sales, Inc., contract-invoice states: "Advance payment of the buyer is not the final purchase of the automobile, but guarantees [its] reservation for the definite term stipulated separately." (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix B.)
112. On October 25, 2012, Igor Azikov of Effect Auto Sales sent an email to Hitrinov stating: "We would like to get a release for 2010 VW We dropped off 2008 [*sic*] Mercedes-Benz C300 VIN WDDGF81X49R073295 as a collateral and ready to pay \$100 fee. Please send us release at your earliest convenience." (Respondents' Motion for Judgment on the Pleadings, Exhibit 15 (Email dated October 25, 2012, from Igor Azikov to Hitrinov).)
113. Empire listed 2009 Mercedes-Benz C300 VIN WDDGF81X49R073295 on its spreadsheet as an "investment vehicle" with a warehouse date of 25 Oct, a title date of 6 Nov, and a balance of \$18,157.00. (Respondents' Motion for Judgment on the Pleadings, Exhibit 2 (Email dated January 17, 2013, from Alex Krapivin at Empire to account@globalautousa.com with attached spreadsheet, spreadsheet at line 103783).)
114. On a date unknown, a dock receipt/bill of lading was issued for container TGHU8737440 containing 2011 Jeep Compass VIN 1J4NF5FB7BD282296 [Rzaeva], 2009 Mercedes-Benz C300 VIN WDDGF81X49R073295 [Nekilepov], and 2009 Volkswagen Tiguan VIN WVGBV75N29W525297. (Comp. Notice of Filing (May 4, 2016) Appendix 1.)
115. The dock receipt/bill of lading for container TGHU8737440 identified Empire as the shipper, CarCont as the consignee, Kaethe C. Rickmers as the vessel, New York as the port of loading, and Kotka as the port of discharge. (Comp. Notice of Filing (May 4, 2016) Appendix 1.)
116. The dock receipt/bill of lading for container TGHU8737440 gives the booking number as 038EUL1039353. (Comp. Notice of Filing (May 4, 2016) Appendix 1.)
117. MSC issued Sea Waybill No. MSCUAR315118 for booking reference 038EUL1039353 identifying Empire as the shipper; 12-535WW as the service contract; New York as the port of loading; November 16, 2012, as the shipped on board date; Kotka, Finland, as the port of discharge; CarCont as the consignee; and container TGHU8737440 as the cargo containing 2011 Jeep Compass VIN 1J4NF5FB7BD282296 [Rzaeva], 2009 Mercedes-Benz C300 VIN WDDGF81X49R073295 [Nekilepov], and 2009 Volkswagen Tiguan VIN

²¹ There is no English translation of this document. For this decision, it is assumed that Nekipelov is the purchaser.

WVGBV75N29W525297. (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix E.)

118. The tracking information for MSC Sea Waybill No. MSCUAR315118 indicates that container TGHU8737440 was released empty to shipper in New York on November 6, 2012, loaded on board November 15, 2012, discharged in Kotka, Finland, on December 7, 2012, out gate full on December 11, 2012, and empty in container yard on December 17, 2012. (Complainants' Notice of Filing (filed May 4, 2016), Appendix 1.)
119. The AES Direct Shipment Record for booking reference 038EUL1039353 and container TGHU8737440 identifies Global Auto Inc. as the shipper and CarCont as the ultimate consignee. (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix D.)

2009 Toyota Camry VIN 4T1BE46K19U306703 – Nurgazinov

120. On October 17, 2012, the Commonwealth of Virginia issued a car title for 2009 Toyota Camry VIN 4T1BE46K19U306703 to Toyota Motor Credit Corp. (Respondents' Reply to Complainants' Response to the Presiding Office's Order to Supplement the Record (filed Aug. 9, 2016) Appendix C.4.)
121. On November 5, 2012, Toyota Motor Credit Corp. signed over the title for the 2009 Toyota Camry to Effect Auto Sales, Inc. (Respondents' Reply to Complainants' Response to the Presiding Office's Order to Supplement the Record (filed Aug. 9, 2016) Appendix C.4.)
122. The title for the 2009 Toyota Camry does not identify Nurgazinov as the owner. (Respondents' Reply to Complainants' Response to the Presiding Office's Order to Supplement the Record (filed Aug. 9, 2016) Appendix C.4.)
123. On November 29, 2012, G-Auto Sales, Inc., issued contract-invoice No. 67936 for 2009 Toyota Camry VIN 4T1BE46K19U306703 to complainant Nurgazinov with a stated sale price state of \$12,900 minus a deposit of \$10,500 plus \$20 for bank commission, leaving a balance of \$2420. (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix B.)
124. The G-Auto Sales, Inc., contract-invoice states: "Advance payment of the buyer is not the final purchase of the automobile, but guarantees [its] reservation for the definite term stipulated separately." (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix B.)
125. Empire listed 2009 Toyota Camry VIN 4T1BE46K19U306703 on its spreadsheet as an "investment vehicle" with a warehouse date of 14 Nov, a title date of 27 Dec, and a balance of \$10,700.00. (Respondents' Motion for Judgment on the Pleadings, Exhibit 2 (Email dated

January 17, 2013, from Alex Krapivin at Empire to account@globalautousa.com with attached spreadsheet, spreadsheet at line 104452).)

126. On a date unknown, a dock receipt/bill of lading was issued for container TCKU9873233 containing 2009 Toyota Camry VIN 4T1BE46K19U306703, 2009 BMW X6 VIN 5UXFG43569L223352, 2009 Toyota Prius VIN JTDKB20U897858466, and two engines on pallets. (Complainants' Notice of Filing (FMC No. 1953(I)) (filed May 2, 2016).)
127. The dock receipt/bill of lading for container TCKU9873233 identified Empire as the shipper, CarCont as the consignee, MSC Sarah as the vessel, New York as the port of loading, and Kotka as the port of discharge. (Complainants' Notice of Filing (Inf. No. 1953(I)) (filed May 2, 2016).)
128. The dock receipt/bill of lading for container TCKU9873233 gives the booking number as 038EUL1045297. (Complainants' Notice of Filing (Inf. No. 1953(I)) (filed May 2, 2016).)
129. MSC issued Sea Waybill No. MSCUAR409341 for booking reference 038EUL1045297 identifying Empire as the shipper; 12-535WW as the service contract; New York as the port of loading; January 13, 2013, as the shipped on board date; Kotka, Finland, as the port of discharge; CarCont as the consignee; and container TCKU9873233 as the cargo containing 2009 Toyota Camry VIN 4T1BE46K19U306703, 2009 BMW X6 VIN 5UXFG43569L223352, 2009 Toyota Prius VIN JTDKB20U897858466, and two engines on pallets. (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix E.)
130. The tracking information for MSC Sea Waybill No. MSCUAR409341 indicates that the departure date for the container was January 13, 2013, with transshipment in Bremerhaven, DE, and port of discharge Kotka, Finland. (Respondents' Response to the Presiding Officer's June 29 Order to Supplement the Record (filed July 26, 2016) Attachment 7D.)
131. The AES Direct Shipment Record for booking reference 038EUL1045297 and container TCKU9873233 identifies Global Auto Inc. as the shipper and CarCont as the ultimate consignee. (Complainants' Response to Respondents' Motion for Judgment on the Pleadings, Appendix D.)
132. On January 28, 2013, Hitrinov sent an email to Sergey Kapustin stating: "It has come to my attention that you have taken actions detrimental to our jointly owned assets without my knowledge and consent. Therefore, I urge you to cease any further steps which may cause irreparable damage to our business venture and contact my office immediately to resolve all outstanding issues. I hope we can resolve this problem amicably." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-11/2).)

133. On February 7, 2013, Irina Kapustina responded by email to Hitrinov, stating: "I understand very well your position and hope that when we return to the USA, we shall achieve an understanding and will continue our cooperation. Namely, cooperation, and that means that one side cannot pronounce a verdict so sharply and stop the entire process in one blink. You have decided that you no longer want to have an ownership in the cars inventory. Ok. We have nothing against it. . . . You no longer wish to add cars to your balance sheet." (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A (Doc. 14-12/2).)
134. Empire sold the cars that Complainants contend they purchased and used the proceeds against the outstanding principal of Empire's loan to Kapustin. (Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix A, Doc. 14/¶ 40 (May 23, 2013, Declaration of Hitrinov) ("Given Kapustin's repudiation of any further performance of our agreement, and fearing that Kapustin/plaintiffs were taking affirmative steps to deprive EUL of its security interest in the Investment Vehicles located in Kotka, I directed that they be removed from that location and ultimately sold to third party buyers to satisfy plaintiffs' indebtedness to EUL. In fact, the sale of all but four units (2 vehicles, a boat, and a boat trailer) has now taken place to buyers in CIS countries, with the proceeds to be applied to the outstanding principal due EUL and any additional amounts due EUL for storage.").)

V. ARGUMENTS IN EMPIRE'S MOTION.

Empire asserts three grounds to support its motion for judgment on the pleadings. First, Empire contends that the Commission lacks jurisdiction because Empire did not operate as an NVOCC on the shipments of the cars claimed by Complainants. Second, Empire contends that Complainants lack standing to bring the claims because Complainants were not parties to the contracts of carriage. Third, Empire contends that the complaints fail to state claims upon which relief may be granted.

A. Subject Matter Jurisdiction over the Allegations in the Complaints Has Not Previously Been Determined.

Before addressing Empire's arguments, it is necessary to respond to Complainants' contention that:

[T]he question of whether or not the Commission has jurisdiction over this matter has already been answered twice, in the affirmative. First, in the Presiding Officer's Order Denying Respondents' Motion for Stay, dated April 27, 2016 (See Appendix "A"); and second, by the Presiding Officer during the telephonic conference and ensuing ruling on May 3, 2016.

(Opposition at 3.) Complainants do not cite a page in the April 27, 2016, Order, but apparently are referring to the statement “the Commission has jurisdiction over violations of the Shipping Act, not the district court.” *Ovchinnikov v. Empire*, FMC No. 15-11, Order at 8 (ALJ Apr. 27, 2016) (Order Denying Respondents’ Motion for Stay).

Complainants misconstrue this statement. It merely states that the Commission, not the district court, has subject matter jurisdiction over the Shipping Act. It is not a finding that the Commission has subject matter jurisdiction over the allegations in these complaints. **Complainants do not set forth the statement made in the telephone conference that they believe is a finding of subject matter jurisdiction.**

Subject matter jurisdiction over the allegations in the complaints has not previously been determined.

B. Empire’s Motion for Dismissal on the Ground That It Did Not Operate as an NVOCC Is Denied.

Empire contends that the complaints should be dismissed for lack of subject matter jurisdiction because although Empire is licensed by the Commission as an NVOCC, it did not operate as an NVOCC on the shipments of the four cars that Complainants contend they purchased. If Empire did not operate as an NVOCC on the shipments, Empire argues, it is not subject to the provisions of the Act regulating common carriers for those shipments. Empire bases this argument on its financial interest in the cars.

As explained above, and as detailed in the Hitrinov Declaration (and Exhibits thereto), the arrangement between EUL and Global Auto Enterprise^[22] was a joint investment agreement, under which EUL had a 60 percent ownership interest in each vehicle being transported. EUL did not issue house bills of lading to Global Auto Enterprise for the transportation. Rather, as explained by Mr. Hitrinov, both EUL and Global Auto Enterprise relied on the master bills issued by MSC. Accordingly, EUL was not an NVOCC in relation to these shipments, but rather a beneficial cargo owner transporting cargo for its own account.

(Respondents’ Motion for Judgment on the Pleadings at 8.) *See* FF 9.

Complainants contend that determining whether an entity operated as an NVOCC on a shipment is a fact intensive inquiry. Empire holds itself out as an NVOCC. The question is whether it assumed responsibility for the transportation of Complainants’ cars.

Resolution of that factual question requires an examination of an entity’s conduct on a particular shipment to determine whether it operated as either an NVOCC or an

²² *See* n.10.

Ocean Freight Forwarder on that shipment. *See, Worldwide Relocations, Inc. – Possible Violations of Sections 8, 10, and 19 of the Shipping Act of 1984 as Well as the Commission’s Regulations at 46 C.F.R. 515.13, 515.21, and 520.3, 32 S.R.R. 495, 503 (FMC 2012); (quoting Worldwide Relocations, Inc. – Possible Violations, 31 S.R.R. 1471, 1519 (ALJ 2010)).*

(Complainants’ Response to Motion for Judgment on the Pleadings at 10.)

Complainants contend that the facts in the record support a finding that Empire operated as an NVOCC on the shipments. First, Empire entered into a service contract with MSC in which it certified its shipper status as an NVOCC, not an owner. MSC transported the cars pursuant to that service contract. Second, the district court in the New York case

found that there was a “substantial question” regarding whether EUL was authorized to sell the subject automobiles in that EUL was unable to produce a written agreement documenting its rights in the subject automobiles, and in that the aforementioned Mr. Kapustin as shipper of the vehicles to the owners who had purchased them also claimed that the vehicles had been illegally sold.

(Complainants’ Response to Motion for Judgment on the Pleadings at 11-12.)

As the New York court found, there is a substantial question of whether Empire was authorized to sell the cars. The Commission does not have jurisdiction to resolve legal question related to the loan between Empire and Kapustin and whether Kapustin had the legal right to sell investment vehicles in which Empire claimed a security interest, whether Empire’s rights in investment vehicles outweighed the rights of persons claiming to have purchased an investment vehicle from Kapustin in violation of any Empire/Kapustin agreement, and whether Empire was authorized to sell investment vehicles that Complainants contend they purchased or whether the Empire/Kapustin loan means that Empire had a right to sell investment vehicles. These questions are currently before the New Jersey court where “through the assignment of the [Kapustin] entities’ claims against the [Empire] defendants, the 21 plaintiffs [other Kapustin customers in the New Jersey case] who were victims of Kapustin’s and the Global entities’ fraud are now prosecuting the claims of the Global entities against the [Empire] defendants.” *Akishev v. Kapustin*, No. 13-cv-07152 (NLH) (AMD), slip op. at 23 (D.N.J. Dec. 8, 2016) (Opinion) (Doc. 395), attached to Complainants’ Status Report filed with the Commission January 15, 2017.

Furthermore, Effect Auto (or Daimler Trust – FF 107-109), not Empire, is identified as the owner of the cars on the titles, Global Auto, not Empire, is identified as the shipper of the cars on the forms filed with Customs, and MSC transported the cars by water pursuant to a service contract in which Empire represented that it was shipping the cars as an NVOCC, not as an owner. Given these facts, despite the authority to resolve issues of fact at this stage when subject matter jurisdiction is challenged, *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. at 136, I conclude

that it is not appropriate to issue an initial decision on the pleadings finding that Empire did not operate as an NVOCC on the shipments of the cars claimed by Complainants.

C. Empire's Motion for Dismissal on the Ground That the Commission Does Not Have Subject Matter Jurisdiction Is Granted.

It is undisputed that the cars Complainants claim to have purchased were transported by water from a port or point in the United States to a port or point in Finland. It is assumed for this portion of the decision that Empire operated as an NVOCC on the shipments to Finland of the four cars claimed by Complainants. It is also undisputed that after the cars arrived in Finland, Empire did not deliver the cars to Complainants, and eventually sold²³ the cars to persons other than Complainants to cover debts Empire alleges are owed to it by Kapustin for the loans that enabled Kapustin to buy the cars. Complainants contend that Empire's failure to deliver the cars to them violated the Shipping Act.

While it is assumed that Empire operated as an NVOCC on the shipments, it is not assumed that Complainants were the consignees of the shipments or that the contracts of carriage required Empire to deliver the cars to Complainants. Complainants have come to the Commission seeking an award of reparations that would compensate them for the money that they lost in their attempt to purchase cars from Kapustin and his companies. The Commission only has jurisdiction to order Empire to compensate Complainants for an actual injury that was proximately caused by a violation of the Shipping Act. 46 U.S.C. § 41305. For Complainants to have standing and for the Commission to have subject matter jurisdiction to determine whether Empire violated the Shipping Act, Complainants must prove by a preponderance of the evidence that they were the consignees on the shipments. For the reasons stated below, Complainants fail to prove they were consignees on the shipments.

1. Motion and opposition.

a. Empire's motion.

Empire contends that the Commission does not have jurisdiction over the complaints because Complainants do not have standing to seek reparations for their claimed injuries.

Even if the Commission has subject matter jurisdiction over these claims by strangers to the transportation, it is clear that such outside parties have no standing under the Shipping Act to seek reparations for their perceived injuries. The Shipping Act authorizes an award of reparations only to those directly injured by alleged violations, not those whose injuries are secondary, tertiary, or otherwise an indirect result of the alleged violations. In *The Government of the Territory of Guam v. Sea-Land Service*,

²³ Hitrinov says that CarCont sold one of the cars. (Respondents' Motion for Judgment on the Pleadings, Affirmation of Michael Hitrinov ¶ 26.)

Inc., [29] S.R.R 894, 902 (ALJ, Admin. Final 2002), for example, Judge Dolan ruled that only those who paid the ocean freight directly to the carrier could seek reparations. In particular, he held that where the ocean freight was directly paid by mainland shippers, consignees in Guam were ineligible for reparations even though the cost of such ocean freight had been passed on to them. He there explained: “Uniformly, the rule has been deemed to require rejection of reparations claims by persons who . . . claim reparations by arguing that the direct payor passed the charges on to it.” To like effect see *Trane Co. v. South African Marine*, 19 FMC 375, 378, n.9 & accompanying text (Init. Dec., adopted 1976) (“complainant must show that that he has paid the freight or has succeeded to the claim in a valid fashion, such as by assignment”); *Tradecheck, LLC v. Sea-Land Service, Inc.*, 27 S.R.R 334 (Settlement Officer 1995) (“Inasmuch as Tradecheck [lacks] any cargo interest, or bill of lading relationship with any of the concerned carriers, it is clear that Tradecheck can demonstrate no actual injury arising from any of the alleged violations”); *Procter & Gamble Manufacturing Co. v Lykes Bros. SS. Co.*, 25 S.R.R 1370, 1371 (Settlement Officer 1991) (Parent company of shipper ineligible to file claim for reparations because the subsidiary “paid the applicable charges and suffered any injury that might have resulted therefrom”).

Complainants do not allege that they paid anything directly to Respondents. Quite to the contrary, they assert that Respondents were paid by Global Auto Enterprise. As at most indirect purchasers, Complainants suffered no “actual injury” and are therefore barred from collecting reparations by the “first purchaser” rule applied under the Shipping Act (as well as under federal antitrust law).

(Respondents’ Motion for Judgment on the Pleadings at 13-14.)

b. Complainants’ opposition.

Complainants argue that even though they are not identified in the shipping documents, they were injured as a result of Empire’s violations of the Shipping Act.

Respondents’ myopic analysis of cases regarding who may assert claims for violations of the Shipping Act wholly ignores a crucial fact, to wit: that the Complainants herein, although not identified as shippers of record on various shipping documents proffered by Respondents, were directly injured as a result of the Respondents’ violations of the Shipping Act. In the first instance, it is not the standing of Complainants to file complaints that raises serious questions herein. Rather it is the subject matter of the activity complained of, that raises questions, namely, whether Respondents’ conduct falls within the purview of the sections of the 1984 Act alleged to have been violated. See, *Sea-Land Dominicana, S.A. And Sea-Land of Puerto Rico, Inc. v. Sea-Land Service, Inc.*, 1992 WI 231208, 26 S.R.R 578 (FMC 1992).

Section 11(a) of the 1984 Act, 46 U.S.C. app. § 1710, provides that “*any*” person may file a complaint to allege a violation of the Act and may seek reparation for *any* injury caused *as a result of that violation*. A contractual relationship between the parties is not required to support a complaint under section 11(a) of the 1984 Act. For the purpose of standing, *it is sufficient for complainant to allege injury and charge the respondent with its cause*. See, *Cargill, Inc. v. Waterman Steamship Corp.*, 21 S.R.R. 287, 300 (1981) (emphasis added); (supplier to shipper has standing to file complaint under section 22 of the 1916 Act even if not alleging injury to itself); see also, *Chilean Nitrate Sales Corp. v. Port Of San Diego, San Diego Unified Port District*, 1988 WL 340644, FMC No. 1582(I), (By the Commission April 29, 1988) (Order of Remand); *Streak Products, Inc. v. UTI, United States, Inc.*, 2013 WL 9808687, FMC No. 13-04 (ALJ October 23, 2013) (Order Denying Respondent's Motion to Dismiss).

(Complainants' Response to Respondents' Motion for Judgment on the Pleadings at 2-3 (emphasis in original.)

2. June 29, 2016, Order for Parties to Supplement the Record

To facilitate the Commission's determination of jurisdiction, the parties were ordered to identify each common carrier that they contend assumed responsibility for transportation of each car at issue, and for each carrier, identify the shipper or shippers, the consignee or consignees, the port or point of origin, the date the shipment began, the port or point of delivery, the date of delivery, and the entity that directly paid each common carrier for the transportation by water. *Ovchinnikov v. Empire*, FMC No. 15-11 (ALJ June 29, 2016) (Order for Parties to Supplement the Record). In their responses, the parties agree that CarCont was the consignee on the MSC sea waybills for the cars. (Complainants' Response to Order for Parties to Supplement the Record (filed July 26, 2016) at 4 (“With respect to MSC as carrier, for all four vehicles at issue in this matter the consignee is Carcont”); Respondents' Response to the Presiding Officer's June 29 Order to Supplement the Record (filed July 26, 2016) at 7.) No party claims that the cars were not delivered to CarCont as required by the MSC sea waybills.

As Complainants concede, no documents related to the shipments identify Complainants as consignees on the transportation by water from the United States to Finland. Complainants contend that Complainants were (or should have been) consignees on bills of lading issued by (or that should have been issued by) Empire. Empire contends that even if it is assumed that Empire operated as an NVOCC on the shipments, Complainants were not and would not have been the consignees on the shipments.

a. Complainants' response to the June 29, 2016, order and Empire's response to Complainants to the consignee question.

(1) Complainants' response to the Order.

In their response to the June 29, 2016, order, Complainants contend that Empire was obligated to deliver the cars to them as consignees.

With respect to EUL as carrier, for all four vehicles at issue in this matter the consignees were the Complainants. In support of this response, the Presiding Officer is referred to the following:

- A. The contracts of sale for the automobiles between G-Auto Sales, Inc. as seller and each of the Complainants as buyer, referenced above. By virtue of the contracts of sale, the buyers/complainants were the **ultimate consignees** for the automobiles;
- B. Additionally, Complainants rely upon the document entitled "U.S. Customs and Border Protection Field Operations, New York Informational Pipeline No. 08-012-NWK", annexed to Complainants' Notice of Filing of May 4, 2016 as Appendix "4", which provides Procedures for Exporting Used Vehicles and explains that respondents were required to provide consignee information to CBP which "... must be legible and complete."
- C. The Declaration in Support of Order to Show Cause for Preliminary Injunctive Relief, of Irina Kapustina, President of Effect Auto Sales Inc., dated May 29, 2013 (from the matter of *Global Auto Inc. et al., v. Michael Hitrinov et al.*, U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-2479) a copy of which is annexed hereto as Appendix "C", which explains that the subject automobiles "... should have been released and the ultimate end purchaser should have received their vehicle in a timely fashion. . ." (p. 5, ¶ "9" of the Declaration of Irina Kapustina); and
- D. The Memorandum and Order of the Honorable Sandra L. Townes (Appendix "B" which explains that "... the vehicles had already been pre-sold to customers overseas. . ." (p. 4 of the Memorandum and Order).

(Complainants' Response to Order for Parties to Supplement the Record (filed July 26, 2016) at 4-5 (emphasis in original).)

(2) Empire's response to Complainants.

Empire responded to Complainants' arguments "based on the . . . assumption that Empire acted as an NVO with respect to the shipments at issue." (Respondents' Reply to Complainants' Response to the Presiding Officer's Order to Supplement the Record (filed Aug. 8, 2016) at 2.)

CarCont was also the consignee with respect to Empire. Complainants attempt desperately to appropriate that role, naming themselves as the "ultimate consignees." Whatever Complainants choose to call themselves, they cannot bootstrap themselves into the legal status of consignee by mere nomenclatural legerdemain. As shown in Respondents' Initial Supplement, Complainants stretch the term "consignee," which means the consignee identified on the contract of affreightment, beyond any bounds cognizable under the Shipping Act. Indeed, they themselves recognize the true consignee when they say in their answer to Question 6 that "[w]ith respect to EUL as [assumed] carrier, the point of delivery was: CarCont LTD." If that was the point of delivery, then CarCont was the consignee. Furthermore, as previously identified, the very AESDirect forms incorrectly relied upon by Complainants identify CarCont as the "ultimate consignee." See **Appendix B -4**.

Remarkably, in the roughly nine months this proceeding has been ongoing, through multiple rounds of supplemental documents, as well as appendices/attachments, Complainants have yet to identify a single document, or a single witness statement, tying any of the Complainants to any of the transportation arrangements. Their names do not appear on any of the actual shipping documents; they recognize that they were not a shipper on any documents; and they have made no showing that Empire even knew who they were until well after the transportation was finished. This by itself is dispositive.

The shippers' instructions in this case are also directly contrary to Complainants' position. As addressed above, the only instructions Empire had from Global were contained in the agreed-upon Dock Receipt/Bill of Lading (in some cases titled Master Bill of Lading). Under those instructions, Empire's role as assumed NVO ended when the containers were turned over to CarCont at the port. After that, the transportation was entirely between Global, through its agent Global Cargo Oy, and CarCont. As explained above, at that point all CarCont charges, such as unloading and storage, were for the account of Global. Moreover, when Global wanted the four cars released, it sent a request to CarCont. Kapustin Aff. App. 21. Each plainly requests CarCont to release the vehicle to a specific individual designated by Global Cargo Oy (acting as stated thereon as agent for all Global companies). Neither Complainants, the other purchasers of the same vehicles, nor any other downstream entity was included within the instructions. Thus, CarCont lacked any authority to release the vehicles to Complainants, and they may not be considered consignees.

Complainants' lack of any recognized relationship to the transportation agreements is reinforced by the very documents to which they cite. The invoices from G-Auto are not only unreliable and possibly falsified, but at best constitute agreements for the purchase of goods; they have absolutely no bearing on the transportation arrangements. If those invoices impose a delivery obligation on anyone, it is Global, not Empire. See n.19, above. It is no different than if someone in Argentina bought a wood-burning stove online from Sears and Sears shipped it from the United States to its own warehouse or agent in Argentina for subsequent pickup by or delivery to the customer. Nobody familiar with the Shipping Act would even suggest that the customer is the consignee – ultimate or otherwise.

Complainants' reliance on the CBP document is astonishing. Even apart from the absence of any relationship to the Shipping Act, Empire did indisputably provide consignee information to CBP, properly identifying CarCont as the consignee. Thus, this document supports Respondents, not Complainants.

Complainants next toss into the ring a Declaration of Irina Kapustina in a totally different matter, which reads curiously much more like a legal memorandum than a statement by a fact witness. We see no basis on which to admit, much less rely upon, such a document. In any event, it is hardly surprising that a person accused of failing to deliver vehicles and actually selling the same vehicles to multiple customers (as occurred here) would make such statements without of course providing any supporting evidence) in order to shift blame elsewhere. Furthermore, Ms. Kapustina states that she is making the Declaration in her capacity as President of Effect Auto, not G-Auto (para. 1) and confirms that the cars were owned by Effect Auto, *not* G-Auto. This actually disproves Complainants' theory that they were consignees by virtue of invoices from G-Auto.

Moreover, if one examines the statement closely, it actually says nothing of relevance, even as misquoted by Complainants. Ms. Kapustina first says that the automobiles "should have been released." That is true only if Global requested release and met the prerequisites to release. Global did neither. As previously noted, it is truly remarkable that Complainants have not identified even a single document or other shred of evidence showing that *anyone* – much less Global – ever made a request to Empire for release of these cars. Given that Complainants' counsel was Global's counsel at that time and in the EDNY litigation, the absence of any such evidence is virtually conclusive proof to the contrary. Moreover, Complainants have misleadingly elided the beginning of the statement, which reads: "***Our*** vehicles should have been released. . . ." (Emphasis added). See **Appendix B-9**. When the quote is thus corrected, it becomes quite clear that Ms. Kapustina is talking about release to Global, not to unidentified persons who might have purchased the cars from a different entity (or been one of several to do so).

Ms. Kapustina also says that “the ultimate end purchaser should have received their vehicle in a timely fashion.” They certainly should have, but it was Global, not Empire, that was obligated to deliver the cars to the Complainants (see n.19, above); and it was Global, not Empire, that failed both to request release and to meet the requirements for release. Had Global done so, it would have received the vehicles and would have been able to timely deliver them to Complainants (or to the other buyers to whom Global sold the same vehicles).

Moreover, the Kapustina allegations in this Declaration are flatly contrary to: (i) her own letter to Mr. Hitrinov admitting Empire’s ownership interest in the Investment Vehicles, Kapustin Aff. App. 3. (ii) the Affirmation of Mr. Kapustin, head of the Global Auto Enterprise, stating that Empire was well within its rights to retain the vehicles Kapustin Aff. Para. 13, 14, 61. and (iii) the letter from Ms. Kapustina to Mr. Hitrinov stating that Global would use CarCont as its agent. **Appendix C-6.**

Complainants cite a statement in the Townes Memorandum II to the effect that the vehicles had already been pre-sold to customers overseas. **See Appendix B-7.** This is another instance of Complainants’ misdirection by redaction. As the more fulsome quote shows, Judge Townes was not stating facts, or otherwise giving the statements her imprimatur, but merely reciting what was said in Plaintiffs’ motion (which she denied) for a TRO and preliminary injunction, and the specific term “pre-sold” was taken directly from declarations by Plaintiffs in support of their motion (as shown by the quotation marks employed by Judge Townes):

Plaintiffs [Kapustin companies] moved for a temporary restraining order and preliminary injunction, seeking a mandatory injunction directing Defendants [Empire] to release, or cause the storage facilities having possession of the cars to release, the automobiles listed in Exhibit C to the Complaint. In support of their motion, Plaintiffs filed three nearly identical declarations [from Ms. Kapustina, Mr. Kapustin, and Mr. Goloverya]. All three declarations state that, on various dates between March 2010 and December 2012, the declarant entered into multiple separate contracts with EUL to ship vehicles to Finland. At the time the vehicles were delivered to EUL, the vehicles had already been ‘pre-sold to customers overseas.’ Kapustina Dec., ¶ 6; Kapustin Dec, ¶ 6; Goloverya Dec., ¶ 6.” **Appendix B-7, at p.4.**

Moreover, as discussed above and in Respondents’ Initial Supplement, there is considerable doubt about these “sales.” According to Mr. Kapustin, each of the Complainants still owes money for the vehicle, and so has a “reservation” rather than a purchase. He also alleges that the invoices have been falsified. Moreover, at least

some of the vehicles have invoice dates well before Effect Auto obtained ownership. And each of the cars was also “pre-sold” by Global to at least one other person. In any event, any such sale was totally unknown to Empire and contrary to its agreement with Global. *Hitrinov Aff.* para. 32; *Kapustin* para. 29, 30.

In any event, we have already shown that these purported “invoices” are not maritime contracts and have no relevance to answering the question at hand – who was the consignee? Complainants’ position thus boils down to the claim that a common carrier is required to deliver cargo, regardless of the shipper’s instructions, to persons of whose existence he is totally unaware, who do not have the original contract of affreightment and whose names do not appear on any single transportation document (or on any other document provided to the common carrier, here Empire).

(*Id.* at 15-20 (footnotes omitted).)

b. Empire’s response to the June 29, 2016, order and Complainants’ response to Empire.

(1) Empire’s response to the Order.

Empire contends that assuming it operated as an NVOCC on the shipments, CarCont was the consignee for each car.

Although Complainants have referred to themselves as the “ultimate consignees,” they have pointed to nothing, other than their purported and disputed “ownership” of the vehicles, to bootstrap themselves into that label. A consignee for ocean shipping purposes is understood as follows:

“Consignee – is a key entity in the shipping chain and this field reflects the name and address details of the person or company that is legally allowed to receive the cargo covered in the bill of lading. This may or may not be the actual owner or recipient of the cargo.”

Complainants are certainly not listed as “consignee” on any bill of lading or other shipping document. Indeed, they are not listed *at all* on any of the shipping documents. And the AES Forms that Complainants incorrectly rely upon specifically identify the “ultimate consignee” as CarCont Ltd., as do the import declarations. As elaborated upon in Respondents’ Reply Complainants are nothing more than (disputed) purchasers of goods that Global shipped to itself (Global CarCont [*sic*] Oy) in Finland.

(Respondents’ Response to the Presiding Officer’s June 29 Order to Supplement the Record (filed July 26, 2016) at 7-8.)

(2) Complainants' response to Empire.

Complainants contend that Empire was an NVOCC on the shipments and that Complainants were the consignees.

It is respectfully submitted that the inquiry posed simply, clearly, and directly seeks identification of the consignee(s) of the subject vehicles for each carrier.

Once again, in lieu of simply providing a clear and cogent answer directly responsive to the Presiding Officer's inquiry, Respondents continue to 'waffle' on the issue of EUL as carrier, despite the admissions contained in Respondents' own documents.

Apart from the foregoing, it is noted that Respondents have identified CarCont LTD ("Carcont") as consignee for both EUL and MSC as carriers.

True to form, however, Respondents have once again gratuitously inserted "argument", even going so far as to provide their own didactic pronouncements as to definition of terms, in a continued attempt to prejudice and usurp the Presiding Officer's role as finder of fact.

Without engaging in a point-by-point refutation of the improper argument gratuitously proffered by Respondents which is once again, wholly unrelated to the inquiry posed, suffice it to say that Complainants alleged inability to "point" to documents identifying Complainants as "consignee" arises out of the fact that the documents listing Carcont as consignee are incorrect, and were purposely drafted as such by EUL as part of the overriding scheme to defraud Complainants.

Additionally, and with regard to Respondents' similarly gratuitous and grossly unrelated reference to Respondents' Reply on their Motion for Judgment on the Pleadings, to the extent that Respondents continue to rely upon the fraudulently created affirmation of Respondent Hitrinov and that of a proven fraud and pathological liar, Mr. Kapustin, Complainants will not burden the Court by restating the obvious lack of credibility that lies in each of these affirmations, other than to note Respondents' circular argument, and convoluted representations purposely inserted to frustrate and obfuscate the issues and to avoid responding to the Presiding Officer's inquiry.

It is further noted that with respect to attachments 5A, 5B, 5C and 5D, these documents are written in a foreign language for which no certified English translation has been provided and must this be rejected by the presiding Officer, inclusive of any purported "argument" made thereon.

(Complainants' Reply to Respondents' Response to Order for Parties to Supplement the Record (filed August 9, 2016) at 13-14.)

3. Complainants have not proven they were consignees.

Complainants' claims are premised on the contention that the contracts of carriage required Empire to deliver the cars to them – that they were consignees on these shipments. A complainant has the burden of establishing that the Commission has subject matter jurisdiction over a claim, including the complainant's standing to bring the claim. In these two proceedings alleging that Empire violated the Shipping Act by failing to deliver the cars to Complainants, Complainants must establish that the contracts of carriage required Empire to deliver the cars to Complainants. Complainants concede that no documents in the record identify them as consignees, but contend that their status as consignees "arises out of the fact that the documents listing CarCont as consignee are incorrect, and were purposely drafted as such by EUL as part of the overriding scheme to defraud Complainants." Complainants do not explain whether they mean that Empire was complicit in the overriding scheme described by the New Jersey court by which Kapustin defrauded his customers or that Empire had its own overriding scheme to defraud Complainants.

Based on the cases cited in its motion at 13-14, Empire argues that because Complainants did not directly pay the freight to Empire, but paid it to Kapustin who then paid Empire, Complainants do not have standing. Except for the principle that a complainant must have standing, those cases are inapposite. Complainants in those cases were seeking a refund of alleged freight overcharges. Absent an assignment from the person who paid the freight directly to the carrier, the person who paid the freight to an intermediary is not entitled to reparations for the overcharges. *Guam v. Sea-Land*, 29 S.R.R at 902; *Procter & Gamble v Lykes*, 25 S.R.R at 1371; *Tradecheck v. Sea-Land*, 27 S.R.R at 334 and n.4; *Trane v. South African Marine*, 19 F.M.C. at 378 n.9. While Complainants herein do not allege that they paid the freight directly to Empire, Complainants do not seek a reparation award for freight overcharges, but as alleged consignees who did not receive their shipments. The Act defines "shipper" to include "the person to whom delivery is to be made." 46 U.S.C. § 40102(22)(C). If Complainants were able to demonstrate that they were consignees, that the carrier failed to deliver the cars to them, and the failure to deliver the cars to them violated the Shipping Act, they might be eligible to receive a reparation award even though they did not pay freight directly to the carrier. See *Adebisi A. Adenariwo v. BDP International, Zim Integrated Shipping, Ltd. and its agent (Lansal) et al*, FMC No. 1921(I), Final Order on Remand (FMC Feb. 14, 2017) (reparation award to consignee/complainant when carrier's refusal to release cargo violated Shipping Act); *Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, 31 S.R.R. 1831, 1833 (ALJ 2011) (consignee as complainant), Notice Not to Review, April 12, 2011.

If, as assumed for this part of the Initial Decision, Empire operated as an NVOCC on the shipments of the cars that Complainants claim to have purchased, Kapustin was the shipper. Empire and the Kapustin companies entered into a contract of carriage for Empire to transport the cars by water to Finland. Contract law requires three elements for the formation of a contract – (1) an offer, (2) an acceptance, and (3) consideration. *Vinmar Inc. v. China Ocean Shipping Company*, 26 S.R.R.

420, 423 (FMC 1992). A contract between a shipper and a common carrier as defined by the Act includes the identification of the consignee – the person to whom delivery will be made to accomplish the transportation by water.

Addressing Complainants' claim that they were or should have been consignees, I first note that Kapustin is on record as explicitly instructing Empire to consign cars to CarCont. On January 11, 2012, Irina Kapustina, president of Effect Auto Sales, wrote a letter to Empire stating:

Please be advised that Effect Auto Sales will use Carcont Ltd. as an agent for unloading of all out cars including cars with Empire investment. Global Cargo^[24] already made agreement for us with Carcont. We do not need any Empire bill of lading. Please consign all the containers and cars to Carcont.

FF 51. Nothing in the correspondence between Kapustin and Empire casts any doubt that this was their practice until the relationship ended.

The findings of fact paragraphs 1-82 based on the email and other correspondence between Empire representatives and Global Auto representatives provide a comprehensive picture of the relationship between Kapustin and Empire and of how they handled shipments of cars from the United States to Finland during their business relationship. As found by the district courts in New York and New Jersey and demonstrated by contemporaneous documents in the FMC record, Empire loaned \$450,120.00 to Kapustin that Kapustin used to purchase cars in the United States for shipment to his customers overseas. FF 9. Apparently Kapustin also had other sources of money, as Empire did not have an interest in all of the cars that Kapustin shipped, only in those that were identified by Kapustin and Empire as investment vehicles. Kapustin delivered cars and their titles to Empire in New Jersey. Empire would list the cars on its spreadsheet either as investment vehicles with a value indicated or not as investment vehicles identified with the notation "do not put on balance" and no value listed. Empire regularly provided updated spreadsheets to Kapustin identifying the cars in which it claimed an interest and the dollar value of that car and the cars in which it did not have an interest. Empire and Kapustin both relied on these spreadsheets. Upon arrival in Finland, investment vehicles would be delivered to CarCont, ending the ocean transportation of the vehicles, and held in the CarCont warehouse. When Kapustin delivered additional investment vehicles to Empire in New Jersey, investment vehicles in Finland would be released to Global Cargo Oy for eventual delivery to purchasers. *See, e.g.*, FF 67, 70. Vehicles that were not investment vehicles were released immediately by CarCont to Global Cargo Oy. FF 15. CarCont invoiced Global Cargo Oy for the unloading, customs, and storage fees. (Respondents' Reply to Complainants' Response to the June 29, 2016, Order to Supplement the Record at 198-237.)

The shipping documents in the record regarding the cars that Complainants claim to have purchased is consistent with Irina Kapustin's written instruction to "consign all the containers and

²⁴ Global Cargo is the Kapustin company in Finland. FF 4.

cars to Carcont,” FF 51, and the Kapustin/Empire course of conduct for over their two-year relationship. Each of the cars claimed by Complainants is identified on the Empire spreadsheet as an investment vehicle. FF 87 – GMC Acadia (Ovchinnikov); FF 100 – Jeep Compass (Rzaeva); FF 113 – Mercedes Benz (Nekipelov); FF 125 – Toyota Camry (Nurgazinov). Two of the four cars claimed by Complainants are explicitly identified in emails in the record from Svetlana of Global Auto as investment vehicles delivered to Empire in New Jersey to replace investment vehicles to be released in Finland. FF 70 – Jeep Compass (Rzaeva); FF 71 – Mercedes Benz (Nekipelov). The dock receipt/bill of lading for the container carrying each car identifies Empire as the shipper and CarCont as the consignee. FF 89 – GMC Acadia (Ovchinnikov); FF 102 – Jeep Compass (Rzaeva); FF 114 – Mercedes Benz (Nekipelov); FF 127 – Toyota Camry (Nurgazinov). Each car was transported from the United States to Finland pursuant to a sea waybill issued by MSC identifying Empire as the shipper and CarCont as the consignee. FF 91 – GMC Acadia (Ovchinnikov); FF 104 – Jeep Compass (Rzaeva); FF 117 – Mercedes Benz (Nekipelov); FF 129 – Toyota Camry (Nurgazinov). The tracking information for each shipment indicates that each container was discharged in Finland, went out the gate full, and was returned empty. FF 92 – GMC Acadia (Ovchinnikov); FF 105 – Jeep Compass (Rzaeva); FF 118 – Mercedes Benz (Nekipelov); FF 130 – Toyota Camry (Nurgazinov). The AES Direct Shipment Record for each car identifies Global Auto Inc. as the shipper and CarCont as the ultimate consignee. FF 93 – GMC Acadia (Ovchinnikov); FF 106 – Jeep Compass (Rzaeva); FF 119 – Mercedes Benz (Nekipelov); FF 131 – Toyota Camry (Nurgazinov). Each car was delivered to CarCont as required by the MSC sea waybill.

It would have been necessary for two events to have occurred for the contract of carriage to change this established procedure and identify Complainants as consignees on the contracts. First, shipper Kapustin would have had to tell carrier Empire that Kapustin wanted the four cars delivered to Complainants, not to CarCont. Second, assuming Kapustin did tell Empire it wanted these four cars to be delivered to Complainants as consignees, Empire would have had to accept the offer and agree to deliver the cars to Complainants. The burden of persuasion is on Complainants to show that Kapustin and Empire intended to treat the shipment of the four cars claimed by Complainants differently from the other investment vehicles shipped during their two year relationship.

In their response to the June 29, 2016, order to supplement the record, Complainants contend that four factors support their claims that they should have been identified as consignees and that the cars should have been delivered to them. These factors taken individually or together do not prove by a preponderance of the evidence that Complainants were intended to be consignees on the shipments and the cars should have been delivered to them.

Factors A and D are addressed together because they concern ownership of the cars.

- A. The contracts of sale for the automobiles between G-Auto Sales, Inc. as seller and each of the Complainants as buyer, referenced above. By virtue of the contracts of sale, the buyers/complainants were the *ultimate* consignees for the automobiles.

- D. The Memorandum and Order of the Honorable Sandra L. Townes (Appendix “B” which explains that “. . . the vehicles had already been pre-sold to customers overseas. . .” (p. 4 of the Memorandum and Order).

Complainants contend that they purchased the cars they claim as proved by:

unassailable documentary evidence, in the form of invoices executed by G-Auto Sales Inc., the sellers of the subject vehicles . . . as well as the records of wire transfers executed by Complainants reflecting payment for the subject vehicles Further, Respondents’ apparent disavowal of knowledge or information concerning the purchase of the subject vehicles by Complainants from G-Auto Sales Inc. (“G-Auto”) is palpably irrelevant in that there exists no reason as to why Respondents, who were consigned to have acted merely as the shipper of said automobiles would have such information in the first instance.

Respondents have falsely, fraudulently, and disingenuously claimed the existence of an alleged ‘joint venture’ between EUL and Mr. Hitrinov, and a specious entity euphemistically referred to by Respondents as the “Global Auto Enterprise”. In so doing, Respondents have sought to conflate what were and are completely separate entities into a single alleged “conglomerate” despite the abject absence of a single document, communication, or any item of proof whatsoever as to the existence of said alleged ‘joint venture’. Such attempted conflation, however, flies directly in the face of the facts that (1) the seller of the subject automobiles is plainly indicated on the aforementioned invoices as “G-Auto Sales Inc.” and not some spurious alter ego manufactured by Respondents in a desperate attempt to succeed on their instant failed motion; (2) the aforementioned wire transfers were identically made out to “G-Auto Sales Inc.”, thus further effectively eviscerating any false and fallacious claims as to either who the seller of the automobiles was, or the purchaser/owner.^[25]

Neither is Respondents’ false claim of ownership of the subject automobiles buttressed by reference to a loan allegedly made by Mr. Hitrinov to a wholly separate entity, to wit: Global Auto USA, Inc. Indeed, even assuming, arguendo, that the so-called conglomerate purchased the subject vehicles, the latter fails to obviate the proof that Complainants were the ultimate purchaser of the subject automobiles and owner of same prior to their being shipped.

²⁵ The New Jersey court found that “Defendant Kapustin, as owner of corporate Global Defendants, exercised complete dominion and control over the corporations and used the corporations as his alter egos for his own purposes, making all the decisions including the decisions to defraud Plaintiffs.” *Akishev v. Kapustin*, No. 13-cv-07152 (NLH) (AMD), slip op. at 9 (D.N.J. Dec. 8, 2016) (Opinion) (Doc. 395) (footnotes omitted), attached to Complainants’ Status Report filed with the Commission January 15, 2017.

(Complainants' Response to Respondents' Motion for Judgment on the Pleadings at 6-7.) Complainants contend that the Kapustin company invoices and other documents demonstrate that they own the four cars they claim. (Complainants' Response to Respondents' Motion for Judgment on the Pleadings at 6-8.)

Each Complainant alleges that he or she purchased the car and has documents from a Kapustin company indicating a contract of sale, but no Complainant has a title or copy of a title indicating that ownership had been transferred to them. See FF 81-86 (Ovchinnikov); FF 94-98 (Rzaeva); FF 107-109 (Nekipelov); FF 120-122 (Nurgazinov). Although the New York court found that Kapustin pre-sold cars to customers overseas, the court did not find that Complainants purchased the cars that they claim. Furthermore, as recently stated by the New Jersey court: "As noted below, in yet another permutation of the extensive fraud scheme and whether he owned or had access to the car or not, Kapustin, by his own admission under oath, would often sell the same car to two different victims." *Akishev v. Kapustin*, No. 13-cv-07152 (NLH) (AMD), slip op. at 4 n.2 (D.N.J. Dec. 8, 2016) (Opinion) (Doc. 395), attached to Complainants' Status Report filed with the Commission January 15, 2017.)

Empire states that because Kapustin has a history of selling the same car more than once, discrepancies between Complainants' documents and their statements, and inconsistencies within Kapustin documents about which Kapustin company owned a car, there is "considerable doubt" about whether Complainants actually purchased the cars that they claim. (Respondents' Motion for Judgment on the Pleadings at 12 n.14.)

Indeed, as also discussed in greater detail in Respondents' Reply on Judgment on the Pleadings, the evidence shows that Complainants are not actually owners of the vehicles. Even apart from lacking the legal requirement of title, the Affirmations of Mr. Hitrinov and Mr. Kapustin, along with the documents, indicates that none of the Complainants has paid in full; rather, each Complainant still owes money to Global Auto Enterprise, including for the very transportation at issue here. And each of the cars was also "purchased" by someone else, which purchase is supported by invoices just like those put forward by Complainants.

(Respondents' Response to the Presiding Officer's June 29 Order to Supplement the Record (filed July 26, 2016) at 8. See also Respondents' Reply to Complainants' Response to the Presiding Officer's Order to Supplement the Record (filed Aug. 8, 2016) at 19-20.)

As discussed at length above, the Commission does not have jurisdiction to resolve Empire's claim that its loans to Kapustin gave it an ownership interest in the investment vehicles that prevented Kapustin from selling the vehicles, that Empire's claim that this claimed ownership interest gave its rights superior to purchasers of investment vehicles, or that Complainants completed their purchases of the cars from Kapustin. Evidence presented to the Commission could conclusively prove that Complainants fully paid what Kapustin charged for the cars, but this would not resolve the issue of whether the Kapustin/Empire relationship permitted Kapustin to sell cars in

which Empire claimed an interest or if Kapustin did sell cars in violation of the agreement, whether Empire (whose money was used to purchase the cars) or customers who purchased those cars had superior rights in the cars. This question is before the New Jersey court in the case filed by other Kapustin customers in the context of whether investment vehicles still in Empire's possession in New Jersey should be sold for the benefit of the plaintiff customers who have a judgment against Kapustin or Empire that loaned Kapustin the money to purchase the vehicles or may be sold by Empire to pay back its loan to Kapustin. *Id.* at 23.

Ownership of the cars is not relevant for Shipping Act purposes, however, and need not be determined by the Commission. Proof that ownership of the cars conveyed to each Complainant does not make it more or less likely that Kapustin wanted the cars to be delivered directly to Complainants and instructed Empire to deliver the cars directly to Complainants. A person who sells cars to overseas customers could have legitimate reasons for delivering the cars to its overseas affiliate, not the purchaser, such as verifying that the car is in proper working order after the transportation and before it is delivered to the customer. As the district court found, Kapustin also could have an illegitimate reason – the same car had been sold to two persons.

Proof that ownership conveyed to each Complainant also does not make it more or less likely that Empire entered into a contract of carriage to deliver the cars to Complainants; that is, even if Kapustin instructed Empire to deliver these four cars to Complainants, Empire agreed to deliver them to Complainants. The contemporaneous records indicate that at the time the cars were delivered to Empire in New Jersey, Empire considered them to be investment vehicles to be held in New Jersey or Finland until replacement investment vehicles were delivered to Empire in New Jersey. Whether Empire's claim against Kapustin is legally correct or incorrect, it is not plausible to believe that Empire would agree to treat these four cars differently from the hundreds of investment vehicles previously shipped and deliver them to Complainants instead of holding them until their value was replaced in New Jersey.²⁶

Complainants rely on Customs and Border Protection procedures to support their contention that they should have been identified as consignees.

- B. Additionally, Complainants rely upon the document entitled "U.S. Customs and Border Protection Field Operations, New York Informational Pipeline No. 08-012-NWK", annexed to Complainants' Notice of Filing of May 4, 2016 as Appendix "4", which provides Procedures for Exporting Used

²⁶ On September 6, 2016, counsel for Complainants sought issuance of a subpoena *duces tecum* that would require Customs and Border Protection (CPB) to produce copies of the titles of the cars in its possession, apparently expecting the titles in CPB's possession to conflict with the copies already filed by the parties and prove that title had transferred to Complainants. On October 5, 2016, the undersigned held a telephone conference with counsel about this subpoena. Because proof of ownership of the cars would not make it more or less likely that Complainants were consignees on the shipments, the subpoenas were not signed.

Vehicles and explains that respondents were required to provide consignee information to CBP which “. . . must be legible and complete.”

The CBP Informational Pipeline states:

- Required documentation consists of the original certificate of title, a duplicate of the certificate of title (front and back) and a dock receipt, bill of lading or Intent to Export form, which must contain identifying vehicle information and endorsement by the export carrier which indicates the carrier’s receipt and possession of the vehicle.
- Dock Receipts must not be altered in any way. Original Pier/Date stamps, VIN Numbers and Shipper/Consignee information must be legible and complete.

(Complainants’ Notice of Filing (May 4, 2016), Appendix 4 p. 2.)

The dock receipts, MSC sea waybills, and AES Direct Shipment Records issued for the shipments of the cars that Complainants claim legibly and completely identifies CarCont as the consignee of each shipment. The requirements set forth in the CBP Informational Pipeline do not provide evidence that Kapustin intended for Complainants to be consignees on the shipments.

Complainants contend that the Declaration of Irina Kapustina, Kapustin’s wife, filed in the New York case provides support for identifying Complainants as consignees.

- C. The Declaration in Support of Order to Show Cause for Preliminary Injunctive Relief, of Irina Kapustina, President of Effect Auto Sales Inc., dated May 29, 2013 (from the matter of *Global Auto Inc. et al., v. Michael Hitrinov et al.*, U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-2479) a copy of which is annexed hereto as Appendix “C”, which explains that the subject automobiles “. . . should have been released and the ultimate end purchaser should have received their vehicle in a timely fashion. . .” (p. 5, ¶ “9” of the Declaration of Irina Kapustina).

Irina Kapustina’s declaration was one of three nearly identical declarations filed with the New York court, *Global Auto v. Hitrinov*, No. 13-cv-2479, Memorandum at 2 (E.D.N.Y. Nov. 7, 2013) (Memorandum and Order) (Doc. 38) (*see* Complainants’ Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix C), in support of the Kapustin companies’ motion for a preliminary injunction at a time. The declarations were signed at a time when FMC Complainants’ counsel represented the Kapustin companies.

In her declaration, Kapustina states:

In Michael Hitrinov's declaration in support of his claim that there was an agreement that he and/or EUL would have an ownership stake in the vehicles, he states that "he was concerned about his investment" and therefore, agreed with Plaintiffs, that EUL would be given certificates of title to each vehicle. . . . This is a false and misleading impression, that the act of possessing certificate of title was a negotiated act that was to secure and protect EUL and/or Hitrinov from Plaintiff's from selling vehicles without their knowledge. EUL obtained certificate of title for all of the vehicles because they are and were required to so by law. U.S. Customs requires that the shipper must be in possession of the original title before a vehicle may be exported.

(Complainants' Response to Order for Parties to Supplement the Record (filed July 27, 2016) Appendix C ¶ 2.) At no point in the declaration does Kapustina state that the Kapustin instructed Empire to deliver *any* cars directly to Kapustin customers upon arrival in Finland, much less the cars that Complainants claim; that is, Kapustina does not state that Kapustin intended for their customers (including Complainants) to be consignees of the ocean shipments of the cars. In the face of several emails from Svetlana at Global Auto to Empire regarding titles, many of which link the delivery of titles to Empire to the release of investment vehicles in Finland, Kapustina is not credible when she claims that delivery of the car titles was not for Empire's protection. See FF 20, 21, 31, 34, 66, 70 (Jeep Compass claimed by complainant Rzaeva), 71, 74, 75.

4. Conclusion.

The contemporaneous records of the Kapustin-Empire relationship indicate that Kapustin and Empire had established a process pursuant to which Empire would secure its loan to Kapustin by maintaining an inventory of investment vehicles with value approximating the loan. New investment vehicles would be substituted in New Jersey for vehicles in Finland before they would be released to Global Cargo Oy, Kapustin's company in Finland, for delivery to a customer. To maintain this inventory, cars were consigned for the ocean transportation to CarCont in Finland, not to Global Cargo Oy.

Complainants have the burden of presenting evidence that would establish unlike the other Kapustin cars shipped to Finland, Complainants were intended to be the consignees for the shipments of the four cars. Complainants have not identified evidence that would support a finding that shipper Kapustin intended that they be identified as consignees or that Empire, operating as an NVOCC, agreed to deliver the cars to Complainants. Complainants have not established that they have standing to bring their complaints before the commission. Therefore, the complaints are dismissed.

D. Claims That Respondents Violated Sections 40301, 40302, 40501, 40701(a), 41104(2), 41101(3), 41104(4), 41104(8), 41104(9), 41104(10), 41104(11), 41106(2), and 41106(3) Are Dismissed with Prejudice.

Assuming that it were determined that the record supports Commission subject matter jurisdiction over the complaints, Complainants have abandoned claims of violation of most of the sections alleged by failing to respond to the arguments in Respondents' motion for judgment on the pleadings. For two sections, the complaints fail to state claims for relief.

1. Complainants abandoned claims of violation of sections 40301, 40302, 40501, 40701(a), 41104(2), 41101(3), 41104(4), 41104(8), 41104(9), 41104(11), 41106(2), and 41106(3).

Complainants alleged that Respondents violated sections 40301, 40302, 40501, 40701(a), 41102(c), 41104(2), 41101(3), 41104(4), 41104(8), 41104(9), 41104(11), 41106(2), and 41106(3) of the Shipping Act. Empire moves for judgment on the pleadings on all of these claims except sections 40301, 40302, and 40501. Complainants did not respond to Empire's arguments for dismissal of these sections in their opposition to the motion. In their response to the motion, Complainants did not argue that Empire violated sections 40301, 40302, and 40501, and the evidence in the record does not suggest that it did..

[A party's] failure to brief and argue [an] issue is grounds for finding that the issue has been abandoned. *Fehlhaber v. Fehlhaber*, 681 F.2d 1015, 1030 (5th Cir. 1982) (citing *U.S. v. Indiana Bonding & Surety Co.*, 625 F.2d 26, 29 (5th Cir. 1980) (finding that "even though [an] issue was listed as one of the defendant's contentions in the pretrial order, and was thus presumably triable, [the defendant's] failure to present evidence in support of the defense before the district court precludes our review of it [on appeal]"). Cf. *McMaster v. United States*, 177 F.3d 936, 940-41 (11th Cir. 1999) (noting that a claim may be considered abandoned when the allegation is included in the plaintiff's complaint, but he fails to present any argument concerning this claim to the district court); *Lyes v. City of Riviera Beach, Fla.*, 126 F.3d 1380, 1388 (11th Cir. 1997) (noting that "'the onus is upon the parties to formulate arguments; grounds alleged in the complaint but not relied upon in summary judgment are deemed abandoned'" (citation omitted), *reh'g granted and vacated by*, 136 F.3d 1295 (1998), reinstated by, 166 F.3d 1332, 1336 (11th Cir. 1999) (*en banc*); *Road Sprinkler Fitters Local Union No. 669 v. Indep. Sprinkler Corp.*, 10 F.3d 1563, 1568 (11th Cir. 1994) (concluding that a district court "could properly treat as abandoned a claim alleged in the complaint but not even raised as a ground for summary judgment").

Coalition for the Abolition of Marijuana Prohibition v. City of Atlanta, 219 F.3d 1301, 1326 (11th Cir. 2000).

a. Sections 40301 and 40302.

In paragraph 24 of FMC No. 15-11 and Part III.B of Inf. No. 1953(I) of the Complaints, Complainants allege that Respondents violated sections 40301 and 40302 of the Act. Sections 40301 and 40302 apply to certain agreements between or among ocean common carriers, certain agreements between or among marine terminal operators, and certain agreements between or among one or more marine terminal operators and one or more ocean common carriers, and the Act's requirement that those agreements be filed with the Commission. The complaints do not address these sections in Part V where Complainants allege violations of the Shipping Act.

While Empire did not address these sections in their motion for initial decision on the pleadings, Complainants did not argue that Empire violated these sections. Furthermore, nothing in the record suggests that Empire entered into the kind of agreement regulated by these sections. Therefore, Complainants are deemed to have abandoned the claims. The claims that Empire violated sections 40301 and 40302 are dismissed with prejudice.

b. Section 40501.

In paragraph 24 of FMC No. 15-11 and Part III.B of Inf. No. 1953(I) of the Complaints, Complainants allege that Respondents violated section 40501 of the Act. Section 40501 sets forth general rate and tariff requirements. The complaints do not address these sections in Part V.

While Empire did not address this section in its motion for initial decision on the pleadings, Complainants did not argue that Empire violated these sections. Therefore, Complainants are deemed to have abandoned the claims. The claims that Empire violated section 40501 are dismissed with prejudice.

c. Section 40701(a).

The complaints allege that Respondents violated section 40701(a) of the Act. Section 40701(a) controls the activities of controlled carriers. The Act defines the term controlled carrier.

The term "controlled carrier" means an ocean common carrier that is, or whose operating assets are, directly or indirectly, owned or controlled by a government, with ownership or control by a government being deemed to exist for a carrier if –

(A) a majority of the interest in the carrier is owned or controlled in any manner by that government, an agency of that government, or a public or private person controlled by that government; or

(B) that government has the right to appoint or disapprove the appointment of a majority of the directors, the chief operating officer, or the chief executive officer of the carrier.

46 U.S.C. § 40102(8).

Empire moves for initial decision on the pleadings, arguing that the complaints do not allege that Empire is a controlled carrier as defined by the Act. (Respondents' Motion for Judgment on the Pleadings at 16-17). Complainants do not respond to this argument. Therefore, Complainants are deemed to have abandoned the claims. The claims that Empire violated section 40701(a) are dismissed with prejudice.

d. Section 41104(2).

The complaints allege that Respondents violated section 41102(2) of the Act. Section 41102(2) prohibits a common carrier from providing service in the liner trade that is not in accordance with the rates, charges, classifications, rules, and practices contained in a published tariff or a service contract or under a tariff or service contract that has been suspended or prohibited.

Empire moves for initial decision on the pleadings because Complainants do not allege that Empire operated in a liner trade or that the transportation was provided under a tariff or service arrangement. Empire also contends that there is no nexus between the alleged violation and the loss of the cars. (Respondents' Motion for Judgment on the Pleadings at 19). Complainants do not respond to these arguments. Therefore, Complainants are deemed to have abandoned the claims. The claims that Empire violated section 41104(2) are dismissed with prejudice.

e. Section 41104(3).

The complaints allege that Respondents violated section 41102(3) of the Act. Section 41102(3) prohibits a common carrier from "retaliat[ing] against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason." 46 U.S.C. § 41102(3).

Empire argues that section 41102(3) "applies only to retaliatory acts of a carrier against a shipper who has sought the services of another carrier," (Respondents' Motion for Judgment on the Pleadings at 19, citing *Edaf Antilles, Inc. v. Crowley Caribbean Logistics LLC*, 33 S.R.R. 710, 720-721 (ALJ, Admin. Final 2014), and move for judgment because Complainants do not allege Empire retaliated because a Complainant patronized another shipper. Complainants do not respond to this argument. Therefore, Complainants are deemed to have abandoned the claims. The claims that Empire violated section 41104(3) are dismissed with prejudice.

f. Sections 41104(4), (8), and (9).

The complaints allege that Respondents violated sections 41102(4), (8), and (9) of the Act. Sections 41102(4), (8), and (9) prohibit a common carrier from engaging in any unfair or unjustly

discriminatory practice or giving any undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage.

Empire contends that a complainant alleging violation of one of these sections must establish that (1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury. (Respondents' Motion for Judgment on the Pleadings at 20, *citing Ceres Marine Terminal, Inc. v. Md. Port Admin.*, 27 S.R.R. 1251, 1270 (FMC 1997).) Empire moves for initial decision on the pleadings because Complainants do not allege that any other similarly situated person received better treatment that was not justified by transportation factors and have not explained how any different treatment was the proximate cause of their alleged injuries. Complainants do not respond to this argument. Therefore, Complainants are deemed to have abandoned the claims. The claims that Empire violated sections 41104(4), (8), and (9) are dismissed with prejudice.

g. Section 41104(11).²⁷

The complaints allege that Respondents violated section 41104(11) of the Act. Section 41104(11) prohibits a common carrier from knowingly and willfully accepting cargo from or transporting cargo for the account of an ocean transportation intermediary that does not have a tariff and a bond, insurance, or other surety as required by section 40902 of the Act.

Empire argues that the complaints do not identify any NVOCC with or without a tariff and a bond for which Respondents are alleged to have transported cargo. (Respondents' Motion for Judgment on the Pleadings at 21.) Complainants do not respond to this argument. Therefore, Complainants are deemed to have abandoned the claims. The claims that Empire violated section 41104(11) are dismissed with prejudice.

h. Sections 41106(2) and (3).

The complaints allege that Respondents violated sections 41106(2) and (3) of the Act. Sections 41106(2) and (3) prohibit marine terminal operators from giving an unreasonable preference and refusing to deal.

Empire argues that the complaints do not allege that Empire is a marine terminal operator. (Respondents' Motion for Judgment on the Pleadings at 21.) Complainants do not respond to this argument. Therefore, Complainants are deemed to have abandoned the claims. The claims that Empire violated sections 41106(2) and (3) are dismissed with prejudice.

²⁷ The complaints cite twice to section 41104(10), but then quote the language of section 41104(11). FMC No. 15-11 Complaint V.C and V.C.(vi); Inf. No. 1953(I) Claim V.C and V.C.(vi).

2. The Complaints Fail to State Claims of Violations of Section 41104(10).

The complaints allege that Respondents violated sections 41104(10) of the Act. Section 41104(10) prohibits a common carrier from unreasonably refusing to deal or negotiate.

The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of OSRA. All that is required is that common carriers, ocean transportation intermediaries and marine terminal operators refrain from “shutting out” any person for reasons having no relation to legitimate transportation-related factors.

New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans, 29 S.R.R. 345, 351 (ALJ 2001), *aff’d*, 29 S.R.R. 1066 (FMC 2002).

Empire contends that Complainants do not identify what Empire refused to negotiate or what obligation they had to negotiate, and argue that the complaints merely paraphrase the language of the Act and state legal conclusions. (Respondents’ Motion for Judgment on the Pleadings at 20.) Complainants respond that to prove a violation, a complainant:

must establish that the respondent is a common carrier within the meaning of the Act. Second, a complainant must establish that the common carrier unreasonably refused to deal or negotiate with the complainant. “This requires a two-part inquiry: whether [the common carrier] refused to deal or negotiate, and, if so, whether its refusal was unreasonable.” *See, Global Link [Logistics], Inc. v. Hapag-Lloyd [AG]*, 2014 WL 5316345, FMC No. 13-07 (ALJ April 17, 2014) (Initial Decision Granting Respondent’s Motion to Dismiss).

It is respectfully submitted that the facts as pleaded in the Complaint, speak for themselves on this issue. It is undisputed that Respondents [EUL] and Hitrinov are “a common carrier”. As set forth in detail in the Complaint, the Complainants contacted Respondents to obtain release of the vehicles. Subsequent thereto, the Respondents not only refused to release the vehicles, but stated that the vehicles would not be released due to an alleged loan to Mr. Kapustin, completely unrelated to the ocean freight for these vehicles. After Complainants’ multiple requests and attempts to obtain release of the vehicles, the Respondents then converted the subject automobiles and sold them to third parties.

(Complainants’ Response to Motion at 6.)

Construing the complaints in the light most favorable to Complainants and accepting all well-pleaded facts alleged in the complaints as true, the complaints do not make a claim that Complainants ever attempted to ship any cargo internationally by water or that Empire shut them out of opportunities for international transportation of cargo by water for reasons having no relation to

legitimate transportation-related factors. Therefore, the complaints fail to state claims of violation of section 41104(10). The claims that Empire violated sections 41104(10) are dismissed with prejudice.

3. Section 41102(c).

If it were determined that Complainants were consignees on the shipments, the complaints state claims of violation of section 41102(c).

VI. ATTORNEY FEES.

"In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees." 46 U.S.C. § 41305(e). I find that because the complaints have been dismissed, respondents Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc., are prevailing parties in this proceeding and may be awarded reasonable attorney fees. "In order to recover attorney fees, the prevailing party must file a petition within 30 days after a decision becomes final. For purposes of this section, a decision is considered final when the time for seeking judicial review has expired or when a court appeal has terminated." 46 C.F.R. § 502.254(c)(1). *See also Organization and Functions; Rules of Practice and Procedure; Attorney Fees, Final rule*, 81 Fed. Reg. 10508 (Mar. 1, 2016).

ORDER

Upon consideration of Respondents' Motion for Judgment on the Pleadings, Complainants' opposition thereto, the other filings by the parties directed to the motion for judgment on the pleadings, the record herein, and for the reasons stated above, it is hereby

ORDERED that the claims against respondent CarCont, Ltd., be **DISMISSED** pursuant to 46 C.F.R. § 502.113(d). It is

FURTHER ORDERED the Motion for Judgment on the Pleadings filed by respondents Michael Hitrinov a/k/a Michael Khitrinov and Empire United Lines Co., Inc. be **GRANTED**. It is

FURTHER ORDERED that the complaint filed in *Igor Ovchinnikov, Irina Rzaeva, and Denis Nekipelov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and CarCont, Ltd.*, FMC No. 15-11 be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that the claim filed in *Kairat Nurgazinov v. Michael Hitrinov a/k/a Michael Khitrinov, Empire United Lines Co., Inc., and CarCont, Ltd.*, FMC No. 1953(I) be **DISMISSED WITH PREJUDICE**.



Clay G. Guthridge
Administrative Law Judge

APPENDIX “8”

S	E	R	V	E	D
June 29, 2016					
FEDERAL	MARITIME	COMMISSION			

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO. 1953(I)

KAIRAT NURGAZINOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

ORDER FOR PARTIES TO SUPPLEMENT THE RECORD

“The Commission ‘is not a court, and cannot rely . . . on the powers of a court of equity. On the contrary, the law is settled that an administrative agency can exercise only those powers conferred on it by Congress.’” *Trans-Pacific Freight Conference of Japan v. FMB*, 302 F.2d 875, 880 (D.C. Cir. 1962). The Commission has jurisdiction over matters relating to “transportation by water of . . . cargo between the United States and a foreign country,” 46 U.S.C. § 40102(6), by a common carrier as defined by the Shipping Act. That jurisdiction essentially begins when a common carrier assumes responsibility for transportation of the cargo and ends when the cargo is delivered to the consignee at the place of destination contemplated by the contract of carriage. *See, e.g., Norfolk Southern R. Co. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 23-27 (2004) (finding that federal maritime law applies to the inland portions of international shipments transported under a through

bill of lading). *See also, Kawasaki Kisen Kaisha, Ltd. v. Regal-Beloit Corp.*, 561 U.S. 89, 108 (2010) (finding that ocean transportation occurring under a through bill of lading cannot be separated into ocean and domestic inland transportation); *accord, Mitsui O.S.K. Lines Ltd. v. Global Link Logistics*, 2011 FMC LEXIS 12, 56 (FMC 2011) (“[L]egislative history demonstrates that Congress intended that the Commission have jurisdiction over through transportation including the inland segment of such transportation.”) The Commission must determine whether it has jurisdiction over claims made in a complaint.

This consolidated proceeding concerns the transportation by water of four automobiles from the United States to a port or point in a foreign country. To facilitate the Commission’s determination of jurisdiction, it is hereby

ORDERED that on or before July 18, 2016, each party individually submit the following information for the transportation of each of the four automobiles pursuant to any bill of lading issued regarding the transportation. Each assertion should cite to supporting evidence in the record or attached to the submission.

1. Identify each common carrier that assumed responsibility for transportation of the automobile from the United States to a port or point in a foreign country.
2. For each carrier, identify the shipper or shippers.
3. For each carrier, identify the consignee or consignees.
4. For each carrier, identify the port or point of origin.
5. For each carrier, identify the date the shipment began.
6. For each carrier, identify the port or point of delivery.
7. For each carrier, identify the date of delivery.
8. Identify the entity that directly paid each common carrier for the transportation by water.
9. Did the vessel-operating common carrier transport the cargo pursuant to a service contract with respondent Empire United Lines Co., Inc.?

Each party may reply to the submission of the other party on or before July 25, 2016.


Clay G. Guthridge
Administrative Law Judge

APPENDIX “9”

S E R V E D

March 9, 2017

FEDERAL MARITIME COMMISSION

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV

v.

**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO. 1953(I)

KAIRAT NURGAZINOV

v.

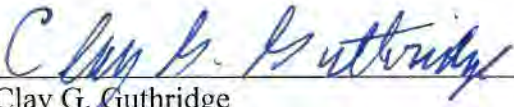
**MICHAEL HITRINOV a/k/a MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

ORDER ON CERTAIN PENDING MOTIONS

The parties have filed several motions seeking to add additional documents or evidence to the record or strike documents or evidence submitted by the other party. All motions to add documents or evidence are **GRANTED**. All motions seeking to exclude documents or evidence are **DENIED**. Orders are entered on the following motions.

- Complainants' Motion to Strike, to Preclude, and to Compel Compliance with the Presiding Officer's Orders filed June 7, 2016, is **DENIED**.
- Respondents' Motion to Strike Complainants' "Shipping Documents" filed June 22, 2016, is **DENIED**.

- Respondents' Motion to Strike Complainants' Reply to a Reply filed June 23, 2016, is **DENIED**.
- Respondents' Motion to Correct the Record filed August 16, 2016, is **DENIED**.
- Complainants' Motion for Leave to File Sur-Reply to Respondents' Motion for Judgment on the Pleadings filed August 24, 2016, is **GRANTED**.
- Complainant's Motion to Supplement the Record filed August 30, 2016, is **GRANTED**.
- Complainants' Motion Requesting Ruling on Outstanding Discovery Issues Prior to Ruling on all other Motions Pending filed September 2, 2016, is **DENIED**.
- Respondents' Motion to Seal Complainants' Cowardly and Unauthorized Reply regarding Complainants' Motion to Dictate the Presiding Officer's Schedule filed September 9, 2016, is **DENIED**.


Clay G. Guthridge
Administrative Law Judge

APPENDIX “10”



Don't Let This **HAPPEN** **TO YOU!**



Actual Investigations *of*
Export Control *and*
Antiboycott Violations

January 2017 Edition



U.S. DEPARTMENT OF COMMERCE
Bureau of Industry and Security
Export Enforcement

DON'T LET THIS HAPPEN TO YOU!!!

An Introduction to the Consequences of Violating U.S. Export Control Law

Actual Investigations of Export Control and Antiboycott Violations



January 2017

EXPORT ENFORCEMENT

BUREAU OF INDUSTRY AND SECURITY
U.S. DEPARTMENT OF COMMERCE

Summary Table of Contents

Introduction

Mission and Organization	Page 1
Office of Export Enforcement.....	Page 2
Office of Enforcement Analysis.....	Page 4
Office of Antiboycott Compliance.....	Page 5
Authorities and Remedies	Page 6
Criminal and Civil Penalties	Page 6
Voluntary Self-Disclosures	Page 7
Denial of Export Privileges.....	Page 8
BIS-Administered Lists.....	Page 8
Asset Forfeiture.....	Page 9
False Statements.....	Page 10
Export Control Reform	Page 10
Information Triage Unit	Page 11
Export Enforcement Coordination Center.....	Page 11
Regulatory and Policy Changes	Page 12
Definition of “Specially Designed”	Page 12
Policy Developments	Page 13
Export Compliance	Page 13
Responsible Parties	Page 13
Nine Principles for an Effective Compliance Program.....	Page 13
Transshipments & Re-Exports	Page 15
Catch-All.....	Page 15
Successor Liability	Page 16
Educational Outreach.....	Page 16
Cyber-Intrusions and Data Exfiltration.....	Page 17
Case Presentations	Page 17

Chapter 1 – Terrorism and State Sponsors of Terrorism

Introduction	Page 21
Criminal and Administrative Case Examples	Page 22
Corezing International PTE, LTD.....	Page 22
Antennas and Components / Eric Schneider.....	Page 23
Mayrow General Trading Network.....	Page 23
Ya Qian “Jonathan” Chen	Page 24
Sihai Cheng.....	Page 24
Susan Yip / Mehrdad Foomanie / Merdad Ansari.....	Page 24
Trans Merits Co., Ltd.....	Page 25
Schlumberger Oilfield Holdings Ltd.....	Page 25
Weatherford International	Page 26

Robbins & Myers Belgium SA	Page 27
Engineering Dynamics, Inc. / James Angehr / John Fowler / Nelson Galgoul	Page 27
Fokker Services B.V.	Page 28
Balli Group.....	Page 28
Mozaffar Khazaee	Page 29
Yavuz Cizmeci	Page 29
Aviation Services International / Delta Logistics / Neils Kraaiipoel / Robert Kraaiipoel	Page 30
Mohammad Tabibi / Michael Edward Todd / Hamid Seifi / Parts Guys, LLC / Galaxy Aviation Services.....	Page 30
EgyptAir Airlines Company	Page 31
Hetran, Inc. / Helmut Oertmann / FIMCO FZE	Page 31
Computerlinks FZCO / Infotec / Waseem Jawad / Aramex Emirates LLC	Page 32
Aiman Ammar / Rashid Albuni / ECC/ATS / iT-Wave FZCO	Page 32
Barracuda Networks, Inc. and Barracuda Networks Ltd.	Page 33
Ali Reza Parsa.....	Page 33
Borna “Brad” Faizy / Touraj Ghavidel / Techonweb.....	Page 33
Mohammad Reza Hajian / RH International LLC / Nexiant LLC / P & P Computers LLC / Randy Barber / Michael Dragoni / Fortis Data Systems LLC / Greencloud LLC / John Talley / Tallyho Peripherals Inc.	Page 34
Springworks Sdn Bhd / Kenneth Chua / Owen Chen	Page 35
Transamerica Express of Miami Corp	Page 35
Dani Tarraf / Moussa Hamdan / Douri Tarraf / Hassan Komeiha	Page 36
Amin Al-Baroudi	Page 36
Ericsson de Panama S.A.	Page 37

Chapter 2 – Commerce Control List

Introduction	Page 38
Criminal and Administrative Case Examples	Page 39
<i>Nuclear Nonproliferation Controls</i>	Page 39
Xun Wang / PPG Paints Trading (Shanghai) Co., Ltd / Huaxing Construction	Page 39
Trexim Corporation / Bilal Ahmed	Page 39
Teledyne LeCroy.....	Page 40
Qiang (Johnson) Hu	Page 40
Nicholas Kaiga.....	Page 40
Lisong Ma	Page 40
Nadeem Akhtar / Computer Communication USA.....	Page 41
Mattson Technology Inc.	Page 41
Jirair Avanesian / Farhad Masoumian Amirhossein Sairafi / XVAC.....	Page 42
Peter Gromacki / Hamid Reza Hashemi / Amir Abbas Tamimi / Murat Taskiran	Page 42

<i>Chemical/Biological Weapons Controls</i>	Page 43
Envirotech Pump Systems, Inc.	Page 43
Flowserve Corporation.....	Page 43
Buehler Limited	Page 43
Dr. Thomas Butler.....	Page 44
<i>Missile Technology Controls</i>	Page 44
Weiss Envirotronics	Page 44
Ming Suan Zhang.....	Page 45
C.A. Litzler Co., Inc.....	Page 45
GrafTech International Holdings	Page 45
Interpoint Corporation.....	Page 46
Parthasarathy Sudarshan / Mythili Gopal / Cirrus Electronics, LLC	Page 46
<i>National Security Controls</i>	Page 46
Arc Electronics / Alexander Fishenko / Alexander Posobilov / Shavkat Abdullaev / Anastasia Diatlova.....	Page 46
Alexander Brazhnikov / ABN Universal	Page 47
Zhen Zhou Wu / Yufeng Wei /Bo Li / Chitron Electronics, Inc.	Page 47
Daofu Zhang / Jian Guanghou Yan / Xianfeng Zuo / HK Potential Electronics Co.	Page 48
Wind River Systems.....	Page 48
Timothy Gormley / Amplifier Research Corporation	Page 49
ARC International / Yaming Nina Qi Hanson / Harold DeWitt Hanson	Page 49
Streit USA Armoring, LLC / Streit Middle East / Streit Group FZE / Guerman Goutorov / Eric Carlson	Page 49
Zhenchun “Ted” Huang	Page 50
Unisol International.....	Page 50
Fu-Tain Lu / Fushine Technology.....	Page 51
Jason Liang / Sanwave Electronics	Page 51
<i>Crime Controls</i>	Page 51
John Carrington / Sirchie	Page 51
Lev Steinberg	Page 52
B&H Foto & Electronics Corp.....	Page 52
Vitali Tsishuk / Volha Dubouskaya / Aliaksandr Stashynski / Yahor Osin / Aliaksandr Belski / Ernest Chornoletskyy	Page 53
Boniface Ibe	Page 53
Mark Komoroski / Sergey Korznikov / D&R Sports Center	Page 53
Donald Wayne Hatch / Rigel Optics, Inc.	Page 54
Aaron Henderson / Valhalla Tactical Supply.....	Page 54
Mike Cabatingan / Romulo Reclusado	Page 54

Chapter 3 – Freight Forwarders

Introduction	Page 56
Criminal and Administrative Case Examples	Page 56
Fulfill Your Packages.....	Page 56
Kintetsu World Express	Page 57
General Logistics International	Page 57
Federal Express	Page 57
DPWN Holdings (USA), Inc. (formerly known as DHL Holdings (USA), Inc.) and DHL Express (USA)	Page 58
R&A International Trading Inc / Rukhsana Kadri	Page 58
Matthew Kallgren	Page 59

Chapter 4 – Deemed Exports

Introduction	Page 60
Criminal and Administrative Case Examples	Page 60
Atmospheric Glow Technologies / J. Reece Roth.....	Page 60
Intevac, Inc.....	Page 60
Maxim Integrated Products Inc	Page 61
Ingersoll Machine Tools	Page 61
TFC Manufacturing, Inc.	Page 61

Chapter 5 – Antiboycott Violations

Introduction	Page 62
Criminal and Administrative Case Examples	Page 63
Vinmar International, Ltd/Vinmar Overseas, Ltd	Page 63
Baker Eastern, SA (Libya)	Page 64
TMX Shipping Company, Inc.....	Page 64
Laptop Plaza, Inc. (aka IWEBMASTER NET, Inc.)	Page 64
Leprino Foods Company.....	Page 65
AIX Global, LLC	Page 65
RHDC International LLC.....	Page 65

Introduction to Enforcement of U.S. Export Controls

Mission and Organization

The U.S. Department of Commerce's Bureau of Industry and Security (BIS) administers and enforces export controls on dual-use and certain munitions items for the Department of Commerce through the Export Administration Regulations (EAR) under the authority of the International Emergency Economic Powers Act (IEEPA).¹ Dual use items are commodities, software, or technology that have both commercial and military or proliferation applications. Some examples of dual-use items may include things such as: smoke bombs, spiked batons, certain shotguns, shotgun shells and buckshot, rocket fuels, space launch vehicles, radiation hardened integrated circuits, turbines for use in nuclear reactors, integrated navigation systems designed or modified for use in missiles, chemical warfare precursors, biological containment facilities, radio frequency modules, triggered spark-gaps, and carbon fiber. Controlled items listed under the 600 series Export Control Classification Number (ECCN) are enumerated on the Commerce Control List (CCL) because they are items on the Wassenaar Arrangement Munitions List (WAML) or were formerly on the U.S. Munitions List (USML). Certain munitions items may include commodities, software, and/or technology such as: military flight instrument trainers, lightweight turbojet engines, medical facilities for surface or submersible vessels of war, demolition blocks and detonators for military explosives, thrust or combustion chambers, armor plate for hard body armor, discrete microwave transistors, military concealment and deception equipment, smoke or obscuration equipment and simulators, submarine or torpedo nets, rebreathing apparatus specially designed for military use, submersible military vessels, thermal batteries, and telecommunications equipment for a military application.

Other federal agencies with a role in administering U.S. export controls include the Department of State, which controls the export of defense articles and defense services subject to the International Traffic in Arms Regulations (ITAR), the Department of Energy, which controls exports and re-exports of technology related to the production of special nuclear materials, the Nuclear Regulatory Commission, which controls the export of certain nuclear materials and equipment, and the Department of the Treasury, which administers economic sanctions programs.

The Export Enforcement arm of BIS protects and promotes U.S. national security, foreign policy and economic interests by educating parties to export transactions on how to improve export compliance practices and identify suspicious inquiries, supporting the licensing process by evaluating the bona fides of transaction parties, conducting end-use checks, interdicting illegal exports, investigating violations, and referring violators of export control laws for administrative penalties or criminal prosecution. Export Enforcement at

BIS has evolved over the past 30 plus years into a sophisticated law enforcement agency, with criminal investigators and enforcement analysts who are singularly focused on export enforcement and work closely together with licensing officers within a single bureau of the government. Using its subject matter expertise in the area of export controls, coupled with its unique administrative and other enforcement tools, Export Enforcement leverages its relationships with partner law enforcement agencies and industry to maximize its impact.

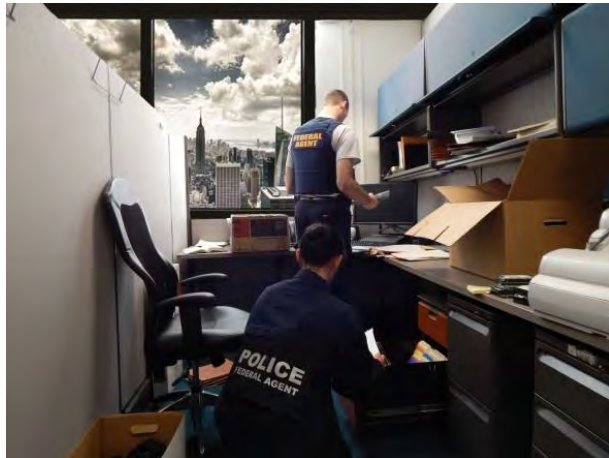
¹Although the Export Administration Act expired on August 20, 2001, the President, through Executive Order 13222 of August 17, 2001, 3 CFR, 2001 Comp., p. 783 (2002), as amended by Executive Order 13637 of March 8, 2013, 78 FR 16129 (March 13, 2013) and as extended by successive Presidential Notices, the most recent being that of August 4, 2016, 81 FR 52587 (August 8, 2016), has continued the Export Administration Regulations in effect under the International Emergency Economic Powers Act (50 U.S.C. § 1701 *et seq.* (2006 & Supp. IV 2010)). BIS continues to carry out the provisions of the Export Administration Act, as appropriate and to the extent permitted by law, pursuant to Executive Order 13222 as amended by Executive Order 13637.

As part of the President’s Export Control Reform (ECR) initiative, BIS’s jurisdiction has expanded to cover tens of thousands of munitions items transferred from the ITAR to the EAR (see below for additional information on the ECR initiative). These transfers will enhance U.S. Government oversight on such munitions exports because the specialized resources and authorities of Export Enforcement will augment the existing enforcement resources of other federal agencies dedicated to protecting U.S. national security. ECR has also created interagency information sharing and coordination mechanisms to leverage U.S. Government export enforcement and compliance resources more effectively.

Export Enforcement has three program offices: the Office of Export Enforcement (OEE), the Office of Enforcement Analysis (OEA), and the Office of Antiboycott Compliance (OAC). Export Enforcement blends the unique talents of its program offices to channel enforcement efforts against current and emerging threats to U.S. national security and foreign policy. Those unique talents are described in the following paragraphs.

Office of Export Enforcement

The Office of Export Enforcement (OEE) maintains Special Agents at offices across the United States, including its headquarters in Washington, DC, eight field offices located in Boston, Chicago, Dallas, Los Angeles, Miami, New York, Northern Virginia and San Jose, and resident offices in Atlanta, Houston and Portland. In addition, OEE Special Agents have been deployed to Federal Bureau of Investigation (FBI) field offices in Atlanta, Charlotte, Cincinnati, Minneapolis, Phoenix, San Diego and Salt Lake City, as well as to Defense Criminal Investigative Service (DCIS) offices in Denver and San Antonio, to provide enhanced coverage for investigating export violations.



OEE Special Agents executing a search warrant.

OEE Special Agents are sworn federal law enforcement officers with authority to bear firearms, make arrests, execute search warrants, serve subpoenas, detain and seize items about to be illegally exported, and order the redelivery to the United States of items exported in violation of U.S. law. OEE is the only federal law enforcement agency exclusively dedicated to the enforcement of export control laws, and that singular focus allows for the development of the requisite subject matter expertise to be able to effectively enforce a complex regulatory regime. Some cases may require years of investigation to bring to fruition. OEE investigations are initiated on information and intelligence obtained from a variety of sources, including routine review of export documentation, overseas end-use monitoring, and industry information. OEE investigates both export violations by U.S. persons and the unauthorized re-export or transfer by foreign persons of items subject to the EAR to prohibited end-uses, end-users, or destinations. OEE works closely with other federal law enforcement agencies to identify and act on export violations and with industry to raise awareness of compliance best practices and “red flag” indicators of potential illicit activities.² For example, OEE works with U.S. Customs and Border Protection to train outbound officers on EAR requirements and identify suspicious cargoes for detention. Based on information gathered during the course of an investigation, OEE works closely with attorneys from the Department of Justice to prosecute violators criminally, as well as with the Office of Chief Counsel for Industry and Security to bring administrative charges. Export Enforcement also takes actions where appropriate to place parties on the BIS Entity List and

Unverified List. Export Enforcement is co-located in the same Department of Commerce bureau as Export Administration, allowing for close cooperation in the administration and enforcement of export controls. Export Enforcement provides advice and comments on the enforceability of new policies and regulations, and works closely with Export Administration at BIS to routinely review export transactions to ensure compliance with the EAR. Such review includes:

- Confirming whether exported items were properly classified;
- Verifying required export authorizations, if applicable (i.e., the required export license was obtained prior to the shipment and the transaction complies with the license conditions, a license exception was available and properly used, or the item did not require a license for export to the end-user and destination); and
- Determining whether the transaction involved any apparent violations of the EAR (e.g., related to the general prohibitions, end-use or end-user-based controls or proscribed parties).



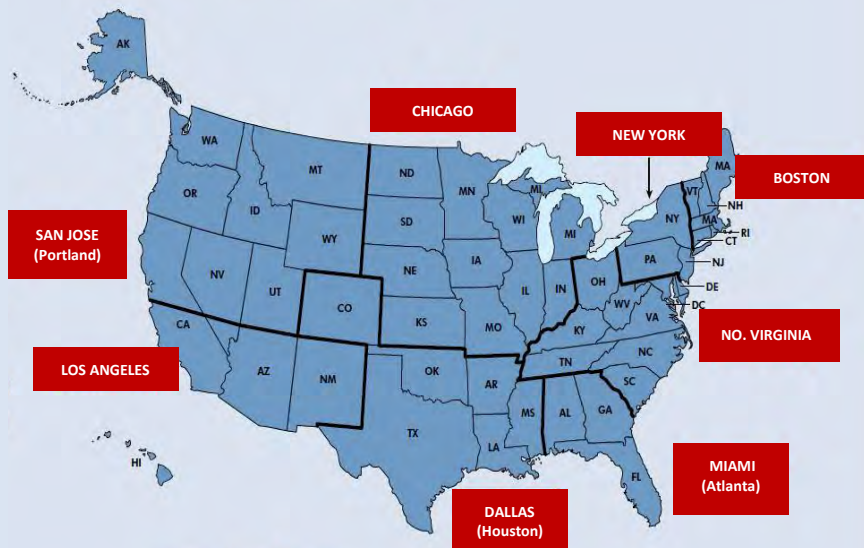
Director Douglas Hassebrock and Deputy Assistant Secretary Richard Majauskas, at the 33rd Annual National Peace Officer's Memorial Service.

In fiscal year 2015, BIS investigations led to the criminal convictions of 31 individuals and businesses for export violations with penalties of over \$156 million in criminal fines, more than \$84 million in forfeitures, and 487 months of imprisonment. In addition, OEE and BIS's Office of Chief Counsel completed 47 administrative export matters, resulting in over \$15 million in civil penalties. Export Enforcement also initiated the addition of 60 new parties onto the BIS Entity List.

²An illustrative list of indicators of possible unlawful diversion is found in Supplement No. 3 to Part 732 of the Export Administration Regulations (EAR), 15 C.F.R. Parts 730 – 774.

WHERE ARE WE LOCATED

In addition to our Headquarters at the Department of Commerce in Washington, DC, Export Enforcement has eleven offices that have areas of responsibilities covering the entire United States. They are located in: Atlanta, Boston, Chicago, Dallas, Houston, Los Angeles, Miami, New York, Northern Virginia, Portland, and San Jose.



www.bis.doc.gov

Export Enforcement also has Special Agents co-located with the FBI in Atlanta, Charlotte, Cincinnati, Minneapolis, Phoenix, San Diego and Salt Lake City, as well as with DCIS in Denver and San Antonio. Export Enforcement also has regional Export Control Officers (ECOs) in Beijing, China; Hong Kong, China; New Delhi, India; Russia; Dubai, UAE; Frankfurt, Germany; and Singapore.

Office of Enforcement Analysis

The Office of Enforcement Analysis (OEA) supports the identification, prevention and investigation of illegal exports, re-exports and transfers of items subject to the EAR and supports the prosecution of the parties responsible by: 1) analyzing the *bona fides* of foreign transaction parties to license applications (i.e., their reliability as recipients of U.S.-origin items); 2) monitoring end-uses and end-users of U.S.-origin exports; 3) identifying suspicious inquiries to alert U.S. companies; 4) developing investigative leads; 5) providing analytical case support; and 6) engagement with key trading partners. OEA accomplishes this mission through its Strategic Intelligence Division, International Operations Division, Export Control Officer Program, and Investigative Analysis Division.

OEA's Strategic Intelligence Division vets the *bona fides* of foreign parties to license applications and serves as the executive agent for the interagency Information Triage Unit, or "ITU." A part of the President's ECR initiative, discussed in more detail below, the ITU is responsible for assembling and disseminating relevant information, including intelligence, from which to base informed decisions on proposed exports requiring a U.S. Government license.

OEA's International Operations Division screens BIS license applications and reviews export documentation to select candidates for pre-license checks (PLCs) and post-shipment verifications (PSVs), collectively referred to as end-use checks (EUCs). PLCs validate information on BIS export license applications, including end-user reliability. PSVs strengthen assurances that exporters, shippers, consignees, and end-users comply with the terms of export licenses and the EAR. This end-use monitoring program supports the export licensing process and generates information about possible export violations for further investigation by OEE. This division, working with regional Export Control Officers stationed abroad, supports Export Enforcement's role in the bilateral negotiations with Hong Kong, Singapore and the United Arab Emirates on export control cooperation and coordination to increase capacity to prevent the diversion of U.S.-origin items.

OEA's Export Control Officer Program consists of Special Agents on detail to the Department of Commerce's Foreign Commercial Service in seven strategic overseas locations critical to BIS's mission: Beijing, China; Hong Kong, China; Dubai, United Arab Emirates; New Delhi, India; Frankfurt, Germany; and Singapore. All of these positions have regional responsibilities that extend their reach to an additional 43 countries. End-use checks are also conducted by OEE Sentinel Program trips, conducted by domestically-based OEE Special Agents and U.S. Embassy personnel. In FY2015, Export Enforcement completed 1,031 end-use checks in 55 countries.

Finally, OEA's Investigative Analysis Division is responsible for producing investigative leads relating to potential export violations for outreach and investigation by OEE Special Agents. Investigative leads are developed from unfavorable end-use checks, review of export and license data, and classified and open sources of information. In addition, OEA's Investigative Analysis Division provides research and analytical case support to OEE investigations. The case of Arc Electronics (see page 46) demonstrates how collaboration between OEE and OEA helps bring violators to justice. The initial stage of the investigation found a single shipment of a potentially controlled integrated circuit to Russia. As the investigation developed over a two-year period it was determined that Arc was involved in a complex Russian procurement network supplying microcircuits and other electronic components to Russian military weapons and development programs. OEA analysts provided significant assistance in a variety of ways, including but not limited to: gathering and analyzing SED data; compiling specification data for the components involved; providing preliminary analysis of the specifications to triage components for license determinations; contributing to intelligence information reports produced by the FBI; and finally, assisting in the execution of arrest warrants and collecting evidence.

Office of Antiboycott Compliance

The Office of Antiboycott Compliance (OAC) administers and enforces the antiboycott provisions of the EAR. OAC carries out its mandate through a threefold approach: monitoring boycott requests received by U.S. businesses; bringing enforcement actions when necessary; and guiding U.S. businesses on the application of the EAR to particular transactions. In addition to these traditional compliance tools, OAC liaises with foreign governments to eliminate boycott requests at their origin. By working with U.S. Government partners in the Office of the U.S. Trade Representative and at the Department of State, OAC has met with officials of boycotting countries issuing boycott-related requests. By meeting with these governments and pointing out the barrier to trade that boycott requests impose, OAC often is able to remove prohibited language, enabling U.S. businesses to compete on an equal footing in these markets.

Authorities and Remedies

Criminal and Civil Penalties

In cases involving a willful violation of the EAR, violators may be subject to both criminal fines and administrative penalties. Administrative penalties may also be imposed when there is no willful intent, which means that administrative cases can be brought in a much wider variety of circumstances than criminal cases. BIS has a unique range and combination of administrative enforcement authorities including the imposition of civil penalties, denial of export privileges, and placement of individuals and entities on lists that restrict or prohibit their involvement in export and re-export transactions.

Under IEEPA, criminal penalties can reach 20 years imprisonment and \$1 million per violation. Administrative monetary penalties can reach \$284,582 per violation (subject to adjustment in accordance with U.S. law, e.g., the Federal Civil Penalties Inflation Adjustment Act Improvements Act of 2015 (Pub. L. 114-74, sec. 701) or twice the value of the transaction, whichever is greater.

The EAR provide that in appropriate cases the payment of a civil penalty may be suspended or deferred in whole or in part during a probationary period. The suspended or deferred penalty is subject to activation and collection if the probationary conditions are not fulfilled. Penalty suspensions may occur, for example, when the respondent has demonstrated, typically through the submission of financial statements and tax returns, that it is unable to pay some or all of the penalty that would be appropriate for the violations at issue. Penalties may also be suspended in whole or in part as a result of exceptional cooperation with the investigation where the agency nonetheless decides that a suspended penalty should be imposed for its deterrent effect. (See: Amplifier Research Corp., page 50)

BIS also may impose the requirement that the respondent hire an unaffiliated third-party consultant to conduct one or more external audits of the company's compliance with U.S. export control laws and regulations and provide a copy of the audit to Export Enforcement. A portion of the penalty amount may also be suspended for that purpose.

One of the most significant enforcement tools in the BIS arsenal is our administrative enforcement authorities. On June 22, 2016, BIS published new Administrative Enforcement Guidelines that entered into force on July 22, 2016. The new Guidelines serve to more closely align the administrative enforcement policies and procedures of our Office of Export Enforcement, or "OEE", and the Department of the Treasury's Office of Foreign Assets Control, or "OFAC", both of which administer the bulk of their programs pursuant to International Emergency Economic Powers Act, or IEEPA. The Guidelines reflect several changes to the current Guidelines set forth in Supplement No. 1 to Part 766. First, the Factors set forth in the Guidelines are reconstituted into the following four categories: 1) Aggravating Factors; 2) General Factors that could be considered either aggravating or mitigating depending upon the circumstances; 3) Mitigating Factors; and 4) other Relevant Factors on a case-by-case basis, such as related violations or other enforcement action.

Second, the Guidelines will now formally account for the substantial increase in the maximum penalties for violations of IEEPA and distinguish between egregious and nonegregious civil monetary penalty cases. Third, reference in the Guidelines to "transaction value" provides sufficient flexibility to allow for the determination of an appropriate transaction value in a wide variety of circumstances. Amounts set forth in a schedule provide for a graduated series of penalties based on the underlying transaction values, reflecting appropriate starting points for penalty calculations in non-egregious cases not voluntarily disclosed to OEE. The base penalty amount for a non-egregious case involving a VSD equals one-half of the transaction value, capped at the statutory maximum per violation of the EAR. The base penalty amount for cases deemed to be egregious brought to OEE's attention by means other than a VSD shall be an amount up to the statutory maximum. For those egregious cases involving a VSD, the base penalty amount shall be an amount up to half the statutory maximum.

INCREASING TRANSPARENCY THROUGH PENALTY GUIDANCE

BIS provides guidance (found in Supplement No. 1 to Part 766 of the EAR) to provide the public with a comprehensive description of how BIS determines appropriate penalties in the settlement of administrative export control enforcement cases. It explains that BIS carefully considers each settlement in light of the facts and circumstances of the case, relevant precedent, and BIS's objective to achieve an appropriate level of penalty and deterrent effect.

The penalty guidance can be found online at: http://www.bis.doc.gov/index.php/forms-documents/doc_view/431-part766-administrative-enforcement-proceedings.

Several factors are taken into account when determining the appropriate administrative penalty. The penalty guidance encourages parties to provide information to BIS that would be helpful in the application of the guidance to their cases. Some factors are given up to a specific percentage of mitigation and are treated as considerably more significant than factors that are not so designated. The Factors set forth in the Guidelines are reconstituted into the following:

Aggravating Factors

- A. Willful or Reckless Violation of Law
- B. Awareness of Conduct at Issue
- C. Harm to Regulatory Program Objectives

General Factors

- D. Individual Characteristics
- E. Compliance Program

Mitigating Factors

- F. Remedial Response
- G. Exceptional Cooperation with OEE
- H. License Was Likely To Be Approved

Other Relevant Factors Considered on a Case-by-Case Basis

- I. Related Violations
- J. Multiple Unrelated Violations
- K. Other Enforcement Action
- L. Future Compliance/Deterrence Effect
- M. Other Factors that OEE Deems Relevant

Voluntary Self-Disclosures

Export Enforcement at BIS encourages the submission of voluntary self-disclosures (VSDs) by parties who believe they may have violated the EAR. VSDs are a compelling indicator of a party's intent to comply with U.S. export control requirements. Parties can submit an initial disclosure when the violations are first uncovered and follow-up with a complete narrative within 180 days.³ OEE carefully reviews VSDs received from disclosing parties to determine if violations of the EAR have occurred and to determine the appropriate corrective action when violations have taken place. Most VSDs are resolved with the issuance of a warning

³See Section 764.5 of the EAR for details on how to submit a VSD.

letter. Should OEE determine that the issuance of an administrative penalty is appropriate for the resolution of a VSD, 50 percent mitigation is accorded the VSD in assessing the penalty. In appropriate cases, fines and other administrative penalties may be significantly reduced and/or suspended for a probationary period. During fiscal year 2015, OEE opened a total of 382 VSD cases and closed a total of 286 VSD cases. Over half of these VSD cases were closed with the issuance of a warning letter, while nearly a third were closed with “no action” or “no violation.”

During fiscal year 2015, we saw a 61 percent increase in VSDs over the previous five years, which can be attributed, in part, to the transfer of ITAR items to the 600 series. Of the 382 VSDs submitted, approximately 70 VSDs involved the CCL’s new 600 series commodities. Less than 1 percent of all VSDs were closed with the issuance of administrative sanctions. Generally speaking, the vast majority of all of our investigations involving 600 series or License Exception Strategic Trade Authorization (STA) violations have been the result of VSDs.

VSDs are a compelling indicator of a party's intent to comply with U.S. export control requirements in the present and the future. Warning letters will generally be issued in cases involving inadvertent violations and cases involving minor or isolated compliance deficiencies, absent the presence of aggravating factors.

Denial of Export Privileges

BIS has the authority and discretion to deny all export privileges under the EAR of a domestic or foreign individual or company. Consider the potentially catastrophic impact upon a person or organization of not being able to export, re-export, or receive any item – including an EAR99 item – that is subject to the EAR. BIS may impose a denial of export privileges as a sanction in an administrative case, or as a result of a person’s criminal conviction under certain statutes. A denial of export privileges prohibits a person from participating in any transactions subject to the EAR. Furthermore, it is unlawful for other businesses and individuals to participate in an export transaction subject to the EAR with a denied person.

Denial of export privileges may be imposed as part of an administrative penalty. Under Section 11(h) of the EAA, a denial of export privileges may be imposed for up to ten years from the date of a person’s conviction under the EAR, IEEPA, or Section 38 of the Arms Export Control Act (or any regulation, license, or order issued thereunder), or one of the several espionage-related statutes. The standard terms of a BIS denial order are published in Supplement No. 1 to Part 764 of the EAR.

In addition, the Assistant Secretary for Export Enforcement may issue a Temporary Denial Order (TDO) denying any, or (typically) all, of the export privileges of a company or individual to prevent an imminent or ongoing export control violation. These orders are issued ex parte for a renewable 180-day period and deny not only the right to export from the United States, but also the right to receive or participate in exports from the United States. TDOs are also described in Section 766.24 of the EAR.

BIS-Administered Lists

The Department of Commerce maintains three screening lists, which advise the exporting public that listed persons are subject to specific end-user restrictions. In the event an entity, company, or individual on one of the following lists appears to match a potential party in an export transaction, additional due diligence is required before proceeding to ensure the transaction does not violate the EAR. These lists are available on the BIS Website at <http://www.bis.doc.gov/index.php/policy-guidance/lists-of-parties-of-concern> and are also included in the U.S. Government Consolidated Screening List available at http://export.gov/ecr.eg_main_023148.asp.

Denied Persons List

The Denied Persons List contains the names and addresses of persons subject to a denial of export privileges. Any dealings with a person on this list that would violate the terms of the denial order are prohibited.

Entity List

The Entity List has evolved into a formidable administrative enforcement tool that prohibits listed foreign persons from receiving some or all items subject to the EAR unless the exporter secures a license. Those on the Entity List were placed there because of the risk they pose of diversion of U.S.-origin items to weapons of mass destruction (WMD) programs, destabilizing accumulations of conventional weapons, terrorism, or other activities contrary to U.S. national security or foreign policy interests. These license requirements are in addition to any license requirements imposed on the transaction by other provisions of the EAR. As a general rule, BIS applies a policy of denial for license applications involving listed persons. Over 200 persons were added to the Entity List during FY2014 and FY2015 alone.

The Entity List also serves as an incentive for listed foreign parties to implement effective internal compliance programs to stop the diversion of U.S.-origin items to unauthorized destinations, uses, or users, thereby providing a basis for removal. For example, T-Platforms, a Russian supercomputer manufacturer, noted that its Entity List designation caused “significant economic and image impact...[because] the decision was interpreted by many manufacturers as a complete ban on the sale of various products to T-Platforms, often not subject to the EAR.” BIS removed T-Platforms from the Entity List on December 31, 2013, after T-Platforms cooperated with the U.S. Government and provided assurances that the company would comply with the EAR.

For guidance concerning the prohibitions and license application review policy applicable to a particular person, please review that person’s entry on the list. Listed persons may request removal from the Entity List by submitting a petition pursuant to Section 744.16 and Supplement 5 to Part 744 of the EAR.

Unverified List

The Unverified List (UVL) contains the names and addresses of foreign persons that have been parties to transactions subject to the EAR whose *bona fides* could not be confirmed as a result of an end-use check, including the U.S. Government’s inability to conduct such an end-use check. The presence of a person listed on the Unverified List in a proposed export transaction creates three requirements: all export transactions must be reported in the Automated Export System (AES); license exception-eligibility is suspended; and for all other EAR transactions not subject to a license requirement, the exporter must obtain a statement from the UVL party agreeing to abide by the EAR, including to permit an end-use check prior to export. Once BIS confirms the *bona fides* of the foreign party, including through completion of an end-use check, a party may be removed from the UVL. Similar to the Entity List, the UVL provides an incentive for foreign companies to comply with the EAR, including its end-use check requirements.

Asset Forfeiture

Asset forfeitures target the financial motivation underlying many illicit export activities. The forfeiture of assets obtained in the conduct of unlawful activity may be imposed in connection with a criminal conviction for export violations, in addition to other penalties. Asset forfeitures prevent export violators from benefiting from the fruits of their crimes, and with no statutory maximum, the value of forfeited assets can greatly exceed criminal fines or civil penalties.

False Statements

A party to an export transaction may be subject to criminal and/or administrative sanctions for making false statements to the U.S. Government in connection with an activity subject to the EAR. Most frequently, the false statements are made on an export document or to a federal law enforcement officer. Common types of



OEE Special Agents conducting an inspection

false statements seen by OEE are: 1) statements on a Shipper's Export Declaration (SED) or AES Electronic Export Information filing that an export is destined for one country when it is really destined for a sanctioned destination; 2) SED or AES filing statements that the export does not require a license (i.e., it is "NLR") when in fact a license is required for the shipment; 3) false item valuations; and 4) statements that an export was shipped under a particular license number when in fact that license was for a different item. False statements that are made to the U.S. Government indirectly through another person, such as a freight forwarder, constitute violations of the EAR.

Export Control Reform

In August 2009, President Obama directed a broad-based interagency review of the U.S. export control system with the goal of strengthening national security and the competitiveness of key U.S. manufacturing and technology sectors by focusing on current threats, as well as adapting to the changing economic and technological landscape. As a result of this review, tens of thousands of items have been transferred from the United States Munitions List (USML), administered by the Department of State, to the more flexible licensing regime of the Commerce Control List (CCL). The ECR initiative facilitates interoperability with U.S. allies and partners, strengthens the U.S. defense industrial base by reducing incentives for foreign manufacturers to avoid using U.S. parts and components, and allows the U.S. Government to concentrate its resources on the threats that matter most. The ECR initiative has reduced dramatically the number of time-consuming license applications required for exports to our closest friends and allies, decreasing licensing burdens on U.S. exporters.



Law Enforcement Panel presentation at 2015 Update

Although the majority of the focus has been on the transfer of items from the USML to the CCL, the effort to erect higher fences around those items has been every bit as important. A key piece of this effort involves education. Export Enforcement has conducted hundreds of outreach meetings with companies impacted by

the transition of items from the ITAR to EAR. Export Enforcement has also provided training to U.S. Customs and Border Protection (CBP) on the regulatory changes to facilitate legitimate exports, particularly those eligible for more flexible licensing authorizations. ECR has also established new resources to support U.S. Government evaluation of proposed export transactions and increase interagency coordination in taking enforcement action.

Information Triage Unit

The first of these new resources is the interagency Information Triage Unit (ITU),⁴ which helps ensure the overall integrity of our export control system. The ITU, housed within OEA, is responsible for assembling and disseminating relevant information, including intelligence, from which to base informed decisions on proposed exports requiring a U.S. Government license. This multi-agency screening coordinates the reviews of separate processes across the government to ensure that all departments and agencies have a full set of data, consistent with national security, from which to make decisions on license applications. Such screening contributes to more timely, predictable, and consistent processes that U.S. exporters engaged in global trade have confirmed are critical to their competitiveness.

Export Enforcement Coordination Center

As part of the ECR initiative, the President established the Export Enforcement Coordination Center (E2C2) by Executive Order⁵ in order to enhance information-sharing and coordination among law enforcement and intelligence officials regarding possible violations of U.S. export control laws. The E2C2 is housed in the Department of Homeland Security (DHS) with the participation of over fifteen federal agency partners, and enables these agencies to better employ their resources in a coordinated effort. The Director of the Center is from DHS; BIS and the FBI provide the two Deputy Directors. The participating agencies include the following:

- U.S. Department of Commerce, Bureau of Industry and Security, Office of Export Enforcement
- U.S. Department of Defense, Air Force Office of Special Investigations
- U.S. Department of Defense, Defense Criminal Investigative Service
- U.S. Department of Defense, Defense Intelligence Agency
- U.S. Department of Defense, Defense Security Service
- U.S. Department of Defense, Naval Criminal Investigative Service
- U.S. Department of Energy, National Nuclear Security Administration
- U.S. Department of Homeland Security, Customs and Border Protection

⁴ ITU participants include BIS, the Departments of Defense, Homeland Security, Energy, State, and the Treasury, as well as the Intelligence Community.

⁵ Executive Order 13558 of November 9, 2010, 75 FR 69573 (November 15, 2010).

- U.S. Department of Homeland Security, Immigration and Customs Enforcement
- U.S. Department of Justice, Bureau of Alcohol, Tobacco, Firearms and Explosives
- U.S. Department of Justice, Federal Bureau of Investigation
- U.S. Department of Justice, National Security Division
- U.S. Department of State, Directorate of Defense Trade Controls
- U.S. Department of the Treasury, Office of Foreign Assets Control
- U.S. Export-Import Bank, Office of the Inspector General
- U.S. Postal Service, Postal Inspection Service
- Office of the Director of National Intelligence, Office of the National Counterintelligence Executive

Regulatory and Policy Changes

Beyond these new compliance and enforcement resources, two regulatory changes to the EAR, driven by the ECR initiative, are of particular benefit to our enforcement efforts – and to the exporting community as described below.

Strategic Trade Authorization License Exception

License Exception Strategic Trade Authorization (STA) authorizes the export of dual-use and munitions items (including those transferred from the USML to the CCL) to allied and partner nationals subject to certain safeguards. This License Exception requires that not only the exporter, but also any subsequent re-exporter or transferor, must notify any subsequent consignee of each item shipped under the authority of STA and furnish the Export Control Classification Number (ECCN) of the item. Each consignee must then provide a written statement citing STA, the ECCN, and its agreement to abide by the EAR, including end-use and end-user restrictions, as well as maintain records (for provision to BIS on request). The STA consignee certification requirement thus remains with the item even after re-export or subsequent transfer. For munitions items transferred to the CCL’s new “600 series,” additional safeguards apply, including limiting applicability to ultimate end-use by the governments of 36 STA-eligible destinations, requiring foreign parties to the transaction to have been previously approved on an export license issued by the Department of State or Commerce, and informing consignees about BIS end-use check requirements. In this way, STA creates a chain of custody and paperwork trail that increases BIS’s ability to monitor and enforce EAR compliance. From the perspective of the exporting community, STA will speed up the processing of export transactions previously conducted under license.

Definition of “Specially Designed”

Another regulatory change under ECR is the new definition of the term “specially designed,” which makes compliance efforts more straightforward for the exporting community. The Departments of Commerce and State have established complementary definitions of this term in the ITAR and EAR to specifically articulate objective criteria for determining whether an item is considered “specially designed.” This new definition addresses ambiguities resulting from the previous requirement to ascertain “design intent.” From an enforcement perspective, this framework clarifies when an item is subject to control as a “specially designed” item.

Policy Developments

In addition to ECR, BIS's ability to quickly amend our regulations and guidance – from licensing policy to proscribed party lists – ensures that we are addressing the most pressing national security challenges of the day. These actions guide us in our enforcement prioritization, from impeding destabilizing military modernization efforts, such as in Russia and China, to inhibiting Iran's missile and other destabilizing actions, to preventing broader WMD proliferation and terrorist procurement efforts.

On Iran, notwithstanding implementation of the Joint Comprehensive Plan of Action, BIS's export control policy has not changed, and neither has its enforcement posture. Export Enforcement continues to vigorously monitor shipments through the end-use check program to prevent diversions, investigate unauthorized procurements, and alert our international partners about controls that remain on the re-export of U.S.-origin items to Iran. Iran still remains the focus of OEE's enforcement efforts, representing 55 percent of criminal convictions last fiscal year.

The change in licensing requirements toward Russia following the annexation of Crimea in 2014 is another example of how regulatory policy directly impacts enforcement priorities. Over the past two years, OEE's caseload for Russia has more than doubled, and 81 names were added to the Entity List in September 2016, to ensure the efficacy of existing sanctions on the Russian Federation for violating international law and fueling the conflict in eastern Ukraine.

In conjunction with our Defense and State Department colleagues, Export Enforcement works with Export Administration to develop industry guidance to prevent the export of U.S.-origin items to locations controlled by ISIS, publishing updates on our website. Export Enforcement has worked directly with international partners to investigate unauthorized exports of spare parts and other items that could be destined for areas controlled by this terrorist organization.

Finally, since President Obama's December 2014 announcement of a new diplomatic and economic policy approach toward Cuba, there has been tremendous interest in exporting and re-exporting to Cuba. The Departments of Commerce and the Treasury have published several sets of regulatory amendments that permit greater opportunities for trade and economic engagement in a wide variety of areas including agriculture, civil aviation, clean energy, and telecommunications. While these amendments remain consistent with the law governing the existing embargo, they reflect the most significant changes in U.S. policy toward Cuba in more than half a century. Most importantly, they create more prosperity for, and a closer relationship between, the people of the United States and Cuba. Of course, Export Enforcement is assisting Export Administration in ensuring U.S. exports are made consistent with these regulatory changes.

Export Compliance

Responsible Parties

All parties that participate in transactions subject to the EAR must comply with the EAR. These persons may include exporters, freight forwarders, carriers, consignees, and other participants in an export transaction. The EAR apply not only to parties in the United States, but also to persons in foreign countries who are involved in transactions subject to the EAR.

Due Diligence: Nine Principles for an Effective Compliance Program

Many exports of controlled items, including software and technology, require a license from BIS. It is the responsibility of the exporter to obtain a license when one is required under the EAR. License requirements

for a particular transaction, as described in the EAR, are based on a number of factors, including technical characteristics of the item to be exported and the item's destination, end-user, and end-use. When determining whether a license is required for your transaction, you should be able to answer the following questions:

- **What is being exported?**
- **Where is the item being exported?**
- **Who will receive the item?**
- **How will the item be used?**

PREVENTIVE MEASURES YOU CAN TAKE

- Check exporters and customers
- Check end-users and end-uses
- Review Automated Export Declarations
- Educate relevant personnel

BIS weighs a variety of aggravating and mitigating factors in deciding the level of penalties to assess in administrative cases. As set forth in Supplement Nos. 1 and 2 to Part 766 of the EAR, an effective compliance program may be entitled to significant mitigation. BIS's Export Management Compliance Program (EMCP) guidelines can be accessed through BIS's website at www.bis.doc.gov under the Compliance and Training tab.

BIS employs the following nine guiding principles when assessing the effectiveness of a company's export compliance program:

- **Management Commitment:** Senior management must establish written export compliance standards for the organization, commit sufficient resources for the export compliance standards for the organization, commit sufficient resources for the export compliance program, and ensure appropriate senior organizational official(s) are designated with the overall responsibility for the export compliance program to ensure adherence to export control laws and regulations.
- **Continuous Risk Assessment of the Export Program.**
- **Formal Written Export Management and Compliance Program:** Effective implementation and adherence to written policies and operational procedures.
- **Ongoing Compliance Training and Awareness.**
- **Pre/Post Export Compliance Security and Screening:** Screening of employees, contractors, customers, products, and transactions and implementation of compliance safeguards throughout the export life cycle including product development, jurisdiction, classification, sales, license decisions, supply chain, servicing channels, and post-shipment activity.
- **Adherence to Recordkeeping Regulatory Requirements.**
- **Internal and External Compliance Monitoring and Periodic Audits.**
- **Maintaining a Program for Handling Compliance Problems, including Reporting Export Violations.**
- **Completing Appropriate Corrective Actions in Response to Export Violations.**

Developing an effective company compliance program is essential not only for preventing export violations, but also for enabling BIS to differentiate violations by individual employees from larger patterns of corporate noncompliance. Export Enforcement may afford significant mitigation to companies with effective compliance programs and will emphasize individual responsibility when seeking penalties against willful violations by employees. The case of Timothy Gormley, a former employee of Amplifier Research, indicates this distinction between individual and corporate responsibility, and is discussed further on page 49.

If you need assistance to determine whether the item you want to export requires a license you should:

1. Check the BIS Website <http://www.bis.doc.gov>, or
2. Call one of our export counselors at 202-482-4811 (Washington, DC) or 949-660-0144 (California) for counseling assistance.

Please note that, whether you are the exporter, freight forwarder, consignee, or other party to the transaction, you must address any red flags that arise. Taking part in an export transaction where a license is required but not obtained may subject you to criminal and/or administrative liability. The EAR discuss red flags in a section entitled “Know Your Customer,” Supplement No. 3 to Part 732, which is available on the BIS website.

A key in determining whether an export license is required from the Department of Commerce involves knowing whether the item for export has a specific ECCN, an alpha-numeric code that describes a particular item or type of item, and shows the controls placed on that item. All ECCNs are listed on the CCL. Once an item has been classified, the next step is to determine whether an export license is required based on the “reasons for control” of the item and the country of ultimate destination. Reasons for control include chemical and biological weapons controls, nuclear nonproliferation, national security, missile technology, regional stability, and crime control. Please visit <https://www.bis.doc.gov/index.php/licensing/commerce-control-list-classification> for more information on how to classify items.

Transshipments & Re-exports

Parties to an export transaction cannot bypass the EAR by shipping items through a third country. The transshipment or re-export of items in international commerce may be a violation of U.S. law. For example, an exporter cannot bypass the U.S. embargo against Iran by shipping an item to a distributor in the United Kingdom and asking that distributor to transship the item to a customer in Iran. Under U.S. law, this would be considered an export to Iran, even though it does not go directly to that country, and both the U.S. exporter and the United Kingdom distributor could be liable for violating U.S. law.

Parties to exports or re-exports of items subject to the EAR should be alert to the red flag indicators of possible unlawful diversion found in Supplement No. 3 to Part 732 of the EAR, and should consult BIS’s guidance on re-exports at: <http://www.bis.doc.gov/index.php/licensing/re-exports-and-offshore-transactions>.

In addition, exporters should be knowledgeable about the export control requirements of their customers and are strongly encouraged to obtain copies of any relevant import licenses (permits) prior to export. For example, Hong Kong requires all importers to receive a license prior to receipt of multilaterally-controlled items from abroad. A U.S. company should inquire about such obligations and, where they exist, obtain a copy of any required import license prior to export. Similarly, exporters are required to notify their customers of export license conditions (e.g., requirement for BIS authorization for subsequent transfer (in-country) or re-export) and should make their customers aware that a license (permit) may be required for subsequent re-export from their own government in addition to BIS. In December 2013, BIS published guidance on its website on *Foreign Import/Export License Requirements (Hong Kong/Singapore/United Arab Emirates)* to assist exporters in this regard.

Catch-All

As mentioned in Chapter One, BIS controls exports of items not only based on their technical specifications, but also based on their intended end-use and end-user. The EAR impose license requirements on exports of items subject to the EAR if the exporter knows or has reason to know that any of the items will be used in an end-use of particular concern to the U.S. Government, such as a missile or nuclear weapons program, or in certain

circumstances a military end-use or by a military end-user. These controls are often referred to as “catch-all” controls because they apply to a broad set of items, or in the case of WMD activities, to any item subject to the EAR, even if the item would not ordinarily require a license based on its technical specification.

Export restrictions based on the end-use and end-user are specified in Part 744 of the EAR and include restrictions on certain nuclear, rocket system, chemical and biological, and military end-uses, as well as restrictions on certain end-users. BIS maintains restrictions on end-users listed on the three lists described above: the Denied Persons List, the Entity List, and the Unverified List. BIS uses these lists to notify the public of end-users of concern, including entities engaged in illicit export activity or other activities contrary to U.S. national security or foreign policy, and entities that could not be confirmed as reliable recipients of U.S.-origin commodities, software, or technology.

The EAR also incorporate by reference certain entities sanctioned by the Department of the Treasury, including Specially Designated Nationals, Specially Designated Global Terrorists, and Foreign Terrorist Organizations.

These lists are not comprehensive and do not relieve parties to an export transaction of their responsibility to determine the nature and activities of potential customers who may not be listed (see BIS’s “Know Your Customer” Guidance in Supplement No. 3 to Part 732 of the EAR, available on the BIS website).

Successor Liability

Businesses can be held liable for violations of the EAR committed by companies that they acquire. Businesses should be aware that the principles of successor liability may apply to them and should perform “due diligence” in scrutinizing the export control practices of any companies that they plan to acquire. A properly structured due diligence review can determine whether an acquired company has violated any export laws. This review should examine the company’s export history and compliance practices, including commodity classifications, technology exchanges, export licenses and authorizations, end-users, end-uses, international contracts, the status of certain foreign employees who have access to controlled technologies, and the company’s export policies, procedures, and compliance manuals. Voluntary self-disclosures should be submitted outlining any violations that this review uncovers, if not by the company responsible, then by the company seeking to acquire it. Failure to scrutinize properly an acquired company’s export practices can lead to liability being imposed on the acquiring company. The case of C.A. Litzler Co., Inc. (page 48) demonstrates the importance of conducting due diligence reviews during the acquisition of a company, or in this particular case, the acquisition of a substantial portion of a company’s assets.

Educational Outreach

To raise awareness of export control requirements and prevent potential violations of the EAR, Export Enforcement conducts educational outreach to U.S. exporters and foreign trade groups. In addition to participating in BIS export control seminars and conferences, Export Enforcement conducts outreach to individual exporters to inform them of their responsibilities under the EAR, review compliance best practices, and alert them if appropriate to offshore illicit procurement activities that they may be a target of. Export Enforcement also engages American business communities’ overseas and foreign trade and industry associations to promote awareness of U.S. export and re-export controls, including in cooperation with foreign government partners.

During FY2015, OEE conducted over 1,500 outreaches and tailored its outreach materials to align with the new 600 series requirements. Industry’s knowledge and compliance with the EAR establishes a built-in warning system for Export Enforcement to be aware of suspicious actors. Coupled with this general outreach, Export Enforcement has expanded its Guardian outreach program to industry, alerting companies of suspicious parties that may be seeking to obtain sensitive items. OEE fully appreciates the reputational risk

associated with your items being involved in illicit activities, and this advance warning system is meant to help you identify otherwise unforeseen risks in potential transactions.

Cyber-Intrusions and Data Exfiltration

One of the new areas of focus in our outreach efforts relates to cyber-intrusions and data exfiltration that result in your controlled technology being exported. It is becoming almost a daily occurrence to read about a cyber-intrusion or attack. President Obama stated that “[t]he Cyberthreat is one of the most serious economic and national security challenges we face as a nation. America’s economic prosperity in the 21st century will depend on cybersecurity.” FBI Director James Comey testified before Congress that “[t]he risk of cyber-



attacks is likely to exceed the danger posed by al-Qaeda and other terrorist networks as the top national security threat to the United States and will become the dominant focus of law enforcement and intelligence services.” The perpetrators of cyber-crime are varied; they include independent hackers and criminal organizations, as well as state actors. The theft of export controlled information from your computer

systems as a result of foreign cyber actors is a threat to U.S. national security interests and your company’s competitive lifeblood: intellectual property.

The U.S. Government is attempting to address this looming menace through a whole-of-government approach. On February 12, 2014, the National Institute of Standards and Technology, a sister agency at the Department of Commerce, published the first National Cybersecurity Framework, which can be found at www.nist.gov/cyberframework. Regardless of the type of business sector or an organization’s size, an entity can use the framework to determine its current level of cybersecurity, set goals for cybersecurity that are in sync with its business environment, and establish a plan for improving or maintaining its cybersecurity. This Framework also offers a methodology to protect privacy and civil liberties to help organizations incorporate those protections into a comprehensive cybersecurity program. The Framework is part of a larger initiative to combat the ever evolving cyber threat. Both the FBI and the Department of Homeland Security’s Office of Infrastructure Protection are developing programs and initiatives to help the private sector protect, identify, mitigate and report malicious cyber activity and actors.

Evaluate whether you need to incorporate cybersecurity into your company’s export compliance program as well as report cyber incidents. Reporting the exfiltration of controlled technology is separate and distinct from submitting a voluntary self-disclosure (VSD). The latter involves your discovery of a violation of the EAR committed by your company. By reporting cyber thefts, you are giving us critical information that can allow BIS, working with our interagency partners, to identify these cyber-actors and bring our unique BIS tools to bear against them. Cybersecurity, like effective export controls, can only be achieved with your support and partnership.

Case Presentations

The following cases are referenced in subsequent chapters but are highlighted here as examples of how Export Enforcement at BIS exercises its unique enforcement authorities to ensure the integrity of this nation’s export control regime by holding parties accountable for violations of the EAR. As these cases demonstrate, these measures are most often a combination of criminal and civil fines and penalties, and may also include denial of export privileges and placement on the BIS Entity List. The cases are organized based on the reason for control,

beginning with Terrorism and State Sponsors of Terrorism, followed by the four multilateral control regimes – Nuclear Suppliers Group; Australia Group (Chemical and Biological Weapons); Missile Technology Control Regime; and the Wassenaar Arrangement, or national security controls, and then by cases pursued in response to violations of controls imposed for crime control and regional stability reasons. Case examples are also presented in subsequent chapters highlighting the importance of the role played by freight forwarders, of controls on deemed exports, and finally cases involving violations of the antiboycott controls.

A recent landmark case for OEE involves Schlumberger Oilfield Holdings, Ltd., a wholly-owned subsidiary of Schlumberger, Ltd., a Curacao-based company (formerly the Netherlands Antilles) with headquarters in Sugarland, Texas. The company entered a plea of guilty in May 2015, and agreed to pay over \$232.7 million for conspiring to violate the International Emergency Economic Powers Act by willfully facilitating trade with Iran and Sudan. This case is significant because it puts global corporations on notice that they violate U.S. export laws when they facilitate trade with sanctioned countries from a U.S.-based office, even if they don't directly ship goods to those sanctioned countries. The criminal penalty represents the largest to date, involving a violation of a sanctions program administered under the International Emergency Economic Powers Act. OEE was the sole investigative agency. Additional details of this case are set forth on page 25.

Another recent development involves the Hetran, Inc. investigation. Hetran, located in Pennsylvania, manufactured a large horizontal lathe, also described as a bar peeling machine, valued at more than \$800,000 and weighing over 50,000 pounds. The machine is used in the production of high-grade steel for the manufacture of automobile and aircraft parts. In June 2012, Hetran caused the peeling machine to be shipped from the U.S. to the United Arab Emirates, fraudulently listing a company in the United Arab Emirates as the end-user, knowing that the shipment was ultimately being sent by Iranian company Falcon Instrumentation and Machinery FZE, formerly known as FIMCO FZE (FIMCO), to Iran. In December 2014, Hetran and its President Helmut Oertmann, pled guilty and were both sentenced to probation, and ordered as part of a settlement with BIS to pay a penalty of \$837,500 with \$500,000 suspended. In July 2015, FIMCO pled guilty and agreed to pay a \$837,500 civil penalty with \$250,000 suspended. On January 6, 2016, FIMCO was sentenced to a \$100,000 criminal fine and a \$400 special assessment. The Hetran case features the first time an Iranian company has pled guilty in U.S. District Court in an OEE case. OEA's Export Control Officer in the United Arab Emirates provided considerable assistance in this case. As in the Schlumberger case above, OEE was the sole investigative agency. Additional details of the investigation are set forth on page 31.

OEE has also investigated a number of cases related to U.S.-origin components being used in Improvised Explosive Devices (IEDs) deployed against U.S. and coalition forces in Iraq and Afghanistan. In one case, Singapore-based Corezing International PTE, LTD (Corezing) conspired to illegally export thousands of radio frequency (RF) modules through Singapore to Iran, at least 16 of which were later found in remote detonation systems of unexploded IEDs in Iraq. Two affiliated individuals extradited to the United States from Singapore pled guilty to criminal charges in the District of Columbia and were sentenced to 37 months and 34 months in prison, respectively. The investigation led to nine indictments and two plea agreements. One of the indicted individuals is currently under arrest in Indonesia under an Interpol Red Notice; extradition of this individual is pending. BIS also added 15 persons located in China, Hong Kong, Iran, and Singapore to the Entity List in connection with the Corezing investigation and prosecution. In a second major IED investigation, OEE investigated the Mayrow General Trading procurement network for obtaining U.S.-origin dual-use and military components for entities in Iran that ended up in IEDs used against Coalition Forces in Iraq and Afghanistan. The Mayrow investigation resulted in the indictment of eight persons and eight companies, the extradition and conviction of a UK national, the arrest of one other individual, and the addition of 75 entities to the BIS Entity List. In 2010, four BIS Special Agents received the Attorney General's Award for Excellence in "Furthering the Interests of U.S. National Security" for this investigation. Export Enforcement at BIS continues to work closely with the Defense Department, particularly the Joint Improvised-Threat Defeat Agency (JIDA), in the fight to counter the impact of IEDs. Additional details of these cases are set forth on pages 22 and 23.

OEE has also investigated a number of cases involving Iran's attempts to acquire commercial aircraft, engines and spare parts. Two major Iranian airlines were designated by the U.S. Department of the Treasury, with Iran Air designated for WMD proliferation and Mahan Air designated for supporting terrorism. The second largest civil penalty levied by BIS was against United Kingdom-based Balli Group PLC and Balli Aviation Ltd. who were penalized \$15 million for their role in the illegal export of commercial Boeing 747 aircraft from the United States to Mahan Air and violation of a BIS Temporary Denial Order (TDO). The TDO effectively grounded the 747s by prohibiting transactions by third parties involving these aircraft. When Balli failed to make a timely installment of the civil penalty, the entire amount was made due and payable effective immediately and the \$2 million of the civil penalty that had been suspended was also re-imposed. Balli also pled guilty to two related criminal charges and paid an additional \$2 million criminal penalty. Additional details of this case are set forth on page 28.

OEE has also investigated a number of cases where U.S.-origin equipment and technology were used in network infrastructure to monitor and oppress the peoples of Iran and Syria. In December 2011, BIS added two parties to the Entity List based on evidence that they purchased U.S.-origin internet filtering devices and transshipped the devices to Syria. The devices had the potential to be used by the Syrian government to block pro-democracy websites and identify pro-democracy activists as part of Syria's brutal crackdown against the Syrian people. In April 2013, BIS imposed a \$2.8 million civil penalty, the statutory maximum, on the UAE firm Computerlinks FZCO related to the same transactions. Additional details of this case are set forth on page 32.

OEE investigated a case involving the first time a Chinese company has pled guilty to an export control violation. In December 2012, China Nuclear Industry Huaxing Construction Co. Ltd. (Huaxing Construction) pled guilty in connection with a scheme to export and transship high-performance epoxy coatings from the United States to the Chashma II Nuclear Power Plant in Pakistan. Huaxing Construction agreed to pay the maximum criminal fine of \$2 million, with \$1 million suspended. Huaxing Construction also agreed to pay a civil penalty of \$1 million. Co-conspirator Xun Wang also pled guilty and was sentenced to 12 months in prison, a \$100,000 criminal fine, and one year of probation. Wang also agreed to pay a civil penalty of \$200,000 (with another \$50,000 suspended), and to be placed on the Denied Persons List. In December 2010, co-conspirator PPG Paints Trading Shanghai pled guilty and agreed to pay the maximum criminal fine of \$2 million, serve five years of probation, and forfeit \$32,319 to the U.S. Government. PPG Paints Trading Shanghai also agreed to pay a civil penalty of \$1 million. Additional details of these cases are set forth on page 39.

The largest civil penalty BIS has ever levied was against Weatherford International Ltd. in Houston, Texas, and four of its subsidiaries who agreed, in November 2013, to pay \$100 million, with a \$50 million civil penalty paid to resolve the violations charged by BIS, a \$48 million penalty paid pursuant to the deferred prosecution agreement, and \$2 million in criminal fines paid pursuant to the two guilty pleas. The conduct involved export control violations related to export of oil and gas equipment to Iran, Syria, Sudan, and Cuba, as well as items controlled for nuclear non-proliferation reasons exported to Venezuela and Mexico. Weatherford agreed, as part of the settlement agreement, to hire an unaffiliated third-party expert in U.S. export control laws to audit its compliance with respect to all exports or re-exports to Cuba, Iran, North Korea, Sudan and Syria for calendar years 2012, 2013 and 2014. Weatherford International also entered into an additional deferred prosecution agreement for a term of two years and one of its subsidiaries has pled guilty to violations of the Foreign Corrupt Practices Act (FCPA). This agreement included an additional \$87.2 million criminal penalty and \$65.6 million in civil fines to the Securities and Exchange Commission. This case demonstrates the close relationship between the FCPA, economic sanctions and export controls, and that those companies with FCPA compliance issues often have issues in regard to compliance with sanctions and export control laws as well. This case began with alleged violations of the FCPA, and expanded to include other violations. The Weatherford investigation was conducted by OEE, working closely with the Department of the Treasury's Office of Foreign Assets Control (OFAC) and the Department of Justice. Additional details of this case are set forth on page 26.

OEE has also dismantled a domestically-based procurement network that was illegally exporting electronic components for use by the Russian military. The owner of Arc Electronics, located in Houston, Texas, pled guilty

in September 2015, while three other defendants (all employees of Arc Electronics) were convicted after a month-long trial in October 2015, for illegally conspiring to export and for illegally exporting over \$30 million worth of sophisticated technology to Russia. Much of the equipment was destined for military and intelligence agencies. The Arc Electronics case is significant because while it started out with the discovery of a single potentially controlled export of an integrated circuit to Russia, the investigation exposed an entrenched network of foreign nationals in the United States who created a front company for the express purpose of circumventing U.S. export controls. Also of significance is the fact that it was the U.S. business community that provided confidential leads and tips to law enforcement officials that led OEE to identify this front company organization. In connection with the conspiracy, BIS added 165 persons and companies to its Entity List for engaging in this illegal export scheme. Additional details of this case are set forth on page 46.

Finally, when a Pennsylvania company discovered its export control manager, Timothy Gormley, was: 1) altering invoices and shipping documents to conceal the correct classification of amplifiers to be exported so that they would be shipped without the required licenses; 2) listing false license numbers on export paperwork for defense article shipments; and 3) lying to fellow employees about the status and existence of export licenses, the company submitted a voluntary self-disclosure to OEE. That disclosure triggered an investigation that resulted in Gormley being sentenced to 42 months in prison. The company itself entered into a settlement with BIS for a \$500,000 civil penalty which was fully suspended because of the voluntary self-disclosure and the company's substantial cooperation with the investigation. Additional details of this case are set forth on page 49.

These cases and many more are more fully set forth in the following chapters, and document the importance of compliance with U.S. export controls to protect our national security and to advance our foreign policy interests. **Don't Let This Happen to You!!!**

Chapter 1 – Terrorism and State Sponsors of Terrorism

Introduction

The United States maintains broad export controls on certain countries for foreign policy reasons. It has imposed such controls unilaterally or multilaterally pursuant to United Nations Security Council Resolutions. Countries may be subject to partial or comprehensive embargoes, in some cases as a consequence of their designation by the Secretary of State as state sponsors of terrorism. As of the date of publication of this document, Syria, Iran, and Sudan remain designated as state sponsors of terrorism. BIS implements stringent export controls on these three countries under the EAR as well as on Cuba and North Korea⁶. As a practical matter, many exports of ordinary commercial items not typically controlled to other destinations may require authorization from BIS and other federal agencies, including the Department of the Treasury's Office of Foreign Assets Control (OFAC). For these five countries, BIS or OFAC – and in some cases both agencies together – administer the licensing requirements and enforce the controls.



What is OFAC and what does it do?

The Office of Foreign Assets Control (OFAC) administers and enforces economic sanctions programs against countries, entities, and individuals, including terrorists and narcotics traffickers. The sanctions may be either partial or comprehensive, requiring the blocking of assets of designated persons in some situations or the imposition of broad trade restrictions on regions and sectors to accomplish foreign policy and national security goals.

BIS and OFAC work together to administer and enforce the sanctions against Iran and both maintain license requirements for Iran. To reduce duplication with respect to these licensing requirements, exporters or re-exporters are not required to seek separate authorization from BIS for an export or re-export subject both to the EAR and to the Iranian Transactions and Sanctions Regulations (ITSR). If OFAC authorizes an export or re-export, such authorization is considered authorization for purposes of the EAR as well. It is important to note that transactions that are not subject to OFAC regulatory authority may require BIS authorization. No person may export or re-export any item that is subject to the EAR if such transaction is prohibited by the ITSR and not authorized by OFAC. This prohibition applies whether or not the EAR independently require a license for export or re-export. Please see section 746.7 of the EAR or visit <http://www.bis.doc.gov/index.php/policy-guidance/country-guidance/sanctioned-destinations/iran> for more information.

⁶ On October 11, 2008, the United States rescinded the designation of North Korea as a State Sponsor of Terrorism pursuant to Section 6(j) of the Export Administration Act of 1979 and several other statutes. However, North Korea remains in Country Group E:1 (terrorist supporting countries) under the EAR along with Iran, Sudan, and Syria and thus remains subject to all applicable EAR prohibitions. On May 29, 2015, the United States rescinded the designation for Cuba. However, Cuba remains subject to a comprehensive embargo, and the export and re-export of all items subject to the EAR still require authorization from BIS.

A prime example of the complementary OFAC and BIS missions is the ING Bank N.V. case, which arose out of ongoing investigations into the illegal exports of goods from the United States to sanctioned countries. From the early 1990s until 2007, ING Bank N.V. of the Netherlands moved more than \$2 billion illegally through the U.S. financial system – via more than 20,000 transactions – on behalf of Cuban and Iranian entities subject to U.S. economic sanctions. ING Bank knowingly and willfully engaged in this criminal conduct, which caused unaffiliated U.S. financial institutions to process transactions that otherwise would have been rejected, blocked or stopped for investigation under regulations by OFAC relating to transactions involving sanctioned countries and parties. ING Bank eliminated payment data that would have revealed the involvement of sanctioned countries and entities, including Cuba and Iran; advised sanctioned clients on how to conceal their involvement in U.S. dollar transactions; fabricated ING Bank endorsement stamps to fraudulently process U.S. dollar traveler's checks; and threatened to punish certain employees if they failed to take specified steps to remove references to sanctioned entities in payment messages. The investigation arose out of ongoing investigations by OEE's Boston Field Office, the Federal Bureau of Investigation (FBI), the Internal Revenue Service (IRS), and OFAC into the illegal export of goods from the United States to sanctioned countries, including OEE's investigation of Aviation Services International B.V. (ASI), described on page 33. On June 12, 2012, ING Bank N.V. accepted responsibility for its criminal conduct and agreed to forfeit \$619 million to the Justice Department and the New York County District Attorney's Office as part of a deferred prosecution agreement.

Another case set forth below, Schlumberger Oilfield Holdings Ltd., demonstrates how OEE Special Agents conduct criminal investigations of violations of OFAC's regulations, in this instance involving the prohibited provision of services. This case is set forth on page 28.

It is important to familiarize yourself with the restrictions that apply to the ultimate destination of your export. U.S. law in this area frequently changes in accordance with an evolving foreign policy. The following websites are good resources:

OFAC's website:

<http://www.treasury.gov/ofac>

BIS's website:

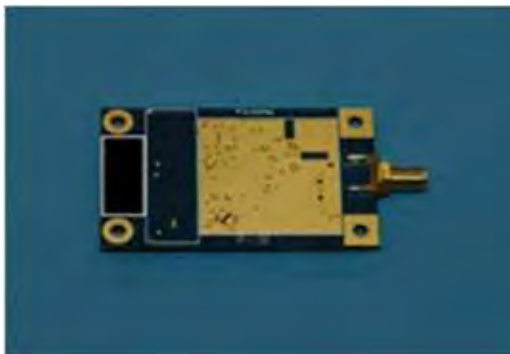
<http://www.bis.doc.gov>

Criminal and Administrative Case Examples

Corezing International PTE, LTD

The Violation: Between 2007 and 2008, Singapore-based Corezing International PTE, LTD (Corezing) conspired to illegally export thousands of radio frequency (RF) modules through Singapore to Iran, at least 16 of which were later found in remote detonation systems of unexploded improvised explosive devices (IEDs) in Iraq. Corezing procured U.S. RF modules from a U.S. module manufacturer, and sent the modules to a freight forwarder in Singapore in five partial shipments. Shipping documents provided by Singapore Customs showed that once the radio parts were delivered to Singapore, they were transshipped from Singapore to Paya Electronics Complex in Iran. RF modules are classified under ECCN 5A002 and require a license to Iran. On September 15, 2010, five individuals and four of their companies were indicted in U.S. District Court in the District of Columbia on a variety of charges, including illegal export of goods from the United States to Iran and the export of military antennas to Singapore. In October 2011, four of the targets were arrested by Singapore Authorities at the request of the United States. These individuals remained in custody while awaiting extradition. On December 21, 2012, two of the four targets were extradited to the United States on charges related to the export of military antennas to Singapore. This case resulted from a joint investigation conducted by OEE's Chicago and Boston Field Offices, the FBI and ICE.

The Penalty: Ultimately, two individuals, Lim Kow Seng and Hia Soo Gan Benson, pled guilty to charges in the District of Columbia. On September 20, 2013, Lim Kow Seng was sentenced to 37 months in prison and



three years of supervised release, and Hia Soon Gan Benson was sentenced to 34 months in prison and three years of supervised release. In addition, BIS announced the addition of 15 persons located in China, Hong Kong, Iran, and Singapore to the BIS Entity List in connection with the investigation and prosecution of Corezing. Their placement on the BIS Entity List prohibits these companies from receiving any item subject to the EAR unless the exporter obtains a BIS license.

RF Modules like the one pictured here are ordinarily used in wireless local area networks, have encryption capability, and can transmit data wirelessly up to 40 miles when configured with certain antennas.

Antennas and Components / Eric Schneider

The Violation: This investigation was part of the Corezing investigation detailed above. In January 2010, Eric Schneider, principal of Antennas and Components of Andover, MA, pled guilty to conspiracy in connection with the export of antennas to end-users in Singapore and Hong Kong without the required license. The antennas, controlled for export as defense articles, were ultimately shipped to Iran. This case resulted from a joint investigation conducted by OEE's Boston Field Office, the FBI and ICE.

The Penalty: On December 15, 2015, Eric Schneider was sentenced in U.S. District Court for the District of Columbia to time served in prison, one year of probation, 500 hours of community service, and a \$100 special assessment.

Mayrow General Trading Network

The Violation: Mayrow General Trading, located in the United Arab Emirates, employed a network to illegally procure EAR99 U.S.-origin dual-use and military components for entities in Iran. Such components ended up in improvised explosive devices (IEDs) used against Coalition Forces in Iraq and Afghanistan.¹ This network is spread across several countries, including the United States. U.S.-origin goods diverted to Iran via this network include those controlled by the EAR for missile technology, national security and anti-terrorism reasons as well as those controlled under the ITAR. This case resulted from an investigation led by OEE's Miami Field Office with the assistance of ICE and DCIS.



The Penalty: On September 17, 2008, 75 additions were made to the BIS Entity List because of the entities' involvement in a global procurement network which began with Mayrow General Trading Company. The Entity List prohibits Mayrow-related companies from receiving any items subject to the EAR unless the exporter secures a BIS license.

¹On September 22, 2008, BIS removed the entities from the General Order No. 3 relating to Mayrow General Trading and related entities, and added them to the Entity List.

On October 27, 2010, The Special Agent-In-Charge and three Special Agents of the Miami Field Office received the Attorney General's Award for Excellence in Furthering the Interests of U.S. National Security for their efforts in leading the Mayrow investigation.

Ya Qian “Jonathan” Chen

The Violation: Ya Qian Chen, aka Jonathan Chen, pled guilty in June 2014 in connection with the attempted export of helium leak detectors to Iran via China and Hong Kong. Chen, a Chinese national and president of SKS Hydraulics in Henderson, Nevada, was arrested in June 2014. The leak detectors, classified under ECCN 3A999, and controlled for anti-terrorism reasons, are a critical piece in the uranium enrichment process. This case resulted from a joint investigation conducted by OEE's Los Angeles Field Office and the FBI.

The Penalty: On October 14, 2014, Chen was sentenced to three years of probation, forfeiture of equipment valued at \$19,665, and a \$100 assessment.

Sihai Cheng

The Violation: In 2013, Chinese national Sihai Cheng was charged in an indictment along with Seyed Abolfazl Shahab Jamili, an Iranian national, and two Iranian companies, Nicaro Eng. Co., Ltd. and Eyvaz Technic Manufacturing Company, with conspiring to export, and exporting, highly sensitive U.S.-manufactured goods with nuclear applications to Iran from at least 2009 to 2012. In December 2014, Cheng was extradited from the United Kingdom to the U.S. and has remained in custody since then. On December 18, 2015, Cheng pled guilty to conspiracy to commit export violations and smuggle goods from the United States to Iran and to illegally exporting U.S.-manufactured pressure transducers to Iran. From February 2009 through at least 2012, Cheng, Jamili, and a third individual conspired with each other and others in the People's Republic of China and Iran to illegally obtain hundreds of U.S. manufactured pressure transducers and export them to Iran. Initially, the parts were exported to China using fraudulently obtained U.S. Department of Commerce export licenses. When they arrived in the China, Cheng inspected them in the Shanghai Free Trade Zone and removed their U.S. manufacturer serial numbers to conceal the fact that he was violating U.S. law. Cheng then caused the pressure transducers to be exported to Iran knowing that the parts were being supplied to the Government of Iran. Jamili advised Cheng that the Iranian end-user was Kalaye Electronic Company, which the U.S. Government designated as a proliferator of weapons of mass destruction in 2007 for its work with Iran's nuclear centrifuge program. Pressure transducers can be used in gas centrifuges to enrich uranium and produce weapons-grade uranium. This case resulted from a joint investigation conducted by OEE's Boston Field Office, the FBI and ICE.

The Penalty: On January 27, 2016, Cheng was sentenced in U.S. District Court for the District of Massachusetts to nine years in prison and a \$600 special assessment in connection with the export of the pressure transducers to Iran.

Susan Yip / Mehrdad Foomanie / Mehrdad Ansari

The Violation: From October 9, 2007 to June 15, 2011, Susan Yip, a citizen of Taiwan, acted as a broker and conduit for Mehrdad Foomanie of Iran, who bought or attempted to buy items in the United States and arranged to have them unlawfully shipped to Iran through his companies in Iran, Hong Kong, and China. Mehrdad Ansari aka Mehrdad Moeinansari of the United Arab Emirates allegedly attempted to transship and transshipped cargo obtained from the United States by Yip and Foomanie using Ansari's shipping company in Dubai. In her guilty plea, Yip admitted to using her companies in Taiwan and in Hong Kong to carry out the fraudulent scheme. The parts Yip obtained and attempted to obtain for Iran were worth millions of dollars and could be used in military systems such as nuclear weaponry, missile guidance and development, secure tactical radio

communication, offensive electronic warfare, military electronic countermeasures, and radar warning and surveillance systems. Foomanie and Ansari remain fugitives. This case resulted from a joint investigation conducted by OEE's Dallas Field Office, the FBI, ICE and DCIS.

The Penalty: On October 29, 2012, Yip was sentenced to two years in federal prison. On June 21, 2016, Mehrdad Foomanie, Mehrdad Ansari and related parties including Enrich Ever Technologies Co., Ltd.; Foang Tech Inc.; Global Merchant General Trading L.L.C.; Gulf Gate Sea Cargo L.L.C.; Gulf Gate Sea Cargo LLC; Gulf Gate Shipping Co. L.L.C.; Gulf Gate Spedition GmbH; Hivocal Technology Company, Ltd.; Infinity Wise Technology Limited; Kuang-Su Corporation; Morvarid Shargh Co. Ltd.; Morvarid Sanat Co. LTD; Ninehead Bird Semiconductor; Panda Semiconductor; Pinky Trading Co., Ltd.; Sazgan Ertebat Co. Ltd.; Well Smart (HK) Technology; and Wise Smart (HK) Electronics Limited were added to the BIS Entity List, with a license requirement for all items subject to the EAR with a presumption of denial.

Trans Merits Co., Ltd.

The Violation: Alex Tsai and his former company, Trans Merits of Taiwan, appear on the Office of Foreign Assets Control's (OFAC) List of Specially Designated Nationals (SDN). Alex Tsai was designated for providing, or attempting to provide, financial, technological, or other support for, or goods or services in support of the Korea Mining Development Trading Corporation (KOMID), which was designated as a proliferator in June 2005. A former resident of Taiwan, Alex Tsai was arrested in May 2013 in Estonia and was later extradited to the United States. Tsai is associated with at least three companies based in Taiwan – Global Interface Company, Inc., Trans Merits Co., Ltd., and Trans Multi Mechanics Co., Ltd. – that purchased and then exported, and attempted to purchase and then export, from the U.S. and other countries, machinery used to fabricate metals and other materials with a high degree of precision. This case resulted from a joint investigation conducted by OEE's Chicago Field Office, the FBI and ICE.

The Penalty: On October 10, 2014 and December 16, 2014, Alex Tsai and his son Gary Tsai, respectively, pled guilty in connection with each of their roles in a scheme for Gary Tsai to illegally export milling machines to his father, Alex Tsai. On April 23, 2015, Gary Tsai was sentenced in U.S. District Court for the Northern District of Illinois to three years of probation, a \$250 criminal fine and a \$100 special assessment. On March 16, 2015, Alex Tsai was sentenced to two years of prison and a \$100 special assessment.

Schlumberger Oilfield Holdings Ltd.

The Violation: Starting in about 2004 and continuing through June 2010, Drilling & Measurements (D&M), a United States-based Schlumberger business segment, provided oilfield services to Schlumberger customers in Iran and Sudan through their non-U.S. subsidiary Schlumberger Oilfield Holdings Ltd. (SOHL), incorporated in the British Virgin Islands. Although SOHL and the parent company Schlumberger Limited had policies and procedures designed to ensure that D&M did not violate U.S. sanctions, both companies failed to train their employees adequately to ensure that all U.S. persons, including non-U.S. citizens who resided in the United States while employed at D&M, complied with Schlumberger Ltd.'s sanctions policies and compliance procedures. As a result of D&M's lack of adherence to U.S. sanctions combined with SOHL's failure to properly train U.S. persons and to enforce fully its policies and procedures, D&M, through the acts of employees residing in the United States, violated U.S. sanctions against Iran and Sudan by: (1) approving and disguising the company's capital expenditure requests from Iran and Sudan for the manufacture of new oilfield drilling tools and for the spending of money for certain company purchases; (2) making and implementing business decisions specifically concerning Iran and Sudan; and (3) providing certain technical services and expertise in order to troubleshoot mechanical failures and to sustain expensive drilling tools and related equipment in Iran and Sudan. This case resulted from an investigation conducted by OEE's Dallas Field Office.

The Penalty: In May 2015, Schlumberger Oilfield Holdings Ltd. entered a plea of guilty in U.S. District Court for the District of Columbia and agreed to pay over \$232.7 million, the largest criminal fine ever imposed for violations of sanctions programs administered under the International Emergency Economic Powers Act. Parent company Schlumberger Ltd. also agreed to the following additional terms during the three-year term of probation (1) maintaining its cessation of all operations in Iran and Sudan, (2) reporting on the parent company's compliance with sanctions regulations, (3) responding to requests to disclose information and materials related to the parent company's compliance with U.S. sanctions laws when requested by U.S. authorities, and (4) hiring an independent consultant to review the parent company's internal sanctions policies and procedures and the parent company's internal audits focused on sanctions compliance.

On June 21, 2016, the OEE Special Agent responsible for this investigation was recognized at the United States Attorney's Office, District of Columbia's Thirty-Fourth Law Enforcement Awards Ceremony for his outstanding work on this case

Weatherford International

The Violation: From 1998 through 2007, Weatherford International and four of its subsidiaries, Weatherford Oil Tools Middle East, Weatherford Production Optimization (UK) Limited, Precision Energy Services ULC (Canada) and Precision Energy Services Columbia Limited, engaged in conduct that violated various U.S. export control and sanctions laws by exporting or re-exporting EAR99 oil and gas drilling equipment to, and conducting Weatherford business operations in, sanctioned countries without the required U.S. government authorization. In addition to the involvement of employees of several Weatherford International subsidiaries, some Weatherford International executives, managers or employees on multiple occasions participated in, directed, approved and facilitated the transactions and the conduct of its various subsidiaries. This conduct involved persons within the U.S.-based management structure of Weatherford International participating in conduct by Weatherford International foreign subsidiaries and the unlicensed export or re-export of U.S.-origin goods to Cuba, Iran, Sudan and Syria. Weatherford subsidiaries Precision Energy Services Colombia Ltd. and Precision Energy Services ULC fka Precision Energy Services Ltd., both headquartered in Canada, conducted business in Cuba. Weatherford's subsidiary Weatherford Oil Tools Middle East, headquartered in the United Arab Emirates, conducted business in Iran, Sudan and Syria. Weatherford's subsidiary Weatherford Production Optimisation (UK) Limited fka eProduction Solutions U.K. Ltd., headquartered in the United Kingdom, conducted business in Iran. Combined, Weatherford generated approximately \$110 million in revenue from its illegal transactions in Cuba, Iran, Syria and Sudan. This case resulted from a joint investigation conducted by OEE's Houston Resident Office, the Department of Treasury's Office of Foreign Assets Control, Securities and Exchange Commission, the FBI, the Department of Justice, ICE and the Houston Police Department.

The Penalty: On November 26, 2013, Weatherford International agreed to enter into a deferred prosecution agreement for a term of two years, and two of its subsidiaries agreed to plead guilty to export controls violations under the International Emergency Economic Powers Act and the Trading With the Enemy Act. Weatherford and its subsidiaries also agreed to pay a penalty of \$100 million, with a \$48 million penalty paid pursuant to the deferred prosecution agreement, \$2 million paid in criminal fines pursuant to the two guilty pleas, and a \$50 million civil penalty paid to resolve the violations charged by BIS. Weatherford International and some of its affiliates also signed a \$91 million settlement agreement with the Department of the Treasury, Office for Foreign Assets Control to resolve their civil liability arising out of this same conduct, which will be deemed satisfied by the payment of the \$100 million in penalties mentioned above. In conjunction with the sanctions settlement, Weatherford International agreed to enter into an additional deferred prosecution agreement for a term of two years and one of its subsidiaries has agreed to plead guilty for violations of the Foreign Corrupt Practices Act. This agreement included an additional \$87.2 million criminal penalty and \$65.6 million in civil fines to the Securities and Exchange Commission.

This massive seven year joint investigation resulted in the conviction of three Weatherford subsidiaries, the entry by Weatherford International into two deferred prosecution agreements, multiple civil settlement and payment of a total of \$252,690,606 in penalties and fines.

Robbins & Myers Belgium SA

The Violation: In 2006, an internal auditor with Robbins & Myers Inc. (RMI) of Dayton, OH, the U.S. parent company of Robbins & Myers Belgium SA (RMB), discovered that RMI had shipped stators made from U.S.-origin steel to a customer operating oil fields in Syria without obtaining the necessary U.S. government authorizations. These stators, designated EAR99, are important components of oil extraction equipment. The internal auditor informed senior management at RMI of the shipments. Management then confirmed that those shipments had occurred and that they were likely in violation of U.S. law. Although the U.S.-based parent directed RMB to stop such shipments, the subsidiary continued to make three shipments of stators to Syria between August 2006 and October 2006. Following those illegal shipments, employees of the Belgian subsidiary attempted to hide documents related to those shipments from the U.S. government's investigators. On October 2, 2014, corporate officials for National Oilwell Varco, which had acquired in 2013, pled guilty on behalf of RMB. This case resulted from an investigation conducted by OEE's Washington Field Office.

The Penalty: On October 2, 2014, RMB was ordered to pay a \$1 million criminal fine (\$250,000 for each of the four counts to which it pled guilty), and to serve a term of corporate probation. As part of its plea agreement, RMB also forfeited \$31,716, the gross proceeds received for the four illegal exports. On October 7, 2014, RMB agreed to a \$600,000 civil settlement with BIS.

Engineering Dynamics, Inc. / James Angehr / John Fowler / Nelson Galgoul

The Violation: Beginning in March 1995 and continuing through February 2007, James Angehr and John Fowler, owners of Engineering Dynamics Inc., a Louisiana company that produced ECCN 8D992 software to design offshore oil and gas structures, exported and attempted to export software to Iran through a co-conspirator in Brazil without having first obtained the required authorization from the U.S. Government. On April 24, 2008, Angehr and Fowler pled guilty to charges that they conspired to violate U.S. export licensing requirements in connection with this export. Nelson Galgoul, director of the Brazilian engineering company Suporte, acted as an agent for Engineering Dynamics Inc. in the marketing and support of this software and trained users of the software in Iran. On August 2, 2007, Galgoul pled guilty to exporting and attempting to export controlled engineering software to Iran without the required U.S. authorization. This case resulted from a joint investigation conducted by OEE's Houston Resident Office, the FBI and ICE.

The Penalty: On August 7, 2008, Angehr and Fowler were sentenced to five years of probation. Angehr was additionally sentenced to six months of confinement in a halfway house, and Fowler was sentenced to four months of confinement in a halfway house. Each defendant was fined \$250,000, and ordered to forfeit \$218,583. On May 22, 2008, Galgoul was sentenced to 13 months in prison, three years of supervised release, a \$100,000 criminal fine, and a \$109,291 forfeiture for his part in the conspiracy. On April 18, 2008, Engineering Dynamics, Inc. agreed to pay a civil penalty of \$132,791. In addition to the civil penalty paid to BIS, Engineering Dynamics Inc. paid an additional \$132,791 to OFAC. Additionally, on December 30, 2011, the Assistant Secretary of Commerce for Export Enforcement issued a Final Order denying Galgoul's export privileges for a period of three years.

Fokker Services, B.V.

The Violation: Between July 2005 and September 2010, Netherlands-based aerospace services provider Fokker Services B.V. (“FSBV”) repeatedly engaged in illegal transactions involving the export and re-export of aircraft parts, technology, and services to Iran and Sudan, while fully aware, including the company’s senior management and its legal and compliance departments, of the applicability of U.S. export control laws, including the EAR. The knowing and willful violations included FSBV’s sale and transfer to and servicing for end users in Iran, including Iranian military end users, of parts and components used in aircraft avionics and navigation systems and in engine, communications, and other aircraft systems, as well as other parts and components. FSBV used a number of schemes, or “work arounds,” to evade U.S. export control laws and avoid detection by U.S. law enforcement authorities. FSBV, for example, concealed material information from its vendors and suppliers in the U.S. (and U.K.), including by stripping identifying information associated with Iranian aircraft from items and packaging before sending the parts to repair shops, providing repair shops with false tail numbers, and providing false end user or ownership information, including with regard to transactions involving Iran Air. Other “work arounds” included using a “black list” that tracked which U.S. companies were more likely to ask for end user statements or ask questions about the origin of parts, and directing business to other U.S. companies, and inserting an automatic electronic alert notice into an internal database that reminded employees to withhold information about Iranian end users from repair shops and suppliers. BIS alleged that Fokker committed 253 violations of the EAR, including 96 violations for engaging in transactions with Iran Air contrary to the terms of a BIS Temporary Denial Order. These 253 transactions involved items classified under ECCNs 1A001, 7A103, 6A998, 7A994, and 9A991, controlled on missile technology, national security, and anti-terrorism grounds, and valued in total at approximately \$10.7 million. This case resulted from a multi-year investigation led by OEE’s Boston Field Office, OFAC, the FBI, ICE and DCIS, and the U.S. Attorney’s Office for the District of Columbia.

The Penalty: On June 2, 2016, the Assistant Secretary approved a settlement agreement under which FSBV agreed to pay a civil penalty of \$10,500,000. FSBV also accepted responsibility for its criminal conduct in violating the International Emergency Economic Powers Act and entered into a deferred prosecution agreement with the Department of Justice. As part of that agreement, FSBV also paid \$10,500,000 to satisfy a forfeiture obligation.



One of the aircraft exported to Iran by the Balli Group, et al.

Balli Group

The Violation: Beginning in at least October 2007, through July 2008, United Kingdom-based Balli Aviation Ltd. conspired to export three Boeing 747 aircraft, classified under ECCN 9A991, from the U.S. to Iran without first having obtained the required export license from BIS or authorization from the Treasury Department’s Office of Foreign Assets Control (OFAC), in violation of the EAR and the Iranian Transactions Regulations. Specifically, Balli Aviation Ltd., through its subsidiaries, the Blue Sky Companies,

purchased U.S.-origin aircraft with financing obtained from an Iranian airline and caused these aircraft to be exported to Iran without obtaining the required U.S. government licenses. Further, Balli Aviation Ltd. entered into fictitious lease arrangements that permitted the Iranian airline to use the U.S.-origin aircraft for flights in and out of Iran. In March 2008, BIS issued a temporary denial order (TDO) suspending for 180 days the export privileges of Balli Group PLC (UK) and related companies and individuals, of Blue Airways (Armenia), and of Mahan

Airways (Iran), based on evidence that the parties knowingly exported three U.S.-origin aircraft to Iran in violation of the EAR and were preparing to re-export three additional U.S.-origin aircraft to Iran in further violation of the EAR. On February 5, 2010, Balli Aviation Ltd, a subsidiary of the United Kingdom-based Balli Group PLC, pled guilty to the illegal export of commercial Boeing 747 aircraft from the United States to Iran, and to violating the BIS TDO. This case resulted from an investigation conducted by OEE's Washington Field Office.

The Penalty: On May 11, 2010, Balli Aviation was sentenced to a \$2 million criminal fine and corporate probation for five years. On February 4, 2010, Balli Group PLC and Balli Aviation entered a civil settlement with BIS and OFAC, which includes a civil penalty of \$15,000,000, of which \$2,000,000 was suspended pending no further export control violations. In addition, a five-year denial of export privileges was imposed on Balli Aviation and Balli Group which was suspended provided that during the suspension period neither Balli Aviation nor Balli Group commits any future violations and paid the civil penalty. Under the terms of the settlement Balli Group and Balli Aviation will also have to submit the results of an independent audit of its export compliance program to BIS and OFAC for each of the next five years. To date, both companies have complied with the reporting requirements. On May 19, 2011, the Assistant Secretary for Export Enforcement revoked the suspension of the \$2,000,000 civil penalty, based on Balli's failure to make a timely payment of the penalty; and ordered acceleration of the remaining two installment payments totaling \$7,200,000 within 15 days of the revocation order.

Mozaffar Khazaei

The Violation: From at least 2009 to 2013, Mozaffar Khazaei, a dual citizen of Iran and the United States, stole highly sensitive, proprietary, trade secret and export-controlled material relating to U.S. military jet engines from multiple U.S. defense contractor employees with the intent to send them to Iran. The hard copy and electronic material that Khazaei stole and sought to transfer to Iran totaled some 50,000 pages and was reviewed by experts from both the U.S. Air Force and the victim defense contractors. In addition to materials relating to the JSF Program and the F-22 Raptor, Khazaei also had documents from numerous other U.S. military engine programs, including the V-22 Osprey, the C-130J Hercules and the Global Hawk engine programs. In total, Khazaei sought to export approximately 1,500 documents containing trade secrets and approximately 600 documents containing highly sensitive defense technology. Analysis of Khazaei's computer media also revealed cover letters and application documents which he sent to multiple state-controlled technical universities in Iran. In those materials, Khazaei stated that as "lead engineer" in various projects with U.S. defense contractors, he had learned "key technique[s] that could be transferred to our own industry and universities." In January 2014, Khazaei was arrested at the Newark Liberty International Airport before boarding a flight to return to Iran. Search warrants executed on Khazaei's luggage revealed additional hard copy documents and computer media containing sensitive, proprietary, trade secret and export controlled documents relating to U.S. military jet engines. Khazaei was also found in the possession of \$59,945 in as-yet undeclared cash, which he had split up into increments of approximately \$5,000 and secreted in multiple bank envelopes in various places in his carry-on luggage. Khazaei pled guilty in February 2015. This case resulted from a joint investigation conducted by OEE's Boston Field Office, the FBI, ICE, DCIS, U.S. Air Force Office of Special Investigation (AFOSI), and CBP.

The Penalty: On October 23, 2015, Khazaei was sentenced to 97 months in prison, three years of supervised release, a \$50,000 criminal fine, and a \$100 special assessment.

Yavuz Cizmeci

The Violation: In June 2008, Yavuz Cizmeci, a Turkish national, aided and abetted his company's transfer of U.S.-origin aircraft to Iran Air without the required authorization and in violation of a Temporary Denial Order. Cizmeci's company, now defunct, was Dunyaya Bais Havacilik Tasimaciligi, also known as Dunyaya Bakis Air Transportation, Ltd. and doing business as Ankair. On June 6, 2008, a Temporary Denial Order was issued naming Ankair, Iran Air and Galaxy Aviation Trade Company Ltd. as denied persons in order to prevent the re-

export of a Boeing 747 aircraft to Iran Air. The aircraft was located in Turkey and was in the process of being re-exported or transferred to Iran Air. Despite having notice of the Temporary Denial Order, Cizmeci facilitated the transfer and re-export of the Boeing 747 to Iran Air. Cizmeci submitted false documents to Turkish authorities claiming the aircraft was bound for Pakistan, when in fact it was destined for Tehran, Iran. The Boeing 747 was classified under ECCN 9A991 and was controlled for anti-terrorism reasons. This case resulted from an investigation conducted by OEE's Washington Field Office.

The Penalty: On March 23, 2015, the Assistant Secretary for Export Enforcement signed a Final Order imposing a civil penalty of \$50,000 and denying Cizmeci's export privileges for 20 years.

Aviation Services International / Delta Logistics / Neils Kraaiipoel / Robert Kraaiipoel

The Violation: Between October 2005 and October 2007, Aviation Services International BV (ASI), an aircraft supply company in the Netherlands, Robert Kraaiipoel, Director of ASI, Neils Kraaiipoel, sales manager of ASI, and Delta Logistics received orders from customers in Iran for U.S.-origin aircraft parts and related goods classified under ECCNs 9A991, 1C008, 5A991, and designated EAR99, then contacted companies in the United States and negotiated purchases on behalf of their Iranian customers. The defendants provided false end-user certificates to U.S. companies to conceal the true end-users in Iran. The defendants caused U.S. companies to ship items to ASI in the Netherlands or other locations in the United Arab Emirates and Cyprus; the items were then repackaged and transshipped to Iran. On September 24, 2009, ASI, Robert Kraaiipoel and Neils Kraaiipoel pled guilty to charges of conspiracy to illegally export aircraft components and other items from the United States to entities in Iran via the Netherlands, UAE and Cyprus. This case resulted from a joint investigation conducted by OEE's Boston Field Office, the FBI, ICE and DCIS.

The Penalty: On June 12, 2012, Robert Kraaiipoel and Neils Kraaiipoel were sentenced to five years of probation and a \$100 special assessment each. ASI was sentenced to five years of corporate probation, \$100,000 criminal fine and a \$400 special assessment. In addition, on March 2, 2010, the Assistant Secretary for Export Enforcement signed Final Orders imposing civil penalties of \$250,000 (suspended due to the defendants' cooperation) against ASI, Robert Kraaiipoel and Neils Kraaiipoel, as well as a seven-year denial of export privileges against ASI and Robert Kraaiipoel, and a three-year suspended denial of export privileges against Neils Kraaiipoel.

Mohammad Tabibi / Michael Edward Todd / Hamid Seifi / Parts Guys LLC / Galaxy Aviation Services

The Violation: Mohammad Tabibi, an Iranian national, Michael Edward Todd, owner of The Parts Guys, LLC of Perry, Georgia, and Hamid Seifi, an Iranian-born U.S. national and owner of Galaxy Aviation Services in St. Charles, Illinois, were involved in a conspiracy to receive and fill orders for components, including military parts for the Bell AH-1 attack helicopter, the UH-1 Huey attack helicopter, as well as the F-5 and F-4 fighter jets for export to Iran. Fugitive Iranian nationals Hasan and Reza Seifi as well as other indicted co-conspirators located in the United Arab Emirates and France purchased these ITAR and ECCN 9A991 components from Todd and Hamid Seifi on the behalf of parties in Iran and conspired to export the components without obtaining the required U.S. Government licenses. Following his 2011 arrest in the Czech Republic, Tabibi was extradited to the U.S. and pled guilty. In 2011, Todd, Seifi and Galaxy Aviation pled guilty to charges related to their roles in a conspiracy to violate the Arms Export Control Act and International Emergency Economic Powers Act. In June 2011, BIS announced the addition of eight indicted defendants located in France, Iran and the United Arab Emirates to BIS's Entity List. This case resulted from a joint investigation conducted by OEE's Miami Field Office, the FBI and ICE.

The Penalty: On December 10, 2013, Tabibi was sentenced to 38 months in prison, a \$200 special assessment and a \$32,000 forfeiture. On June 22, 2011, Seifi was sentenced to 56 months in prison, three years of supervised release, a \$12,500 criminal fine, a \$200 special assessment, and a forfeiture of \$153,940 to be shared with his company Galaxy Aviation Services. On June 22, 2011, Galaxy Aviation Services was sentenced to a \$400 special assessment and the shared \$153,940 forfeiture with Seifi. On October 26, 2011, Todd was sentenced to 46 months in prison, three years of supervised release, and a separate forfeiture (based upon the value of the transactions done by each party) of \$160,362, shared with The Parts Guys, Seifi, and Galaxy Aviation Services. On October 26, 2011, The Parts Guys LLC was sentenced to a \$400 special assessment and the shared \$160,362 forfeiture.

EgyptAir Airlines Company

The Violation: EgyptAir Airlines Company, the flag carrier airline of Egypt, leased two Boeing 737 commercial aircraft classified under ECCN 9A991 and controlled for anti-terrorism reasons, to Sudan Airways, causing the re-export of the aircraft to Sudan. During the lease, the aircraft were placed under the operational control of Sudan Airways and the operating conditions did not satisfy the criteria for “temporary sojourn” license exception under section 740.15 “Aircraft and Vessels (AVS)” of the EAR. EgyptAir was informed by a third party during the course of the transaction that a license was required for the lease. This case resulted from an investigation conducted by OEE’s Washington Field Office.

The Penalty: On November 17, 2015, EgyptAir agreed to pay a civil penalty of \$140,000.

Voluntary Self-Disclosure: EgyptAir voluntarily disclosed the violations and cooperated fully with the investigation.

Hetran, Inc. / Helmut Oertmann / FIMCO FZE

The Violation: This case involves a conspiracy to export a bar peeling machine and related parts valued at more than \$800,000 from the United States through the United Arab Emirates to Iran in violation of the Iran embargo. The machine may be used in the production of high grade steel, a product used in the manufacture of aircraft parts. Around June 2009, Hetran, Inc. of Orwigsburg, Pennsylvania (Hetran), was contacted by representatives of Falcon Instrumentation and Machinery FZE, formerly known as FIMCO FZE (FIMCO), an Iranian company with offices in Iran and the United Arab Emirates, regarding the manufacture and purchase of a peeling machine for ultimate shipment to Iran. In furtherance of the conspiracy, Hetran, its President, Helmut Oertmann (Oertmann), and other co-conspirators agreed that the shipping documents would falsely identify Crescent International Trade and Services FZE in Dubai, United Arab Emirates, as the machine’s end user. In June 2012, Hetran attempted to export the machine through Dubai to Iran without the required U.S. Government authorization. On May 20, 2014, Hetran and Oertmann each entered a guilty plea in U.S. District Court for the Middle District of Pennsylvania. Hetran pled guilty to conspiracy to violate IEEPA, and Oertmann pled guilty to attempt to smuggle goods from the United States. On July 24, 2015, in U.S. District Court for the Middle District of Pennsylvania, FIMCO also pled guilty to charges of conspiracy to violate IEEPA. The other indicted company, Crescent International Trade and Services FZE, and the three Iranian individuals who served as officers of FIMCO, Khosrow Kasraei, Reza Ghoreishi, and Mujahid Ali, are presently fugitives. This case resulted from an investigation conducted by OEE’s New York Field Office.

The Penalty: On December 3, 2014, Oertmann and Hetran were each sentenced to 12 months of probation and a \$100 assessment. On the same date, they agreed to be held jointly and severally liable for a civil penalty of \$837,500 in OEE’s related administrative conspiracy case. BIS suspended \$500,000 of this penalty for two years and will waive the suspended penalty amount thereafter if the respondents do not commit additional violations of

the EAR during the two-year probationary period. On January 6, 2016, FIMCO was sentenced to a \$100,000 criminal fine and a \$400 special assessment. On July 27, 2015, FIMCO agreed to pay a \$837,500 civil penalty. BIS suspended \$250,000 of this penalty for two years and will waive the suspended penalty amount thereafter if the respondent does not commit additional violations of the EAR during the two-year probationary period. On the same date, BIS issued a two-year suspended denial order against FIMCO.

Computerlinks FZCO / Infotec / Waseem Jawad / Aramex Emirates LLC

The Violation: Computerlinks FZCO, the United Arab Emirates subsidiary of the German firm Computerlinks AG, committed three violations of the EAR related to the transfer to Syria of Blue Coat devices designed for use in monitoring and controlling internet traffic. Computerlinks, at the time an authorized reseller for Blue Coat Systems, Inc of Sunnyvale, California, ordered Blue Coat equipment valued at approximately \$1.4 million, which is classified as ECCN 5A002 and 5D002 and controlled for national security and anti-terrorism reasons and as encryption items. Computerlinks FZCO provided Blue Coat, the U.S. manufacturer and exporter, with false information concerning the end-user and ultimate destination of the items in connection with these transactions. Computerlinks FZCO knew that the items were destined for end-users in Syria. However, when placing these orders with Blue Coat, Computerlinks FZCO falsely stated that the ultimate destination and end-users for the items was the Iraq Ministry of Telecom (on two occasions) or the Afghan Internet service provider Liwalnet (on one occasion). The items subsequently were shipped to Computerlinks FZCO in the UAE for ultimate delivery to Syria without the required licenses having been obtained. BIS also identified Waseem Jawad, using the company name Infotec, as a middleman between Computerlinks FZCO and the Syrian end-users, as well as freight forwarder Aramex Emirates LLC, located in Dubai. This case resulted from an investigation conducted by OEE's San Jose Field Office.

The Penalty: On May 8, 2014, Aramex Emirates LLC agreed to pay \$125,000 in civil penalties. On April 24, 2013, Computerlinks FZCO agreed to pay a \$2,800,000 civil penalty, the statutory maximum and complete three external audits of its export control compliance program. "Today's settlement reflects the serious consequences that result when companies take actions to evade U.S. export controls and is the result of an aggressive investigation by OEE and prosecution by the Office of Chief Counsel for Industry and Security of the unlawful diversion of U.S. technology to Syria," said Under Secretary for Industry and Security Eric L. Hirschhorn. "It is vital that we keep technology that can be used to further the repression of the Syrian people out of the hands of the Syrian government." On December 16, 2011, BIS added Waseem Jawad and Infotec to the BIS Entity List in connection with the investigation into Computerlinks FZCO.

Aiman Ammar / Rashid Albuni / ECC / ATS / iT-Wave FZCO

The Violation: Starting in October 2010, Aiman Ammar and Rashid Albuni, both of the United Arab Emirates, implemented a scheme to secure U.S.-origin items for use in the Syrian market through their companies, Engineering Construction and Contracting (ECC) and Advanced Technology Solutions (ATS), both located in Syria, and later iT-Wave FZCO of the United Arab Emirates, to illegally export and re-export web monitoring and controlling equipment and software to Syria, including to the state-run Syrian Telecommunications Establishment. Albuni directly or indirectly provided false destination and end-user information that the items were intended for end-users in such locations as Iraq, Afghanistan, Turkey, Egypt and the United Arab Emirates, when the items were actually intended for Syria. Albuni was involved in negotiating sales, submitting purchase orders and serving as the end-user contact for shipments. Ammar directed payments from his personal and business bank accounts for the unlawful exports or re-exports to Syria. Through this scheme, Ammar and Albuni supplied STE with U.S.-origin computer equipment and software designed for use in monitoring and controlling Web traffic and other associated equipment that they obtained from U.S. companies. Nearly all of the illegally exported and re-exported items were classified under ECCN 5A002 and were controlled for national security and anti-terrorism reasons and as encryption items. This case resulted from an investigation conducted by OEE's San Jose Field Office and ICE.

The Penalty: On September 18, 2015, a five-year denial order was imposed against Ammar and a six-year denial order was imposed against Albuni. On the same date, ECC and ATS each received seven-year denial orders, and iT-Wave FZCO received a four-year denial order. On the same date, the respondents agreed to be held jointly and severally liable for a civil penalty of \$7 million, with all but \$250,000 suspended for a period of two years.

Barracuda Networks, Inc. and Barracuda Networks, Ltd.

The Violation: Beginning in April 2009 and continuing through May 2012, Barracuda Networks, Inc. of Campbell, California (Barracuda), and its wholly-owned subsidiary, Barracuda Networks, Ltd. of the United Kingdom (Barracuda UK), engaged in unlicensed export and re-export of U.S.-origin equipment and software to Iran, Syria and Sudan. On 26 occasions Barracuda acted with knowledge of a violation of the EAR by selling or servicing U.S.-origin devices and related software to the sanctioned destinations of Syria, Iran and Sudan. The commodities exported by Barracuda consisted of web filters, firewall products, link balancers and server backup software. On 11 occasions Barracuda UK acted with knowledge of a violation of the EAR by selling or servicing U.S.-origin devices and related software to Syria and Iran with knowledge that a violation would occur. The illegally exported items are controlled by the Commerce Department for national security and/or anti-terrorism reasons and as encryption items. Iran, Syria and Sudan are designated as State Sponsors of Terrorism. This case resulted from an investigation conducted by OEE's San Jose Field Office.

The Penalty: On November 23, 2015, Barracuda Networks Inc. and Barracuda Networks Ltd. agreed to pay a civil penalty of \$1,500,000.

Voluntary Self-Disclosure: Barracuda Networks voluntarily disclosed the violations and cooperated fully with the investigation.

Ali Reza Parsa

The Violation: Ali Reza Parsa, a Canadian-Iranian dual citizen and resident of Canada, conspired to obtain high-tech electronic components from American companies for transshipment to Iran and other countries for clients of Parsa's procurement company in Iran, Tavan Payesh Mad. Parsa used his Canadian company, Metal PM, to place orders with U.S. suppliers and had the parts shipped to him in Canada or to a freight forwarder located in the United Arab Emirates. He then transshipped from these locations to Iran or to the location of his Iranian company's client. Parsa provided the U.S. companies with false destination and end-user information for the components in order to conceal the illegality of these transactions. In addition, following his arrest and while incarcerated, Parsa continued to violate the International Emergency Economic Powers Act by conducting business for Metal PM and Tavan Payesh Mad, including by ordering parts from German and Brazilian companies for Iranian customers. Parsa also directed a relative to delete email evidence of his ongoing business transactions while in jail, emphasizing the need for secrecy in their dealings. This case resulted from a joint investigation conducted by OEE's New York Field Office and the FBI.

The Penalty: On May 20, 2016, Ali Reza Parsa was sentenced in U.S. District Court for the Southern District of New York to 36 months in prison and a \$300 special assessment.

Borna "Brad" Faizy / Touraj Ghavidel / Techonweb

The Violation: On October 16, 2014, Borna "Brad" Faizy and Touraj Ghavidel (aka Brent Dell), owners/operators of Signal Microsystems (aka Techonweb) of Addison, TX, pled guilty to making false statements to federal agents in connection with the export of computers and computer equipment to Iran through

the United Arab Emirates. The computers, valued at approximately \$20 million, were classified under ECCN 5A992 for anti-terrorism reasons. As part of their conspiracy, Faizy and Ghavidel acquired computers from U.S. companies to supply to end-users in Iran and concealed from the U.S. Government that the computers were destined for Iran. Faizy and Ghavidel actively recruited Iranian customers by marketing their computer business to business owners and individuals in Iran, and, in 2008 or 2009, attended a computer trade show, known as “GITEX,” in Dubai to recruit Iranian customers. The defendants used 'General Trading' companies in Dubai to ship the equipment to Iran and communicated with co-conspirators using fictitious names and coded language to obscure the true identities and locations of the ultimate consignees and end-users. They also created invoices and export forms that falsely identified the ultimate consignees of the shipments as parties in Dubai. This case resulted from a joint investigation conducted by OEE’s Dallas Field Office, the FBI, ICE and DCIS.

The Penalty: On April 3, 2015, Faizy and Dell were each sentenced in U.S. District Court for the Northern District of Texas to a \$75,000 criminal fine, two years of probation, and a \$100 assessment, and forfeiture of computer equipment valued at \$425,000. A ten-year denial of export privileges was also placed on both Faizy and Dell.



Mohammad Reza Hajian / RH International LLC / Nexiant LLC / P & P Computers LLC / Randy Barber / Michael Dragoni / Fortis Data Systems LLC / Greencloud LLC / John Talley / Tallyho Peripherals Inc.

The Violation: OEE has been conducting an ongoing, multi-year investigation involving the illegal export of high-end computers, software, data storage arrays, and equipment to Iran. Mohammad Reza “Ray” Hajian, Randy Dale Barber, Michael Dragoni, and John Alexander Talley conspired to export sophisticated computer and related equipment classified under numerous ECCNs including 4A994, 5A002, 5A991,

5A992, and 5D992 from the U.S. to Iran, in violation of the U.S. embargo. Dragoni and Barber, using Dragoni’s companies Fortis Data Systems LLC (FDS) and Greencloud LLC, conspired to defraud Hitachi Data Systems (HDS) by making materially false statements to HDS in order to purchase computer equipment for resale to Hajian, who in turn resold the equipment to his client, a UAE company. By late 2009, Dragoni, Barber and Hajian knew that HDS refused to sell computer equipment to Hajian and his customers because HDS believed that the equipment was being diverted to unauthorized end-users. In order to deceive HDS and purchase the computer equipment, Dragoni and Barber made false statements regarding the purchaser, end user, and location of installation of the equipment that they were purchasing. To facilitate the conspiracy, they used front companies to make equipment purchases on their behalf. The conspirators then caused the equipment to be shipped to Dubai. Talley’s role was to provide training and computer IT support to ensure that the computer equipment operated in Iran. In an effort to conceal their activities, the conspirators in the United States caused shipments of the computers and related equipment, as well as the payments for same, to travel to and from the United States and Iran through the UAE. Similarly, payments for Talley’s support services were wired through the UAE. This case resulted from a joint investigation conducted by OEE’s Miami Field Office and ICE.

The Penalty: In July 2014, Randy Dale Barber was sentenced to five years of probation, a forfeiture of \$413,106 and (joint) restitution in the amount of \$37,921 to HDS. Michael Dragoni was sentenced to five years of probation, with eight months of home detention, in addition to the joint restitution. FDS and Greencloud were each sentenced to five years of probation. In addition, Dragoni, FDS and Greencloud were sentenced to a joint forfeiture of \$498,706 and the joint restitution with Barber to HDS. In April 2014, John Alexander Talley

was sentenced to 30 months in prison and his company, Tallyho Peripherals, Inc., doing business as Enterprise Solutions Systems, was sentenced to one year of probation. In October 2012, Hajian was sentenced to four years in prison, one year of supervised release, and a (shared) forfeiture of \$10 million (the traceable proceeds of the offense), and a \$100 assessment. Hajian's companies, RH International, P&P Computers LLC, and Nexiant LLC were each sentenced to 12 months of probation, a \$400 assessment, and the shared \$10 million forfeiture. On March 22, 2013, BIS issued Final Orders against Hajian and each of his three companies imposing a 10-year denial of export privileges.

Springworks Sdn Bhd / Kenneth Chua / Owen Chen

The Violation: During the course of the RH International et al investigation summarized above, Special Agents discovered that Springworks Sdn Bhd of Malaysia was supplying U.S.-origin computer storage hardware and related software items classified under ECCNs 5A002 and 5D002 to Iran via Malaysia and the United Arab Emirates. In January 2015, Kenneth Wei Xian Chua and Chen Chee Onn, also known as Owen Chen, were successfully lured from Malaysia to the Middle District of Florida where they were successfully recorded over a six-day period meeting numerous times with Special Agents posing in an undercover capacity as suppliers of the computer equipment. In January 2015, both Chua and Chen were arrested and successfully interrogated by Special Agents. On August 6, 2015, Chua pled guilty to smuggling in connection with these transactions. On July 30, 2015, Chen pled guilty to charges related to the same transactions. This case resulted from a joint investigation conducted by OEE's Miami Field Office and ICE.

The Penalty: On November 10, 2015, Chua was sentenced in U.S. District Court for the Middle District of Florida to two months in prison, three years of probation, a \$3,500 criminal fine, DNA collection, and surrender for deportation upon release to Malaysia with no re-entry to the United States. On November 9, 2015, Chen was sentenced in U.S. District Court for the Middle District of Florida to one year and one day in prison, three years of supervised release, a \$10,000 criminal fine, a \$100 special assessment, and deportation upon release to Malaysia with no re-entry to the United States. The investigation also resulted in a forfeiture of \$324,733, the deemed illegal proceeds which were wired as down payments for various orders placed by Chen.

Transamerica Express of Miami Corp.

The Violation: From March 2007 through January 2008, freight-forwarders Ulises Talavera, through his Miami, Florida-based firm Transamerica Express of Miami Corp., and Emilio Jacinto Gonzalez-Neira, of Paraguay, through his Miami-based firm, Jumbo Cargo, Inc., exported EAR99 Sony brand electronics to Samer Mehdi, owner of Jomana Import Export, an electronics business located within the Galeria Page, a shopping center in Ciudad del Este, Paraguay. Khaled Safadi of Miami, through his Miami-based firm Cedar Distributors, Inc., was a distributor of the electronics to the freight-forwarders. Since December 6, 2006, Galeria Page has been designated as a Specially Designated Global Terrorist entity by the U.S. Department of the Treasury, on grounds that it serves as a source of fundraising for, and is managed and owned by, Hizballah members in the Tri-Border Area. On February 19, 2010, the four individuals and three Miami businesses were indicted in the Southern District of Florida on charges involving the illegal export of electronics to a U.S. designated terrorist entity in Paraguay. On August 18, 2014, Samer Mehdi surrendered to Special Agents from the U.S. Department of Homeland Security who escorted him from Brazil to Miami, FL. On August 19, 2014, Mehdi was arrested upon arrival at the Miami International Airport. On August 19, 2014, Mehdi pled guilty to conspiracy to smuggle goods from the U.S. On September 15, 2010, Gonzalez-Neira and Jumbo Cargo, Inc. pled guilty to conspiracy violations. On October 1, 2010, Safadi and Cedar Distributors, Inc. pled guilty to conspiracy violations, and on October 20, 2010, Talavera and Transamerica Express of Miami Corp. pled guilty to

conspiracy violations. This case resulted from a joint investigation conducted by OEE's Miami Field Office and ICE, through an ongoing Organized Crime and Drug Enforcement Task Force.

The Penalty: On August 19, 2014, Mehdi was sentenced to one year of probation, a \$100 assessment, and forfeited interest in electronics valued at \$256,680. On January 24, 2011, Safadi, Cedar Distributors, Inc., Talavera, and Transamerica Express of Miami Corp. were sentenced. Safadi was sentenced to six months of home confinement, six months of probation, and a \$100 special assessment. Talavera was sentenced to six months of home confinement, a \$100 special assessment, and a shared forfeiture with Cedar Distributors Inc., Transamerica Express of Miami Corp, Gonzalez-Neira, and Jumbo Cargo Inc. of \$40,000 worth of seized electronics. Transamerica Express of Miami Corp. was sentenced to three years of probation, a \$100,000 criminal fine, a \$400 special assessment, and the shared forfeiture. Cedar Distributors was sentenced to three years of probation, a \$400 special assessment, and the shared forfeiture. On January 4, 2011, Jumbo Cargo Inc. was sentenced to one year of probation, a \$20,000 criminal fine, a \$400 assessment, and the shared forfeiture. On January 4, 2011, Gonzalez-Neira was sentenced to 13 months of home confinement, a \$100 special assessment, and the shared forfeiture.

Dani Tarraf / Moussa Hamdan / Douri Tarraf / Hassan Komeiha

The Violation: On November 24, 2009, approximately fifteen individuals involved in a Hezbollah procurement network were indicted and arrested in the Eastern District of Pennsylvania. A criminal complaint, unsealed the same day, charged Dani Nemr Tarraf with conspiring to acquire anti-aircraft missiles and possess machine guns. Moussa Ali Hamdan was charged with conspiring to provide material support to Hezbollah, and other defendants – including Douri Nemr Tarraf, and Hassan Mohamad Komeiha - were charged with conspiring to transport stolen goods. The procurement network attempted to supply U.S.-origin commodities subject to the EAR and ITAR to the foreign terrorist organization, Hezbollah, located in Lebanon. The defendants were also charged with false statements on Shippers Export Declarations. The case resulted from a joint investigation conducted by OEE's New York Field Office, the FBI, ICE, IRS, U.S. Secret Service, DCIS, and BATF.

The Penalty: On October 27, 2014 and July 19, 2013, two of the defendants were sentenced in U.S. District Court for the Eastern District of Pennsylvania in connection with the violations described above. Two other defendants, Douri Nemr Tarraf and Hassan Komeiha, remain fugitives with outstanding arrest warrants.

Amin Al-Baroudi

The Violation: Amin Al-Baroudi exported military and tactical items and other equipment to supply and arm Ahrar al-Sham and other rebel groups in Syria with U.S.-origin goods. Through this conspiracy, Al-Baroudi illegally exported a variety of items for use on the battlefield, including rifle scopes, night vision rifle scopes and sighting devices, body armor, voltage power meters, range finders, communications equipment, and laser boresighters. On January 15, 2016, Al-Baroudi pled guilty to conspiracy to violate the International Emergency Economic Powers Act and U.S. sanctions against Syria. This case resulted from a joint investigation conducted by OEE's Washington Field Office and the FBI.

The Penalty: On June 10, 2016, Amin Al-Baroudi was sentenced in U.S. District Court for the Eastern District of Virginia to 32 months in prison (with credit for approximately six months of time served), two years of supervised release, and a \$100 special assessment. Al-Baroudi was also required by the court to forfeit a variety of firearms and other items seized by the U.S. Government during a search warrant executed in connection with this investigation.

Ericsson de Panama S.A.

The Violation: Between 2004 and 2007, Ericsson de Panama S.A. of Panama City, Panama, knowingly implemented a scheme to route items from Cuba through Panama to the United States and back. The scheme included repackaging items to conceal their Cuban origin, forwarding the items to the United States for repair and replacement, and returning the items to Cuba. This scheme involved items classified as 5A002, 4A994, 5A991, and 5B991, controlled for national security, anti-terrorism, and encryption reasons. This case resulted from an investigation conducted by OEE's Dallas Field Office.

The Penalty: In May 2012, Ericsson entered into a settlement agreement with BIS in which it agreed to pay \$1,753,000 to settle 262 EAR violations. In addition, an independent third party was assigned to conduct an audit of all export transactions connected with Cuban customers undertaken by Ericsson de Panama, its ultimate parent company, or any of its ultimate parent company's other subsidiaries or affiliates.

Voluntary Self-Disclosure: By voluntarily disclosing the violations to BIS and the Department of Justice, and cooperating with the investigation, Ericsson was able to avoid criminal prosecution and heavier fines.

Chapter 2 – Commerce Control List-Based Controls

Introduction

The U.S. Government maintains controls on exports of certain items based on its participation in multilateral export control regimes as well as for unilateral foreign policy reasons. These items are identified on the Commerce Control List and controlled pursuant to Part 742 of the EAR.

EAR controls based on multilateral export control regimes include:

- NP (nuclear nonproliferation) controls implemented pursuant to the Nuclear Suppliers Group. The EAR controls items that could be of significance for nuclear explosive purposes or that will be used, directly or indirectly, in nuclear explosive activities and safeguarded or unsafeguarded nuclear activities;
- CB (chemical-biological) controls implemented pursuant to the Australia Group. The EAR controls items, including entire chemical plants, toxic chemicals and precursors, and certain microorganisms, that could be used for chemical or biological weapons programs;
- MT (missile technology) controls implemented pursuant to the Missile Technology Control Regime. The EAR controls unmanned delivery systems, including unmanned aerial vehicles, capable of delivering weapons of mass destruction; and
- NS (national security) controls implemented pursuant to the Wassenaar Arrangement.

The EAR controls dual-use and certain military items that could make a significant contribution to the military potential of another country or combination of countries that would prove detrimental to the national security of the United States, including destabilizing accumulations of conventional weapons and military modernization programs.



Gas centrifuges can be used to enrich uranium and are subject to nuclear nonproliferation (NP) controls.

In addition to these export control regimes, BIS controls items pursuant to multilateral treaties.

These include:

- CW (chemical weapons) controls implemented pursuant to the Chemical Weapons Convention. The EAR controls dual-use chemicals and related technology in addition to CB items that could contribute to chemical weapons programs.
- FC (Firearms Convention) controls implemented pursuant to the Inter-American Convention Against the Illicit Manufacturing of and Trafficking in Firearms, Ammunition, Explosives, and Other Related Materials (CIFTA). The EAR controls shotguns, shells, optical sights, and other related CIFTA items that could contribute to such activities as drug trafficking, terrorism, and transnational organized crime within the Organization of American States.

BIS also imposes unilateral controls on items in the following categories: significant items (SI), encryption (EI), anti-terrorism (AT), communication intercept/surreptitious listening (SL), regional stability (RS) and crime control and other items for human rights (CC) reasons.

Criminal and Administrative Case Examples

Nuclear Nonproliferation Controls:

Xun Wang / PPG Paints Trading Shanghai / Huaxing Construction

The Violation: From 2006 through 2007, Chinese companies PPG Paints Trading Shanghai Co Ltd, Huaxing Construction Co Ltd., and Xun Wang, Managing Director of PPG Paints Trading, agreed upon a scheme to export, re-export and transship high-performance epoxy coatings from the United States to Chashma II Nuclear Power Plant in Pakistan. The epoxy coatings, designated as EAR99, were transshipped via a third party in the People's Republic of China without having first obtained the required export license. Chashma II is owned by the Pakistan Atomic Energy Commission, which appears on the BIS Entity List. This case resulted from an investigation conducted by OEE's New York Field Office.

The Penalty: In December 2012, Huaxing Construction pled guilty and as part of its plea agreement, agreed to pay the maximum criminal fine of \$2 million, with \$1 million suspended if no further violations occur during the five years of probation. Under the terms of a related civil settlement, Huaxing Construction also agreed to pay another \$1 million, implement an export compliance program, a five-year Denial Order suspended if no further violations occurring during that period, and be subject to multiple third-party audits over the following five years. Xun Wang also pled guilty and was sentenced to 12 months in prison, a \$100,000 criminal fine, and one year of probation. Under the terms of a related civil settlement, Wang also agreed to pay a civil penalty of \$250,000 (with \$50,000 suspended), and to be placed on the Denied Persons List for a period of ten years with five years suspended. In December 2010, PPG Paints Trading Shanghai pled guilty, and as part of its plea agreement agreed to pay the maximum criminal fine of \$2 million, serve five years of corporate probation, and forfeit \$32,319 to the U.S. government. Under the terms of a related civil settlement, PPG Paints Trading Shanghai also agreed to pay a civil penalty of \$1 million and complete third-party audits. Huaxing Construction's guilty plea in this case marks the first time a Chinese corporate entity has entered a plea of guilty in a U.S. criminal export matter.

On September 10, 2014, OEE Special Agents, along with the Assistant U.S. Attorney assigned to the case, were awarded the Executive Office of the U.S. Attorney Director's Award by U.S. Attorney General Eric Holder in recognition of their achievement in the category of Superior Performance by a Litigation Team in connection with this investigation.

Trexim Corporation / Bilal Ahmed

The Violation: On October 2, 2014, Bilal Ahmed pled guilty in connection with the export of carbon fiber and microwave laminates, and the attempted export of a thermal imaging camera, from his company Trexim Corp. of Schaumburg, IL, to Pakistan without the required export licenses. Ahmed admitted that in 2009 he shipped carbon fiber to Pakistan's Space and Upper Atmosphere Research Commission (SUPARCO), an entity on BIS's Entity List. Ahmed knew that the carbon fiber and thermal imaging camera were export-restricted and a license was required from the U.S. government. Ahmed also undervalued the goods he exported to Pakistan to avoid filing an SED and to avoid detection. The carbon fiber was classified under ECCN 1C210 and was controlled for nuclear non-proliferation and anti-terrorism reasons. The thermal imaging camera was classified under ECCN 6A003 and was controlled for national security and regional stability reasons. Ahmed was arrested in March 2014 as he attempted to ship a Flir thermal imaging camera to Pakistan. This case resulted from a joint investigation conducted by OEE's Headquarters and the FBI.

The Penalty: On May 14, 2015, Bilal Ahmed was sentenced in U.S. District Court for the Northern District of Illinois to 24 months in prison, two years of supervised release, a \$1,000 criminal fine, and a \$100 special assessment.

Teledyne LeCroy

The Violation: On two occasions during 2010, Teledyne LeCroy of Chestnut Ridge, New York, exported oscilloscopes from the United States to the Beihang University of Aeronautics and Astronautics (BUAA), also known as Beihang University, in Beijing, China, without the required BIS export license. BUAA and its Beihang University alias appeared on the BIS Entity List at the time of the exports. The oscilloscopes were classified under ECCN 3A292 and were controlled for nuclear non-proliferation and/or anti-terrorism reasons. At the time of the transactions, Teledyne LeCroy was aware that BUAA and its Beihang University alias appeared on the BIS Entity List. Teledyne LeCroy had also obtained end-user statements for both exports that listed “Beijing Beihang University” as the end-user of the oscilloscope. However, the company failed to properly screen the BIS Entity List connection and failed to obtain the BIS licenses required. Teledyne LeCroy also failed to file accurate Shippers Export Declarations in connection with these transactions. This case resulted from an investigation conducted by OEE’s New York Field Office.

The Penalty: On June 16, 2015, Teledyne LeCroy agreed to pay a civil penalty of \$75,000.

Qiang (Johnson) Hu

The Violation: This investigation was initiated after photographs surfaced of the former President of Iran, Mahmoud Ahmadinejad, touring the Natanz Uranium Enrichment facility in Iran which revealed the presence of what appeared to be pressure transducers manufactured by MKS Instruments in Andover, MA. From 2008 through his arrest in 2012, Qiang (Johnson) Hu, a sales manager at MKS Shanghai, conspired with co-workers and others to illegally supply thousands of export-controlled pressure transducers, worth more than \$6.5 million, to unauthorized end-users in China, Iran and elsewhere using export licenses fraudulently obtained from the Department of Commerce. The pressure transducers are classified under ECCN 2B230 and are controlled for nuclear nonproliferation reasons. Hu was arrested in May 2012 and in October 2013 he pled guilty to conspiracy to violate IEEPA. This case resulted from a joint investigation conducted by OEE’s Boston Field Office, the FBI, and ICE.

The Penalty: On July 21, 2014, Hu was sentenced to 34 months in prison and \$100 special assessment.

Nicholas Kaiga

The Violation: On December 4, 2014, Nicholas Kaiga of IMC Metals Company, located in the United Kingdom and Belgium, pled guilty to charges related to his involvement in a scheme to illegally transship aluminum tubing through Belgium to a company in Malaysia. The company in Malaysia was under the control of an individual from Iran. The aluminum tubing is classified as ECCN 1C202 and is controlled for reasons of nuclear nonproliferation. This case resulted from a joint investigation conducted by OEE’s Chicago Field Office, the FBI and ICE.

The Penalty: On March 3, 2015, Nicholas Kaiga was sentenced in U.S. District Court for the Northern District of Illinois to 27 months in prison, two years of supervised release (to be conducted outside of the country), and a \$100 special assessment.

Lisong Ma

The Violation: On May 27, 2013, Lisong Ma, aka Ma Li, a Chinese citizen, pled guilty in connection with the illegal export of weapons-grade carbon fiber to the People’s Republic of China. Ma attempted to export up to five tons of carbon fiber without the required Department of Commerce



licenses. The carbon fiber, classified under ECCN 1C210, has applications in the defense and aerospace industries, and was controlled for reasons of nuclear nonproliferation. Ma was arrested in April 2013, in Los Angeles, California, after attempting to acquire the specialized materials. This case resulted from a joint investigation conducted by OEE's New York Field Office, ICE, and DCIS.

The Penalty: On May 24, 2014, Ma was sentenced to 46 months in prison and a \$100 assessment. On October 31, 2014, a Final Order was issued denying Ma's export privileges for a period of ten years.

Nadeem Akhtar / Computer Communication USA

The Violation: From October 2005 through March 11, 2010, Nadeem Akhtar, owner and operator of Computer Communication USA (CC-USA) of Silver Spring, Maryland, and his co-conspirators used CC-USA to obtain or attempt to obtain radiation detection devices classified under ECCN 1A999, as well as EAR99 resins for coolant water purification, calibration and switching equipment, attenuators and surface refinishing abrasives, mechanical and electrical valves, cranes and scissor lifts for export to entities in Pakistan. Akhtar conspired to send the items to Pakistan's Space and Upper Atmosphere Research Commission (SUPARCO) as well as the Pakistan Atomic Energy Commission (PAEC) and its subordinate entities, such as the Chashma Nuclear Power Plant I in Kundian, Pakistan, and the research reactor maintained by the Pakistan Institute of Engineering and Applied Sciences, a constituent institution of the PAEC specializing in nuclear-related research and development. All of these entities are on the BIS Entity List. The items were worth over \$400,000 total and required export licenses from BIS. Akhtar attempted to evade export regulations and licensing requirements by providing false information, using third parties to procure items for him under false pretenses, misrepresenting CC-USA as the purchaser/end-user of the items, and transshipping the items through the United Arab Emirates (UAE). Akhtar took direction and received commissions from the owner of a trading company located in Karachi, Pakistan, regarding what materials were needed and methods to conceal the transactions. Akhtar's co-conspirators included individuals associated with the owner of the Pakistani trading company in Pakistan, Dubai, UAE and New York. The restricted entities were involved in nuclear and energy research and development, nuclear power plants, and applied science. Exports of commodities to these organizations were prohibited without an export license. On September 9, 2011, Akhtar pled guilty in U.S. District Court in the District of Maryland to conspiring to violate the International Emergency Economic Powers Act and to defraud the United States. This case resulted from a joint investigation conducted by OEE's Washington Field Office and the FBI.

The Penalty: On January 6, 2012, Nadeem Akhtar was sentenced to 37 months in prison, two years of supervised release, and a \$100 special assessment.

Mattson Technology, Inc.

The Violation: Between 2006 and 2008, Mattson Technology Inc. of Fremont, California, made 47 unlicensed exports of pressure transducers classified as ECCN 2B230 to customers in Israel, Malaysia, China, Singapore, and Taiwan in violation of the EAR. The pressure transducers, valued at \$78,000, were controlled for nuclear non-proliferation reasons. This case cautions manufacturing and distribution partners to pay careful attention to compliance requirements when exporting controlled spare and replacement parts. Penalties assessed related to the unauthorized export of spare and replacement parts can be as costly as those that arise from violations related to the export of complete systems and capital equipment. Companies that authorize spare or replacement part shipments using license exceptions, including for replacement parts and equipment and for temporary exports, must ensure compliance with all of the requirements for authorized use of these exemptions as defined in the Export Administration Regulations. This case resulted from an investigation conducted by OEE's San Jose Field Office.

The Penalty: On April 30, 2012, Mattson Technology agreed to pay \$850,000 in civil penalties, \$600,000 of which was suspended.

Voluntary Self-Disclosure: Mattson Technology voluntarily disclosed the violations and cooperated fully in the investigation.

Jirair Avanesian / Farhad Masoumian / Amirhossein Sairafi / XVAC

The Violation: Between 2007 and 2008, Jirair Avanesian, the owner and operator of XVAC, in Glendale, California, purchased and exported at least seven shipments of high-dollar vacuum pumps and pump-related equipment classified under ECCN 2B230 to Iran through a free trade zone located in the United Arab Emirates. The vacuum pumps and related equipment have a number of applications, including uranium enrichment. Avanesian purchased the goods on behalf of Farhad Masoumian in Iran, and arranged to ship the goods to the United Arab Emirates, making it appear that the United Arab Emirates was the ultimate destination. Another individual involved in the conspiracy, Amirhossein Sairafi of Iran, would then send the same goods from the location in the United Arab Emirates to Iran. As part of the conspiracy, Masoumian, Avanesian and Sairafi re-labeled and undervalued the contents of the shipments in order to mask the true contents and to avoid interception by U.S. officials. In most cases, Avanesian prepared air waybills indicating his shipments contained "spare parts" and that no Shipper's Export Declaration was needed. Avanesian was indicted on December 30, 2009 and arrested in January 2010; he pled guilty in July 2010. Sairafi was arrested in January 2010 in Frankfurt, Germany by German law enforcement authorities based on a provisional arrest warrant from the United States. Sairafi was extradited to the United States in September 2010, and pled guilty on November 30, 2010. Masoumian remains a fugitive and is believed to be in Iran. This case resulted from a joint investigation conducted by OEE's Los Angeles Field Office, the FBI, ICE, CBP, and the Internal Revenue Service-Criminal Investigation Division.

The Penalty: On July 6, 2011, Avanesian was sentenced to 18 months in prison, three years of supervised release, a \$10,000 criminal fine, and forfeiture of the proceeds of his criminal activity. On September 27, 2012, BIS issued an order denying Avanesian's export privileges for 10 years. In March 2013, Sairafi was sentenced to 41 months in prison.

Peter Gromacki / Hamid Reza Hashemi / Amir Abbas Tamimi / Murat Taskiran

The Violation: On July 30, 2013, Peter Gromacki, owner and operator of Performance Engineered Nonwovens, located in Middletown, New York, pled guilty to charges of violating IEEPA and conspiracy. On July 10, 2013, Amir Abbas Tamimi, a citizen of Iran, pled guilty to conspiracy and IEEPA violations, and on July 1, 2013, Hamid Reza Hashemi pled guilty to conspiracy and violating IEEPA. On December 5, 2012, the U.S. Attorney's Office announced charges against Gromacki, Hamid Reza Hashemi and related parties, including Amir Abbas Tamimi and Murat Taskiran, for exporting various goods from the U.S. to Iran and China without the required export licenses. These goods include carbon fiber classified under ECCN 1C010, and controlled for national security reasons. The carbon fiber has a wide variety of uses, including in gas centrifuges that enrich uranium and in military aircraft and strategic missiles. In order to evade U.S. restrictions on export of this type of carbon fiber to China, Gromacki enlisted the help of co-conspirators in Europe and China and made false statements on U.S. Customs forms. Hashemi, arrested in December 2012, and Tamimi, arrested in October 2012, were both arrested upon arrival in the United States at JFK International Airport. This case resulted from a joint investigation conducted by OEE's New York Field Office, the FBI and ICE.

The Penalty: On November 26, 2013, Gromacki was sentenced to three months in prison, three years of probation, a \$5,000 criminal fine, and a \$300 special assessment. On November 15, 2013, Hashemi was sentenced to 46 months in prison, one year of probation, and a \$100 special assessment. On November 15, 2013, Tamimi was sentenced to 46 months in prison and a \$100 special assessment.

Chemical/Biological Weapons Controls:

Envirotech Pump Systems, Inc.

The Violation: Between 2007 and 2011, Envirotech Pump Systems, Inc. of St. Louis, Missouri, engaged in conduct prohibited by the EAR on 32 occasions by exporting globe, gate or butterfly valves valued at approximately \$1.4 million to China, Russia, and other various destinations without the required BIS export licenses. These items were classified under ECCN 2B350 and were controlled for reasons of chemical and biological weapons proliferation. This case resulted from an investigation conducted by OEE's Chicago Field Office.

The Penalty: On July 22, 2015, Envirotech Pump Systems, Inc. agreed to pay a civil penalty of \$500,000 with \$350,000 suspended provided no violations occur during a two-year probationary period. The company also agreed to complete two audits of its export controls compliance program.

Voluntary Self-Disclosure: Envirotech Pump Systems, Inc. voluntarily disclosed the violations and cooperated fully with the investigation.

Flowserve Corporation

The Violation: Between 2002 and 2008, Flowserve Corporation, located in Irving, Texas, and 10 of its foreign affiliates made unlicensed exports and re-exports of pumps, valves and related components classified under ECCN 2B350 to a variety of countries including China, Singapore, Malaysia and Venezuela and caused the transshipment of U.S.-origin EAR99 items to Iran and Syria without the required U.S. Government authorization. The items exported to non-embargoed destinations were controlled by the U.S. Department of Commerce for reasons of chemical and biological weapons proliferation and required licenses for export to China, Singapore, Malaysia, and Venezuela. This case resulted from an investigation conducted by OEE's Dallas Field Office.

The Penalty: On September 29, 2011, Flowserve Corporation and ten of its foreign affiliates agreed to pay civil penalties totaling \$2.5 million. The settlement also required external audits of Flowserve's compliance program. Flowserve also agreed to pay OFAC a civil penalty of \$502,408 for transactions involving Iran, Sudan and Cuba.

Voluntary Self-Disclosure: Flowserve voluntarily disclosed these violations, and cooperated fully with the investigation. Since the penalty was imposed, Flowserve has been an outspoken advocate of U.S. National Security and Foreign Policy. The company has taken a strong stance, both internally and externally, on promoting robust export compliance programs, specifically in the oil and gas industries.



Buehler Limited

The Violation: Between November 2001 and July 2006, Buehler Limited of Lake Bluff, Illinois, a global manufacturer of scientific equipment and supplies for use in materials research and analysis, made 80 exports of a product called "Coolmet," a mixture containing triethanolamine (TEA) that is used as a lubricant with cutting tools, to various destinations including China, Hong Kong, Thailand, India, Brazil and Israel, without

the required BIS licenses. Additionally, on one occasion in August 2005, the company's German affiliate re-exported Coolmet from Germany to Iran without the required U.S. government authorization. TEA is a Schedule 3 chemical precursor classified under ECCN 1C350 and is controlled for chemical/biological, anti-terrorism and chemical weapons reasons. This case resulted from an investigation conducted by OEE's Chicago Field Office.

The Penalty: On December 12, 2008, Buehler Limited agreed to pay a \$200,000 civil penalty.

Voluntary Self-Disclosure: Buehler Limited voluntarily disclosed the violations, and cooperated fully with the investigation.

Dr. Thomas Butler

The Violation: On January 14, 2003, Dr. Thomas Campbell Butler, M.D., a professor at Texas Tech University in Lubbock, Texas reported to the FBI that thirty vials of a potentially deadly plague bacteria, *Yersinia pestis* (the causative agent of human plague), were missing and presumed stolen from his research lab. The report sparked a bio-terrorism alert in west Texas and the President was informed of the incident. An investigation ultimately proved that Dr. Butler had illegally exported *Yersinia pestis* to Tanzania. The bacteria is classified under ECCN 1C351 and cannot be exported to Tanzania without an export license from BIS. On January 15, 2003, Dr. Butler was arrested. Dr. Butler was found guilty of numerous charges at trial, two of which were export control-related: making false, fraudulent and fictitious statements regarding the export to federal agents, and making an unauthorized export to Tanzania. This case resulted from a joint investigation by OEE's Dallas Field Office, the FBI, IRS, and Department of Transportation.

The Penalty: Dr. Butler was convicted of forty-seven counts of a sixty-nine count indictment. He was sentenced to two years in prison on March 10, 2004, and he resigned from Texas Tech. On October 24, 2005, the U.S. Court of Appeals for the Fifth Circuit affirmed his conviction. In the administrative case, on September 1, 2006, Dr. Butler agreed to pay a \$37,400 civil penalty and accept a denial of his export privileges for a period of ten years.

Missile Technology Controls:

Weiss Envirotronics

The Violation: Starting on March 27, 2010 through September 11, 2013 Weiss Envirotronics of Grand Rapids, Michigan exported environmental test chambers, classified under ECCN 9B106 and controlled for missile technology reasons and valued at approximately \$3,626,741, to the People's Republic of China without the required BIS export licenses. This case resulted from an investigation conducted by OEE's Chicago Field Office.

The Penalty: On June 3, 2016, Weiss Envirotronics agreed to pay a \$575,000 civil penalty, of which \$400,000 was suspended during a two-year probationary period. The agreement also includes a requirement that Weiss Envirotronics conduct two audits, one of which must be conducted by a third party, relating to Weiss Envirotronic's compliance with U.S. export control laws.

Voluntary Self-Disclosure: Weiss Envirotronics voluntarily disclosed these violations, and cooperated fully with the investigation.

Ming Suan Zhang

The Violation: In 2012, Ming Suan Zhang, a citizen of the People's Republic of China, came to the attention of federal authorities after two accomplices attempted to locate large quantities of aerospace-grade carbon fiber via remote Internet contacts. Zhang told an undercover law enforcement agent that he had an urgent need for the specialized carbon fiber in connection with the scheduled test flight of a Chinese fighter plane. Zhang then arranged a meeting in the United States with an undercover agent to take possession of a carbon fiber sample, which was to be shipped to China and analyzed to verify its authenticity. Zhang was placed under arrest after he arrived for the meeting. The scheme was aimed at obtaining thousands of pounds of the high-grade fiber. In August 2013, Zhang pled guilty to violating the International Emergency Economic Powers Act (IEEPA). This case resulted from a joint investigation conducted by OEE's New York Field Office and ICE.

The Penalty: On December 10, 2013, Zhang was sentenced to 57 months in prison, \$1,000 forfeiture, and a \$100 special assessment.

C.A. Litzler Co., Inc.

The Violation: In May 2005, Western Advanced Engineering Company (WAEC) of Orange, California, exported a hot melt prepreg machine for uni-directional tape valued at \$825,000 to Spain without the required export license. The prepreg machine was classified under ECCN 1B001 and was controlled for missile technology reasons for export to Spain. BIS initially filed a Charging Letter against WAEC. In March 2011, C.A. Litzler Co., Inc. of Cleveland, Ohio, acquired at least a substantial portion of WAEC's assets, and in June 2013 BIS moved to amend the Charging Letter that was pending before an administrative law judge (ALJ) to add Litzler to the case as a successor in interest to WAEC. In August 2013 the Administrative Law Judge granted BIS's motion to add Litzler as an additional respondent. This case resulted from an investigation conducted by OEE's Los Angeles Field Office.

The Penalty: On April 24, 2014, C.A. Litzler Co., Inc. agreed to pay a \$45,000 civil penalty. Additionally, on June 12, 2014, WAEC agreed to a three year suspended denial order.

GrafTech International Holdings Inc.

The Violation: Between July 2007 and January 2010, GrafTech International Holdings Inc. (GrafTech), of Ohio, exported twelve shipments of CGW grade graphite to China and India without the required BIS licenses. The high-grade graphite, valued at approximately \$524,000, is classified under ECCN 1C107 and controlled for missile technology reasons. This case resulted from an investigation conducted by OEE's Washington Field Office.

The Penalty: On October 25, 2013, GrafTech agreed to pay a \$300,000 civil penalty. The agreement also includes an external audit requirement relating to GrafTech's compliance program and the compliance programs of three foreign GrafTech subsidiaries.

Voluntary Self-Disclosure: GrafTech voluntarily disclosed the violations, and cooperated fully with the investigation.

Interpoint Corporation

The Violation: During the period 2003-2005, Interpoint Corporation, located in Redmond, Washington, exported EAR99 DC-to-DC converters and/or electromagnetic interference filters to China, with knowledge that the items would be used in Chinese rocket programs. Interpoint also exported such items to the 13th Institute in the PRC, an entity on the BIS Entity List, without the required licenses. This case resulted from an investigation conducted by OEE's San Jose Field Office.

The Penalty: On December 18, 2008, Interpoint Corporation agreed to pay a \$200,000 civil penalty.

Voluntary Self-Disclosure: The company voluntarily disclosed the violations and cooperated fully with the investigation.

Parthasarathy Sudarshan / Mythili Gopal / Cirrus Electronics LLC

The Violation: Between 2002 and 2006, Parthasarathy Sudarshan, of Simpsonville, South Carolina, president of Cirrus Electronics LLC (Cirrus), with offices in Simpsonville, South Carolina, Singapore, and Bangalore, India, conspired with others, including Mythili Gopal, to illegally export U.S. microprocessors and electronic components for space launch vehicles and ballistic missile programs to the Vikram Sarabhai Space Centre (VSCC) and Bharat Dynamics, Ltd. (BDL), two Indian government entities involved in rocket and missile production, without the required licenses. At the time of the investigation, the commodities were classified under ECCNs 3A001, 3A991, or designated as EAR99. In addition, VSCC and BDL were listed on the BIS Entity List. Sudarshan and others at Cirrus provided the U.S. vendors of electrical components with fraudulent end-use certificates and routed them through the Singapore office to conceal the ultimate destination of the goods. On June 1, 2007, BIS imposed a 180-day Temporary Denial Order (TDO) on Sudarshan, three other Cirrus officials, and the three Cirrus offices (South Carolina, Singapore, and India). Gopal cooperated with the government against her co-conspirator, Parthasarathy Sudarshan. This case resulted from a joint investigation conducted by OEE's Washington Field Office and the FBI.

The Penalty: On June 16, 2008, Sudarshan was sentenced to 35 months in prison, two years of supervised release, and a \$60,000 criminal fine. Sudarshan will receive credit for time served, which at the time of sentencing was approximately 15 months. The TDO was renewed for an additional 180 days on December 5, 2007. On August 11, 2008, Mythili Gopal was sentenced to a \$5,000 fine, four years of probation with the condition of 60 days of home confinement, and 200 hours of community service.

National Security Controls:

Arc Electronics / Alexander Fishenko / Alexander Posobilov / Shavkat Abdullaev / Anastasia Diatlova

The Violation: Between 2008 and 2012, Alexander Fishenko, owner of Houston, Texas-based Arc Electronics, and several of its employees obtained advanced microelectronics valued at over \$30 million from manufacturers and suppliers located within the United States and exported those goods to Russia, while carefully evading the government export licensing system. They provided false end-user information in connection with the purchase of the goods, concealed the fact that they were resellers, and falsely classified the goods they exported on export records submitted to the Department of Commerce. The microelectronics shipped to Russia included analog-to-digital converters, static random access memory chips, microcontrollers and microprocessors. These commodities

are classified under ECCN 3A001 and are subject to export controls due to their potential use in a wide range of military systems, including radar and surveillance systems, weapons guidance systems, and detonation triggers. This case resulted from a joint investigation conducted by OEE's Houston Resident Office, the FBI, the Naval Criminal Investigative Service, and the Internal Revenue Service.

The Penalty: On October 26, 2015, after a month-long trial, Alexander Posobilov, Shavkat Abdullaev and Anastasia Diatlova were convicted in U.S. District Court for the Eastern District of New York. In September 2015, Alexander Fishenko pled guilty in connection with the illegal exports. On October 9, 2012, BIS added 165 foreign persons and companies to its Entity List for allegedly engaging in this illegal export scheme.

Alexander Brazhnikov / ABN Universal

The Violation: Alexander Brazhnikov, owner of ABN Universal in Carteret, New Jersey, and his companies are part of a sophisticated procurement network that obtained and smuggled more than \$65 million worth of regulated, sensitive electronic components from American manufacturers and vendors and exported those items to the Federal States Unitary Enterprise Russian Nuclear Center - Acadenucuan E.I. Zababkhinh All-Russian Scientific Research Institute of Physics, and MIG Electronics, located in Russia. Both companies appear on the BIS Entity List. Brazhnikov was responsible for nearly 2,000 illegal shipments of EAR99 electronics components, many of which wound up in the hands of Russian military and security forces. Brazhnikov also took extensive measure to conceal the true destination of the parts and to conceal the true sources of funds in Russia, as well as the identities of the various Russian defense contracting firms receiving U.S.-origin electronics components. This case resulted from a joint investigation conducted by OEE's New York Field Office, the FBI and ICE.

The Penalty: On June 30, 2016, Alexander Brazhnikov was sentenced in U.S. District Court for the District of New Jersey to 70 months in prison, a \$75,000 criminal fine, a \$65 million forfeiture, forfeiture of his two houses valued at approximately \$500,000 each, and a \$300 special assessment.

Zhen Zhou Wu / Yufeng Wei / Bo Li / Chitron Electronics, Inc.

The Violation: On May 17, 2010, Zhen Zhou Wu, aka Alex Wu, Yufeng Wei aka Annie Wei, and Chitron Electronics, Inc. (Chitron-US), located in Waltham, Massachusetts, were convicted of unlawfully exporting defense articles and goods controlled by BIS for national security reasons through Hong Kong to China between 2004 and 2007 in violation of U.S. export control laws. Bo Li, aka Eric Lee, manager of Chitron-US in 2007, Wu and Wei were convicted of filing false shipping documents with the U.S. Department of Commerce in connection with these shipments. In addition, Wei was convicted of immigration fraud. The exported equipment is classified as ECCN 3A001 and is used in electronic warfare, military radar, fire controlling, military guidance and control equipment, and satellite communications, including global positioning systems. This case resulted from a joint investigation conducted by OEE's Boston Field Office, the FBI, ICE and DCIS.

The Penalty: On January 28, 2011, Chitron-US was sentenced to a \$15.5 million fine, a special assessment of \$10,400, and a shared forfeiture with Wu and Wei of \$65,881. On January 28, 2011, Annie Wei was sentenced to 36 months in prison and the shared forfeiture. On January 26, 2011, Wu was sentenced to 97 months in prison, 24 months of supervised release, a criminal fine of \$15,000, a \$1,700 special assessment, and the shared forfeiture. On February 9, 2011, Shenzhen Chitron Electronics Company Limited (Chitron-Shenzhen) was ordered to pay \$1,925,000 for failing to appear for 77 days in court proceedings related to its involvement in the exports. On July 22, 2010, Eric Lee was sentenced to 11 months in prison (time served), three years of supervised release, a \$1,000 fine, and a \$100 special assessment. On June 4, 2012, BIS issued Denial Orders for 10-years against Wei, Wu, Chitron-Shenzhen, and its two subsidiaries, Chitron-US in Massachusetts and Chitron (HK) Electronics Company Limited in Hong Kong. On March 19, 2013, the U.S. Court of Appeals for

the First Circuit in Boston, Massachusetts upheld Wu and Wei's convictions on all IEEPA counts, one count of conspiracy, and Shipper's Export Declaration (SED) violations. On September 10, 2013, a re-sentencing hearing for Wu was held, at which he was sentenced to 84 months in prison, a \$15,000 fine, and deportation back to China upon release from prison. On April 30, 2014, a re-sentencing hearing for Wei was held, at which she was sentenced to 23 months in prison, two years of supervised release, and deportation back to China upon release from prison. Chitron-US, Annie Wei and Alex Wu appear on the Department of State's Debarred List.

Daofu Zhang / Jian Guanghou Yan / Xianfeng Zuo / HK Potential Electronics Co.

The Violation: Daofu Zhang, Jiang Guanghou Yan, and Xianfeng Zuo, all Chinese nationals, each operated businesses in China that bought and sold electronic components, including integrated circuits. In 2015, Zuo requested that Yan locate and purchase several advanced integrated circuits which had military applications, including radiation tolerance for uses in space. Yan then asked a U.S. individual to locate the items and sell them to Yan. The U.S. individual explained that the items cannot be shipped outside the U.S. without an export license, but Yan still wished to make the purchase. When the U.S. individual expressed concern that the desired integrated circuits would have to be stolen from military inventory, Yan proposed to supply the U.S. individual with fake integrated circuits to replace the ones to be stolen from the military. In November 2015, Zhang shipped from China to the U.S. individual, two packages containing counterfeit integrated circuits, each bearing a counterfeit brand label. After further discussions between Yan and the U.S. individual, Yan, Zhang, and Zuo flew together from China to the U.S. in early December 2015 to complete the purchase of the integrated circuits. On December 10, 2015, Yan, Zhang, and Zuo drove to a location in Milford, Connecticut, where they planned to meet the U.S. individual, make payment, and take custody of the items. Yan, Zhang, and Zuo were arrested at the meeting location. On April 15, 2016, Zhang pled guilty to charges related to the sale of counterfeit parts intended for the U.S. military in connection with the attempted export of computer chips to China without the required export license. On March 7 and March 16, 2016 respectively, Jiang Guanghou Yan and Xianfeng Zuo pled guilty in U.S. District Court for the District of Connecticut in connection with the conspiracy. This case resulted from a joint investigation conducted by OEE's Boston Field Office, the FBI, ICE, DCIS, and the U.S. Air Force Office of Special Investigations.

The Penalty: On July 8, 2016, Daofu Zhang was sentenced in U.S. District Court for the District of Connecticut to 15 months in prison and a \$63,000 forfeiture.

Wind River Systems

The Violation: Between 2008 and 2011, Wind River Systems of Alameda, California, a wholly-owned subsidiary of Intel Corporation, made 51 exports of encryption software classified under ECCN 5D002, controlled for national security reasons, and valued at a total of nearly \$3 million, from the U.S. to end-users in China, Hong Kong, Russia, Israel, South Africa, and South Korea. The end-users of these exports were all government end-users, and a Department of Commerce license was required for these shipments. In addition, on four occasions during the same time period, Wind River made four exports of the software, valued at nearly \$28,000, to various entities in China appearing on BIS's Entity List. This case resulted from an investigation conducted by OEE's San Jose Field Office.

The Penalty: On October 7, 2014, Wind River Systems agreed to pay \$750,000 in civil penalties.

Voluntary Self-Disclosure: Wind River Systems voluntarily disclosed the violations and cooperated fully with the investigation.

Timothy Gormley / Amplifier Research Corporation

The Violation: Timothy Gormley was an employee of Amplifier Research Corporation in Souderton, Pennsylvania. Many of this company's products are classified as ECCNs 3A001 and EAR99 and are controlled for national security reasons with applications in military systems, requiring a license for export to most destinations outside Europe. While working for Amplifier Research Corp, Gormley altered invoices and shipping documents to conceal the correct classification of the amplifiers so they would be shipped without the required licenses, listed false license numbers on the export paperwork, and lied to fellow employees about the status and existence of export licenses. Gormley's actions resulted in at least 50 unlicensed exports of national security items to such destinations as China, India, Hong Kong Taiwan, Thailand, Russia, and Mexico. In admitting to the conduct, he explained that he was "too busy" to obtain the licenses. This case resulted from an investigation conducted by OEE's New York Field Office.

The Penalty: On January 17, 2013, Gormley was sentenced to 42 months in prison, five years of supervised release, a \$1,000 criminal fine and a \$500 assessment. On December 27, 2013, Amplifier Research agreed to a fully suspended civil penalty of \$500,000 provided the company does not commit any export violations for two years. Additionally, Amplifier Research is required to conduct external audits of their compliance programs and submit the results to BIS.

Voluntary Self-Disclosure: Amplifier Research voluntarily disclosed the violations and cooperated fully with the investigation.

ARC International / Yaming Nina Qi Hanson / Harold DeWitt Hanson

The Violation: Between 2007 and 2008, Yaming Nina Qi Hanson (Qi), her husband Harold Dewitt Hanson (Hanson), an employee at Walter Reed Army Medical Center, and a Maryland company, ARC International, LLC, illegally exported miniature Unmanned Aerial Vehicle (UAV) Autopilots to Xi'an Xiangyu Aviation Technical Group in China. On November 13, 2009, Hanson and Qi pled guilty to making false statements. The UAV components are classified as ECCN 9A012 and are controlled for export to China for national security reasons. This case resulted from a joint investigation conducted by OEE's Washington Field Office and the FBI.

The Penalty: On February 3, 2010, Hanson and Qi were sentenced in the U.S. District Court in the District of Columbia. Qi was sentenced to 105 days in jail with credit for time served, placed on one year of supervised release, ordered to pay a fine of \$250 and a \$100 special assessment fee, and ordered to attend a U.S. Department of Commerce sponsored educational training program. Hanson was sentenced to 24 months of probation, ordered to pay a \$250 fine and a \$100 special assessment, ordered to perform 120 hours of community service, and ordered to attend a U.S. Department of Commerce sponsored training program. On July 16, 2013, Hanson and Qi each also agreed to 15-year Denial Orders against them to settle administrative charges that they made false or misleading statements to U.S. Government agents during the course of an investigation.

Streit USA Armoring LLC / Streit Middle East / Streit Group FZE / Guerman Goutorov / Eric Carlson

The Violation: Between March 2008, and November 2009, Streit USA Armoring, LLC ("Streit USA") of North Charleston, South Carolina, Streit Middle East of Dubai, United Arab Emirates ("UAE"), and Streit Group FZE of the Ras-Al Khaimah Free Trade Zone, UAE (collectively, "the Streit Group") violated the EAR by making or causing unauthorized resales, transfers, exports or re-exports of U.S.-origin armored vehicles, including in violation of license conditions, and by making false statements in connection with license applications and failing to update license applications as material or substantive facts changed. The items were classified under ECCN 9A018, controlled on national security grounds, valued in total at some \$3.1 million, and exported or re-exported to Afghanistan, Iraq, Nigeria, the Philippines, Singapore, and Venezuela. The Streit Group's owner/CEO and a

Streit USA corporate officer caused/aided/abetted some of the violations through their actions and/or inaction. Streit USA possessed a BIS license to export such armored vehicles to the UAE, but the license required Streit USA to inform the consignee of all license conditions, including that no resale, transfer, or re-export of the items was permitted without prior authorization by the U.S. Government. Streit USA failed to inform Streit Middle East, the consignee, of the license condition prohibitions until 19 months later, even though aware that Streit Middle East and Streit Group FZE were engaging in unlicensed resales, transfers, and re-exports. Despite this knowledge, Streit USA exported the items to Streit Middle East in the UAE. Streit Middle East and Streit Group FZE continued to engage in unlicensed transactions even after learning of the license requirement and being warned of the penalties for noncompliance. Guerman Goutorov, the chairman, CEO, and sole or majority owner of the Streit Group entities, also had personal knowledge of these warnings and related transactions, but failed to prevent the transactions and violations from continuing. When Streit USA finally did seek a BIS license for Streit Middle East to re-export some of the vehicles to Iraq and the Philippines, it made a false statement and/or failed to update the applications despite knowing the vehicles would actually be re-exported by Streit Group FZE and learning that Streit Group FZE intended to proceed with the Iraq re-export without the required license. Streit USA also had applied for a license to export armored vehicles to Venezuela, but just three weeks later, while the application remained pending, transferred the vehicles to a Canadian affiliate despite knowing the items would immediately be transshipped to Venezuela without the required license. When BIS forwarded questions about the application the following month, as part of the interagency license review process, Streit USA falsely told BIS that the sale had been lost. Streit USA then-Vice President (and subsequently President) Eric Carlson was directly involved in this false statement scheme, as was Streit Group FZE. These cases resulted from a joint investigation conducted by OEE's Washington Field Office and ICE.

The Penalty: On September 1, 2015, BIS imposed civil penalties totaling \$3.5 million against these respondents pursuant to settlement agreements with them, including \$1.6 million against Streit USA (with \$850,000 suspended), \$1.6 million jointly and severally against Streit Middle East and Streit Group FZE (with \$850,000 suspended), \$250,000 against Goutorov, and \$50,000 against Carlson. Each of the companies also is required to complete two audits of their compliance programs. All of the respondents are subject to three-year suspended denial orders. The suspensions of portions of the Streit USA and Streit Middle East/Streit Group FZE penalties are subject to a three-year probationary period and related compliance conditions.

ZhENCHUN “Ted” HUANG

The Violation: ZhENCHUN Huang, also known as Ted Huang, a Chinese national and naturalized U.S. citizen, pled guilty in July 2014 in connection with a scheme to obtain U.S.-origin commodities, which are subject to the EAR, for export to China by means of false and fraudulent representations. When Huang became aware of the investigation, he absconded from the U.S. to China and was a fugitive until his arrest in London in December 2013. The items, cadmium zinc telluride and mercury cadmium telluride wafers, were classified under ECCN 3B001 and were controlled for national security reasons. This case resulted from a joint investigation conducted by OEE's Washington Field Office, the FBI, and the National Aeronautics and Space Administration (NASA) Office of Inspector General.

The Penalty: On October 20, 2014, Huang was sentenced to 15 months in prison, three years of probation, and a \$200 special assessment.

UNISOL INTERNATIONAL

The Violation: From December 31, 2012 through March 25, 2013, Unisol International of Miami, Florida knowingly sold or transferred thermal imaging cameras, items classified under ECCN 6A003 for national security and regional stability reasons and valued at approximately \$67,080, to Ecuador and Venezuela. This case resulted from an investigation conducted by OEE's Miami Field Office.

The Penalty: On May 24, 2016, Unisol International agreed to pay \$250,000 in civil penalties, of which \$100,000 is suspended during a two-year probationary period.

Fu-Tain Lu / Fushine Technology

The Violation: In 2004, Fu-Tain Lu, owner and operator of Fushine Technology, Inc., a company based in Cupertino, California, facilitated the export of a microwave amplifier to Everjet Science and Technology Corporation, a company in China. The amplifier was classified as ECCN 3A001 and was restricted for export to China for national security reasons. Fushine was an exporter of electronic components used primarily in communications, radar and other applications. On November 17, 2011, Fu-Tain Lu pled guilty in the U.S. District Court in the Northern District of California to violating IEEPA by exporting the microwave amplifier to parties in China without the required export license. This case resulted from a joint investigation conducted by OEE's San Jose Field Office, the FBI, ICE and AFOSI.



The Penalty: On October 29, 2012, Lu was sentenced to 15 months in federal prison, three years of supervised release, a fine of \$5,000 and ordered to forfeit a seizure valued at \$136,000.

Jason Liang / Sanwave Electronics

The Violation: In February 2010, Jason Liang, owner and operator of Sanwave Electronics, of Huntington Beach, California, was arrested and indicted based on charges of attempting to export IR300D infrared cameras to China without the required export licenses from the U.S. Department of Commerce. The items were classified as ECCN 6A003, and were controlled for national security, antiterrorism, and regional stability reasons. On July 19, 2011, Liang pled guilty in the U.S. District Court in the Central District of California to seven counts of illegal exports. This case resulted from a joint investigation conducted by OEE's Los Angeles Field Office and the FBI.

The Penalty: On April 23, 2012, Liang was sentenced in U.S. District Court in the Central District of California to 46 months in prison, three years of supervised release, and a \$700 special assessment.

Crime Controls:

John Carrington / Sirchie

The Violation: In December 2005, John Carrington, a former North Carolina State Senator, and the former President and Chief Executive Officer of Sirchie Fingerprint Laboratories, a police and forensics equipment supply company based in Youngsville, North Carolina, pled guilty in U.S. District Court to violating IEEPA. This plea arose out of Carrington's involvement in a diversion scheme by which Sirchie Fingerprint Laboratories products, classified as ECCNs 3A981 and 1A985, were shipped through an Italian associate in order to disguise the fact that the items were destined for ultimate end-use in Hong Kong and the People's Republic of China. This diversion scheme was put in place specifically to evade U.S. export control laws. As a result of this plea,

Carrington was sentenced to a criminal fine of \$850,000 and 12 months of supervised release. He was also placed under a Denial Order by BIS for a period of five years, which barred him from engaging directly or indirectly in any export related activity. Additionally, Sirchie Fingerprint Laboratories was placed under a Five Year Suspended Denial Order and required to pay a total of \$400,000 in civil penalties. In January 2008, OEE received information indicating that Carrington was acting in violation of the Denial Order issued against him. A subsequent OEE investigation determined that between February 2006 and November 2007, Carrington was directly involved in Sirchie Fingerprint Laboratories export transactions on ten occasions. His involvement included, among other things, actively assisting in setting prices on products he and other senior members of Sirchie Fingerprint Laboratories management knew would be exported to foreign countries. On January 15, 2008, Raymond James, Inc. formed Sirchie Acquisition Company LLC (Sirchie Acquisition) for the purpose of purchasing essentially all assets of Sirchie Fingerprint Laboratories and several related companies. This case resulted from an investigation conducted by OEE's Washington Field Office.

The Penalty: In February 2010, Sirchie Acquisition agreed to enter into a three year deferred prosecution agreement (DPA) with the United States Department of Justice. By entering into this DPA, Sirchie LLC acknowledged that as successor corporate entity, it was responsible for all liabilities of its corporate predecessor, and therefore bore responsibility for the violations of the Denial Order. Sirchie LLC also agreed to pay \$2,500,000, the maximum administrative penalty, to BIS for the ten violations, and a five-year Denial Order fully suspended so long as there are no additional export control violations. Additionally, the company agreed to pay a total of \$10.1 million in criminal fines and to retain an independent compliance monitor to ensure the company's compliance with the DPA.

Lev Steinberg

The Violation: On September 16, 2009, Lev Steinberg, a resident of Brooklyn, New York, pled guilty to violating the International Emergency Economic Powers Act and the Foreign Corrupt Practices Act. Steinberg was arrested in March 2009 for exporting rifle scopes classified under ECCN 0A987 and controlled for crime control reasons to Russia without the required license from BIS. This case resulted from a joint investigation conducted by OEE's New York Field Office, ICE, and DCIS.

The Penalty: On February 25, 2014, Lev Steinberg was sentenced to one year of probation, a \$4,000 criminal fine, and a \$200 assessment. On November 20, 2014, a Final Order was issued denying Steinberg's export privileges for a period of two years.

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B&H Foto & Electronics Corp

The Violation: Between 2009 and 2012, B&H Foto & Electronics Corp. of New York, New York, made 50 exports of optical sighting devices classified as ECCN A0987 to a variety of countries, including Russia, Kazakhstan, Hong Kong, Saudi Arabia and South Africa without the required Department of Commerce licenses. The optical sighting devices, valued at \$23,000, were controlled for crime control reasons. This case resulted from an investigation conducted by OEE's New York Field Office.

The Penalty: On January 8, 2015, B&H Foto & Electronics Corp. agreed to pay a \$275,000 civil penalty.

Vitali Tsishuk / Volha Dubouskaya / Aliaksandr Stashynski / Yahor Osin / Aliaksandr Belski / Ernest Chornoletsky

The Violation: In August 2011, Aliaksandr Stashynski, Yahor Osin, Aliaksandr Belski, Vitali Tsishuk, and Volha Dubouskaya, Belarussian citizens living in Pennsylvania, as well as Ernest Chornoletsky, a Ukrainian citizen living in Pennsylvania, were charged with criminal conspiracy to export defense articles without a license and conspiracy to violate IEEPA. Osin, Belski, and Tsishuk were further charged with conspiracy to launder monetary instruments. The defendants conspired to illegally export to Belarus numerous defense articles, including ThOR 2 Thermal Imaging Scopes, AN/PAS-23 Mini Thermal Monoculars, and Thermal-Eye Renegade-320s, without obtaining a license from the Department of State. During this period, the defendants also conspired to illegally export Commerce-controlled items to Belarus, including L-3 x 200xp Handheld Imaging Cameras classified as ECCN 0A987 controlled for crime control reasons, without a Department of Commerce license. This case resulted from a joint investigation conducted by OEE's New York Field Office, the FBI and ICE.

The Penalty: In February 2013, Tsishuk was sentenced to 24 months in prison for his role in the conspiracy. Dubouskaya and Stashynski were each sentenced to six months in prison, three-year supervised release, and a \$3,000 criminal fine. On July 18, 2013, Belski was sentenced to 57 months in prison, two years of supervised release, a \$3,000 criminal fine, and a \$300 special assessment. In August 2013, Chornoletsky, was convicted of conspiracy and violating IEEPA. He was sentenced to 15 months imprisonment, three years of supervised release, a \$3,000 criminal fine, and \$200 special assessment. BIS imposed ten-year Denial Orders against Dubouskaya, Stashynski, and Chornoletsky.

Boniface Ibe

The Violation: From November 2003 to August 2010, Boniface Ibe of Mitchellville, Maryland bought 194 shotguns and a .22 caliber handgun from firearm dealers in the Washington, DC and Baltimore metropolitan areas. In September 2010, law enforcement inspected one of Ibe's shipping containers destined for Nigeria and discovered eight shotguns, one .22 caliber handgun and .22 caliber ammunition concealed in a car inside the container. Shotgun ammunition was found in another vehicle in the container. Dock receipts indicated that an individual in Nigeria was to receive the container, as well as at least four other containers shipped to Nigeria in 2008 and 2009. The handgun and ammunition are controlled under the International Traffic in Arms Regulations and the shotguns are classified under ECCN 0A984 for export by the U.S. Department of Commerce, all of which require a license for export. On February 9, 2011, Ibe pled guilty in U.S. District Court in the District of Maryland to violating IEEPA, illegally exporting defense articles, and delivering a firearm to a common carrier without written notice. This case resulted from a joint investigation conducted by OEE's Washington Field Office, ICE, and the BATF.

The Penalty: On July 11, 2011, Ibe was sentenced to five months in prison, 10 months of supervised release, and a \$300 special assessment. Ibe is listed on the U.S. Department of State's Debarred List and, pursuant to an order issued by BIS on December 21, 2012, is the subject of a ten-year Denial Order.

Mark Komoroski / Sergey Korznikov / D&R Sports Center

The Violation: On August 4, 2009, Mark Komoroski, owner of D&R Sports Center, of Nanticoke, Pennsylvania, pled guilty to one count of conspiracy to violate IEEPA and the Arms Export Control Act, filing improper records maintained by a firearms dealer, mail



fraud, smuggling, and money laundering. The charges related to the export of rifle scopes, classified as ECCN 0A987, to Russia without the required licenses from the Departments of State and Commerce. On December 28, 2010, co-conspirator Sergey Korznikov pled guilty in U.S. District Court in the Middle District of Pennsylvania to one count of conspiracy related to his involvement in smuggling items from the United States. This case resulted from a joint investigation conducted by OEE's New York Field Office, the FBI, and DCIS.

The Penalty: On July 21, 2011, Korznikov was sentenced to six months in prison, two years of supervised release and a \$100 special assessment. On July 29, 2010, Komoroski was sentenced to 32 months in prison, a \$10,000 criminal fine, two years of supervised release, and a \$100 special assessment.

Donald Wayne Hatch / Rigel Optics, Inc.

The Violation: On July 31, 2008, Donald Wayne Hatch and Rigel Optics Inc. of Washougal, Washington, entered a guilty plea to making false statements and violating the Arms Export Control Act in connection with an illegal export of ITAR-controlled night vision goggles. Hatch and Rigel Optics Inc. sold night vision optical equipment to various foreign customers. This case resulted from a joint investigation conducted by OEE's Chicago Field Office and ICE.



The Penalty: On May 12, 2009, Hatch was sentenced to two years of probation and a \$5,000 fine with a \$100 special assessment for causing false statements to be made on Shipper's Export Declarations. At the same proceeding, a fine of \$90,000 and a \$400 special assessment was levied against Rigel Optics, Inc. for the Department of State's Debarred List. On September 7, 2010, BIS issued a 10-year denial order against Rigel Optics, and added Donald Wayne Hatch as a related person, subject to the same denial period.

Aaron Henderson / Valhalla Tactical Supply

The Violation: On September 18, 2009, Aaron Henderson, doing business as Valhalla Tactical Supply of Coralville, Iowa, pled guilty to charges relating to the export of sighting devices classified as ECCN 0A987 to Taiwan and Afghanistan without the required export licenses from the Department of Commerce. This case resulted from a joint investigation conducted by OEE's Chicago Field Office, ICE, and the Drug Enforcement Agency (DEA).

The Penalty: On September 18, 2009, Henderson was sentenced to time served followed by two years of supervised release, and a \$100 payment to the Crime Victims Fund. On May 28, 2010, a 10 year denial of export privileges was imposed on Henderson and added Valhalla Tactical Supply as a related person.

Mike Cabatingan / Romulo Reclusado

The Violation: On May 8, 2013, Romulo Reclusado pled guilty to conspiracy for his role in the export of controlled holographic rifle sights to the Philippines without first obtaining a BIS license in violation of the International Emergency Economic Powers Act and International Traffic in Arms Regulations. On February 7, 2011, Mike Cabatingan, a co-defendant of Reclusado, pled guilty in to conspiracy to violate the Arms Export

Control Act and the International Emergency Economic Powers Act. This case resulted from a joint investigation conducted by OEE's Los Angeles Field Office, ICE and DCIS.

The Penalty: On March 9, 2015, Mike Cabatingan was sentenced U.S. District Court for the Central District of California to 12 months and one day in prison, a \$7,500 criminal fine, and two years of supervised release. On November 13, 2013, Romulo Reclusado was sentenced in the U.S. District Court for the Central District of California to 60 months in prison, three years of supervised release, and a \$7,500 criminal fine.



OEE Special Agents conducting inspections with Customs and Border Protection Officers.

Chapter 3 – Freight Forwarders

Introduction

Primary responsibility for compliance with the EAR generally falls on the “principal parties in interest” in a transaction, who are usually the U.S. seller and the foreign buyer. However, freight forwarders or other agents acting on behalf of the principal parties are responsible for their actions, including the representations they make by signing an export declaration or other export control document.

To help avoid liability in an export transaction, agents and exporters must decide whether any aspect of the transaction raises red flags, inquire about those red flags, and ensure that suspicious circumstances are not ignored. Both the agent and the principal party are responsible for the accuracy of each entry made on an export document. Good faith reliance on information provided by the exporter may excuse an agent’s actions in some cases, but the careless use of pre-printed “No License Required” forms or unsupported entries can get an agent into trouble.

Criminal and Administrative Case Examples

Fulfill Your Packages

The Violation: Fulfill Your Packages (FYP) of Gresham, Oregon, allowed its foreign customers in China to use its U.S. domestic address for the purchase and delivery of items from U.S. companies that FYP later repackaged and/or relabeled for export to China. In about June 2014, FYP engaged in a transaction or took other actions with intent to evade the EAR in connection with the intended export of a FLIR thermal imaging camera classified as ECCN 6A003 and controlled for national security and regional stability reasons. Specifically, a FYP customer purchased the camera from a U.S. distributor located in Florida for delivery to FYP’s offices in Oregon and for ultimate export to China. The FYP customer provided FYP’s address as his own and did not disclose to the U.S. distributor that the thermal imaging camera was to be exported to China. The shipment from the distributor to FYP included an invoice that warned that the product was export-controlled and that was a violation of U.S. law to export the product to certain countries without the required export license. In addition, a label affixed to the item noted that the item was subject to U.S. Department of Commerce export control regulations and must not be exported outside the U.S. or Canada without a U.S. export license. In preparing to export the thermal imaging camera to China, FYP prepared a USPS shipping label falsely describing the item as “metal parts” valued at \$255, even though FYP’s order system described the items as an infrared webcam/surveillance camera installation kit, and even though the distributor’s invoice described the items as a thermal imaging camera valued at \$2,617. This case resulted from a joint investigation conducted by OEE’s San Jose Field Office and Portland Resident Office, the FBI and ICE.

The Penalty: On June 17, 2016, FYP agreed to pay a \$250,000 civil penalty with \$190,000 suspended provided no violations occur during a two-year probationary period.

Kintetsu World Express (U.S.A.), Inc.

The Violation: In 2010, Kintetsu World Express (U.S.A.), Inc. (KWE) of East Rutherford, New Jersey, caused, aided and/or abetted an act prohibited by EAR. Specifically, KWE, acting as a freight forwarder, facilitated the export of three spiral duct production machines and related accessories, designated as EAR99 and valued at \$250,000, from the United States to China National Precision Machinery Import/Export Corporation (CPMIEC) in the People's Republic of China without the required U.S. government authorization. At the time of the export, CPMIEC appeared on the Department of Treasury's Office of Foreign Assets Control Specially Designated Nationals List because it had supplied Iran's military and Iranian proliferators with missile-related dual-use items. This case resulted from an investigation conducted by OEE's New York Field Office.

The Penalty: On September 26, 2014, KWE agreed to pay a \$30,000 civil penalty.

General Logistics International

The Violation: On four occasions between during November 2009, General Logistics International of New Brunswick, New Jersey, facilitated the unauthorized export of EAR99 steel scrap, valued at \$672,022, from the U.S. to the People's Steel Mills, located in Pakistan. The People's Steel Mill appears on BIS's Entity List. For each export, General Logistics International arranged for the trucking of the scrap steel from the U.S. exporter's location to the port of export, arranged for the shipping of the scrap steel to People's Steel Mills in Pakistan, and prepared and submitted shipping documentation, part of which indicated that no license was required for these exports. This case resulted from an investigation conducted by OEE's New York Field Office.

The Penalty: On January 22, 2015, General Logistics International entered into a settlement agreement with BIS in which it agreed to pay \$90,000.

Federal Express

The Violation: Federal Express (FedEx), located in Memphis, Tennessee, was charged with six violations. One two occasions in 2006, FedEx caused, aided and abetted acts prohibited by the EAR when it facilitated the attempted unlicensed export of a PC dialogic board, designated as EAR99, and electronic equipment, classified under ECCN 5A991, from the United States to Mayrow in Dubai, United Arab Emirates. The Mayrow case, set forth on page 26, involved the procurement of electronic components for use in IEDs against U.S. and coalition forces. The exports to Mayrow were thwarted when delivery was halted at OEE's direction. Also, in December 2005, FedEx violated the EAR when it facilitated the unlicensed export of flight simulation software classified under ECCN 4A994 to Beijing University of Aeronautics and Astronautics (BUAA aka Beihang University), an organization on the BIS Entity List. Lastly, FedEx facilitated the unlicensed export of EAR99 printer components from the United States to end-users in Syria. This case resulted from an investigation conducted by OEE's San Jose, Miami, and Boston Field Offices.

The Penalty: On December 2011, FedEx agreed to pay a \$370,000 civil penalty.

DPWN Holdings (USA), Inc. (formerly known as DHL Holdings (USA), Inc.) and DHL Express (USA)

The Violation: DPWN Holdings (USA), Inc. (formerly known as DHL Holdings (USA), Inc.) and DHL Express (USA), Inc. (collectively "DHL"), headquarters in Plantation, Florida, unlawfully aided and abetted unlicensed exports to Syria, Iran and Sudan and failed in connection with numerous exports to these countries to comply with recordkeeping requirements of the EAR and OFAC regulations. BIS charged that on eight occasions between June 2004 and September 2004, DHL caused, aided and abetted acts prohibited by the EAR when it transported items subject to the EAR from the United States to Syria, and that with regard to 90 exports between May 2004 and November 2004, DHL failed to retain air waybills and other export control documents required to be retained by the EAR. OFAC charged that DHL violated various OFAC regulations between 2002 and 2006 relating to thousands of shipments to Iran and Sudan. Like DHL's EAR violations, its OFAC violations primarily involved DHL's failure to comply with applicable recordkeeping requirements. This case resulted from a joint investigation conducted by OEE's Miami Field Office and OFAC.

The Penalty: In August 6, 2009, DHL agreed to pay a civil penalty of \$9,444,744 and conduct external audits covering exports to Iran, Syria and Sudan from March 2007 through December 2011.

R&A International Trading Inc / Rukhsana Kadri

The Violation: From in or about October 2009, through at least May 2012, Jamaica, New York-based freight forwarding company R&A International Trading Inc. dba R&A International Logistics ("R&A International"), and its president and owner Rukhsana Kadri aka Roxanne Kadri ("Kadri"), of Davie, Florida, conspired to conceal and misrepresent the identity of the exporter or U.S. Principal Party in Interest ("USPPI") on Shipper's Export Declarations or Automated Export System records ("SED/AES records") filed with the U.S. Government, and committed a series of related violations, including soliciting a false statement during the course of an investigation. R&A International and Kadri conspired with one of their customers, the actual exporter/USPPI ("Customer No. 1"), to falsely list another of their customers ("Customer No. 2") as the USPPI in SED/AES filings they made in connection with at least 278 exports of computer equipment, involving items totaling approximately \$22 million in value, primarily to trading companies in the United Arab Emirates. The scheme enabled Customer No. 1 to repeatedly export the items anonymously and contrary to the terms of a distribution agreement, and enabled R&A International and Kadri to obtain Company No. 1's substantial forwarding business. When OEE Special Agents began investigating the transactions, R&A International and Kadri not only made a series of false statements to the Special Agents in an attempt to cover up the conspiracy, but also attempted to enlist Customer No. 2 in the conspiracy and solicited Customer No. 2 to make false statements to the Special Agents to conceal the scheme. Customer No. 2, whose name had been falsely listed in the SED/AES filings without its knowledge or consent, refused. This case resulted from an investigation conducted by OEE's New York Field Office.

The Penalty: In December 2013, R&A International and Kadri entered into plea agreements with the U.S. Attorney's Office for the Eastern District of New York, admitting to knowingly making false statements in violation of 13 U.S.C. § 305, in connection with a subset of 10 of the false SED/AES record filings that the New York Field Office had identified, and agreed to forfeit \$125,263. In addition to the forfeiture, R&A International was sentenced in August 2014 to two years' probation, a criminal fine of \$100,000, and a \$4,000 special assessment, and Kadri was sentenced to three years' probation, a criminal fine of \$30,000, and a \$100 special assessment. In July 15, 2016, during the first day of an administrative trial before an administrative law judge, R&A International and Rukhsana Kadri jointly and severally agreed to pay a civil penalty of \$500,000, of which \$350,000 is suspended during a five-year probationary period, and agreed to a five-year suspended denial order. In entering into and as part of the settlement agreement, R&A International and Kadri admitted each of the allegations and violations charged by BIS.

Matthew Kallgren / PC Industries

The Violation: In 2008, Matthew Kallgren, sales manager at Powerline Components Industries of Afton, Wyoming, attempted to export EAR99 engine parts to Syria via the United Arab Emirates. The investigation resulted in a criminal plea by Matthew Kallgren and administrative penalties against Kallgren, PC Industries and the freight forwarder, RIM Logistics. This case resulted from a joint investigation conducted by OEE's San Jose Field Office and ICE, with assistance from the FBI and U.S. Customs and Border Protection.

The Penalty: Kallgren pled guilty and was sentenced in January 2012 to three years of probation, including four months of home confinement. PC Industries received a deferred prosecution agreement. BIS reached settlement agreements with PC Industries and Kallgren for three-year suspended denial orders. Kallgren agreed to a suspended \$75,000 penalty, and the company agreed to a \$60,000 penalty. RIM Logistics reached a settlement with BIS for \$50,000.



OEE Special Agents executing a warrant

Chapter 4 – Deemed Exports

Introduction

Most people think of an export as the shipment of a commodity from the United States to a foreign country, but that is only one type of export. Under the EAR, the “release” of technology or source code subject to the EAR to a foreign national in the United States is also “deemed” to be an export to the home country or countries of the foreign national and may require an export license under the EAR. A release to a foreign national that occurs abroad may require a deemed re-export license. Technology or source code may be released through visual inspection, oral exchanges of information, or the application to situations abroad of personal knowledge or technical experience acquired in the United States. For example, if a foreign national graduate student living in the United States with a valid visa reviews controlled technology as part of a training or internship program with a private company, an export license may be required because the release of the technology to the student could be considered a “deemed export” to the student’s home country. As a general matter, OEE considers a foreign national’s most recently acquired immigration status in making home country determinations.

Criminal and Administrative Case Examples

Atmospheric Glow Technologies, Inc. / J. Reece Roth

The Violation: Between January 2004 and May 2006, through Tennessee-based company Atmospheric Glow Technologies, Inc., J. Reece Roth, a Professor Emeritus at the University of Tennessee, engaged in a conspiracy to transmit export controlled technical data subject to the ITAR to foreign nationals from China and Iran. This controlled technical data was related to a restricted U.S. Air Force contract to develop plasma actuators for a military unmanned aerial vehicle. On September 3, 2008, a federal jury in the Eastern District of Tennessee convicted Roth on 18 counts of Conspiracy and Arms Export Control Act violations. This case resulted from a joint investigation conducted by OEE’s Washington Field Office, the FBI, and AFOSI.

The Penalty: On July 1, 2009, Roth was sentenced to 48 months in prison and two years of supervised release. In January 2011, the U.S. Court of Appeals for the Sixth Circuit rejected Roth’s appeal and affirmed his September 2008 conviction. In October 2011, the U.S. Supreme Court denied Roth’s petition for a review of the Sixth Circuit ruling. On January 18, 2012, Roth began serving his sentence at the Federal Correctional Institution in Ashland, KY.

Intevac, Inc.

The Violation: Between January 2007 and August 2007, Intevac, Inc. released technology subject to the EAR to a Russian national working at its Santa Clara, California facility. Specifically, the company released drawings and blueprints for parts, and identification numbers for parts, development and production technology classified as ECCN 3E001 without the required license. Intevac applied for a deemed export license after discovering the initial releases but failed to prevent additional releases of technology while the license application was pending. BIS charged Intevac with knowledge of these additional releases and considered the company’s conduct to be an aggravating factor in the penalty assessment. The company was also charged with one violation related to the unauthorized transmission of the technology to its subsidiary in China. This case resulted from an investigation conducted by OEE’s San Jose Field Office.

The Penalty: On February 19, 2014, Intevac, Inc. agreed to pay a \$115,000 civil penalty.

Voluntary Self-Disclosure: Intevac voluntarily disclosed the violations and cooperated fully with the investigation.

Maxim Integrated Products, Inc.

The Violation: Between June 2002 and September 2005, Maxim Integrated Products, Inc. (Maxim) of Sunnyvale, California, made 31 unlicensed exports and re-exports of national security controlled integrated circuits and related components classified as ECCNs 3A001 and 3E001 to China, Estonia, Russia and the Ukraine. In addition, on two occasions, Maxim released controlled technology for the development of electronic components classified as ECCN 5E992 to an Iranian national employee, and classified as ECCN 3A001, to a Chinese national employee without the required BIS license. Maxim applied for a deemed export license for release of technology controlled for national security reasons to the Chinese national, but made a release of the technology to him while the license application was under review. This case resulted from an investigation conducted by OEE's San Jose Field Office.

The Penalty: On October 3, 2008, Maxim agreed to pay a \$192,000 civil penalty.

Ingersoll Machine Tools

The Violation: Between November 2003 and January 2007, Ingersoll Machine Tools (IMT) of Rockford, Illinois made seven unlicensed deemed exports of production and development technology for vertical fiber placement machines and production technology for five axis milling machines classified as ECCN 1E001 and 2E002 to Indian and Italian nationals. The technology was controlled for national security and missile technology reasons to India and Italy. The technology was also controlled to India for nuclear nonproliferation reasons. This case resulted from an investigation conducted by OEE's Chicago Field Office.

The Penalty: On August 11, 2008, IMT agreed to pay a \$126,000 civil penalty.

TFC Manufacturing, Inc.

The Violation: Between March and April 2006, TFC Manufacturing, Inc. (TFC), a Lakewood, California-based aerospace fabrication facility, released U.S.-origin technology for the production of aircraft parts classified as ECCN 9E991 to an Iranian national employee in the U.S. without the license required under the EAR. This case resulted from an investigation conducted by OEE's Los Angeles Field Office.

The Penalty: On May 20, 2008, TFC agreed to pay a \$31,500 civil penalty.

Chapter 5 - Antiboycott Violations

Introduction

The Office of Antiboycott Compliance (OAC) administers and enforces the antiboycott provisions of the EAR, which are set forth in Part 760 of the EAR. These regulations prohibit U.S. persons from complying with certain requirements of unsanctioned foreign boycotts, including requirements that the U.S. person provide information about business relationships with a boycotted country or refuse to do business with certain persons for boycott-related reasons. In addition, the EAR requires that U.S. persons report their receipt of certain boycott requests to BIS. Failure to report receipt of certain boycott requests may constitute a violation of the EAR. Under the antiboycott provisions of the EAR, certain foreign subsidiaries of domestic U.S. companies are considered to be U.S. persons. To help members of the exporting community better understand the substance and applications of



Cathleen Ryan, Director of the Office of Antiboycott Compliance, speaks at BIS's 2014 Update Conference

the antiboycott provisions, BIS offers an antiboycott training module through the *BIS Online Training Room*. The information and examples contained in the module illustrate how to identify an antiboycott issue and how to respond in compliance with the EAR. The Training Room also houses a number of pre-recorded webinars covering a variety of topics, including the basics of U.S. export control and deemed exports. The training modules are presented in a video streaming format.

In addition, Supplement No. 2 to Part 766 of the EAR provides guidance regarding BIS's penalty determination process in the settlement of administrative antiboycott cases involving violations of Part 760 of the EAR, or violations of Part 762 (Recordingkeeping) when the recordkeeping requirement pertains to Part 760. Similar to guidance regarding administrative export control cases, Supplement No. 2 to Part 766 describes how BIS determines appropriate penalties in settlement of violations in

antiboycott cases. The guidance contains a comprehensive description of the factors taken into account in determining civil penalties including significant mitigating and aggravating factors.

As in export control cases, BIS encourages submission of voluntary self-disclosures (VSDs) by parties who believe they may have violated the antiboycott provisions of the EAR. The procedures relating to antiboycott VSDs are set out in Section 764.8, which details timing requirements and the information that must be included in the initial notification and in the narrative account of the disclosure.

OAC monitors the type and origin of boycott-related requests received by U.S. persons. Because boycott-related terms and conditions may pose a barrier to trade, OAC partners with the Office of the U.S. Trade Representative and the U.S. Department of State and U.S. Embassy officials to engage with ministers and other government officials in boycotting countries in an effort to remove such boycott language from letters of credit, tenders, and other transaction documents at the source. U.S. companies must still remain vigilant to requests to comply with unsanctioned foreign boycotts and report receipt of such requests to BIS, as required by part 760.

For advice concerning boycott-related requests contained in export transaction documents, or any other matter concerning the antiboycott provisions of the EAR, please visit the Office of Antiboycott Compliance portion of the BIS website: <http://www.bis.doc.gov/index.php/enforcement/oac>, or contact the OAC advice line via the website, above, or by telephone at (202) 482-2381.

An Overview of the Antiboycott Laws

History

During the mid-1970s, the United States adopted two laws to counteract the participation of U.S. persons in other nations' economic boycotts of countries friendly to the United States. These "antiboycott" laws were the 1977 amendments to the Export Administration Act (EAA) (as carried over into the Export Administration Act of 1979) and the Ribicoff Amendment to the 1976 Tax Reform Act (TRA).

Objectives

The antiboycott laws were adopted to encourage, and in specified cases, to require U.S. persons to refuse to participate in foreign boycotts that the United States does not sanction. They have the effect of preventing U.S. persons from implementing foreign policies of other nationals that run counter to U.S. policy.

Primary Impact

Although the antiboycott laws are designed to apply to all boycotts of countries that are friendly to the United States imposed by foreign countries, the Arab League boycott of Israel is the principal foreign economic boycott that U.S. persons must be concerned with today.

Who is covered by the Laws?

The antiboycott provisions of the EAR apply to all "U.S. persons," defined to include individuals and companies located in the United States and, in certain circumstances, their foreign affiliates and subsidiaries. These persons are subject to the antiboycott regulations when they undertake certain activities relating to the sale, purchase, or transfer of goods or services (including information) within the U.S. or between the U.S. and a foreign country with the intent to comply with, further, or support an unsanctioned foreign boycott. This includes U.S. exports, forwarding and shipping, financing, and certain other transactions by U.S. persons not in the United States.

Administrative Case Examples

Vinmar International, Ltd / Vinmar Overseas, Ltd

The Violation: On seven occasions between 2011 and 2012, two related foreign concerns with Houston, Texas-based U.S. operations, Vinmar International, Ltd (VIL) and Vinmar Overseas, Ltd (VOL), furnished prohibited information in bills of lading or vessel certificates regarding the blacklist status or eligibility status of the vessel to enter Arab ports. On ten occasions between 2009 and 2012, the companies failed to report receipt of requests from Lebanon, Libya, Oman, Qatar, Syria, and Yemen to furnish a vessel eligibility certificate signed by other than the owner, master or charterer of the vessel. In addition, on three occasions during 2009, VOL failed to report receipt of a directive from the United Arab Emirates requiring the exclusion of parties of Israeli origin.

The Penalty: On September 25, 2015, VOL agreed to pay a civil penalty of \$41,400, and VIL agreed to pay a civil penalty of \$19,800.

Baker Eastern, SA (Libya)

The Violation: On twenty-two occasions, during the years 2004 through 2008, Baker Eastern, SA (Libya) (“Baker Eastern”), a controlled-in-fact foreign subsidiary of Baker Hughes Inc., furnished to Libyan Customs in Libya a Certificate of Origin which contained two items of prohibited information: the first, a negative certification of origin which set out information concerning Baker Eastern’s or another person’s business relationships with or in a boycotted country; the second, a blacklist certification which set out information concerning Baker Eastern’s or another person’s business relationships with other persons known or believed to be restricted from having any business relationship with or in a boycotting country. In addition to these forty-four violations related to the furnishing of prohibited information, Baker Eastern committed twenty-two violations on the same occasions by agreeing to refuse to do business with another person pursuant to a requirement or request from a boycotting country. Specifically, the company included a statement in the Certificate of Origin regarding compliance with the principles and regulations of the Arab Boycott of Israel. In total, Baker Eastern committed sixty-six violations of the antiboycott provisions of the EAR. Baker Eastern voluntarily disclosed these transactions to BIS.

The Penalty: On June 12, 2013, Baker Eastern, SA (Libya) agreed to pay a civil penalty of \$182,325.

TMX Shipping Company, Inc.

The Violation: During the years 2007 through 2010, in connection with transactions involving the sale and/or transfer of U.S.-origin goods to Bahrain, Kuwait, Lebanon and United Arab Emirates, TMX Shipping Company, Inc. (TMX), located in Virginia, on four occasions furnished a statement, signed by other than the owner, master or charterer, certifying that the carrying vessel was eligible to enter, or allowed to enter, the port of destination. In so doing, TMX furnished prohibited information concerning its or another person’s business relationships with another person known or believed to be restricted from having any business relationship with or in a boycotting country. In addition, on eleven occasions, TMX received a request to furnish a certification by other than the owner, master or charterer of the vessel stating that the vessel was allowed to enter certain ports. TMX failed to report its receipts of these requests to take an action which would have the effect of furthering or supporting a restrictive trade practice or unsanctioned foreign boycott.

The Penalty: On October 31, 2013, TMX Shipping Company, Inc. agreed to pay a civil penalty of \$36,800.

Laptop Plaza, Inc. (aka IWEBMASTER.NET, Inc.)

The Violation: In 2006, in connection with transactions involving the sale and/or transfer of U.S.-origin goods to Pakistan and Lebanon, Laptop Plaza, Inc. (Laptop), located in California, on four occasions, furnished to its customer an invoice which set out a statement that the goods were not of Israeli origin and did not contain Israeli materials. Furnishing this information is prohibited because the information concerns Laptop’s or another person’s business relationships with or in a boycotted country. In addition, on three occasions, Laptop failed to maintain records of transactions relating to a restrictive trade practice or boycott for a five-year period, as required by the Regulations.

The Penalty: On September 7, 2013, Laptop Plaza, Inc. agreed to pay a civil penalty of \$48,800.

Leprino Foods Company

The Violation: During the years 2009 through 2011, in connection with transactions involving the sale and/or transfer of U.S.-origin goods to consignees in Bahrain, Oman, Qatar and the United Arab Emirates, Leprino Foods Company (Leprino), located in Colorado, on one occasion, furnished a transport certificate, signed by other than the owner, master or charterer, declaring that the ship was permitted to enter the port in Oman, in accordance with the laws of the Sultanate of Oman. By so doing, Leprino furnished prohibited information concerning its or another person's business relationships with another person known or believed to be restricted from having any business relationship with or in a boycotting country. In addition, on fifteen occasions, Leprino received a request to take an action which would have the effect of furthering or supporting a restrictive trade practice or unsanctioned foreign boycott. Among these requests were twelve goods directives indicating that products manufactured or produced in Israel were banned. Leprino failed to report its receipts of these requests to engage in a restrictive trade practice or boycott.

The Penalty: On September 16, 2013, Leprino Foods Company agreed to pay a civil penalty of \$32,000.

AIX Global, LLC

The Violation: In 2008, in connection with a transaction involving the sale and/or transfer of U.S.-origin goods to Iraq, AIX Global LLC (AIX), located in Tennessee, on one occasion agreed to a prohibited condition that the manufacturer must not be a subsidiary of a company included on a list of "Israeli Boycott Companies." By so doing, AIX agreed to refuse to do business with another person, pursuant to an agreement with, a requirement of, or a request from or on behalf of a boycotting country. In the same transaction, AIX furnished prohibited information concerning its or another person's business relationships with another person known or believed to be restricted from having any business relationship with or in a boycotting country. Lastly, AIX, on one occasion, failed to report timely its receipt of requests to take an action which would have the effect of furthering or supporting a restrictive trade practice or unsanctioned foreign boycott.

The Penalty: On September 27, 2013, AIX Global LLC agreed to pay a civil penalty of \$15,000 (suspended for six months and thereafter waived, provided AIX committed no violations during the suspension period).

RHDC International, LLC (Houston)

The Violation: During the years 2011 through 2013, in connection with the preparation and processing of documents in Letter of Credit transactions on behalf of its exporter-clients involved in the sale and/or transfer of goods to customers in Kuwait, Lebanon, Qatar and United Arab Emirates, RHDC International LLC (RHDC), located in Houston, Texas, on one occasion received a request to furnish information about the national origin of a United States person and on four occasions received a request to furnish a vessel eligibility certificate signed by other than the owner, master or charterer of the vessel. RHDC failed to report its receipts of these requests to take an action which would have the effect of furthering or supporting a restrictive trade practice or unsanctioned foreign boycott.

The Penalty: On August 11, 2016, RHDC International LLC agreed to pay a civil penalty of \$ 9,000.



U.S. DEPARTMENT OF COMMERCE
Bureau of Industry and Security
Export Enforcement

APPENDIX “11”

DON'T LET THIS HAPPEN TO YOU!

An Introduction to U.S. Export Control Law

Actual Investigations of Export Control and Antiboycott Violations



EXPORT ENFORCEMENT

**BUREAU OF INDUSTRY AND SECURITY
U.S. DEPARTMENT OF COMMERCE**

July 2008

Summary Table of Contents

Introduction

Letter from the Assistant Secretary for Export Enforcement	Page 6
Export Enforcement: Introduction and Mission	Page 7
Export Control Law	Page 8
Responsible Parties	Page 8
Consequences of Violating the EAR	Page 8
Nine Principles for an Effective Compliance Program.....	Page 10
Department of Justice Export Enforcement Initiative	Page 11

Chapter 1 - Commerce Control List Based Controls

Introduction.....	Page 12
General Orders	

Mayrow General Trading.....	Page 12
Ace Systems, Inc.....	Page 13

Criminal and Administrative Case Examples

Nuclear Nonproliferation Controls

Teresa Chang	Page 13
Spares Global, Inc.....	Page 14
Asher Karni	Page 14
Metric Equipment Sales.....	Page 14

Chemical/Biological Weapons Controls

Yamada America, Inc.	Page 15
SCP Global Technologies, Inc.....	Page 15
Graco Inc.....	Page 15
Dr. Thomas Butler/The Plague Bacteria	Page 15
Wilden Pump and Engineering	Page 16
EMD Biosciences, Inc./EMD Chemicals Inc.	Page 16
BJ Services Company	Page 17

National Security Controls

WaveLab Inc.....	Page 17
JSR Micro Inc.	Page 17
Littelfuse, Inc.	Page 17
Andrew Huang.....	Page 18
Alpine Armoring, Inc./Fred Khoroushi	Page 18
EHI Group USA, Incorporated/Qing Chang Jiang	Page 18
Hittite Microwave Corporation	Page 18
Ning Wen.....	Page 19
Manten Electronics/Kevin Wu/Linda Chen/ Jenny Chan/Daqing Zhou	Page 19

Missile Technology Controls

Valtex International	Page 20
Zhaoxin Zhu.....	Page 20

Crime Controls

Armor Holding, Inc.....	Page 20
John Carrington.....	Page 20
Stoelting Company.....	Page 21

Bass Pro, Inc.	Page 21
Worldwide Sports & Recreation, Inc. / Bushnell Corp	Page 21

Chapter 2 - License Conditions

Introduction.....	Page 22
Criminal and Administrative Case Examples	
WesternGeco LLC/Western Geophysical.....	Page 22
E.D. Bullard	Page 24

Chapter 3 - Deemed Exports

Introduction.....	Page 24
Criminal and Administrative Case Examples	
TFC Manufacturing, Inc.	Page 24
3DSP Corp.	Page 24
Hexcel Corporation.....	Page 24
Suntek Microwave, Inc. and Charlie Kuan.....	Page 25
Fujitsu Network Communications, Inc.	Page 25
New Focus, Inc.	Page 25
Lattice Semiconductor Corporation.....	Page 26

Chapter 4 - State Sponsors of Terrorism

Introduction.....	Page 27
Criminal and Administrative Case Examples	
KZ Results	Page 28
Ali Khan/TurboAnalysis.....	Page 28
Juan Sevilla	Page 28
Primavera Systems, Inc.....	Page 28
Naji Antoine Abi Khalil and Tomer Grinberg.....	Page 29
Khalid Mahmood and David Tatum.....	Page 29
Erik Kyriacou.....	Page 30

Chapter 5 - Transshipment and Re-exports

Introduction.....	Page 31
Criminal and Administrative Case Examples	
Ali Asghar Manzarpour	Page 31
Winter Aircraft Products SA/Rufina Sanchez Lopez	
Jose Alberto Diaz Sanchez.....	Page 32
Mohammad Fazeli	Page 32
Patrick Gaillard	Page 32
Tak Components, Inc./Saied Shahsavarani.....	Page 32
Proclad International Pipelines, Ltd.....	Page 33
Sharon Doe/Andrew Freyer	Page 33
Go Trans (North America) Inc./Roger Unterberger	
Muhammad Bhatti	Page 33
Mine Safety Appliance Company.....	Page 34
Henry Schein, Inc.....	Page 34
Mohammed Farahbakhsh.....	Page 34

Petrom GmbH International Trade	Page 35
Ernest Koh	Page 36
Supermicro Computer Inc./Mohammad Mayssami.....	Page 36
Dresser, Inc	Page 36
Ebara International Corporation	Page 37

Chapter 6 - Freight Forwarder

Introduction.....	Page 38
Criminal and Administrative Case Examples	
Elite International Transportation, Inc,.....	Page 38
International Freight Forwarder.....	Page 38
Salinas International Freight Company, Inc.....	Page 39
DHL Holdings.USA, Inc.....	Page 39
DSV Samson Transport	Page 39

Chapter 7 – “Catch-All” Controls

Introduction.....	Page 40
Criminal and Administrative Case Examples	
Parthasarathy Sudarshan/Cirrus Electronics LLC	Page 40
Megatech Engineering & Services Pvt/Ajay Ahuza/ Ravi Shettigar/T.K. Mohan.....	Page 41
Data Physics Corporation/Sri Welaratna	Page 41
Biospherical Instruments, Inc./Baltrans Logistics	Page 41
Magnetic Shield Corporation.....	Page 42
Fiber Materials Inc.	Page 42

Chapter 8 - Denial of Export Privileges

Introduction.....	Page 43
Criminal and Administrative Case Examples	
George Charles Budenz II/Richard Scott Tobey Arif Ali Durrani	Page 43
Erika P. Jardine	Page 43
Fernando Sero	Page 43
BiB Industrie-Handel Dipl.Ing M. Mangelsen GMBH/ Malte Mangelsen.....	Page 44
Swiss Telecom/Teepad Electronics General Trading	Page 44
Ihsan Elashi.....	Page 44
Yaudat Mustafa Talyi	Page 44

Chapter 9 - False Statement/Misrepresentation of Fact

Introduction.....	Page 46
Criminal and Administrative Case Examples	
MTS Systems Corp.....	Page 46
P.R.A. Worldwide Trading Company, Inc.	Page 46
Aviacsa Airlines.....	Page 47
EPMedsystems, Inc.....	Page 47
Elatec Technology Corporation/William Kovacs/	

Stephen Midgley/Sunford Trading Ltd	Page 47
Spector International, Inc./Norman Spector	Page 47

Chapter 10 - Antiboycott Violations

Introduction.....	Page 49
Criminal and Administrative Case Examples	
Colorcon Limited	Page 50
Dresser Incorporated	Page 51
Hyundai Engineering and Construction Co., Ltd.....	Page 51
Maine Biological Labs.....	Page 51
Johns Hopkins Health System Corporation	Page 52
Alison Transport	Page 52
St. Jude Medical Export GmbH.....	Page 52

Chapter 11 - Successor Liability

Introduction.....	Page 53
Criminal and Administrative Case Examples	
Northrop Grumman Corporation	Page 53
LogicaCMG	Page 53
Cerac, Inc.	Page 54

Dear Members of the Exporting Community:

The Department of Commerce fosters conditions for economic growth and opportunity by promoting innovation, entrepreneurship and competitiveness. Earlier this year, Secretary of Commerce Carlos M. Gutierrez said, "One of our big responsibilities at the Commerce Department is helping U.S. entrepreneurs and exporters find new opportunities in global markets." Most consumers live outside the United States, so exports are vital to our economy. Exports fuel economic growth and create jobs.

Industry's vigilance when exporting dual-use goods and technology is critical in protecting our national security. Such goods and technology can be used for legitimate purposes, but also in weapons of mass destruction, as well as by terrorists and in terrorism-support. They can also be diverted to unauthorized military end uses. In today's post-9/11 world, a broad array of actors – including terrorist organizations, proliferation networks, rogue states and other countries of concern – actively seek dual-use goods and technology for such purposes.

The highest priorities of Export Enforcement at the Bureau of Industry and Security (BIS) are countering these dangerous and illicit activities, and also removing barriers to free trade through our antiboycott compliance efforts. That we succeed is critical to the national security, foreign policy and economic interests of the United States.

Repeated threats from our enemies make it clear that the consequences may be catastrophic if we fail. For example, an al-Qaeda affiliate, Ansar al-Islam, has stated, "We will strike you with all the weapons available to us ... including conventional, chemical, nuclear and biological weapons. You will see blacker days than the 11th September incidents." Moreover, our margin for error is slender. In his Commencement Address at the Coast Guard Academy, President Bush correctly observed that, "To strike our country, the terrorists only have to be right once; to protect our country, we have to be right 100 percent of the time."

The high degree of success required cannot be achieved by the government alone. Industry also has a critical role to play. It can do so by upholding its duty to comply fully with the U.S. dual-use export control system. All who are involved in export transactions – including exporters, carriers, freight forwarders and consignees – have important responsibilities under the Export Administration Regulations (EAR). By fulfilling those responsibilities, industry forges a partnership with the government that is rooted in compliance.

Industry compliance is the first and best line of defense in protecting our national security. Export Enforcement engages in industry outreach throughout the year to foster compliance. The benefits industry derives from compliance are greater than ever. The Department of Justice recently announced its Export Enforcement Initiative, and now devotes greater resources to prosecuting criminal export violations. Criminal and administrative penalties recently were increased by the International Emergency Economic Powers Enhancement Act of 2007. Compliance allows industry to avoid enforcement actions by preventing violations.

Effective compliance programs allow industry to detect violations first, and then make voluntary disclosures that significantly mitigate penalties. BIS also may also grant great weight mitigation from its penalties to companies that have effective compliance programs. Earlier this year, I announced the nine Principles of Effective Compliance Programs, which we use in determining whether to do so. The principles are also contained herein.

By contrast, the disadvantages that result from non-compliance are clear. In this booklet are actual closed criminal and administrative cases involving EAR violations. They illustrate the serious consequences that follow, including jail terms, criminal fines and administrative penalties, as well as denials of export privileges. Business and personal reputations also suffer.



To protect our future, BIS will continue working to keep the most sensitive goods and technology out of the most dangerous hands. Our national security demands that we vigorously pursue those who violate the U.S. export laws. We place the greatest premium, however, upon our relationship with those in industry who, through their compliance, join us as partners, thereby lending their invaluable efforts to protecting our nation's security and prosperity.

Sincerely,

A handwritten signature in blue ink that reads "Darryl W. Jackson".

Darryl W. Jackson
Assistant Secretary for Export Enforcement

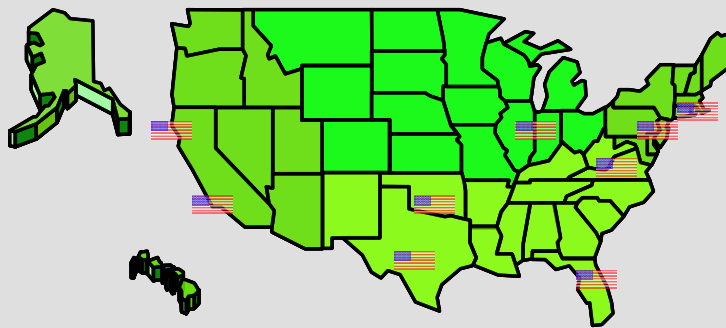
Introduction to U.S. Export Controls

Export Enforcement: Introduction and Mission

The Bureau of Industry and Security (BIS) is a part of the U.S. Department of Commerce. The Export Enforcement arm of BIS protects U.S. national security, foreign policy, and economic interests by educating parties to export transactions on how to improve export compliance practices, interdicting illegal exports, investigating violations, and prosecuting violators of export control laws. At the same time, Export Enforcement works to avoid impeding legitimate trade. Export Enforcement has federal law enforcement authority and its special agents work with BIS licensing officials and policy staff to deter the export of items which, in the hands of unreliable users, can prove damaging to U.S. national security and foreign policy interests. Export Enforcement personnel work closely with Department of Commerce lawyers in the Office of Chief Counsel for Industry and Security and Department of Justice lawyers in U.S. Attorneys' Offices to bring enforcement actions against violators of U.S. export control laws.

WHERE ARE WE LOCATED?

In addition to our Headquarters at the Department of Commerce in Washington, D.C., Export Enforcement has nine offices that have areas of responsibilities covering the entire United States. **They are located in: New York, Boston, Chicago, Dallas, Houston, Los Angeles, Miami, San Jose, and Washington, D.C.**



www.bis.doc.gov

Export Enforcement also has Export Control Officers (ECOs) located in 5 overseas locations. ECOs are Export Enforcement personnel on detail to the Foreign Commercial Service and report directly to the Embassies to which they are posted, with direction and oversight by Export Enforcement.

ECOs are posted in: Beijing, Hong Kong, New Delhi, Moscow, and Abu Dhabi.

Export Control Law

A number of executive branch agencies have responsibilities for regulating exports from the United States. The Department of Commerce is responsible for controlling the widest range of goods and technology, all of which are capable of being used for commercial purposes but which also present foreign policy or national security concerns. BIS implements export controls for the Department of Commerce through the Export Administration Regulations (EAR). Other federal agencies with a role in export control include the State Department, which controls arms exports, the Department of Energy, which controls exports and re-exports of technology related to the production of special nuclear materials and the Department of Treasury, which administers certain embargoes.

Responsible Parties

The EAR place legal responsibility on persons who have information, authority or functions relevant to carrying out transactions subject to the EAR. These persons may include exporters, freight forwarders, carriers, consignees, and other participants in an export transaction. The EAR apply not only to parties in the United States, but also to persons in foreign countries who are involved in transactions subject to the EAR.

Consequences of Violating the EAR

Violations of the EAR are subject to both criminal and administrative penalties. In some cases, where there has been a willful violation of the EAR, violators may be subject to both criminal fines and administrative penalties. However, for most administrative violations, there is no intent requirement, which means that administrative cases can be brought in a much wider variety of circumstances than criminal cases.

Under the International Emergency Economic Powers Enhancement Act (IEEPA), which was signed into law on October 16, 2007, for administrative cases pending or commenced on or after October 16, 2007, a civil penalty amounting to the greater of \$250,000 or twice the value of the transaction may be imposed for each violation of IEEPA. For criminal violations in cases that were commenced on or after October 16, 2007, violators may be fined up to \$1,000,000 and/or face up to 20 years of imprisonment.¹



Special Agents in Seized
Computer Evidence Recovery
Lab

¹ Export control violations are based on the Export Administration Act of 1979, as amended (50 U.S.C. app. §§ 2401- 2420 (2000)) (“EAA” or “Act”). . The EAA is implemented by the Export Administration Regulations (“EAR”), 15 C.F.R. Parts 730-774 (2008). From August 21, 1994 through November 12, 2000, the Act was in lapse. During that period, the President, through Executive Order 12924, which had been extended by successive Presidential Notices, the last of which was August 3, 2000 (3 C.F.R., 2000 Comp. 397 (2001)), continued the Regulations in effect under the International Emergency Economic Powers Act (50 U.S.C. §§ 1701 - 1706 (2000)) (“IEEPA”). On November 13, 2000, the Act was reauthorized by Pub. L. No. 106-508 (114 Stat. 2360 (2000)) and it remained in effect through August 20, 2001. Since August 21, 2001, the Act has been in lapse and the President, through Executive Order 13222 of August 17, 2001 (3 C.F.R., 2001 Comp. 783 (2002)), which has been extended

BIS generally will not apply the enhanced IEEPA penalties to administrative cases involving:

- Voluntary Self-Disclosure notifications submitted prior to October 16, 2007;
- Charging letters filed with an Administrative Law Judge prior to October 16, 2007;
- Settlement offers approved/issued by BIS prior to October 16, 2007;
- Proposed charging letters issued prior to October 16, 2007, if settlement is reached before a charging letter is filed with an Administrative Law Judge;
- Statute of limitations waivers executed prior to October 16, 2007.

In addition, administrative penalties may include the denial of export privileges. A denial of export privileges prohibits a person from participating in any way in any transaction subject to the EAR. Furthermore, it is a violation of the EAR for anyone to participate in an export transaction subject to the EAR with a denied person. Under Section 11(h) of the Export Administration Act of 1979, as amended (EAA), a denial of export privileges may be imposed for up to ten years from the date of a person's prior conviction under a statute listed in the EAA.²

It should be noted that in most cases, BIS reaches negotiated settlements in its administrative cases prior to a formal administrative hearing. Those negotiated settlements are often reached as a result of Voluntary Self-Disclosures (VSDs) of violations made by companies and individuals. BIS considers VSDs to be a significant mitigating factor when negotiating settlements of administrative cases. VSDs can reflect a company's or individual's acceptance of responsibility for EAR violations. To encourage VSDs, in appropriate cases, fines and other administrative penalties may be significantly reduced as a result of the fact that BIS became aware of the violations as a result of a VSD. Guidance regarding administrative penalties is provided in Supplements No. 1 and No. 2 of Part 766 of the EAR and in chapter five of this publication. In the EAR's guidelines, certain factors, including VSDs, are given "great weight" and are viewed as significantly mitigating violations. In the following cases, VSD credit is noted where it was given.

As a standard provision of BIS settlement agreements, a respondent who enters with a settlement with BIS neither admits nor denies the charges made against him. Therefore, the violations referenced in many of the summaries in this booklet have neither been proven in court nor been admitted to by the company or individual. Please also be aware that this letter and booklet are not intended to create, nor do they create, any right or benefit, procedural or substantive, enforceable by law against the Department of Commerce or any other part of the U.S. Government. Nor should the cases in this booklet be interpreted as precedent in any future actions involving the U.S. Government.

by successive Presidential Notices, the most recent being that of August 15, 2007 (72 Fed. Reg. 46137, August 16, 2007), has continued the Regulations in effect under IEEPA. Prior to the enactment of the IEEPA Enhancement Act, the USA PATRIOT Improvement and Reauthorization Act of 2005, signed into law on March 9, 2006 (Pub. L. No. 109-177, 120 Stat. 192 (2006)), increased the limit of civil penalties available to \$50,000 per violation. Under the penalty regime that predated the USA PATRIOT Improvement and Reauthorization Act of 2005, the maximum penalty per violation was \$11,000.

² See Section 766.25 of the EAR (15 C.F.R. § 766.25 (2007)).

Nine Principles for an Effective Compliance Program

BIS weighs a variety of aggravating and mitigating factors in deciding the level of penalties to assess in administrative cases. As set forth in Supplements 1 and 2 to Part 766 of the EAR, an effective compliance program is entitled to great weight mitigation. BIS employs the following nine guiding principles when assessing the effectiveness of a company's export compliance program:

- Whether the company has performed a meaningful risk analysis, which includes consideration of the types of goods being exported and the destination of those goods;
- The existence of a written compliance program, that is communicated to others;
- Whether appropriate senior company officials are responsible for overseeing the export compliance program.
- Whether adequate training is provided to employees, so they understand what is required of them to remain in compliance;
- Whether the company adequately screens its customers and transactions;
- Whether the company meets recordkeeping requirements;
- The existence of an internal system for reporting export violations, including making Voluntary Self-Disclosures;
- The existence of internal/external reviews or audits to help determine whether company procedures and compliance programs need to be revised;
- Whether remedial activity has been taken in response to export violations.



Enforcement Panel at the March 2008 Export Control Forum, Newport Beach, California: Deputy Assistant Secretary for Export Enforcement Kevin Delli-Colli; Director, Office of Export Enforcement, Thomas Madigan; Assistant Director, Office of Enforcement Analysis, Todd Willis; Senior Compliance Officer, Office of Antiboycott Compliance, Cathleen Ryan

Department of Justice Export Enforcement Initiative

In October 2007, the Department of Justice launched an Export Enforcement Initiative. The purpose of the initiative is to counter the threat posed by foreign states and terrorist organizations that are actively seeking to acquire technical data, knowledge and equipment that will advance their efforts to develop their technological capacity and build weapons systems and weapons of mass destruction programs. The initiative harnesses the counter-proliferation assets of law enforcement and intelligence communities to improve the detection, investigation and prosecution of persons and companies violating U.S. export laws. The cornerstone of this initiative is the establishment of Counter-Proliferation Task Forces around the country to foster the multi-agency cooperation critical to the success of export control investigations and prosecutions. This initiative also provides U.S. Attorney's Offices with additional assistance, training and the expertise to undertake these complex and specialized prosecutions. The task forces include representatives from the Bureau of Industry and Security's Office of Export Enforcement, the Federal Bureau of Investigation, Immigration and Customs Enforcement and other U.S. Government agencies.



Assistant Secretary Darryl W. Jackson holding a triggered spark gap during speech at the press conference launching the Department of Justice's Export Enforcement Initiative, October 2007

Chapter 1 - Commerce Control List Based Controls

Introduction

Many exports of controlled items, including software and technology, require a license from BIS. It is the responsibility of the exporter to apply for a license when one is required under the EAR. License requirements for a particular transaction, as described in the EAR, are based on a number of factors, including technical characteristics of the item to be exported and the item's destination, end-user, and end-use. When determining whether a license is required for your transaction, you should be able to answer the following questions:

What is being exported?

Where is the item being exported?

Who will receive the item?

How will the item be used?

PREVENTIVE MEASURES YOU CAN TAKE

- **Check exporters and customers**
- **Check end users and end-uses**
- **Review Shipper's Export Declarations**

If you need assistance to determine whether the item you want to export requires a license you should:

1. Check the BIS Website <http://www.bis.doc.gov>, or
2. Call one of our export counselors at 202-482-4811 (Washington, DC) or 949-660-0144 (California) for counseling assistance.

Please note that, whether you are the exporter, freight forwarder, consignee, or other party to the transaction, you must address any red flags that arise because taking part in an export transaction where a license is required but not obtained may subject you to criminal or administrative liability. The EAR discuss red flags in a section entitled "Know Your Customer," Supplement No. Three to Part 732, which is available on the BIS website.

General Orders

Mayrow General Trading

On June 5, 2006, BIS issued a General Order stating that it had come into possession of information giving reason to believe, based on specific and articulable facts, that Mayrow General Trading and related entities had acquired electronic components and devices (commodities), items subject to the EAR, that were capable of being used to construct Improvised Explosive Devices (IEDs). The Order further stated that these commodities have been and may continue to be employed in IEDs or other explosive devices used against Coalition Forces in Iraq and Afghanistan.

The Remedy: To curtail such use of these commodities in order to protect Coalition Forces operating in Iraq and Afghanistan, BIS imposed a license requirement for exports and re-exports of all items subject to the EAR where the transaction involved Mayrow General Trading and specific listed entities related to Mayrow. This Order provided information to exporters about Mayrow's activities to help them ensure that any transactions with Mayrow were legitimate, and it also provided BIS the opportunity to review those transactions to ensure they are in the national interest. The Order was subsequently amended in September 2006 and June 2007 to include additional persons and an expanded set of criteria for placement on the Order.



Humvee Explosion



Electronic Devices

Ace Systems Inc.

The Violation: In July 2006, Ace Systems Inc. (Ace), located in Gainesville, Georgia, attempted to violate the General Order Concerning Mayrow and Related Entities by acting to export dialogic voice cards to Mayrow General Trading (Mayrow) in Dubai, United Arab Emirates without the required license. Ace tendered the ten cards to its freight forwarder with instructions to export them to Mayrow. BIS special agents intervened and the cards never reached their destination.

The Penalty: Ace agreed to pay an administrative penalty of \$36,000.

Criminal and Administrative Case Examples

Nuclear Nonproliferation Controls:

Theresa Chang

The Violation: Theresa Chang made false statements related to the export of nickel powder to Taiwan without the required export license. The nickel powder is controlled for nuclear proliferation reasons.

The Penalty: On October 11, 2007, Theresa Chang was sentenced to three years' probation and a \$5,000 criminal fine.

SparesGlobal, Inc.

The Violation: SparesGlobal, Inc., of Pittsburgh, Pennsylvania, and company president, Om Sharma, conspired to falsify documents and make false statements about a 2003 illegal export of graphite products to a trading company in the United Arab Emirates that ultimately ended up in Pakistan. The graphite products can be used in nuclear reactors and in the nose cones of ballistic missiles. After the shipment, the company attempted to mislead federal investigators when questioned about the shipment and the documents.

The Penalty: On October 4, 2007, Spares Global Inc. was sentenced to a \$40,000 criminal fine.

Asher Karni

The Violation: Asher Karni, a South African businessman, conspired to violate and violated U.S. export restrictions arising out of unlawful exports to Pakistan and India of U.S.-origin goods controlled for nuclear nonproliferation reasons. Humayan Khan of Islamabad, Pakistan was indicted for conspiring to violate and violating U.S. export restrictions on goods controlled for nuclear nonproliferation reasons. Khan arranged, through Karni, the purchase and export to Pakistan of U.S.-origin triggered spark gaps, which can be used as nuclear weapons detonators. Khan falsely represented that the goods were intended for medical use.



**Triggered Spark
Gap**

The Penalty: On August 4, 2005, Karni was sentenced to three years' imprisonment. On April 8, 2005, Khan was indicted for his role in diverting the controlled goods. On August 1, 2006, BIS issued a 10-year denial of export privileges against Karni and related parties, Pakland PME Corporation and Khan.



**Atomic Weapon Using
Triggered Spark Gaps**

Metric Equipment Sales

The Violation: On March 21, 2005, Metric Equipment Sales ("Metric") pled guilty in the Northern District of California to one felony count of exporting digital oscilloscopes controlled for nuclear nonproliferation reasons to Israel without a BIS license. The oscilloscopes, with sampling rates exceeding 1 GHz, are capable of being utilized in WMD development and missile delivery fields.

The Penalty: Metric was sentenced to a \$50,000 criminal fine. Metric agreed to pay a \$150,000 administrative penalty and to a five-year suspended denial of export privileges.

Chemical/Biological Weapons Controls:

Yamada America, Inc.

The Violation: Between 2001 and 2005, Yamada America, Inc., an Illinois company, exported diaphragm pumps to Taiwan, Singapore, Brazil and Ecuador without the required licenses. In addition, Yamada made false statements on export control documents in connection with these shipments.

The Penalty: Yamada America agreed to pay an administrative penalty of \$220,000.

SCP Global Technologies, Inc.

The Violation: Between May 2003 and January 2005, SCP Global Technologies, Inc. (“SCP”) made 45 exports of controlled pumps and valves to Taiwan, China, and Israel, without the required export licenses. The items are controlled for their potential use in chemical and biological weapons, and would have required a license for shipment to Taiwan, China, or Israel. SCP had previously received a Warning Letter for the unlicensed export of controlled pumps.

The Penalty: SCP agreed to pay a \$264,000 administrative penalty.

Mitigating Circumstances: SCP voluntarily self-disclosed these violations and cooperated fully in the investigation.

Graco Inc.

The Violation: On two occasions in 2001, Graco Inc. exported diaphragm pumps to India, and on 11 occasions caused the re-export of the pumps to Saudi Arabia and Taiwan without the required export licenses. The pumps are controlled for their potential use in chemical and biological weapons.

The Penalty: The case settled in June 2007. Graco Inc. agreed to pay a \$97,000 administrative penalty.

Maine Biological Labs (see further details on p. 51)

Dr. Thomas Butler

The Violation: On January 14, 2003, Dr. Thomas Campbell Butler, M.D., a professor at Texas Tech University in Lubbock, Texas reported to the FBI that thirty vials of a potentially deadly plague bacteria, *Yersinia pestis* (the causative agent of human plague), were missing and presumed stolen from his research lab. The report sparked a bio-terrorism alert in west Texas and President Bush was informed



Dr. Thomas C. Butler

of the incident. However, an investigation proved that Dr. Butler had illegally exported the *Yersinia pestis*, which is a controlled item under the EAR and cannot be exported without the required export licenses from BIS. On January 15, 2003, Dr. Butler was arrested.

Dr. Butler was found guilty of numerous charges at trial, two of which were export control-related: making false, fraudulent and fictitious statements regarding the exports to federal agents and making an unauthorized export to Tanzania.

The Penalty: Dr. Butler was convicted of forty-seven counts of a sixty-nine count indictment that stemmed from BIS's investigation. He was sentenced to two years in prison on March 10, 2004, and he resigned from Texas Tech. On October 24, 2005, the U.S. Court of Appeals for the Fifth Circuit affirmed his earlier conviction. In the administrative case, Dr. Butler agreed to pay a \$37,400 administrative penalty and accept a denial of his export privileges for a period of ten years.

Wilden Pump and Engineering

The Violation: Wilden Pump and Engineering Co., LLC (Wilden), a company based in Grand Terrace, California, violated the EAR in connection with unauthorized exports of diaphragm pumps from the United States to the Iran, Israel, People's Republic of China, Syria, and the United Arab Emirates without the required Department of Commerce export licenses. Between 2000 and 2003, Wilden exported diaphragm pumps without the required licenses, in some cases transferring diaphragm pumps with knowledge that violations of the EAR would occur. Wilden also made false statements on export control documents related to these transactions.

The Penalty: Wilden agreed to pay a \$700,000 administrative penalty. It also agreed to be subject to a three-year denial of export privileges for items on the CCL. The denial was suspended in its entirety for two years provided that Wilden did not commit any violations of the EAR during the suspension period.

EMD Biosciences, Inc./EMD Chemicals Inc.

The Violation: EMD Biosciences, Inc. (EMD Biosciences), of San Diego, California, a division of Merck, exported biological toxins to Canada in violation of the EAR. Between June 2002 and July 2003, EMD Biosciences committed 134 violations of the EAR in connection with 67 exports of biological toxins to Canada that were made without the required Department of Commerce export licenses. EMD Chemicals Inc. ("EMD Chemicals"), a division of Merck KGaA (Merck), of Darmstadt, Germany, exported hydrofluoric acid to Guatemala without the required licenses and caused the re-export of industrial pigments to Iran without the required government authorization.

The Penalty: EMD Biosciences agreed to pay a \$904,500 civil penalty. EMD Biosciences' export privileges under the EAR were denied for a period of two years, all of which was suspended provided that EMD Biosciences committed no violations of the EAR during the period of suspension. EMD Chemicals agreed to pay a \$44,000 administrative penalty for its violations.

BJ Services Company

The Violation: Between 1999 and 2002, BJ Services Company of Tomball, Texas committed 37 violations of the EAR in connection with 13 exports of items controlled for chemical and biological weapons reasons to various destinations without obtaining the required export licenses.

The Penalty: BJ Services agreed to pay a \$142,450 administrative penalty and perform an audit of its internal compliance program that is required to be submitted to BIS.

Mitigating Circumstances: BJ Services voluntarily self-disclosed these violations and cooperated fully with the investigation.

National Security Controls

WaveLab Inc.

The Violation: In February and October 2006, WaveLab Inc., of Reston, Virginia, exported power amplifiers to the People's Republic of China without the required licenses. The amplifiers are controlled for national security reasons.

The Penalty: On June 6, 2008, WaveLab Inc. was sentenced to one year of supervised probation and a \$15,000 criminal fine, together with a \$85,000 criminal forfeiture previously ordered. In addition, on March 7, 2008, WaveLab Inc. was denied export privileges for five years.

JSR Micro Inc.

The Violation: Between 2004 and 2005, JSR Micro Inc., of Sunnyvale, California, exported photoresists, items controlled for national security and anti-terrorism reasons, to Israel, Taiwan and Singapore, without the required U.S. government authorizations. In addition, JSR Micro Inc. made false or misleading representations, statements, or certifications on Shipper's Export Declarations regarding the authorization of the exports.

The Penalty: JSR Micro Inc., agreed to pay a \$270,000 administrative penalty.

Mitigating Circumstances: JSR Micro Inc. voluntarily self-disclosed these violations and cooperated fully with the investigation.

Littelfuse, Inc.

The Violation: Between 2002 and 2005, Littelfuse, Inc., of Des Plaines, Illinois, exported ceramic yarn controlled for national security reasons to the Phillipines and the People's Republic of China without the required licenses. In addition, Littelfuse, Inc. failed to comply with the reporting requirements.

The Penalty: Littelfuse, Inc. agreed to pay a \$221,100 administrative penalty.

Andrew Huang

The Violation: Between 1999 and 2001, Andrew Huang, owner of McAndrew's, Inc., an international export company, made false statements to the Federal Bureau of Investigation in connection with the illegal sale and transfer of millions of dollars in telecommunications equipment from China to Iraq. Huang was operating as a representative for the Chinese Electronic System Engineering Corporation, the technology procurement arm of the Chinese government.

The Penalty: On April 10, 2007, Huang was sentenced to two years' probation, and a \$5,000 criminal fine.

Alpine Armoring, Inc./Fred Khoroushi

The Violation: Between January 2002 and September 2004, Alpine Armoring, Inc., headquartered in Herndon, Virginia, exported ballistic helmets to Suriname without the required licenses. In addition, Alpine Armoring's president and director, Fred Khoroushi, made false statements on a Shipper's Export Declaration in connection with these shipments.

The Penalty: Fred Khoroushi and Alpine Armoring, Inc. each agreed to pay \$200,000 in criminal fines and administrative penalties.

EHI Group USA, Incorporated/Qing Chang Jiang

The Violation: From September 2001 through May 2002, EHI Group USA, Incorporated (EHI), of Cupertino, California, and EHI's principal, Qing Chang Jiang, conspired with others to export and knowingly exported microwave amplifiers to the People's Republic of China without the required licenses.

The Penalty: EHI and Jiang each agreed to pay an administrative penalty of \$17,000 and were each denied export privileges for five years.

Hittite Microwave Corporation

The Violation: On six occasions between on or about July 2000 and January 2001, Hittite Microwave Corporation, Chelmsford, Massachusetts, exported microwave solid state amplifiers and related equipment, including downconverters, from the United States to Russia, China and Latvia, without obtaining licenses from the U.S. Department of Commerce. In addition, on one occasion, Hittite made a false statement to the U.S. Government on a Shipper's Export Declaration.

The Penalty: Hittite agreed to pay a \$221,250 administrative penalty.

Ning Wen and Hailin Lin

The Violation: Ning Wen and Hailin Lin used a business called “Wen Enterprises,” which they operated from their home in Wisconsin, to ship semiconductors and other controlled electronic components with radar and satellite applications, both military and civilian, to Jian Guo Qu and Ruo Ling Wang at Beijing Rich Linscience Electronic Company in China. For most of these transactions, Lin obtained the restricted components from a United States manufacturer or supplier based on a request from Wang or Qu, falsified shipping documents by concealing the true nature of the shipments and stating that a license was not required for the shipments and then shipped the product to Wang and/or Qu in China, without obtaining the required export license.

The Penalty: In 2005, Qu was sentenced to 46 months’ imprisonment (later reduced to 22 months based on his cooperation in prosecution of co-defendants) a \$2,000 criminal fine, and two years’ supervised release. Lin was also sentenced in 2005 to 42 months in prison and a \$50,000 fine for her role in these unauthorized exports. In 2006, Wen was sentenced to five years in prison, a \$50,000 fine and two years’ supervised release. Additionally, the court ordered the forfeiture of Wen and Lin's home and over \$329,000 in cash.

Manten Electronics/Kevin Wu/Linda Chen/Jenny Chan/Daqing Zhou

The Violation: Four former employees of Manten Electronics in Beijing, China, Weibu Xu, aka Xu Weibu, aka Kevin Wu; Hao Li Chen, aka Ali Chan; Xiu Ling Chen, aka Linda Chen; and Kwan Chun Chan, aka Jenny Chan, illegally exported millions of dollars of sensitive national security controlled items with application in radar, electronic warfare and communications systems, to state-sponsored institutes in China. On September 13, 2005, Kevin Wu pled guilty to violating the Export Administration Act and the Arms Export Control Act. The four defendants also pled guilty to conspiracy charges.

The Penalty: On May 1, 2006, the four defendants were sentenced. Kevin Xu was sentenced to 44 months in prison, and two years’ probation; Ali Chan was sentenced to 30 months in prison and two years’ probation; Linda Chen was sentenced to 18 months in prison and two years’ probation; and Jenny Chan was sentenced to six months’ home confinement and two years’ probation. The defendants also agreed to forfeit \$391,337, their revenue from the illegal exports. On November 3, 2006, Daqing Zhou, an employee of Manten Electronics in Beijing, China, was denied export privileges for twenty years for his role in the conspiracy detailed above. On November 27, 2007, Kevin Xu, and related persons, Ali Chan, Linda Chen and Jenny Chan, were each denied export privileges for ten years, pursuant to Section 11(h) of the Export Administration Act.

Missile Technology Controls**Valtex International**

The Violation: Between September 2002 and October 2002, Vladimir Alexanyan and his company, Valtex International of Palto Alto, California committed export violations and made false statements in connection with the attempted export of satellite/missile insulation blankets to the Chinese Academy of Space Technology in Beijing. BIS had previously rejected Valtex's application for an export license for these items.

The Penalty: Alexanyan was sentenced to a \$12,000 criminal fine and three years' probation and was barred from any international activities or trade for the term of his probation. Valtex was ordered to pay a \$250,000 criminal fine. In addition, Alexanyan agreed to pay an \$88,000 administrative penalty, and Valtex agreed to pay a \$77,000 administrative penalty. Alexanyan's and Valtex's export privileges to China were denied for five years. Valtex also agreed to implement an export management system.

Zhaoxin Zhu

The Violation: On May 6, 2004, Zhaoxin Zhu of Shenzhen, China pled guilty to conspiring to purchase controlled satellite and radar technology for illegal export to China. Zhu negotiated with undercover federal agents to purchase a variety of sensitive goods, including traveling wave tubes with satellite and radar applications, for export to China.

The Penalty: Zhu was sentenced to twenty-four months in prison and three years' supervised release.

Crime Controls**Armor Holdings, Inc.**

The Violation: Between 2001 and 2004, Armor Holdings, Inc. (Armor), located in Jacksonville, Florida, exported crime control items (handcuffs, riot helmets, fingerprinting equipment, and face shields) without first obtaining the required licenses, and exported three shipments in excess of the licensed value to foreign consignees in 41 countries including Egypt, Mexico and France. In addition, Armor failed to file Shipper's Export Declarations ("SEDs") for some shipments and misrepresented the license authority on SEDs that it filed for other shipments.

The Penalty: Armor agreed to pay an administrative penalty of \$1,102,200.

John Carrington

The Violation: Between September 2000 and March 2004, John Carrington, the former president of Sirchie Fingerprint Laboratories and a former North Carolina state Senator, illegally

exported approximately \$1.2 million dollars in crime control equipment to China without the required licenses through intermediaries in Italy and Hong Kong.

The Penalty: In the criminal case, Carrington was sentenced in March 2006 to 12 months' probation and agreed to pay an \$850,000 criminal penalty. In the related administrative case, Carrington accepted a five-year denial of his export privileges. Sirchie also agreed to pay a \$400,000 administrative penalty and accepted a five-year suspended denial.



Special Agents seizing evidence during search warrant

Stoelting Company

The Violation: Stoelting Company, of Wood Dale, Illinois, and its president, LaVern Miller, illegally exported polygraph machines to China without required export licenses. These items are restricted to China for human rights reasons.

The Penalty: Stoelting was sentenced to two and a half years' corporate probation and a \$20,000 criminal fine. Miller was sentenced to two and a half years' probation, including six months of electronically monitored home confinement, 500 hours of community service and a criminal fine equivalent to the costs of his probation and monitoring, estimated to be \$18,000. In addition, Stoelting and Miller each agreed to pay \$44,000 in administrative penalties, and Stoelting agreed to a five-year suspended denial of export privileges.

Bass Pro, Inc.

The Violation: Between June 1999 and January 2004, Bass Pro, Inc. exported gun sights to a variety of destinations without a license in violation of the EAR. Gun sights are controlled pursuant to U.S. treaty obligations, as well as for human rights and anti-terrorism reasons.

The Penalty: Bass Pro agreed to pay a \$510,000 administrative penalty.

Worldwide Sports & Recreation, Inc. / Bushnell Corporation

The Violation: Between September 1995 and December 1997, Worldwide Sports & Recreation, Inc., which does business as Bushnell Corporation, exported Night Ranger night vision devices to Japan and fourteen other countries, without the required BIS export licenses. Bushnell sold the cameras to a Japanese company but transferred them to a U.S. company in Florida knowing that they were going to be exported to Japan. The foreign company and the domestic intermediary pled guilty and cooperated.

The Penalty: In the criminal case, Bushnell was sentenced to a \$650,000 criminal fine and five years' probation. In the related administrative case, Bushnell agreed to pay an administrative penalty of \$223,000 and to a one-year suspended denial of export privileges.

Chapter 2 - License Conditions

Introduction

To minimize the potential diversion or misuse of licensed exports, BIS adds conditions to nearly all export licenses. License conditions may, among other things, restrict the way an item is used after export, or it may require certain reports to be made by the exporter. The conditions are created through an interagency process that includes BIS and agencies at the Departments of State and Defense, among others. The use of license conditions allows the Government to approve license applications that might otherwise be denied. Once a license is issued, BIS seeks to ensure compliance with the conditions.

Criminal and Administrative Case Examples

WesternGeco LLC/ Western Geophysical

The Violation: From June through November 2000, Western Geophysical Company of America, of Houston, TX, failed to abide by conditions on export licenses for underwater geophysical mapping equipment exported to the People's Republic of China (PRC). Between December 2000 and January 2001, WesternGeco LLC, also of Houston, TX, took control of the equipment that was subject to the licenses at issue, and also failed to abide by the same license conditions.

The license conditions required the equipment, which was controlled for national security reasons, to be monitored on a weekly basis while stored in the PRC.

The Penalty: On September 1, 2006, WesternGeco agreed to pay a civil penalty in the amount of \$925,000, and Western Geophysical Company of America agreed to pay administrative penalties totaling \$1,965,600.

Ocean Bottom Cables, Modules and Hydrophones



E.D Bullard

The Violation: Between 2000 and 2002, E.D. Bullard, of Kentucky, exported and re-exported thermal imaging cameras to Austria, the Czech Republic, France, Germany, Israel, Spain, Switzerland, and Venezuela, in violation of the EAR. Bullard, with assistance from Bullard GmbH of Bonn, Germany, caused the export, re-export, reselling and transferring of thermal imaging cameras from the United States to the aforementioned countries without the required export licenses, to intermediate consignees not authorized under a license, after a license had expired, in quantities exceeding those authorized by a license, and in violation of the terms and conditions of a license. In addition, Bullard made false statements on Shipper's Export Declarations in connection with many of the shipments. Bullard GmbH also resold, re-exported, and transferred thermal imaging cameras to Austria, France and Switzerland in violation of the EAR.

The Penalty: E.D. Bullard agreed to pay a \$330,000 administrative penalty in June 2005. Bullard GmbH agreed to pay a \$36,000 administrative penalty.

Chapter 3 - Deemed Exports

Introduction

Most people think of an export as the shipment of a commodity from the United States to a foreign country, but that is only one type of export. Under the EAR, the release of technology or source code subject to the EAR to a foreign national in the United States is also “deemed” to be an export to the home country or countries of the foreign national and may require a license under the EAR. Technology can be released through visual inspection, oral exchanges of information, or the application to situations abroad of personal knowledge or technical experience acquired in the United States. For example, if a graduate student who is a foreign national with a valid visa reviews controlled technology pursuant to a grant from a private company, an export license or may be required because the release of the technology to the student could be considered a “deemed export.”

Criminal and Administrative Case Examples

TFC Manufacturing, Inc.

The Violation: Between March and April 2006, TFC Manufacturing, Inc. (TFC), a Lakewood, California-based aerospace fabrication facility, released U.S.-origin technology for the production of aircraft parts (classified under ECCN 9E991) to an Iranian national employee in the U.S. without the required license under the EAR.

The Penalty: TFC agreed to pay a \$31,500 administrative penalty.

3DSP Corporation

The Violation: Between 2002 and 2004, 3DSP Corporation, of Irvine, California, granted a professor and five students from the People’s Republic of China access to physical layer technology without the required licenses under the Export Administration Regulations. This technology was to be used in wireless LAN integrated circuits. The professor and students were working on behalf of the Beijing University of Aeronautics and Astronautics (BUAA) at the time of the technology release, pursuant to a contract between 3DSP and BUAA. BUAA is an entity set forth on the EAR’s Entity List, a compilation of end-users that pose a risk of WMD proliferation.

The Penalty: 3DSP Corporation agreed to pay a \$36,000 administrative penalty.

Hexcel Corporation

The Violation: From October 2001 through October 2002, Hexcel Corporation (“Hexcel”) released technology to produce bismaleimide resin to a Taiwanese national in the U.S. without the required export license under the EAR. Bismaleimide resin is controlled for national security reasons. In addition to the deemed export transaction, Hexcel exported 21 shipments of carbon fiber (AS4, AS4C, and Nextel 312) to various countries without the required export licenses.

AS4 and AS4C carbon fiber and Nextel 312 are controlled for export based on national security and anti-terrorism policy reasons.

The Penalty: Hexcel agreed to pay a \$203,400 administrative penalty covering the deemed export violation and the other export violations.

Mitigating Circumstances: Hexcel voluntarily self-disclosed the violations and cooperated fully in the investigation.

Suntek Microwave, Inc. and Charlie Kuan

The Violation: Suntek Microwave, Inc. of Newark, California and its former president, Charlie Kuan, failed to obtain required export licenses for shipments of detector log video amplifiers (DLVA). The items are controlled for national security reasons. Suntek shipped the items to Chengdu Jeway Microwave Telecommunications, a company controlled by the Chinese government. Suntek also failed to obtain export licenses under the deemed export provisions of the Export Administration Regulations for Chinese nationals who worked at Suntek and were trained in DLVA manufacturing technology controlled by the EAR.

The Penalty: Suntek agreed to pay a \$339,000 criminal fine. Kuan was sentenced in July 2005 to imprisonment for twelve months and one day. BIS assessed Suntek a \$275,000 administrative penalty (suspended) and Kuan a \$187,000 administrative penalty (suspended) and issued orders denying both Suntek's and Kuan's export privileges for 20 years.

Mitigating Circumstances: Suntek voluntarily self-disclosed the violations and cooperated fully in the investigation.

Fujitsu Network Communications, Inc.

The Violation: On 21 occasions between 1996 and 2000, Fujitsu Network Communications, Inc. of Richardson, Texas failed to obtain the required BIS licenses for the release of controlled technology to foreign nationals from the PRC and Ukraine employed by the firm in the U.S. to conduct research on the development and manufacturing of commercial digital fiber optic transmission and broadband switching equipment, software, and technology controlled for national security reasons.

The Penalty: Fujitsu agreed to pay a \$125,000 administrative penalty.

Mitigating Circumstance: Fujitsu voluntarily self-disclosed the violations and cooperated fully with the investigation.

New Focus, Inc.

The Violations: From 2000 to 2002, New Focus failed to obtain the export licenses required to release controlled manufacturing technology to two Iranian nationals and one Chinese national who were employed in the United States. Also, between 1997 and 2001, New Focus failed to

obtain the required export licenses for shipments of amplifiers to the Czech Republic, Singapore, and Chile.

The Penalty: New Focus agreed to pay a \$200,000 administrative penalty.

Mitigating Circumstance: New Focus voluntarily self-disclosed the violations and fully cooperated with the investigation.

Lattice Semiconductor Corporation

The Violations: Between July 2000 and January 2002, Lattice Semiconductor Corporation, without obtaining the required BIS licenses, released controlled technology in the form of technical assistance that was provided to Chinese nationals who were brought to the United States for technical training. Also, between April 2000 and July 2001, Lattice exported extended temperature range programmable logic devices to the PRC without the required export licenses and exported the related technical data to the PRC without the required export licenses.

The Penalty: Lattice agreed to pay a \$560,000 administrative penalty.

Mitigating Circumstance: Lattice voluntarily self-disclosed the violations and fully cooperated with the investigation.

Chapter 4 - State Sponsors of Terrorism

Introduction

The United States maintains broad export controls against countries that have been designated by the Secretary of State to be state sponsors of terrorism. In some cases, such countries are subject to partial or complete embargoes, maintained on a multilateral or unilateral basis. As a result, many exports to these countries, even of ordinary commercial items such as iPods and digital cameras that are not typically controlled to other countries, may require authorization from the U.S. Government. BIS or the Department of the Treasury's Office of Foreign Assets Control (OFAC)—or in some cases both agencies together—work to implement the licensing requirements and enforce these controls. Trade with these destinations should be undertaken with extra caution.

Regional Considerations:

It is important to familiarize yourself with the restrictions that apply to the ultimate destination of your export. U.S. law in this area frequently changes in accordance with an evolving foreign policy. The following websites are good resources:

OFAC's website:

<http://www.treas.gov/offices/enforcement/ofac/>

BIS's website:

<http://www.bis.doc.gov/PoliciesAndRegulations/regionalconsiderations.htm>



What is OFAC and what does it do?

The Office of Foreign Assets Control administers and enforces economic sanctions programs against countries and groups of individuals, such as terrorists and narcotics traffickers. The sanctions can be either comprehensive or selective, using the blocking of assets and trade restrictions to accomplish foreign policy and national security goals.

Criminal and Administrative Case Examples

KZ Results

The Violation: Between 2003 and 2004, KZ Results and its owner, Mazen Ghashim, made approximately 30 unlicensed exports and two attempted unlicensed exports of controlled computers to Syria, some directly and some via the United Arab Emirates. The total value of all items exported exceeded \$800,000.

The Penalty: In the criminal case, Mazen Ghashim pled guilty to attempting to export controlled computers to Syria through the United Arab Emirates without a license. On February 14, 2008, Ghashim was sentenced to three years' probation. In the administrative case, which was resolved on September 12, 2006, KZ Results agreed to pay a \$1,089,000 administrative penalty, of which all but \$22,000 was suspended for five years. Ghashim agreed to pay a \$22,000 administrative penalty, all of which was suspended for five years. Ghashim and his two companies, including KZ Results were each denied export privileges for 20 years.

Ali Khan/TurboAnalysis

The Violation: Ali Khan, owner of TurboAnalysis, of Phoenix, Arizona, conspired to export aircraft components to Iran without the required licenses.

The Penalty: On July 30, 2007, Ali Khan was sentenced to five years' probation, 300 hours of community service, \$1,400,000 in forfeiture, and \$100,000 in criminal fines. Khan also agreed to pay an administrative penalty of \$110,000.

Juan Sevilla

The Violation: Juan Sevilla, Sales Director of United Calibration Corporation, of Huntington Beach, California, attempted to illegally export to Iran machinery used to measure the tensile strength of steel, in violation of the U.S. embargo. The technology is on the Nuclear Supplier's Group "Watch List" as a commodity that can make a contribution to nuclear activities of concern.

The Penalty: On December 5, 2006, Sevilla was sentenced to five years' probation, six months of home confinement, 100 hours of community service and a \$10,000 criminal fine. On January 16, 2008, Sevilla and his company, JS Engineering, were denied export privileges for five years pursuant to Section 11(h) of the Export Administration Act.

Primavera Systems, Inc.

The Violation: Primavera Systems, Inc. (Primavera) exported computer software programs to Iran without the required authorization. Primavera also failed to comply with recordkeeping requirements.

The Penalty: On May 8, 2007, Primavera agreed to pay a \$55,000 administrative penalty.

Mitigating Circumstance: Primavera voluntarily self-disclosed the violations and cooperated fully in the investigation.

Naji Antoine Abi Khalil and Tomer Grinberg

The Violation: Naji Antoine Abi Khalil (“Khalil”) and Tomer Grinberg (“Grinberg”) were involved in a scheme to ship night vision equipment to Greece without the licenses required by State and BIS. Khalil also attempted to contribute goods to Hezbollah, a Specially Designated Terrorist.

The Penalty: . Khalil pled guilty to two conspiracy charges relating to money laundering and the unlicensed export of the equipment to Greece. He also pled guilty to one IEEPA violation in connection with attempting to and making or receiving a contribution of funds to and for the benefit of Hezbollah. Grinberg pled guilty to a conspiracy to violate the IEEPA. On February 13, 2006, Khalil was sentenced to two five-year prison terms and a fifty-seven month prison term, all to be served concurrently, and a \$100,000 criminal fine. Grinberg was sentenced on April 12, 2006 to six months in prison. On November 14, 2006, BIS denied Khalil’s and Grinberg’s export privileges for ten years, pursuant to Section 11(h) of the Export Administration Act. On January 4, 2007, Grinberg was deported from the United States.

Khalid Mahmood and David Tatum

The Violation: In 2003, Khalid Mahmood, d/b/a Sharp Line Trading, of Dubai, U.A.E., committed export violations in connection with the sale to an Iranian company of forklift parts from a Kentucky-based U.S. supplier, Clark Material Handling Company (“Clark”), in violation of the U.S. embargo. The transaction was allegedly structured through Mahmood/Sharp Line in the U.A.E. to conceal the ultimate destination of the goods. In November 2005, Mahmood pled guilty to one count of conspiracy. David Tatum, formerly a Vice President of Clark, pled guilty to making a false statement to federal agents in connection with the case.

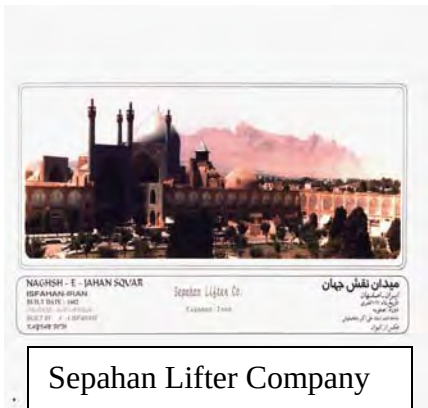
The Penalty: On January 19, 2006, Mahmood was sentenced to time served (17 months). On August 4, 2006, Tatum was sentenced to one year probation, 50 hours of community service and a \$5,000 fine.



Khalid Mahmood



David Tatum



Sepahan Lifter Company

Erik Kyriacou

The Violation: Erik Kyriacou, a former NBC cameraman and resident of Long Island, New York, attempted to illegally export night vision lenses to Iran. The lenses had been stolen from NBC News in New York. Kyriacou attempted to sell the lenses on the Internet to undercover agents posing as international arms brokers. Kyriacou agreed to sell the lenses to the agents knowing that they were destined for shipment to Iran in violation of the U.S. embargo.

The Penalty: Kyriacou was sentenced to five years' probation, with the first four months as home confinement. On March 1, 2006, an order was imposed denying Erik Kyriacou's export privileges for ten years, pursuant to Section 11(h) of the Export Administration Act.

State Sponsors of Terrorism:

- ***Cuba***
- ***Iran***
- ***North Korea****
- ***Sudan***
- ***Syria***

** On June 26, 2008, the President notified Congress of his intention to lift the designation of North Korea as a State Sponsor of Terrorism pursuant to Section 6(j) of the Export Administration Act and several other statutes. Barring further Congressional action, the formal rescission of North Korea's designation would be undertaken by the Secretary of State 45 days after this notification.*

Chapter 5 – Transshipment and Re-exports

Introduction

Parties to an export transaction cannot bypass the EAR by shipping items through a third country. The transshipment, re-export, or diversion of goods and technologies in international commerce may be a violation of U.S. law. For example, an exporter cannot bypass the U.S. embargo against Iran by shipping an item to a distributor in the United Kingdom and asking that distributor to transship the item to a customer in Iran. Under U.S. law, this would be considered an export to Iran, even though it does not go directly to that country, and both the U.S. exporter and the United Kingdom distributor could face liability.



Assistant Secretary Darryl W. Jackson, Special Agent-in-Charge of the Office of Export Enforcement's Miami Field Office Michael Johnson and Port Everglades Business Development Manager Andy Deering, in Port Everglades, Florida

Criminal and Administrative Case Examples

Ali Asghar Manzarpour

The Violation: In April 2004, Ali Asghar Manzarpour, through his companies, Preston Technical Services, Ltd., and Baronmode, Ltd., in the United Kingdom, acquired a single engine aircraft from the United States and instructed a freight forwarder to ship the aircraft to the United Kingdom, and then transship it to Iran, without the required authorization

The Penalty: Manzarpour was criminally indicted. He was administratively charged with causing an unlicensed export and a related knowledge violation. On March 3, 2008, Manzarpour's export privileges were denied for twenty years.

**Winter Aircraft Products SA/Rufina Sanchez Lopez/
Jose Alberto Diaz Sanchez**

The Violation: In 2000, Winter Aircraft Products SA, also known as Ruf S. Lopez SA, located in Madrid, Spain, and its executive officers, Rufina Sanchez Lopez and Jose Alberto Diaz Sanchez, acquired aircraft parts from the United States, concealed the identity of the ultimate destination from the U.S. suppliers, and then transshipped the parts through Spain to Iran with a substantial markup in price.

The Penalty: A ten year denial of export privileges was imposed on each party. In May 2008, based on evidence that Iberair Lines (a/k/a “Deserrollos Ind. Iberair, SL”) and (a/k/a “Desarrollos Empresariales Iberair L’”) (“Iberair”) and Ana Belen Diaz Sanchez (a/k/a “Ana Vazquez”), both of Madrid, Spain, are related to Winter Aircraft by ownership, control, position of responsibility, affiliation or other connection in the conduct of trade or business, Iberair and Ana Vazquez were added to the Order imposed against Winter Aircraft in order to avoid evasion of that Order.

Mohammad Fazeli

The Violation: In September 2004, Mohammad Fazeli, of Los Angeles, California, attempted to export 103 Honeywell pressure sensors to Iran, through the United Arab Emirates, without the required authorization from the Treasury Department’s Office of Foreign Assets Control.

The Penalty: Fazeli’s export privileges were denied for six years, pursuant to Section 11(h) of the Export Administration Act.

Patrick Gaillard

The Violation: In November 2006, Patrick Gaillard, through his company, Oyster Bay Pump Works, of Hicksville, New York, attempted to export two laboratory equipment systems, valued collectively at approximately \$300,000, to Iran via an intermediary in the United Arab Emirates without the required export license. James Gribbon, former sales manager for Oyster Bay Pump Works, pled guilty to conspiracy for his involvement in the illegal export of laboratory equipment to Iran.

The Penalty: On May 1, 2008, Patrick Gaillard was sentenced to one month in prison, and a \$25,000 criminal fine. Gribbon is awaiting sentencing.

Tak Components/Saied Shahsavarani

The Violation: Tak Components, Inc. of Naperville, Illinois (“Tak Components”), knowingly made of at least 16 unlicensed export shipments of equipment described as “gaskets, bearing balls, auto parts, oil or fuel filters and other parts and accessories for tractors” from the United States to Iran during the 2003-2005 period. Saied Shahsavarani, President of Tak Components, falsely represented in shipping documents that the end destination for each shipment was in

Dubai, United Arab Emirates, concealing the intended final destination for the equipment was Iran.

The Penalty: On October 11, 2007, Tak Components was sentenced to one year of probation, and \$38,016 in forfeiture. On the same date, Shahsavarani was sentenced to three years' probation, and a \$1,000 criminal fine.

Proclad International Pipelines, Ltd.

The Violation: In February 2004, Proclad International Pipelines, Ltd.(Proclad), a British corporation, headquartered in Scotland, United Kingdom, conspired to illegally export nickel alloyed pipes to Iran through the United Kingdom and/or the United Arab Emirates (UAE) and took actions with the intent of evading the EAR in connection with such exports. Proclad engaged in negotiations and ordered nickel alloy pipes with knowledge that the intended ultimate destination for the items was Iran.

The Penalty: Proclad agreed to pay a \$100,000 administrative penalty. In addition, a seven year denial of export privileges was imposed, but suspended provided that the company did not violate the EAR. On March 14, 2008, Proclad was sentenced to a criminal fine of \$100,000, and five years of corporate probation.

Sharon Doe/Andrew Freyer

The Violation: Sharon Doe, Sales Manager, and Andrew Freyer, another employee, of Crane Pacific Valves, of Signal Hill, California, conspired to export U.S. origin petrochemical valves to Iran and Iraq through Australia in violation of the Export Administration Regulations.

The Penalty: On December 17, 2007, Freyer was sentenced to 17 months in prison and a \$10,000 criminal fine. On October 15, 2007, Doe was sentenced to three years' probation, six months of home detention, and a \$5,000 criminal fine.

Mitigating Circumstance: Crane Pacific Valves voluntarily self-disclosed the violations and cooperated fully in the investigation.

Go Trans (North America)/Roger Unterberger/Muhammad Bhatti

The Violation: Go-Trans (North America), of Jamaica, New York, Roger Unterberger, a retired Senior Vice President of Gondrand AG, headquartered in Basel, Switzerland, and Muhammad Bhatti, Chief Operating Officer of Go-Trans, made false statements in connection with the attempted export of pipe-cutting machines to Iran via Germany.

The Penalty: All three pled guilty to false statement charges. On October 24, 2007, Go Trans was sentenced to one year of probation and a \$34,000 criminal fine; Roger Unterberger was sentenced to one year of probation and a \$5,000 criminal fine; and Muhammad Bhatti was

sentenced to one year of probation. In the related administrative cases, Bhatti paid a \$34,000 penalty, Unterberger paid a \$25,500 penalty, and Go Trans paid a \$34,000 penalty.

Mine Safety Appliances Company

The Violation: Between May 2001 and December 2005, Mine Safety Appliances Company (“MSA”), of Pittsburgh, Pennsylvania, through its branch office in Abu Dhabi, United Arab Emirates (“UAE”), re-exported helmets, gas masks, detection equipment, filters, and other related safety equipment to Iran and Syria from the UAE without the required U.S. government authorization.

The Penalty: MSA agreed to pay an administrative penalty of \$470,000.

Mitigating Circumstance: MSA voluntarily self-disclosed the violations and cooperated fully in the investigation.

Henry Schein, Inc.

The Violation: Between October 2001 and March 2003, Henry Schein, Inc., of Melville, New York, and two of its employees, Jennifer Marr and David McCauley, exported and conspired to export dental equipment to Iran through the United Arab Emirates without the required U.S. government authorization. In addition, the company made false statements on Shipper’s Export Declarations regarding the ultimate destination, took actions to evade the Regulations, and failed to comply with recordkeeping requirements.

The Penalty: Henry Schein, Inc. agreed to pay a \$165,000 administrative penalty. Marr agreed to pay \$7,700 and McCauley agreed to pay \$6,380 in administrative penalties.

Mohammed Farahbakhsh

The Violation: Mohammed Farahbakhsh, Hamid Fatholoomy, and their UAE-based companies, Diamond Technology and Akeed Trading, conspired to illegally export computer goods satellite communications equipment, and other goods from a U.S. supplier to an entity in Iran that was affiliated with Iran’s ballistic missile program.

The Penalty: In September 2005, Farahbakhsh was sentenced to seven months in prison and two years' probation.

INCREASING TRANSPARENCY THROUGH PENALTY GUIDANCE

BIS has issued guidance (found in Supplement No. 1 to Part 766 of the EAR) to provide the public with a comprehensive description of how BIS determines appropriate penalties in the settlement of administrative export control enforcement cases. It explains that BIS carefully considers each settlement offer in light of the facts and circumstances of the case, relevant precedent, and BIS's objective to achieve an appropriate level of penalty and deterrent effect.

The penalty guidance is available online at: <http://www.access.gpo.gov/bis/ear/pdf/766.pdf>

Several factors are taken into account when determining the appropriate administrative penalty. The penalty guidance encourages parties to provide information to BIS that would be helpful in the application of the guidance to their cases and discourages parties from proceeding in a manner that BIS would consider harmful to the resolution of their cases or that may cause interference.

Some factors are given "great weight" and are treated as considerably more significant than factors that are not so designated.

■ General factors for consideration include:

- Destination of the export
- Degree of willfulness involved in violations
- Number of violations
- Criminal charges

■ Mitigating factors include:

- Voluntary Self--Disclosure of violations ("great weight")
- Effective export compliance program ("great weight")
- Cooperation with BIS investigation
- Assistance to other BIS investigations
- No previous record of violations

■ Aggravating factors include:

- Deliberate effort to hide or conceal violations ("great weight")
- Serious disregard for export compliance responsibilities ("great weight")
- Item is significant due to its sensitivity or reason for control ("great weight")
- History of violations
- High quantity or value of exports

Petrom GmbH International Trade

The Violation: Petrom GmbH International Trade of Munich, Germany, conspired to export check valves to Iran without the required authorization and solicited unlicensed exports to Iran via Germany without the required authorization.

The Penalty: On May 26, 2005, an order was issued imposing a \$143,000 administrative penalty and denying Petrom's export privileges for 20 years. On February 4, 2007, Petrom Internacional Trade, S.L., Koto Comercio Iberica, S.L. and Majid Rahmanifar were added to the denial order as related persons.

Ernest Koh

The Violation: Between 2001 and 2005, Singapore businessman Ernest Koh, doing business as Chong Tek, obtained U.S. aircraft parts, which can be used in C-130 military transport planes and P-3 Naval Aircraft, and diverted those parts to Malaysia for transshipment to Iran, in violation of the U.S. embargo against Iran. Koh obtained the aircraft parts from co-conspirator, an American aircraft parts supplier, without the required export licenses. In addition, Koh laundered millions of dollars from his bank accounts in Singapore through accounts in the U.S. to promote the ongoing illegal scheme.

The Penalty: Koh was sentenced to 52 months in prison. On November 27, 2007, Koh's export privileges were denied for 10 years.

Supermicro Computer Incorporated/Mohammad Mayssami

The Violation: Between December 2001 and January 2002, Supermicro Computer Incorporated ("Supermicro") exported 300 computer motherboards to Dubai, United Arab Emirates (UAE), for transshipment to Iran, without the required export license. Supermicro made the shipment to Super Net Computers, L.L.C. (Super Net), in Dubai, United Arab Emirates, aided or abetted the exports. In addition, Mohammad Ali Mayssami, a jeweler and gems dealer from San Diego, California, took action to finance the transactions.

The Penalty: In the criminal case, Supermicro was sentenced to a criminal fine of \$150,000. Supermicro also agreed to pay an additional \$125,400 in civil penalties. As part of the plea agreement, Supermicro implemented a new export control program. On May 21, 2007, Super Net was denied export privileges for five years. On April 28, 2008, Mohammad Mayssami was sentenced to two years' probation, a \$10,000 criminal fine, and 160 hours of community service at a charity of his choosing, for his part in financing the export transactions.

Dresser, Inc.

The Violation: Between June 2000 and April 2004, Dresser Inc. and seven of its affiliate companies violated the EAR by exporting and reexporting various oil industry-related items and causing, aiding or abetting the export of such items through 141 transactions involving Iran, Iraq, Libya and Cuba that occurred without the required licenses from the Department of Commerce.

The Penalty: Dresser and its affiliates agreed to pay administrative penalties totaling approximately \$1.1 million.

Mitigating Circumstance: Dresser voluntarily self-disclosed the violation and cooperated fully with the investigation.

Ebara International Corporation

The Violation: Ebara International Corporation (EIC) of Sparks, Nevada and Everett Hylton, EIC's founder and former Chief Executive Officer, violated the EAR by conspiring with others to export cryogenic in-tank submersible pumps to Iran without the required export licenses and evading the requirements of the EAR by participating in actions to conceal the illegal exports. Specifically, between 2000 and 2003, EIC, Hylton and their co-conspirators devised and employed a scheme under which EIC sold the pumps to Cryostar SAS, formerly known as Cryostar France, a French corporation, headquartered in Hesingue, France, which resold the pumps to "TN", a French company with a U.S. subsidiary, which then forwarded the pumps to Iran. In order to conceal the illegal exports, EIC and Hylton falsified documents to conceal the fact that the pumps were destined for Iran, created documents stating the ultimate destination was France, and avoided marking parts for the pumps with EIC identification stamps.

The Penalty: In the criminal case, on September 23, 2004, Ebara pled guilty to conspiring to violate U.S. export control laws and was sentenced to a \$6.3 million criminal fine and three years' probation. On the same day, in the related administrative case, Ebara agreed to pay a \$121,000 administrative penalty and to a three-year suspended denial of export privileges. In a related criminal case, Hylton was sentenced on that day to a \$10,000 criminal fine and three years' probation. In the related administrative case, Hylton agreed to pay a \$99,000 administrative penalty and to a three-year suspended denial of export privileges. Finally, in the criminal case, in July 2008, Cryostar SAS pled guilty to conspiracy, exporting without an export license, and attempted exporting without an export license, and was sentenced to a \$500,000 criminal fine and two years' probation.

Chapter 6 - Freight Forwarder

Introduction

Primary responsibility for compliance with the EAR generally falls on the “principal parties in interest” in a transaction, who are usually the U.S. seller and the foreign buyer. However, freight forwarders or other agents acting on behalf of the principal parties are responsible for their actions, including the representations they make by signing an export declaration or other export control document.

To help avoid liability in an export transaction, agents and exporters must decide whether any aspect of the transaction raises red flags, inquire about those red flags, and ensure that suspicious circumstances are not ignored. Both the agent and the principal party are responsible for the accuracy of each entry made on an export document. Good faith reliance on information provided by the exporter may excuse an agent’s actions in some cases, but the careless use of pre-printed “No License Required” forms or unsupported entries can get an agent into trouble.

Criminal and Administrative Case Examples

Elite International Transportation, Inc.

The Violation: Elite International Transportation, Inc. (“Elite”), a freight forwarder in Houston, Texas, misrepresented the licensing authority on a Shipper’s Export Declaration (SED). Elite filed a SED on behalf of the exporter, Equistar Chemicals LP (“Equistar”), of Houston, Texas, stating that exports of triethanolamine to Mexico were authorized pursuant to NLR (“No License Required”), when, in fact, a license was required for the exports.

The Penalty: Elite agreed to pay a \$156,000 administrative penalty. In a related matter, Equistar agreed to a civil penalty of \$39,650. Equistar had filed a Voluntary Self Disclosure with BIS in 2004, and cooperated with the BIS investigation. Upon discovering the previous violations, Equistar immediately began applying for and receiving licenses for exports of the chemicals at issue.

International Freight Forwarder

The Violation: In June 2000, International Freight Forwarder (IFF), a Canadian company, aided and abetted an attempted illegal export to Cuba when it picked up several boxes of medical equipment from the United States and agreed to arrange for the shipment of that equipment from the United States to Cuba, through Canada. The equipment was not licensed for export to Cuba and was later seized by the Canadian Government before reaching Cuba.

The Penalty: In 2008, the Under Secretary for Industry and Security affirmed an administrative law judge’s recommended penalty of \$6,000 and a three year denial of export privileges, which would be suspended as long as IFF paid the monetary penalty within thirty days.

P.R.A. World Wide Trading Company, Inc. (See details of case on p. 46)**Salinas International Freight Company, Inc.**

The Violation: Salinas International Freight Company, Inc. (Salinas) exported computers and related equipment, in violation of Tetrabal Corporation's temporary denial order. Salinas also made a misrepresentation of license authority on the SED. Salinas filed a SED stating that computers and related equipment qualified for export as NLR, when, in fact, a license was required for the exports.

The Penalty: Salinas agreed to pay administrative penalties totaling \$11,600.

DHL Holdings USA, Inc.

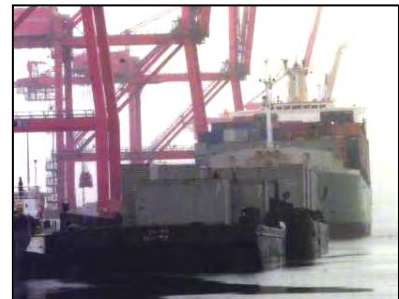
The Violation: DHL Holdings USA, Inc. (DHL) violated the EAR by forwarding items subject to the EAR, including a strobe, networking equipment and printers, to Saudi Arabia on behalf of parties subject to a Temporary Denial Order.

The Penalty: DHL agreed to pay an \$18,000 administrative penalty.

DSV Samson Transport

The Violation: DSV Samson Transport, a freight-forwarding company based in New Jersey, pled guilty to forwarding shipments to India despite being warned by Special Agents from the BIS Office of Export Enforcement on at least three occasions that such shipments would be in violation of BIS export controls designed to prevent nuclear proliferation.

The Penalty: In the criminal case, DSV Samson Transport was sentenced to a \$250,000 criminal fine and five years of probation. In the related administrative case, DSV Samson agreed to pay a \$399,000 administrative penalty.



Chapter 7 – “Catch-All” Controls

Introduction

As mentioned in Chapter One, BIS controls exports of items not only based on their technical specifications, but also based on their intended end-use and end-user. The EAR impose license requirements on exports of items subject to the EAR if the exporter knows or has reason to know that any of the items will be used in an end-use of particular concern to the U.S. Government, such as a missile or nuclear weapons program. These controls are often referred to as “catch-all” controls because they apply to any item subject to the EAR, even if the item would not ordinarily require a license based on its technical specifications.

The U.S. Government has officially notified the public, through the Entity List published in Supplement Four to Part 744 of the EAR, that exports to certain end-users present an unacceptable risk of being diverted to an end-use of concern and require a license. While this List assists businesses in determining whether an entity poses proliferation concerns, it is not comprehensive. It does not relieve parties to an export transaction of their responsibility to determine the nature and activities of potential customers who may not be on the Entity List (see BIS’s “Know Your Customer” Guidance in Supplement No. Three to Part 732 of the EAR, available on the BIS website).

The Entity List is published in the Federal Register. The Federal Register is the official source of information about organizations on BIS’s Entity List. The Federal Register from 1995 to the present is available on the Government Printing Office Access Web site. The current Entity List can also be found on the BIS website at <http://www.bis.doc.gov/>.

Criminal and Administrative Case Examples

Parthasarathy Sudarshan/Cirrus Electronics LLC

The Violation: Between 2002 and 2006, Parthasarathy Sudarshan, of Simpsonville, South Carolina, president of Cirrus Electronics LLC (Cirrus), with offices in Simpsonville, South Carolina, Singapore, and Bangalore, India, conspired with others to illegally export U.S. microprocessors and electronic components for space launch vehicles and ballistic missile programs to the Vikram Sarabhai Space Centre (VSCC) and Bharat Dynamics, Ltd. (BDL), two Indian government entities involved in rocket and missile production without the required licenses. VSCC and Bharat are on BIS’s Entity List. Sudarshan and others at Cirrus provided the U.S. vendors of electrical components with fraudulent end-use certificates and routed them through the Singapore office to conceal the ultimate destination of the goods.

The Penalty: On June 16, 2008, Sudarshan was sentenced to 35 months in prison, two years of supervised release, and a \$ 60,000 criminal fine. Sudarshan will receive credit for time served, which at the time of sentencing was approximately 15 months. In the administrative context, in June 2007, BIS imposed a 180-day Temporary Denial Order (TDO) on Sudarshan, three other Cirrus officials, and the three Cirrus offices (South Carolina, Singapore, and India). The TDO was renewed for an additional 180 days in December 2007.

Megatech Engineering & Services Pvt. Ltd./ Ajay Ahuja/Ravi Shettigar/T.K. Mohan

The Violation: Megatech Engineering & Services Pvt. Ltd., and its employees, Ajay Ahuja, Ravi Shettigar, and T.K. Mohan, of Mumbai, India, conspired to export certain high-tech testing equipment without the required BIS authorization to the Indira Gandhi Centre for Atomic Research, which is on BIS's Entity List. The conspiracy involved a front company in India named Technology Options, and its employee, Shivram Rao, which received the exported equipment and diverted it to the Indira Gandhi Centre for Atomic Research.

The Penalty: Ahuja, Shettigar, Mohan and Megatech were each denied export privileges for fifteen years, and Technology Options and Shivram Rao were each denied export privileges for ten years.

Data Physics Corporation/Sri Welaratna

The Violation: In 2001 and 2002, Data Physics Corporation (Data Physics), of San Jose, California, and president, Sri Welaratna, knowingly exported vibration testing equipment to two organizations in China on BIS's Entity List, the 33rd Institute, a.k.a. the Beijing Institute of Automatic Control Equipment or Beijing Automation Control Equipment Institute (BACEI), and the Chinese Academy of Launch Vehicle Technology (CALT), without the required licenses. Data Physics and Welaratna had been subject to a Temporary Denial Order since May 23, 2006 in connection with these allegations.

The Penalty: Data Physics agreed to pay a \$55,000 administrative penalty and to a five-year denial of export privileges to the People's Republic of China. Welaratna agreed to pay a \$55,000 administrative penalty and to a five year suspended denial of export privileges to China.



Biospherical Instruments, Inc./ Baltrans Logistics, Inc.

The Violation: In 2004, Biospherical Instruments, Inc. of San Diego, CA, exported a profiling radiometer system to the Space Application Center in India, an organization on BIS's Entity List, without the required license, and made a false representation to the U.S. government in connection with the preparation and submission of an export control document. Baltrans Logistics, Inc., of Torrance, CA, aided/abetted the unlicensed export.

The Penalty: Biospherical Instruments, Inc. agreed to pay a \$13,200 administrative penalty. Baltrans Logistics, Inc. agreed to pay a \$6,000 administrative penalty.

Mitigating Circumstance: Biospherical Instruments, Inc. voluntarily self-disclosed the violation and cooperated fully with the investigation.

Magnetic Shield Corporation

The Violation: Magnetic Shield Corporation of Bensonville, IL exported and attempted to export magnetic shielding materials to the Indira Gandhi Centre for Atomic Research (IGCAR), an organization on BIS's Entity List, without the required license. The company also failed to enter the license authority on the Shipper's Export Declaration.

The Penalty: Magnetic Shield Corporation agreed to pay a \$19,000 administrative penalty.

Mitigating Circumstance: Magnetic Shield Corporation voluntarily self-disclosed the violation and cooperated fully with the investigation.

Fiber Materials Inc.

The Violation: Fiber Materials Inc. of Maine, its wholly owned subsidiary, Materials International of Massachusetts, and the companies' two top officers, Walter Lachman and Maurice Subilia, violated and conspired to violate U.S. export restrictions in connection with the unlicensed export to India of equipment used to manufacture carbon-carbon components with applications in ballistic missiles. The equipment, a specially designed control panel for operation of a hot isostatic press used to produce carbon-carbon items, was exported to the Defense Research Development Laboratory in India and delivered to Agni, the defense laboratory developing India's principal nuclear-capable ballistic missile.

The Penalty: Lachman was sentenced to three years' probation, the first year of which was to be spent in home detention. Subilia was sentenced to three years' probation, the first six months of which was to be spent in community confinement to be followed by one year of home detention. Lachman, Subilia, and Fiber Materials were each fined \$250,000. No fine was imposed on Materials International because it is a wholly-owned subsidiary of Fiber Materials. On March 12, 2007, Lachman, Subilia, Fiber Materials, and Materials International were each denied export privileges for ten years.

Chapter 8 - Denial of Export Privileges

Introduction

BIS has the authority and discretion to deny all export privileges under the EAR of a particular domestic or foreign person or company. BIS may impose a denial of export privileges as a sanction in an administrative case, or as a result of a person's criminal conviction of certain statutes (e.g. the Arms Export Control Act), and may also impose temporary denials (TDOs) to prevent an imminent violation of the EAR. The standard terms of a BIS denial order are published in Supplement Two to Part 764 of the EAR. In addition, under Section 11(h) of the Export Administration Act of 1979 (EAA), a denial of export privileges may be imposed for up to ten years from the date of a person's prior conviction under a statute listed in the EAA

BIS publishes the names of persons who have had their export privileges denied in the Federal Register. The Federal Register is the official source of information about denied persons. The Federal Register from 1995 to present is available on the Government Printing Office Access Web site. A current list of persons denied export privileges can also be found on the BIS website at <http://www.bis.doc.gov/>.

Criminal and Administrative Case Examples

George Charles Budenz II/Richard Scott Tobey/Arif Ali Durrani

The Violation: George Charles Budenz II, of Escondido, CA, Richard Scott Tobey, of Temecula, CA, and Arif Ali Durrani, of Pakistan, exported controlled military aircraft parts, specifically, engine parts for F-5 fighters, T-38 trainers, and Chinook helicopters to Malaysia and Belgium without obtaining a license from the State Department.

The Penalty: On June 9, 2007, a five-year denial of export privileges was imposed on each party, pursuant to Section 11(h) of the Export Administration Act.

Erika P. Jardine

The Violation: Erika P. Jardine, aka Eriklynn Pattie Jardine, aka Erika Pattie Jardine, of Vista, CA, exported/attempted to, and caused to be exported defense articles (small arm protective inserts (SAPIs)), from the United States to several European countries, without having first obtained a State Department license.

The Penalty: On February 9, 2007, a seven-year denial of export privileges was imposed on Jardine, pursuant to Section 11(h) of the Export Administration Act.

Fernando Sero

The Violation: Fernando Sero, aka Ferdie Resada, caused to be exported defense articles (weapons parts) from the United States to the Island of Mindanao in the Southern Phillipines, without having first obtained a State Department license.

The Penalty: On January 22, 2007, a ten-year denial of export privileges was imposed on Sero, pursuant to Section 11(h) of the Export Administration Act.

BiB Industrie-Handel Dipl.Ing M. Mangelsen GMBH/Malte Mangelsen

The Violation: From September 2001 through June 2002, BiB Industrie-Handel Dipl.Ing M. Mangelsen (BiB) and owner Malte Mangelsen (Mangelsen), of Bremen, Germany, conspired with others, Jeffrey Woodbridge and Sigma Enterprises, both of the United Kingdom, and John Clements and Minequip Company, of Miami, Florida, to arrange for the export of spare parts for hydraulic shears to Libya without the required export authorization. During the 2002-2003 period, BiB also took actions to evade the Export Administration Regulations in connection with such unlicensed exports to Libya.

The Penalty: BiB and Mangelsen were each ordered to pay a \$77,000 administrative penalty and a 20-year denial of export privileges was imposed. In the criminal cases, Clements and Minequip were sentenced to 3 years' probation and fined a total of \$5,500. Woodbridge was sentenced to time served plus 3 years' probation and fined \$7,100; Sigma Enterprises was fined \$21,000. In the related administrative cases, Clements and Minequip agreed to pay a total of \$24,000 (\$12,000 each) in administrative penalties; Woodbridge agreed to pay \$15,000 in administrative penalties; and Sigma Enterprises agreed to pay \$18,000 in administrative penalties.

Swiss Telecom/Teepad Electronics General Trading

The Violation: Between December 17, 2001 and March 7, 2002, Swiss Telecom, of Toronto, Canada, purchased telecommunication equipment from a U.S. company with knowledge that the equipment was destined for Iran. In connection with the same transaction, Teepad Electronics General Trading, of Dubai, United Arab Emirates, forwarded telecommunications equipment from a U.S. company to Iran. These transactions were conducted without authorization from the Department of the Treasury, Office of Foreign Assets Control.

The Penalty: A ten year denial of export privileges was imposed on both companies.

Mitigating Circumstances: Both companies voluntarily self-disclosed the violations and cooperated fully with the investigation.

Ihsan Elashi

The Violation: During late 2001 and early 2002, Ihsan Elashi, a former corporate officer of InfoCom Corporation of Richardson, Texas, violated a Temporary Denial Order (a 180-day denial of export privileges issued to prevent an imminent violation of the EAR) on numerous occasions, both individually and through a new corporation, Tetrabal Corp.. Moreover, InfoCom and four of its corporate officers, including Bayan, Ghassan, Basman, and Hazim Elashi, were convicted of dealing in the funds of a Specially Designated Terrorist, a high-ranking official of the terrorist organization Hamas, and, the four, along with Ihsan Elashi, conspired to export

certain proscribed computer equipment to Libya and Syria (two state sponsors of terrorism) and conspired to file false Shipper's Export Declarations.

The Penalty: Ihsan Elashi was sentenced to four years in federal prison for violating the denial order and six years in prison and two years' probation for the export violations, conspiracy charges, and false statements. Hazim Elashi was sentenced to five years in prison and two years' parole. He was also ordered to be deported from the United States at the end of his prison term. In October 2006, Basman Elashi and Ghassan Elashi were sentenced to 80 months in prison. Infocom was sentenced to two years' probation. In the related administrative case, the Under Secretary for Industry and Security issued an order requiring Ihsan Elashi to pay a \$330,000 administrative penalty and imposed a 50-year denial of export privileges. Basman, Bayan, Hazim, and Ghassan, along with Fadwa Elafrangi, Majida Salem, Maysoon Al Kayali, Infocom Corp., Tetrabal Corp., Al Kayali Corp's Mynet.net Corp., and Synoptix.net were all made subject to Ihsan's 50-year denial of export privileges.

Yaudat Mustafa Talyi

The Violation: In November and December 2002, Yaudat Mustafa Talyi violated a BIS Temporary Denial Order placed against him on September 30, 2002, by participating in an attempted export of items to the United Arab Emirates and directing another exporter to handle one of his pending exports.

The Penalty: In the criminal case, in April 2004, Talyi was sentenced to a \$25,000 criminal fine and five months in prison, five months' home confinement and twelve months' supervised release. In the related administrative case, Talyi was ordered to pay a \$121,000 administrative penalty. A twenty-year denial of export privileges was also imposed.

Chapter 9 - False Statement / Misrepresentation of Fact

Introduction

A party to an export transaction may be subject to criminal and/or administrative sanctions for making false statements to the U.S. Government in connection with an activity subject to the EAR. Most frequently, the false statements are made on an export document or to a federal law enforcement officer. Common types of false statements seen by BIS are statements on a Shipper's Export Declaration or Automated Export System filing that an export does not require a license (i.e., that it is "NLR") when in fact a license is required for the shipment, or statements that an export was shipped under a particular license number when in fact that license was for a different item. False statements that are made to the U.S. Government indirectly through another person, such as a freight forwarder, constitute violations of the EAR.

Criminal and Administrative Case Examples

MTS Systems Corp.

The Violation: In 2003 and 2004, MTS Systems, Corp. (MTS), of Eden Prairie, Minnesota, submitted export license applications containing misleading representations of material facts to the Department of Commerce for proposed shipments of seismic testing equipment to India. In both instances, MTS had knowledge that the equipment, controlled on the Commerce Control List, could be used for testing on behalf of Indian nuclear facilities. In one instance, MTS omitted information that India's Department of Atomic Energy, which is listed on the Entity List set forth in Part 744 of the EAR, had provided funding for the proposed transaction. After initially submitting the applications, MTS communicated on several instances with the Department of Commerce to provide supplemental information, but failed to share its knowledge of the potential nuclear end-uses associated with the proposed transactions.

The Penalty: On March 12, 2008, MTS was sentenced to two years' probation and a \$400,000 criminal fine. In addition, MTS was ordered to implement and maintain a model export compliance program and to sponsor an export compliance conference, which was held on June 24, 2008, in St. Paul, Minnesota. Also on March 12, 2008, MTS agreed to pay a \$400,000 administrative penalty. The administrative case was settled under the enhanced IEEPA penalties.

P.R.A. World Wide Trading Company, Inc.

The Violation: Between June 1, 2001 and December 20, 2002, P.R.A. World Wide Trading Company, Inc. (PRA), of Brooklyn, New York, conspired to make false statements and falsely represented the value of items on Shipper's Export Declarations (SEDs). PRA's owner and President, Igor Cherkassky pled guilty to conspiracy for instructing employees to prepare and submit SEDs that contained false information.

The Penalty: On December 19, 2006, Cherkassky was sentenced to two months of imprisonment, three years of supervised release, and a \$5,000 criminal fine. In 2007, PRA agreed to pay a \$250,000 administrative penalty, \$90,000 of which was suspended.

Aviacsa Airlines

The Violation: On 75 occasions between February 2002 and May 2003, Aviacsa Airlines failed to file with U.S. Government the Shipper's Export Declarations (SEDs) required by the EAR in connection the with export of aircraft parts to Mexico.

The Penalty: Aviacsa agreed to pay administrative penalties totaling \$450,000, of which \$225,000 was suspended.

EPMedSystems, Inc.

The Violation: Between 2000 and 2004, EPMedSystems, Inc. of West Berlin, NJ, exported and re-exported cardiac equipment to Iran without the required U.S. government authorization. Subsequently, EPMedSystems filed a Voluntary Self-Disclosure (VSD) with BIS which contained false statements regarding EPMedSystem's records and actions taken regarding the unlicensed exports and reexports.

The Penalty: EPMedSystems, Inc. agreed to pay a \$244,000 administrative penalty.

Elatec Technology Corporation/William Kovacs/Stephen Midgley/Sunford Trading Ltd.

The Violation: William Kovacs, his company, Elatec Technology Corporation, Haverhill, Massachusetts, Stephen Midgley, former Production Manager for Elatec, and Sunford Trading Ltd., Hong Kong, China, committed export violations and made false statements relating to the illegal export of a vacuum hot press furnace from the United States to China.

The Penalty: On October 4, 2006, Kovacs was sentenced to one year and one day in prison and three hundred hours of community service after pleading guilty to criminal conspiracy. On January 10, 2005, Stephen Midgley was sentenced to a \$1,500 criminal penalty and one year probation after pleading guilty to making a criminal false statement. Sentencing for Elatec Technology is still pending. In the related administrative cases, Kovacs was found in default and assessed a \$66,000 administrative penalty and a five year denial of export privileges, based on several charges, including charges that Kovacs made false statements to federal agents in the course of an investigation. Midgley agreed to pay a \$5,000 administrative penalty, of which \$4,000 was suspended to settle a charge that he made a false statement on a Shipper's Export Declaration. Sunford Trading agreed to pay a \$33,000 administrative penalty and accept a three year denial of export privileges based on several charges related to the unlawful export.

Spector International, Inc./Norman Spector

The Violation: Between November 2000 and January 2003, Spector International, Inc., d/b/a Norsal Export, of Monroe Township, New Jersey, and its principal officer, Norman Spector, also of Monroe Township, New Jersey, each committed 44 violations of the EAR by exporting

microwave amplifiers to China with knowledge that violations of the EAR would occur in connection with the items. They also filed false SEDs in support of the unlicensed exports. The amplifiers were classified under ECCN 3A0D1 and controlled for national security reasons.

The Penalty: Norsal was sentenced in February 2005 to a \$57,000 criminal fine. On August 22, 2007, Norsal Export agreed to pay a \$462,000 administrative penalty, all of which was suspended for a period of one year. Norsal Export's president, Norman Spector also agreed to pay a \$462,000 administrative penalty, of which \$442,000 was suspended, with \$22,000 due in payment. In addition, a twenty-five year denial of export privileges was imposed on both Norsal Export and Spector.

Chapter 10 - Antiboycott Violations

Introduction

The antiboycott provisions of the EAR, which are set forth at 15 C.F.R. Part 760 (“Restrictive Trade Practices or Boycotts”), prohibit U.S. persons from complying with certain requirements of unsanctioned foreign boycotts, including requirements that the U.S. person provide information about business relationships with a boycotted country or refuse to do business with persons on certain boycott lists. In addition, the EAR requires that U.S. persons report their receipt of certain boycott requests to BIS. Failure to report receipt of certain boycott requests may constitute a violation of the EAR. Under the antiboycott provisions of the EAR, certain foreign subsidiaries of domestic U.S. companies are considered to be U.S. persons.

On July 17, 2007, the Department of Commerce published Supplement No. 2 to 15 C.F.R. Part 766 providing guidance regarding BIS’s penalty determination process in the settlement of administrative cases involving violations of part 760 of the EAR. and violations of part 762 (“Recordkeeping”) when the recordkeeping requirement pertains to part 760. The guidance is partly modeled on Supplement No. 1 to part 766, which provides guidance regarding administrative export control cases, and describes how BIS determines appropriate penalties in settlement of violations in antiboycott cases. The guidance contains a comprehensive description of the factors taken into account in determining administrative penalties including significant mitigating and aggravating factors. On the same date, in connection with the penalty guidance, BIS published a new EAR provision, 15 C.F.R. 764.8, which sets forth the procedures for making voluntary self-disclosures of antiboycott violations. These procedures concern timing requirements, and the information that must be included in the initial notification and narrative account of the disclosure.



Director of Export Enforcement's Office of Antiboycott Compliance Ned Weant gave a presentation at the International Financial Services Association (IFSA) Commercial Letter of Credit Workshop in New York in June 2008. Mr. Weant presented on the application of antiboycott provisions of the Export Administration Regulations to letter of credit transactions and provided an update on current boycott trends.

An Overview of the Antiboycott Laws

History

During the mid-1970's, the United States adopted two laws to counteract the participation of U.S. citizens in other nations' economic boycotts of countries friendly to the United States. These "antiboycott" laws were the 1977 amendments to the Export Administration Act (EAA) (as carried over into the Export Administration Act of 1979) and the Ribicoff Amendment to the 1976 Tax Reform Act (TRA).

Objectives

The antiboycott laws were adopted to encourage, and in specified cases, require U.S. persons to refuse to participate in foreign boycotts that the United States does not sanction. They have the effect of preventing U.S. persons from being used to implement foreign policies of other nations which run counter to U.S. policy.

Primary Impact

The Arab League boycott of Israel is the principal foreign economic boycott that U.S. persons must be concerned with today. The antiboycott laws, however, apply to all boycotts of countries that are friendly to the United States imposed by foreign countries.

Who Is Covered by the Laws?

The antiboycott provisions of the EAR apply to all "U.S. persons," defined to include individuals and companies located in the United States and their foreign affiliates. These persons are subject to the law when their activities relate to the sale, purchase, or transfer of goods or services (including information) within the U.S. or between the U.S. and a foreign country. This covers U.S. exports, forwarding and shipping, financing, and certain other transactions by U.S. persons not in the U.S.

For questions about boycott-related matters please contact the BIS Office of Antiboycott advice line at (202) 482-2381 or send an e-mail as indicated in the antiboycott compliance section of the BIS website.

Criminal and Administrative Case Examples

Colorcon Limited

The Violation: During the period 2001 through 2005, Colorcon Limited of the United Kingdom, a wholly owned subsidiary of Colorcon, Inc. of West Point, Pennsylvania, furnished to persons in Syria ten items of prohibited information about another person's business relationships with boycotted countries or blacklisted persons. In addition, Colorcon knowingly agreed to refuse to do business with another person and failed to report its receipt of a boycott request.

The Penalty: Colorcon agreed to pay a \$39,000 administrative penalty.

Dresser Incorporated

The Violation: From January 2001 through January 2004, Dresser Incorporated (Dresser), located in Texas, failed to report in a timely manner its receipt of nine requests to engage in a restrictive trade practice or boycott relating to Israel.

The Penalty: Dresser agreed to pay a \$9,000 administrative penalty.

Mitigating Circumstance: Dresser voluntarily self-disclosed the violation and cooperated fully with the investigation.

Hyundai Engineering and Construction Co., Ltd.

The Violation: Hyundai Engineering and Construction Company Ltd. of Englewood Cliffs, New Jersey agreed to settle allegations that it committed two violations of the EAR when, in connection with transactions involving Kuwait, it furnished two items of prohibited information about another person's business relationships with Israel. Additionally, Hyundai agreed to settle allegations that it failed to report a request from Saudi Arabia and a request from Kuwait to provide prohibited boycott-related information.

The Penalty: Hyundai agreed to pay a \$12,000 administrative penalty to settle these allegations.

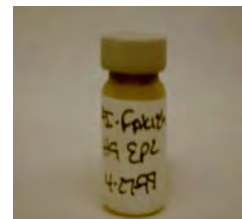
Maine Biological Labs

The Violation: Maine Biological Labs (MBL) and its employees committed anti-boycott violations in connection with MBL's unlicensed export of avian vaccine containing Newcastle virus to Syria. MBL provided two shipping documents indicating "that the goods were not of Israeli origin." Additionally, MBL failed to report the receipt of the buyer's shipping instruction which was in support of an unsanctioned foreign boycott.



John
Donahoe,
Former MBL
President

The Penalty: Three individuals, two former employees of MBL and a consultant, were sentenced to two years' probation; five others were sentenced to terms of imprisonment ranging from nine months to twelve months and one day. The former employees were also fined in amounts ranging from \$5,000 to \$30,000. MBL received a criminal fine of \$500,000, and was placed on five years' probation. MBL also agreed to pay a \$20,000 administrative penalty for the antiboycott violations and a \$100,000 administrative penalty for the illegal export violations.



Vial of Avian
Influenza

Johns Hopkins Health System Corporation

The Violation: Johns Hopkins Health System violated the antiboycott provisions of the EAR when it discriminated against a U.S. person in support of the Arab League boycott of Israel. The person had been seeking a position in the company's International Services Department, which markets medical services around the world, including the Middle East. The discriminatory conduct, BIS believes, was motivated by the company's concern about having a Jewish person in that position because of the Arab League boycott of Israel.

The Penalty: Johns Hopkins agreed to pay a \$10,000 administrative penalty.

Mitigating Circumstance: Johns Hopkins Health System voluntarily self-disclosed the violation and cooperated fully with the investigation.

Alison Transport

The Violation: On three occasions, in connection with transactions involving the sale and transfer of goods from the United States to Oman, Kuwait, and Saudi Arabia, Alison Transport furnished prohibited information about another company's business relationships with Israel in violation of the EAR. Alison also failed to report its receipt of a request from Oman to provide a certificate that the aircraft used in the transactions were not blacklisted by the Arab League Boycott Committee.



The Penalty: Alison agreed to pay a \$22,500 administrative penalty.

St. Jude Medical Export GmbH

The Violation: St. Jude violated the EAR when it failed to report in a timely manner its receipt of three requests from an Iraqi government agency to adhere to the rules of the Arab League boycott of Israel during the 2000-2001 reporting period. On four occasions, St. Jude also violated the EAR by agreeing to refuse to do business with blacklisted persons.

The Penalty: St. Jude agreed to pay a \$30,000 administrative penalty.

Mitigating Circumstance: St. Jude voluntarily self-disclosed the violations and cooperated fully with the investigation.

Chapter 11 - Successor Liability

Introduction

Recent administrative cases have made clear that businesses can be held liable for violations of the EAR committed by companies that they acquire. Businesses should be aware that the principles of successor liability may apply to them and perform “due diligence” in scrutinizing the export control practices of any companies that they plan to acquire.

A properly structured due diligence review can determine whether an acquired company has violated any export laws. This review should examine the company’s export history and compliance practices, including commodity classifications, technology exchanges, export licenses and authorizations, end-users, end-uses, international contracts, the status of certain foreign employees who have access to controlled technologies, and the target company's export policies, procedures and compliance manuals. Failure to scrutinize properly a company's export practices can lead to liability being imposed on the acquiring company.

Criminal and Administrative Case Examples

Northrop Grumman Corporation

The Violation: Between January 1998 and September 2002, Northrop Grumman Corporation (Northrop), of Los Angeles, California, both in its own capacity and as successor to Litton Industries, Inc., which Northrop acquired in April 2001, exported specially designed components for navigation equipment and module manufacturing data to destinations in the Philippines, Singapore, Malaysia, Italy and the United Kingdom without the required licenses.

The Penalty: Northrop agreed to pay a \$400,000 administrative penalty

Mitigating Circumstance: Northrop voluntarily self-disclosed the violations and cooperated fully with the investigation.

LogicaCMG

The Violation: LogicaCMG, Inc. of Houston, Texas was held liable for the export violations relating to the shipment of a single node short message service center (SMSC) from the United States through Panama to Cuba without the required license. From July 2001 through October 2001, LogicaCMG, Inc.’s predecessor and affiliated entities, CMG Telecommunications and CMG Wireless Data Solutions of Brazil, conspired to export and did export the SMSC through Panama for ultimate delivery to the Cuban end-user.

The Penalty: LogicaCMG agreed to pay a \$99,000 administrative penalty, and a criminal fine of \$50,000 was imposed.

Cerac, Inc.

The Violation: Between October 1, 1999 and March 26, 2001, Cerac, Inc., of Milwaukee, Wisconsin (previously named CR International), both in its own capacity, and as successor to Cerac, Inc., exported inorganic materials controlled for nuclear nonproliferation reasons to India, Israel, the People's Republic of China, Taiwan and Thailand without the required export licenses. In addition, Cerac exported quantities of Iron and Selenium, specialty inorganic materials, to the Inter University Consortium in India, which was then on the Entity List, without the required export licenses. Finally, Cerac made false statements on Shipper's Export Declarations in connection with some of these transactions, stating that no license was required, when, in fact, a license was required.

The Penalty: Cerac agreed to pay a \$297,000 administrative penalty.



U.S. DEPARTMENT OF COMMERCE
Bureau of Industry and Security
Export Enforcement